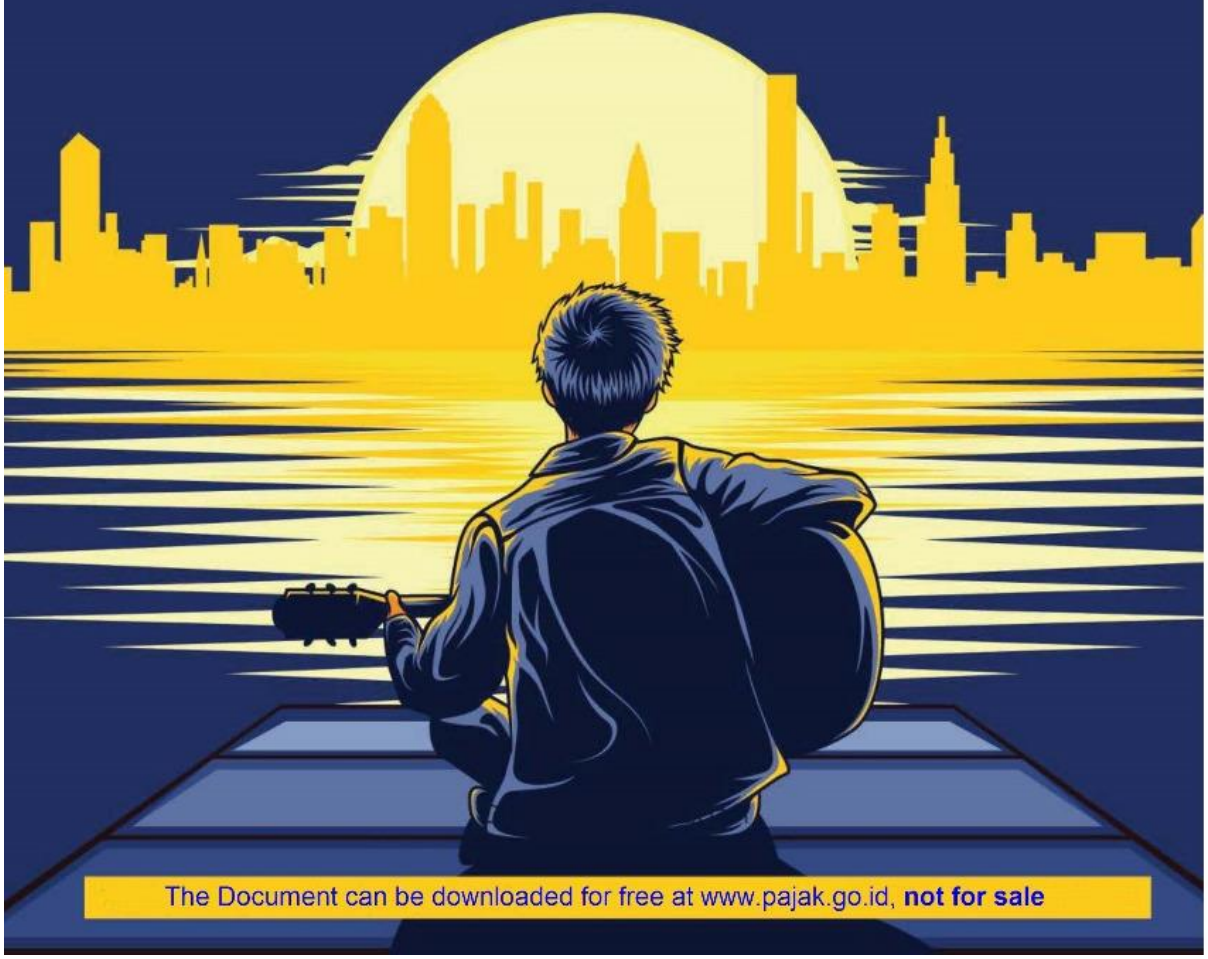
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Taxation Reform

COMPILATION INTO SINGLE DOCUMENT OF TAXATION LAWS

Edition of Amendments to Law Number 7 of 2021

HARMONIZATION OF TAX REGULATIONS



The Document can be downloaded for free at www.pajak.go.id, **not for sale**

FOREWORD

Assalamualaikum Warahmatullahi Wabarakatuh.

Tax laws have been drafted as a guide for various parties, mainly for Taxpayers in exercising their rights in performing their tax obligations, and for Tax Officers to carry out their duties in collecting state revenues from the tax sector. The tax laws also regulate the taxation systems, mechanisms, and procedures that regulate the *self-assessment system*.

This Book of Compilation into Single Document of Taxation Laws contains five tax laws currently in force. These Laws are the Law on General Provisions and Procedures of Taxation, Income Tax Law, the Value Added Tax Law, the Land and Building Tax Law and the Stamp Duty Law.

Hopefully this book can be useful to increase the knowledge and understanding on taxation of the public and the tax officers.

Wassalamualaikum warahmatullahi wabarakatuh.

Jakarta, December 2021

Directorate of P2Humas DGT

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TAX

BUILDS OUR COUNTRY FOR ADVANCED INDONESIA

PRESIDENT
OF THE REPUBLIC OF INDONESIA

COMPILATION INTO SINGLE DOCUMENT OF LAW OF THE REPUBLIC OF INDONESIA NUMBER 6 OF 1983 REGARDING GENERAL PROVISIONS AND PROCEDURES OF TAXATION AS AMENDED SEVERAL TIMES, LASTLY BY LAW OF THE REPUBLIC OF INDONESIA NUMBER 7 OF 2021

CHAPTER I
GENERAL PROVISIONS

Article 1

(1). Tax is a mandatory contribution to the state that is owed by an individual or corporate that is coercive in nature based on Law, without receiving any direct compensation and to be used for the state's need for the greatest prosperity of the people. ***)

(2). Taxpayer is an individual or corporate, including tax payer, tax withholder, and tax collector, who have the taxation rights and obligations in accordance with the provisions in the tax laws and regulations. ***)

(3). Entity is a group of persons and/or capitals which constitutes a unit whether doing business or not including limited liability company, commanditaire company, other companies, state-owned enterprise or regionally-owned enterprise in whatever name and form, firm, joint venture, cooperative, pension fund, partnership, association, foundation, mass organization, socio-political organization, or other organizations, institution and other forms of corporate including collective investment contracts and permanent establishments. ***)

(4). Entrepreneur is an individual or corporate in any form which in its business activity or work produces goods, imports goods, exports goods, carries on trade business, utilizes intangible goods from outside the customs area, carries on service business, or utilizes services from outside the customs area. ***)

(5). Taxable Entrepreneur is any Entrepreneur who delivers Taxable Goods and/or delivers Taxable Services imposed with taxes based on the Value Added Tax Law of 1984 and the amendments thereto. ***)

(6). Taxpayer Identification Number is the number given to the Taxpayer as a means in tax administration which is used as a personal identification or identity of Taxpayer in exercising his/her tax rights and in performing

his/her tax obligations. ***)

(7). Tax Period is a period of time that becomes the basis for the Taxpayer to calculate, deposit, and report the tax payable within a certain period as determined in this Law. ***)

(8). Fiscal Year is a period of 1 (one) calendar year unless the Taxpayer uses a book year that is different from the calendar year. ***)

(9). Portion of Fiscal Year is part of the period of 1 (one) Fiscal Year. ***)

(10). Tax payable is A tax that must be paid at a time, in a Tax Period, in a Fiscal Year, or in a fraction of Fiscal Year in accordance with the provisions in the tax laws and regulations. ***)

(11). Tax Return is a letter the Taxpayer uses to report the calculation and/or payment of taxes, tax objects and/or non-tax objects, and/or assets and liabilities in accordance with the provisions in the tax laws and regulations. ***)

(12). Periodic Tax Return is a Tax Return for a Tax Period. ***)

(13). Annual Tax Return is a Tax Return for a Fiscal Year or a fraction of Fiscal Year. ***)

(14). Tax Payment Slip is a proof of payment or deposit of tax that has been made by using a form or has been made in another way to the state cash account through a payment place designated by the Finance Minister. ***)

(15). Tax Assessment Letter is an assessment letter including Tax Underpayment Assessment Letter, an Additional Tax Underpayment Assessment Letter, Nil Tax Assessment Letter, or Tax Overpayment Assessment Letter. ***)

(16). Tax Underpayment Assessment Letter is a tax assessment letter that determines the amount of tax principal, the amount of tax credit, the amount of tax principal underpayment, the amount of administrative sanction, and the amount of outstanding tax. ***)

(17). Additional Tax Underpayment Assessment Letter is a tax assessment letter that determines the stipulated additional tax amount. ***)

(18). Nil Tax Assessment Letter is a tax assessment letter that determines the amount of tax principal equal to the amount of tax credit or no tax is payable and no tax credit. ***)

(19). Tax Overpayment Assessment Letter is a tax assessment letter that determines the amount of tax overpayment because the amount of tax credit is larger than the tax payable or should not be payable. ***)

(20). Tax Collection Letter is a letter to collect a tax and/or administrative sanction in the form of interest and/or fine. ***)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(21). Distress Warrant is a warrant to pay the tax indebtedness and tax collection fee. ***)

(22). Tax Credit for Income Tax is a tax paid by the Taxpayer himself plus the tax principal payable in the Tax Collection Letter due to the Income Tax in the current year is unpaid or underpaid, plus the tax withheld or collected, plus the tax on incomes paid or payable abroad, subtracted by pre-refund of the tax surplus, which is deducted from the tax payable. ***)

(23). Tax Credit for Value Added Tax is Input Tax that can be credited after deducting the pre-refund of the tax surplus or after deducting the compensated tax, which is deducted from the tax payable. ***)

(24). Independent job is a work carried out by an individual who has special skill in a business to earn income that is not bound by an employment relationship. ***)

(25). Audit is a series of activities to collect and process data, information, and/or evidences carried out objectively and professionally based on an audit standard to test the compliance with the tax obligations and/or for other purposes to the effect of implementing the provisions in the tax laws and regulations. ***)

(26). Preliminary Evidence is a condition, action, and/or evidence in the form of statement, writing, or thing that can provide an indication of strong allegation that a criminal act in taxation sector is being or has been committed by anyone that may result in loss(es) to state revenue. ***)

(27). Preliminary Evidence Examination is an examination carried out to obtain preliminary evidences on the occurrence of an alleged crime in taxation sector. ***)

(28). Tax Bearer is an individual or corporate who is responsible for payment of tax, including representatives who exercise the rights and fulfill the obligations of a Taxpayer in accordance with the provisions in the tax laws and regulations. ***)

(29). Bookkeeping is a recording process that is carried out regularly to collect the financial data and information including assets, liabilities, capitals, incomes and costs, as well as the total acquisition and delivery prices of goods or services, which is closed by preparing the financial statements in the form of balance sheets, and the income statements for the period of the relevant Fiscal Year.***)

(30). Research is a series of activities carried out to assess the completeness of filling out of the Notification Letter and attachments thereto, including an assessment of the correctness of writing and calculation thereof. ***)

(31). Investigation of criminal act in taxation sector is a series of actions taken by the investigator to seek and collect the evidences with which they make clear the crime in taxation sector that occurred and find the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

suspect. ***)

(32). Investigator is a certain Civil Servant official within the Directorate General of Taxes who is given with special authority as investigator to investigate criminal acts in taxation sector in accordance with the provisions in the laws and regulations. ***)

(33). Notice of Tax Correction is a decision letter that corrects any typing error, calculation error, and/or mistakes in the application of certain provisions in the tax laws and regulations as contained in the tax assessment letter, Tax Collection Letter, Notice of Tax Correction, Objection Decision Letter, Administrative Sanction Reduction Decision Letter, Administrative Sanction Elimination Decision Letter, Tax Assessment Reduction Decision Letter, Tax Assessment Cancellation Decision Letter, Advance Tax Overpayment Refund Decree, or Interest Repayment Decree. ***)

(34). Objection Decision Letter is a decision letter on the objection to a tax assessment letter or to a withholding or collection by a third party filed by a Taxpayer. ***)

(35). Appeal Verdict is an award of the tax court on an appeal against the Objection Decision Letter filed by a Taxpayer. ***)

(36). Lawsuit Award is an award of the tax court on the lawsuit against matters which, under the provisions in the tax laws and regulations, can be sued. ***)

(37). Judicial Review Award is an award of the Supreme Court on the application for judicial review filed by the Taxpayer or by the Director General of Taxes against an n Appeal Verdict or Lawsuit Award from the tax court. ***)

(38). Advance Tax Overpayment Refund Decree is a decision letter that determines the amount of advance tax overpayment refund for a certain Taxpayer. ***)

(39). Interest Repayment Decree is a decision letter that determines the amount of interest benefit given to the Taxpayer. ***)

(40). Date sent is the delivery postal stamp date, the facsimile date, or in case of being delivered in person, the date when the letter, decision, or award is delivered in person. ***)

(41). Date received is the delivery postal stamp date of, the facsimile date, or in case of being received in person, the date when the letter, decision, or award is received in person. ***)

<u>Elucidation of Article 1</u>

Self-explanatory

CHAPTER II

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

TAXPAYER IDENTIFICATION NUMBER, TAXABLE ENTREPRENEUR CONFIRMATION, NOTIFICATION LETTER, AND TAX PAYMENT PROCEDURES

Article 2

(1). Every Taxpayer who has fulfilled the subjective and objective requirements in accordance with the provisions in the tax laws and regulations shall be obliged to register him-/herself with the office of the Directorate General of Taxes whose working area covers the residence or domicile of the Taxpayer and to him/her a Taxpayer Identification Number is issued. ***)

(1a). The Taxpayer Identification Number as referred to in paragraph (1) for individual Taxpayer who is an Indonesian resident shall use the personnel registration number. ******)

(2). Every Taxpayer as an Entrepreneur who is subject to taxes based on the Value Added Tax Law of 1984 and the amendments thereto, shall be obliged to report his/her business to the office of the Directorate General of Taxes whose working area covers the residence or domicile of the Entrepreneur, and the place where business activity is carried out to be confirmed to be Taxable Entrepreneur. ***)

(3). The Director General of Taxes may determine: ***)

a. the place of registration and/or the place of reporting of the business other than those stipulated in paragraphs (1) and (2); and/or

b. the place of registration in the office of the Directorate General of Taxes whose working area covers the domicile and office of the Directorate General of Taxes whose working area covers the place where business activity is carried out, for certain individual entrepreneur Taxpayer。

(4). The Director General of Taxes issues a Taxpayer Identification Number and/or confirms a Taxable Entrepreneur on in officio basis if the Taxpayer or Taxable Entrepreneur does not perform their obligations as referred to in paragraph (1) and/or paragraph (2). ***)

(4a). Tax obligations for the Taxpayer to whom the Taxpayer Identification Number is issued and/or who is confirmed as Taxable Entrepreneur on in officio basis as referred to in paragraph (4) commences when the Taxpayer fulfills the subjective and objective requirements in accordance with the provisions in the tax laws and regulations, not later than 5 (five) years prior to the issuance of Taxpayer Identification Number and/or his/her confirmation as a Taxable Entrepreneur. ***)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(5). Deleted. ******)

(6). Abolition of Taxpayer Identification Number is carried out by the Director General of Taxes in the event: ***)

a. an application for abolition of Taxpayer Identification Number is submitted by the Taxpayer and/or his/her heir if the Taxpayer ceases to meet the subjective and/or objective requirements in accordance with the provisions in the taxation laws;

b. Corporate Taxpayer is liquidated due to winding-up or merger;

c. Taxpayer with permanent establishment stop his/her business activity in Indonesia; or

d. the Director General of Taxes deems necessary to abolish the Taxpayer Identification Number of a Taxpayer who has no longer fulfilled the subjective and/or objective requirements in accordance with the provisions in the taxation laws.

(7). The Director General of Taxes, after conducting an audit, must make a decision on the application for abolition of Taxpayer Identification Number within 6 (six) months for individual Taxpayer or 12 (twelve) months for corporate Taxpayer, as of the date the application is received completely. ***)

(8). The Director General of Taxes may, due to his/her position or at the request of the Taxpayer, revoke a Taxable Entrepreneur confirmation. ***)

(9). The Director General of Taxes, after conducting the audit, must make a decision on the application for revocation of Taxable Entrepreneur confirmation within 6 (six) months as of the date the application is received completely. ***)

(10). To the effect of use of the personnel registration number to be Taxpayer Identification Number as referred to in paragraph (1a), the minister who carries out domestic government affairs provides the population data and the user feedback data to the Finance Minister to be integrated with the taxation database. ******)

Elucidation of Article 2

Paragraph (1)

All Taxpayer who has fulfilled the subjective and objective requirements in accordance with the provisions in the tax laws and regulations based on the self-assessment system, shall be obliged to register themselves with the Directorate General of Taxes office to be recorded as Taxpayers and at the same time to obtain the Taxpayer Identification Number.

The subjective requirements are requirements that conform to the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

provisions regarding the tax subject in the Income Tax Law of 1984 and the amendments thereto.

Objective requirements are requirements for tax subject who receives or earns income or shall be obliged to make withholding/collection in accordance with the provisions in the Income Tax Law of 1984 and the amendments thereto.

The obligation to register themselves also applies to married women who are subject to tax separately due to living separately based on a judge's decision or requested in writing based on an income and assets separation agreement.

A married woman other than those specified above may register herself to obtain a Taxpayer Identification Number in her own name so that she can exercise her rights and perform her tax obligations apart from her husband's tax rights and obligations.

The Taxpayer Identification Number is a means in the tax administration that is used as a personal identification or identity of the Taxpayer. Therefore, to each Taxpayer is only assigned with one Taxpayer Identification Number. In addition, the Taxpayer Identification Number is also used to maintain the orderliness in tax payments and in the tax administration supervision. In terms of dealing with the tax documents, the Taxpayer shall be obliged to specify his/her Taxpayer Identification Number. Any Taxpayer who fails to register him/herself to obtain a Taxpayer Identification Number is subject to sanctions in accordance with the provisions in the tax laws and regulations.

Paragraph (1a)

Self-explanatory.

Paragraph (2)

Every Taxpayer as an Entrepreneur who is subject to Value Added Tax under the Value Added Tax Law of 1984 and the amendments thereto shall be obliged to report his/her business to be confirmed to be Taxable Entrepreneur.

Individual entrepreneur shall be obliged to report his/her business to the office of the Directorate General of Taxes whose working area covers the domicile of the Taxpayer and the place where business activity is carried out, whereas a corporate entrepreneur shall be obliged to report his/her business to the office of the Directorate General of Taxes whose working area covers the domicile of the Entrepreneur and the place where business activity is carried out.

Thus, an individual or corporate Entrepreneur who has a place of business activity within the area of several offices of the Directorate General of Taxes shall be obliged to report his/her business to be confirmed to be Taxable Entrepreneur both in the office of the Directorate General of

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Taxes whose working area covers the residence or domicile of the Entrepreneur and in the office of the Directorate General of Taxes whose working area covers the place where business activity is carried out.

Function of the Taxable Entrepreneur confirmation is, in addition to know the real identity of the Taxable Entrepreneur, is also useful for exercising the rights and performing the obligations in the field of Value Added Tax and the Sales Tax of Luxury Goods as well as for supervision of tax administration.

Any Entrepreneur who has fulfilled the requirements as Taxable Entrepreneur, but fails to report his/her business to be confirmed as Taxable Entrepreneur is subject to sanctions in accordance with the provisions in the tax laws and regulations.

Paragraph (3)

As to a certain Taxpayer and Taxable Entrepreneur, the Director General of Taxes may determine the office of the Directorate General of Taxes other than those specified in paragraphs (1) and (2), to be a place of registration to obtain the Taxpayer Identification Number and/or Taxable Entrepreneur Confirmation.

In addition, for certain individual entrepreneur Taxpayers, namely individual Taxpayer who has business places spread across several places, for example an electronic trader who has shops in several shopping centers, in addition to being obliged to register him/herself in the office of the Directorate General of Taxes whose working area covers the residence of the Taxpayer, is also obliged to register him/herself in the office of the Directorate General of Taxes whose working area covers the place where his/her business activity is carried out.

Paragraph (4)

To a Taxpayer or Taxable Entrepreneur who fails to meet the obligation to register and/or report his/her business, a Taxpayer Identification Number and/or Taxable Entrepreneur confirmation may be issued on in officio basis. This can be carried out if, based on the data obtained or owned by the Directorate General of Taxes, it is evident that such an individual or corporate or Entrepreneur has met the requirements to obtain a Taxpayer Identification Number and/or is confirmed to be Taxable Entrepreneur.

Paragraph (4a)

This paragraph provides that in the issuance of Taxpayer Identification Number and/or confirmation to be Taxable Entrepreneur on in officio basis, must pay attention to the time of fulfillment of the subjective and objective requirements of the relevant Taxpayer. Further, such a Taxpayer is not exempted from fulfilling his/her tax obligations in accordance with the provisions in the tax laws and regulations. This is intended to provide

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

legal certainty to both the Taxpayer and the Government in relation to the Taxpayer's obligation to register him/herself and the right to obtain the Taxpayer Identification Number and/or to be confirmed to be Taxable Entrepreneur, for example, to the Taxpayer a Taxpayer Identification Number was issued on in officio basis in 2008 and it turned out that the Taxpayer has met the subjective and objective requirements in accordance with the provisions in the tax laws and regulations effective as of 2005, its tax obligations shall arise since 2005.

Paragraph (5)

Deleted.

Paragraph (6)

Self-explanatory.

Paragraph (7)

Self-explanatory。

Paragraph (8)

Self-explanatory.

Paragraph (9)

Self-explanatory.

Paragraph (10)

The use of the personnel registration number to be identity of individual Taxpayer requires the integration of the population database with the taxation database that is used to form the Taxpayer profile, and can be used by the Taxpayer to the effect of exercising his/her rights and/or performing his/her tax obligations.

The population data and the user feedback data are population data and user feedback data as specified in the laws and regulations governing the population administration。

Article 2A ***)

The Tax Period is equal to 1 (one) calendar month or another period as regulated by the Regulation of the Finance Minister up to maximum of 3 (three) calendar months.

Elucidation of Article 2A

Self-explanatory。

Article 3

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(1) Every Taxpayer shall be obliged to fill out the Tax Return correctly, completely, and clearly, in the Indonesian language by using Latin letters, Arabic numerals, Rupiah currency unit, and sign and submit it to the office of the Directorate General of Taxes where the Taxpayer is registered or confirmed or another place as stipulated by the Director General of Taxes. ***)

(1a) Taxpayer who has obtained permit from the Finance Minister to maintain the bookkeeping in a foreign language and in a currency other than Rupiah, shall be obliged to submit a Tax Return in the Indonesian language by using a permitted currency unit other than Rupiah, the implementation of which shall be regulated by or based on a Regulation of the Finance Minister. ***)

(1b) The signing as referred to in paragraph (1) can be carried out in usual manner, with stamp signature, or electronic or digital signature, all of which having the same legal effect, and the implementation procedure of which shall be regulated by or based on a Regulation of the Finance Minister. ***)

(2) The Taxpayer as referred to in paragraph (1) and paragraph (1a) shall take by him/herself the Tax Return at the place as determined by the Director General of Taxes or shall take in another way the implementation procedure of which shall be regulated by or based on a Regulation of the Finance Minister. ***)

(3) The deadlines for submission of the Tax Return are as follows: ***)

a. for the Periodic Tax Return, not later than 20 (twenty) days as of the Tax Period end;

b. for the Annual Income Tax Return of individual Taxpayer, not later than 3 (three) months as of the Fiscal Year end; or

c. for Annual Income Tax Return of Corporate Taxpayer, not later than 4 (four) months as of the Fiscal Year end。

(3a) Taxpayers with certain criteria may report several Tax Periods in 1 (one) Periodic Tax Return. ***)

(3b) Taxpayers with certain criteria and the reporting procedures as referred to in paragraph (3a) shall be regulated by or based on a Regulation of the Finance Minister. ***)

(3c) The deadline of and the procedures for reporting of withholding tax and collection by the government treasurer and certain agencies shall be regulated by or based on a Regulation of the Finance Minister. ***)

(4) Taxpayers may extend the period of submission of the Annual Income Tax Return as referred to in paragraph (3) for maximum of 2 (two) months by submitting a written notification or in other ways to the Director General

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

of Taxes the provisions of which shall be regulated by or based on a Regulation of the Finance Minister. ***)

(5) The notification as referred to in paragraph (4) must be furnished with the provisional calculation of the tax payable within 1 (one) Fiscal Year and the Tax Payment Slip as proof of settlement of the underpaid tax payable, the provisions of which shall be regulated by or based on a Regulation of the Finance Minister. ***)

(5a) If the Notification Letter is not submitted within the deadline as referred to in paragraph (3) or the deadline for extension of submission of the Annual Tax Return as referred to in paragraph (4), a Warning Letter may be issued. ***)

(6) The form and contents of the Tax Return as well as the information and/or documents to be attached, and the method to be used to submit the Tax Return shall be regulated by or based on a Regulation of the Finance Minister. ***)

(7) A Notification Letter is deemed not submitted if: ***)

a. The Notification Letter is not signed as referred to in paragraph (1);

b. The Notification Letter is not fully enclosed with the information and/or documents as referred to in paragraph (6);

c. The Notification Letter that states an overpayment is submitted after 3 (three) years as of the Tax Period end, a fraction of Fiscal Year or Fiscal Year, and the Taxpayer has been reprimanded in writing; or

d. The Notification Letter is submitted after the Director General of Taxes has carried out the audit or has issued a tax assessment letter。

(7a) If the Notification Letter is deemed not submitted as referred to in paragraph (7), the Director General of Taxes shall be obliged to notify the Taxpayer of the same. ***)

(8) Excluded from the obligations as referred to in paragraph (1) are certain Income Tax Taxpayers who shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 3

Paragraph (1)

Function of the Tax Return for the Income Tax Taxpayers is as a means to report and account for the calculation of the actual amount of tax payable and to report on:

a. payment or settlement of taxes that have been made by the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Taxpayer him/herself and/or through withholding or collection by another party within 1 (one) Fiscal Year or a fraction of Fiscal Year;

b. incomes which are tax objects and/or not tax objects;

c. assets and liabilities; and/or

d. payments from the withholders or collectors on withholding or collection of other individual or corporate taxes within 1 (one) Tax Period in accordance with the provisions in the tax laws and regulations.

For a Taxable Entrepreneur, function of the Tax Return is as a means to report and account for the calculation of the amounts of Value Added Tax and Sales Tax on Luxury Goods that are actually payable and to report on:

a. crediting of the Input Tax against the Output Tax; and

b. payment or settlement of taxes that have been made by the Taxable Entrepreneur him/herself and/or through another party within one Tax Period, in accordance with the provisions in the tax laws and regulations.

For tax withholders or collectors, function of the Tax Return is as a means to report and account for the taxes they have withheld or collected and deposited.

Filling out the Tax Return means to fill out a Tax Return form, in paper form and/or in electronic form, correctly, completely, and clearly in accordance with the instructions for filling out given based on the provisions in taxation laws and regulations.

Meanwhile, correct, complete, and clear means, in filling out the Tax Return means:

a. correct means correct in calculations, including correct in application of the provisions of the tax laws and regulations, in writing out, and in accordance with the real situation;

b. complete means to contain all elements related to tax objects and other elements that must be reported in the Tax Return; and

c. clear means to report the origins or sources of the tax objects and other elements that must be reported in the Tax Return.

The Tax Return that has been filled out correctly, completely, and clearly shall be submitted to the office of the Directorate General of Taxes where the Taxpayer is registered or confirmed or another place as the Director General of Taxes may determine.

The obligation to submit the Tax Return by the tax withholders or collectors shall be performed for every Tax Period.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (1a)

Self-explanatory.

Paragraph (1b)

Self-explanatory.

Paragraph (2)

In order to provide services and convenience to the Taxpayers, the Tax Return form is provided at the offices of the Directorate General of Taxes and other places as the Director General of Taxes may determine that are estimably easily accessible to the Taxpayers. In addition, the Taxpayers can also acquire the Tax Return in other ways, for example by accessing the Directorate General of Taxes' website to obtain the Tax Return form.

However, in order to provide better services, the Director General of Taxes may send the Tax Return to the Taxpayers.

Paragraph (3)

This paragraph provides the deadline for submission of the Tax Return which is deemed fairly adequate for the Taxpayer to prepare everything related to the payment of taxes and the settlement of its bookkeeping.

Paragraph (3a)

Taxpayers with certain criteria, including small enterprise Taxpayers, may:

a. submit the Periodic Income Tax Return Article 25 for several Tax Periods at once provided that the payment of all taxes that required to be paid-off under the Periodic Tax Return shall be made at the same time not later than in the last Tax Period; and/or

b. submit Periodic Tax Return other than those referred to in letter a for several Tax Periods at once provided that the payment of each of the Tax Period shall be made in accordance with the deadline for the relevant Tax Period.

Paragraph (3b)

Self-explanatory.

Paragraph (3c)

Self-explanatory.

Paragraph (4)

If a Taxpayer, either individual and corporate, turns out to be unable to submit the Tax Return within the period as specified in paragraph (3) letter b, or letter c due to the extent of business activities and the technical problems in the preparation of financial statements, or other

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

causes so that it is difficult to meet the deadline for completion and require relaxation from the determined deadline, the Taxpayer may extend the submission of the Annual Income Tax Return by submitting a written notification or in other ways, for example by electronic notification to the Director General of Taxes.

Paragraph (5)

In order to prevent the efforts of evasion and/or payment period extension of tax payable within 1 (one) Fiscal Year that must be paid prior to the deadline for submission of the Annual Tax Return, it is necessary to stipulate requirements that result in the imposition of administrative sanction in the form of interests for Taxpayers who intends to extend the time for submitting the Annual Income Tax Return.

The aforesaid requirements are in the form of obligation to submit a temporary notification by stating the amount of tax to be paid based on provisional calculation of tax payable within 1 (one) Fiscal Year and the Tax Payment Slip as proof of settlement, as an attachment to the notification on extension of submission of the Annual Income Tax Return.

Paragraph (5a)

To the effect of fostering the Taxpayer who, until the prescribed time limit, has not submitted his/her Tax Return, a Warning Letter may be issued to the relevant Taxpayer.

Paragraph (6)

Considering the function of the Tax Return is a means form the Taxpayer, among other things, to report and account for the calculation of the amounts of tax and its payments, within the framework of uniformity and for ease in its filling out and administration, the form and contents of the Tax Return, information, documents that must be enclosed and the method to be used to submit the Tax Return shall be regulated by or based on a Regulation of the Finance Minister.

The Annual Income Tax Return shall at least contain total turnover, total income, total Taxable Income, total tax payable, total tax credit, total tax overpaid or underpaid, as well as assets and liabilities outside the business activity or independent job for individual Taxpayer.

Annual Income Tax Return of a Taxpayer who shall be obliged to maintain the bookkeeping must be accomplished with the financial statements in the form of balance sheets and income statement as well as other information required to calculate the amount of Taxable Income.

Periodic Tax Return of Value Added Tax shall at least contain the amount of Tax Imposition Base, total Output Tax, total Input Tax that can be credited, and total tax underpaid or overpaid.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (7)

The signed Tax Return and the attachments thereto are one unity which constitutes a validity element of the Tax Return. Therefore, a Tax Return from a Taxpayer that is submitted, but not furnished with the required attachments, is not considered as a Tax Return in the administration of the Directorate General of Taxes. In such a case, the relevant Tax Return shall be deemed as taxation data。

Likewise, if a Tax Return stating an overpayment is submitted exceeding 3 (three) years as of the Tax Period end, a fraction of Fiscal Year, or the Fiscal Year and the Taxpayer has been reprimanded in writing, or if the Tax Return is submitted after the Director General of Taxes has conducted the audit or has issued a tax assessment letter, such a Tax Return shall be deemed as taxation data。

Paragraph (7a)

Self-explanatory.

Paragraph (8)

In principle, every Income Tax Taxpayer shall be obliged to submit a Tax Return. On consideration of efficiency or other considerations, the Finance Minister may determine Income Tax Taxpayers who are exempted from the obligation to submit the Tax Return, for example, individual Taxpayers who receive or earn income below the Non-Taxable Income, but for certain interests, shall be obliged to have a Taxpayer Identification Number.

Article 4

(1) Taxpayers shall be obliged to fill out and submit the Tax Return correctly, completely, clearly, and to sign it. ***)

(2) The corporate Tax Return must be signed by the management board or the board of directors. ***)

(3) In the event the Taxpayer appoints a proxy with a special power of attorney to fill out and sign the Tax Return, such a special power of attorney must be attached to the Tax Return. ***)

(4) Annual Income Tax Return of a Taxpayer who shall be obliged to maintain the bookkeeping must be enclosed with financial statements in the form of balance sheets and income statement as well as other information required to calculate the amount of Taxable Income. ***)

(4a) The Financial Statements as referred to in paragraph (4) are the financial statements of each Taxpayer. ***)

(4b) In the event the financial statements as referred to in paragraph (4a) are

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

audited by a Public Accountant but are not attached to the Tax Return, the Tax Return shall be deemed incomplete and unclear, thus the Tax Return shall be deemed not submitted as referred to in Article 3 paragraph (7) letter b.***)

(5) The procedure for receipt and processing of Tax Return shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 4

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (4a)

Financial Statements of each Taxpayer means the financial statements on the results of business activity of each Taxpayer。

Example:

PT A holds shares in PT B and PT C. In this example, PT A has the obligation to attach the consolidated financial statements of PT A and its subsidiaries, as well as attach the financial statements of business of PT A (before consolidation), whereas PT B and PT C shall be obliged to attach their respective financial statements, rather than consolidated financial statements。

Paragraph (4b)

Self-explanatory.

Paragraph (5)

Procedures for receipt and processing of Tax Return contain the matters concerning, among other things, the checking of completeness, the giving of receipt, the grouping of Overpaid, Underpaid, and Nil Tax Returns, the recording procedures and follow-up of its management, which shall be regulated by or based on a Regulation of the Finance Minister.

Article 5

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

In order to submit the Tax Return, the Director General of Taxes in certain cases may determine a place other than the place as referred to in Article 3 paragraph (1).

Elucidation of Article 5

Self-explanatory.

Article 6

(1) Tax Return that is submitted in person by the Taxpayer to the office of the Directorate General of Taxes must be given with a receipt date by the appointed official and a proof of receipt is given to the Taxpayer. ***)

(2) Submission of Tax Return can be sent by post with a proof of mail delivery or by other manners as regulated by or based on the Regulation of the Finance Minister. ***)

(3) The proof of receipt and the sending date of letter for submission of the Tax Return as referred to in paragraph (2) are deemed as a receipt proof and date as long as such a Tax Return is complete. ***)

Elucidation of Article 6

Paragraph (1)

Self-explanatory.

Paragraph (2)

To the effect of improvement of services to the Taxpayers and in line with the development of information technology, other manners are needed for the Taxpayers to fulfill their obligation to submit the Tax Return, for example, submitted electronically.

Paragraph (3)

The proof of receipt and the sending date of letter for submission of the Tax Return by post or by other means constitutes a proof of receipt, if the relevant Tax Return is complete, namely meeting the requirements as referred to in Article 3 paragraph (1), paragraph (1a), and paragraph (6).

Article 7

(1) If the Tax Return is not submitted within the period as referred to in Article 3 paragraph (3) or the extended deadline of the Tax Return submission as referred to in Article 3 paragraph (4), an administrative sanction shall be imposed in the form of fines of Rp. 500.000,00 (five

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

hundred thousand rupiah) for Periodic Tax Return of Value Added Tax, Rp. 100.000,00 (one hundred thousand rupiah) for other Periodic Tax Returns, and Rp. 1.000.000,00 (one million rupiah) for Annual Income Tax Returns of corporate Taxpayer and Rp. 100.000,00 (one hundred thousand rupiah) for Annual Income Tax Returns of individual Taxpayer. ***)

(2) The imposition of administrative sanctions in the form of fines as referred to in paragraph (1) shall not be made against: ***)

a. Individual Taxpayers who have passed away;

b. Individual Taxpayers who are no longer carrying on business activity or independent job;

c. Individual Taxpayers with foreign citizen status who are no longer residing in Indonesia;

d. Permanent Establishments which are no longer carrying out activities in Indonesia;

e. Corporate Taxpayers who are no longer carrying on business activity but not yet dissolved in accordance with the prevailing provisions;

f. Treasurers who are not making payments anymore;

g. Taxpayers who are affected by disaster, the provisions of which shall regulated by the Regulation of the Finance Minister; or

h. Other Taxpayers who shall be regulated by or based on a Regulation of the Finance Minister.

Elucidation of Article 7

Paragraph (1)

The purpose of administrative sanction imposition in the form of fines as specified in this paragraph is for the purpose of tax administration compliance and to improve the Taxpayers' compliance in performing the obligation to submit Tax Return.

Paragraph (2)

Disaster is a national disaster or a disaster as the Finance Minister may determine.

Article 8

(1) Taxpayer may, at his/her own desire, correct the Tax Return which has been submitted by submitting a written statement, provided that the Director General of Taxes has not conducted an audit. ***)

(1a) In the event the Tax Return correction as referred to in paragraph (1)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

states a loss or overpayment, the Tax Return correction must be submitted not later than 2 (two) years prior to the stipulation expiry. ***)

(2) In the event the Taxpayer corrects his/her Annual Tax Return by him/herself which results in the tax payable becoming larger, he/she is subject to administrative sanction in the form of interest at a monthly interest rate as stipulated by the Finance Minister on the total underpaid tax, calculated as from the submission time.

The Tax Return expires until the payment date, and shall be imposed for maximum of 24 (twenty-four) months, and a fraction of month is calculated fully as 1 (one) month. *****)

(2a) In the event the Taxpayer corrects his/her Annual Tax Return by him/herself which results in the tax payable becoming larger, he/she is subject to administrative sanction in the form of interest at a monthly interest rate as stipulated by the Finance Minister on the total underpaid tax, calculated as from the due date of payment up to the payment date, and shall be imposed for maximum of 24 (twenty four) months, and a fraction of month is calculated fully as 1 (one) month. *****)

(2b) The monthly interest rate determined by the Finance Minister as referred to in paragraph (2) and paragraph (2a) is calculated based on the basic interest rate plus 5% (five percent) and divided by 12 (twelve) which applies on the sanction calculation commencement date. *****)

(3) Even though the preliminary evidence examination has been carried out, the Taxpayer may, at his/her own desire, disclose by a written statement, his/her misdemeanors, namely: *****)

a. failing to submit a Tax Return; or

b. submitting a Tax Return with incorrect or incomplete contents, or enclosing information with incorrect contents,

as referred to in Article 38 or Article 39 paragraph (1) letters c and d, as long as an investigation commencement has not been notified to the Public Prosecutor through the investigator official of the State Police of the Republic of Indonesia.

(3a) The disclosure of misdemeanors as referred to in paragraph (3) shall be furnished with the settlement of underpayment of the amount of tax that are actually payable along with the administrative sanction in the form of fine at 100% (one hundred percent) of the total underpaid tax. *****)

(4) Even though the Director General of Taxes has conducted an audit, provided that the Director General of Taxes has not submitted a notification of audit results, the Taxpayer may, with his/her own awareness, disclose in a separate report any incorrect filling out of Tax Return that has been submitted in accordance with the real situation, and the audit process shall still be continued. * *****)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(5) The underpaid tax that arises as a result of the disclosure of incorrect filling out of the Tax Return as referred to in paragraph (4) must be paid fully by the Taxpayer before a separate report is submitted along with the administrative sanction in the form of interest at a monthly interest rate determined by the Minister of Finance of the underpaid taxes, which is calculated as from:

a. the deadline for submission of Annual Tax Return expires up to the payment date, for disclosure of incorrect filling out of Annual Tax Return; or

b. the payment due expires up to the payment date, for disclosure of incorrect filling out of Periodic Tax Return,

and shall be imposed for maximum of 24 (twenty-four) months, and a fraction of month is calculated fully as 1 (one) month. *****)

(5a) The monthly interest rate determined by the Finance Minister as referred to in paragraph (5) is calculated based on the basic interest rate plus 10% (ten percent) and divided by 12 (twelve) which applies on the sanction calculation commencement date.**** *)

(6) Taxpayer may correct the Annual Tax Return which has been submitted, in the event the Taxpayer receives a tax assessment letter, Objection Decision Letter, Notice of Tax Correction, Appeal Verdict, or Judicial Review Award of the previous Fiscal Year or several previous Fiscal Years, which state a fiscal loss different from the fiscal loss that has been compensated in the Annual Tax Return to be corrected, within 3 (three) months as of its receipt of tax assessment letter, Objection Decision Letter, Notice of Tax Correction, Appeal Verdict, or Judicial Review Award, provided that the Director General of Taxes has not conducted an audit. ***)

Elucidation of Article 8

Paragraph (1)

As to the error in filling out the Tax Return made by the Taxpayer, the Taxpayer still has the right to make correction at his/her own desire, provided that the Director General of Taxes has not commenced to conduct an audit. "Commencing to conduct an audit" means when the Tax Audit Notification Letter is submitted to the Taxpayer, his/her representative, proxy, employee, or an adult family member of the Taxpayer.

Paragraph (1a)

Stipulation expiry means a period of 5 (five) years as of the time when a tax is due or the expiry of a Tax Period, a fraction of Fiscal Year, or a Fiscal Year, as referred to in Article 13 paragraph (1).

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (2)

Self-explanatory

Paragraph (2a)

Self-explanatory.

Paragraph (2b)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (3b)

Self-explanatory.

Paragraph (4)

Even though the Director General of Taxes has conducted an audit but has not issued a tax assessment letter, the Taxpayers who have or have not corrected the Tax Return are still given with the opportunity to disclose the incorrect filling out of the Tax Return that has been submitted, which can take the form of an Annual Tax Return or a Periodic Tax Return for the year or period audited. Such a disclosure of incorrect filling out of the Tax Return shall be made in a separate report and must reflect the actual situation so as to know the actual amount of the tax payable. However, to prove the truth of such a Taxpayer's report, an audit process will continue until finish.

Paragraph (5)

Self-explanatory.

Paragraph (5a)

Self-explanatory

Paragraph (6)

In relation to the issuance of a tax assessment letter, Objection Decision Letter, Notice of Tax Correction, Appeal Verdict, or Judicial Review Award for a Fiscal Year that results in a fiscal loss different from the fiscal loss that has been compensated in the Annual Tax Return of the next year or the next years, a Fiscal loss adjustment will be made in accordance with the tax assessment letter, Objection Decision Letter, Notice of Tax Correction, Appeal Verdict, or Judicial Review Award in calculating the Income Tax for the next years, such a limitation period of 3 (three) months is intended for administration orderliness without eliminating the Taxpayer's rights to the compensation for losses. In the event the Taxpayer corrects the Tax Return exceeding the period of 3 (three) months or the Taxpayer does not file a correction as a result of the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

presence of tax assessment letter, Objection Decision Letter, Notice of Tax Correction, Appeal Verdict, or Judicial Review Award of the previous Fiscal Year or several previous Fiscal Years, which state a fiscal loss different from the fiscal loss that has been compensated in the Annual Income Tax Return, the Director General of Taxes will take this into account in determining the tax obligations of the Taxpayer.

For clarity, the following example is given:

Example 1:

PT A submits an Annual Income Tax Return of 2008 which states:

Net Income	Rp 200.000.000,00
Compensation for losses based on the 2007 Annual Income Tax Return	Rp 150.000.000,00 (-)
Taxable Income	Rp 50.000.000,00

The 2007 Annual Income Tax Return was examined, and on 6 January 2010 a tax assessment letter was issued stating a fiscal loss of Rp 70.000.000,00.

Based on the tax assessment letter, the Director General of Taxes will change the calculation of the 2008 Taxable Income to become as follows:

Net Income	Rp. 200.000.000,00
Loss according to the 2007 tax assessment	Rp 70.000.000,00 (-)
Taxable income	Rp. 130.000.000,00

Thus, the taxable income from the Tax Return which was originally Rp. 50.000.000,00 (Rp. 200.000.000,00 - Rp. 150.000.000,00), after the correction became Rp. 130.000.000,00 (Rp. 200.000.000,00 - Rp. 70.000.000,00).

Example 2:

PT B submits the 2008 Annual Income Tax Return stating:

Net Income	Rp. 300.000.000,00
Compensation for losses based on the 2007 Annual Income Tax Return	Rp. 200.000.000,00 (-)
Taxable Income	Rp. 100.000.000,00

The 2007 Annual Income Tax Return was examined and on 6 January 2010 a tax assessment letter was issued stating a fiscal loss of Rp250.000.000,00.

Based on the tax assessment letter, the Director General of Taxes will change the calculation of the 2008 Taxable Income to become as follows:

Net Income	Rp. 300.000.000,00
Loss according to the 2007 tax assessment	Rp. 250.000.000,00 (-)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Taxable income Rp 50.000.000,00

Thus, the taxable income from the Tax Return which was originally Rp. 100.000.000,00 (Rp.300.000.000,00 - Rp.200.000.000,00), after correction became Rp.50.000.000,00 (Rp.300.000.000,00 - Rp.250.000.000,00)。

Article 9

(1) The Finance Minister determines the due date for payment and deposit of tax payable for a time or a Tax Period for each type of tax, not later than 15 (fifteen) days as of the time the tax becomes due or the Tax Period expiry. ***)

(2) Underpayment of tax that is payable based on the Annual Income Tax Return must be paid fully before the Income Tax Return is submitted. ***)

(2a) Payment or deposit of tax as referred to in paragraph (1), which is made after the due date for payment or deposit of tax, is subject to administrative sanction in the form of interest at a monthly interest rate determined by the Finance Minister calculated as from the payment due date up ,to the actual payment date, and shall be imposed for maximum of 24 (twenty four) months and a fraction of month is calculated fully as 1 (one) month. *****)

(2b) On the payment or deposit of tax as referred to in paragraph (2) which is made after the due date for submission of Annual Tax Return, an administrative sanction shall be imposed in the form of interest at a monthly interest rate determined by the Finance Minister that is calculated as from the end of deadline for submission of the Annual Tax Return up to the actual payment date, and shall be imposed for maximum of 24 (twenty four) months and a fraction of month is calculated fully as 1 (one) month. *****)

(2c) The monthly interest rate determined by the Finance Minister as referred to in paragraph (2a) and paragraph (2b) is calculated based on the basic interest rate plus 5% (five percent) and divided by 12 (twelve) which applies on the sanction calculation commencement date. *****)

(3) The Tax Collection Letter, Tax Underpayment Assessment Letter, as well as the Additional Tax Underpayment Assessment Letter, and the Objection Decision Letter, Notice of Tax Correction, Appeal Verdict, as well as the Judicial Review Award, which cause the amount of outstanding tax increases, must be paid fully within 1 (one) month as of the issuance date. ***)

(3a) For small enterprise Taxpayers and Taxpayers in certain regions, the settlement period as referred to in paragraph (3) can be extended up to

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

maximum of 2 (two) months, the provisions of which shall be regulated by or based on a Regulation of the Finance Minister. ***)

(4) The Director General of Taxes may, at the request of the Taxpayer, give approval to the payment in installments or postponement of payment of taxes including the underpayment as referred to in paragraph (2) the implementation of which shall be regulated by or based on a Regulation of the Finance Minister. *****)

Elucidation of Article 9

Paragraph (1)

The deadline for payment and deposit of tax payable for a time or a Tax Period shall be determined by the Finance Minister with the deadline not exceeding 15 (fifteen) days as of the time when the tax becomes due or the Tax Period expiry. Delay in such a payment and deposit results in imposition of administrative sanction in accordance with the provisions in the tax laws and regulations.

Paragraph (2)

Self-explanatory.

Paragraph (2a)

Self-explanatory.

Paragraph (2b)

Self-explanatory.

Paragraph (2c)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (3a)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Article 10

(1) Taxpayer is obligated to pay or deposit the tax payable by using a Tax Payment Slip to the state cash account through the payment place as specified by or based on a Regulation of the Finance Minister. ***)

(1a) The Tax Payment Slip as referred to in paragraph (1) serves as a proof of tax payment if has been legalized by the authorized official of the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

payment receiving office or if it has been validated, the provisions of which shall be regulated by or based on a Regulation of the Finance Minister. ***)

(2) The procedures for payment, deposit of taxes, and the reporting thereof and the procedures for installment and postponement of the tax payment shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 10

Paragraph (1)

Self-explanatory.

Paragraph (1a)

Self-explanatory.

Paragraph (2)

The existence of procedures for payment, deposit of taxes, and the reporting thereof and the procedures for installment and postponement of the tax payment that shall be regulated by or based on a Regulation of the Finance Minister, is expected to be able to facilitate the implementation of tax payments and its administration.

Article 11

(1) At the request of the Taxpayer, any tax overpayment as referred to in Article 17, Article 17B, Article 17C, or Article 17D shall be refunded, provided that if found that the Taxpayer has a tax indebtedness, it will be taken into account straight away to settle first such a tax indebtedness. ***)

(1a) Any tax overpayment as a result of any Objection Decision Letter, Notice of Tax Correction, Administrative Sanction Reduction Decision Letter, Administrative Sanction Elimination Decision Letter, Tax Assessment Reduction Decision Letter, Tax Assessment Cancellation Decision Letter, and Appeal Verdict or Judicial Review Award, as well as the Interest Repayment Decree shall be refunded to the Taxpayer provided that if found that the Taxpayer has a tax indebtedness, it will be taken into account straight away to settle first such a tax indebtedness. ***)

(2) The tax overpayment refund as referred to in paragraph (1) and paragraph (1a) shall be made not later than 1 (one) month as of the application for the tax overpayment refund is received in relation to issuance of the Tax Overpayment Assessment Letter as referred to in Article 17 paragraph (1), or as of the issuance of Tax Overpayment Assessment Letter as referred to in Article 17 paragraph (2) and Article

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

17B, or as of the issuance of Advance Tax Overpayment Refund Decree as referred to in Article 17C or Article 17D, or as of the issuance of Objection Decision Letter, Notice of Tax Correction, Administrative Sanction Reduction Decision Letter, Administrative Sanction Elimination Decision Letter, Tax Assessment Reduction Decision Letter, Tax Assessment Cancellation Decision Letter or Interest Repayment Decree, or as of the receipt of Appeal Verdict or Judicial Review Award, that results in such a tax overpayment. ***)

(3) If the tax overpayment refund is made after the period of 1 (one) month, the Government shall provide interest compensations at a monthly interest rate determined by the Finance Minister for the delay in tax overpayment refund, calculated as of the deadline for issuance of Tax Overpayment Refund Decree expiry up to the time of actual overpayment refund and shall be given for maximum of 24 (twenty four) months, and a fraction of month is calculated fully as 1 (one) month. *****)

(3a) The monthly interest rate determined by the Finance Minister as referred to in paragraph (3) is calculated based on the basic interest rate divided by 12 (twelve) that applies on the interest compensations calculation commencement date. *****)

(4) The procedures for calculation and refund of tax overpayment shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 11

Paragraph (1)

If, after calculating the actual amount of tax payable with the amount of tax credit, reveals a surplus (the amount of tax credit is greater than the amount of tax payable) or a tax payment which is otherwise not payable has been made, the Taxpayer has the right to ask for a tax overpayment refund, provided that the Taxpayer does not have any tax indebtedness。

In the event the Taxpayer still has any tax indebtedness including all types of taxes either at the center and at its branches, such an overpayment must be first calculated with the tax indebtedness and if there is still a surplus, it shall be refunded to the Taxpayer.

Paragraph (1a)

Self-explanatory.

Paragraph (2)

In order to guarantee legal certainty for Taxpayers and for administrative compliance, the deadline for tax overpayment refunding is stipulated not later than 1 (one) month:

a. for Tax Overpayment Assessment Letter as referred to in Article 17

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

paragraph (1), calculated as from the receipt date of written application for the tax overpayment refund;

b. for the Tax Overpayment Assessment Letter as referred to in Article 17 paragraph (2) and Article 17B, calculated as from the issuance date;

c. for Advance Tax Overpayment Refund Decree as referred to in Article 17C and Article 17D, calculated as from the issuance date;

d. for Objection Decision Letter, Notice of Tax Correction, Administrative Sanction Reduction Decision Letter, Administrative Sanction Elimination Decision Letter, Tax Assessment Reduction Decision Letter, Tax Assessment Cancellation Decision Letter, or Interest Repayment Decree, calculated as from the issuance date;

e. for the Appeal Verdict, calculated as from the receipt of the Appeal Verdict by the Office of the Directorate General of Taxes which is competent to execute the court judgment; or

f. for the Judicial Review Award, calculated as from the receipt of the Judicial Review Award by the Office of the Directorate General of Taxes which is competent to execute the court judgment.

up to the issuance of the Tax Overpayment Refund Decree。

Paragraph (3)

Self-explanatory.

Paragraph (3a)

Self-explanatory.

Paragraph (4)

Self-explanatory。

CHAPTER III
TAX STIPULATION AND ASSESSMENT

Article 12

(1) Every Taxpayer shall be obliged to pay the taxes payable in accordance with the provisions in the tax laws and regulations, without relying on the existence of tax assessment letter. ***)

(2) The amount of Tax payable according to the Tax Return submitted by the Taxpayer is the amount of tax payable in accordance with the provisions in the tax laws and regulations. ***)

(3) If the Director General of Taxes obtains any evidence that the amount of tax payable according to the Tax Return as referred to in paragraph (2) is

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

incorrect, the Director General of Taxes shall stipulate the amount of tax payable. ***)

Elucidation of Article 12

Paragraph (1)

A tax is principally payable at the time of incurrence the taxable tax object, however, for the purpose of tax administration, the time a tax becomes payable is:

a. at a time, for Income Tax withheld by a third party;

b. at the end of period, for Income Tax withheld by the employer, or collected by another party on a business activity, or by a Taxable Entrepreneur for collection of the Value Added Tax on Goods and Services and the Sales Tax on Luxury Goods; or

c. at the end of the Fiscal Year, for Income Tax.

The amount of tax payable that has been either withheld, collected, or which must be paid by the Taxpayer upon the coming of the payment time or period as referred to in Article 9 and Article 10 paragraph (2), must be deposited by the Taxpayer to the state cash account through a payment place that shall be regulated by or based on a Regulation of the Finance Minister as referred to in Article 10 paragraph (1).

Based on this Law, the Directorate General of Taxes is not obliged to issue the tax assessment letter on all of the Tax Returns submitted by the Taxpayers. Issuance of a tax assessment letter is only limited to certain Taxpayers that are resulted from incorrectness in filling out the Tax Return or due to the discovery of fiscal data not reported by the Taxpayer.

Paragraph (2)

This provision provides that a Taxpayer who has calculated and paid the amount of tax payable correctly in accordance with the provisions in the tax laws and regulations, and has reported it in the Tax Return, do not need to be given with either tax assessment letter or Tax Collection Letter.

Paragraph (3)

If, based on the audit result or other information, the tax calculated and reported in the relevant Tax Return is incorrect, for example, the cost charge exceeds the actual cost, the Director General of Taxes shall determine the amount of tax payable accordingly in accordance with the provisions in the tax laws and regulations.

Article 13

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(1) The Director General of Taxes may issue a Tax Underpayment Assessment Letter within 5 (five) years as of the time the tax become payable or the expiry of Tax Period, Portion of Fiscal Year, or Fiscal Year after the audit has been carried out in the following cases: ******)

a. there is any unpaid or underpaid tax;

b. A Tax Return is not submitted within the period as referred to in Article 3 paragraph (3) and, after being reprimanded in writing, it is not submitted on time as specified in the Warning Letter;

c. there is any Value Added Tax and Sales Tax on Luxury Goods that should not be compensated with the tax surplus or should not be subject to a 0% (zero percent) rate;

d. there is any obligation as referred to in Article 28 or Article 29 not performed so that the amount of tax payable cannot be known;

e. to the Taxpayer, a Taxpayer Identification Number is issued and/or he/she is confirmed to be a Taxable Entrepreneur on in officio basis as referred to in Article 2 paragraph (4a); or

f. The Taxable Entrepreneur fails to deliver the Taxable Goods and/or Taxable Services and/or exports the Taxable Goods and/or Taxable Services and has been given with an Input Tax refund or has credited the Input Tax as referred to in Article 9 paragraph (6e) of the Value Added Tax Law 1984 and the amendments thereto。

(2) The amount of tax underpayment payable in the Tax Underpayment Assessment Letter as referred to in paragraph (1) letter a and letter e shall be added with the administrative sanction in the form of interest at a monthly interest rate determined by the Finance Minister, is calculated as of the time when the tax becomes due or the expiry of Tax Period, portion of Fiscal Year, or Fiscal Year until the issuance of the Tax Underpayment Assessment Letter, and shall be imposed for maximum of 24 (twenty four) months and a fraction of month is calculated fully as 1 (one) month.*****)

(2a) The amount of tax underpayment in the Tax Underpayment Assessment Letter as referred to in paragraph (1) letter f plus administrative sanction in the form of interest at a monthly interest rate determined by the Finance Minister, is calculated as from the time of the repayment maturity expires until the issuance date of the Tax Underpayment Assessment Letter, and shall be imposed for maximum of 24 (twenty four) months and a fraction of month is calculated fully as 1 (one) month. *****)

(2b) The monthly interest rate determined by the Finance Minister as referred to in paragraph (2) and paragraph (2a) is calculated based on the basic interest rate plus 15% (fifteen percent) and divided by 12 (twelve) which applies on the sanction calculation commencement date.*****)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(3) The amount of tax in the Tax Underpayment Assessment Letter as referred to in paragraph (1) letter b, letter c, and letter d plus administrative sanction in the form of:

a. interest on the unpaid or underpaid Income Tax within 1 (one) Fiscal Year;

b. interest on the un-withheld or un-assessed or under-withheld or under-assessed;

c. an increment by 75% (seventy five percent) of the Value Added Tax on Goods and Services and the Sales Tax on Luxury Goods that is unpaid or underpaid; or

d. an increment by 75% (seventy five percent) of Income Tax withheld or collected but not deposited or under-deposited.

(3a) In the event of any imposition of administrative sanction in the form of interest and increment based on the examination result of the Value Added Tax and the Sales Tax on Luxury Goods as referred to in paragraph (1) letters a and c, only one type of administrative sanction shall be applied, namely one with the highest amount of sanction. *****)

(3b) The interest as referred to in paragraph (3) letters a and b at the monthly interest rate determined by the Finance Minister is calculated as of the time when the tax becomes due or the expiry of Tax Period, Portion of Fiscal Year, or Fiscal Year up to the issuance of Tax Underpayment Assessment Letter, and shall be imposed for maximum of 24 (twenty four) months and a fraction of month is calculated fully as 1 (one) month. ******)

(3c) The monthly interest rate determined by the Finance Minister as referred to in paragraph (3b) is calculated based on the basic interest rate plus 20% (twenty percent) and divided by 12 (twelve) which applies on the sanction calculation commencement date. ******)

(4) The amount of tax payable which is notified by the Taxpayer in the Tax Return shall become certain in accordance with the provisions of the tax legislation if within the 5 (five) years period as referred to in paragraph (1), as of the time the tax becomes payable or the expiry of the Tax Period, a fraction of Fiscal Year, or Fiscal Year, no tax assessment letter shall be issued, unless the Taxpayer commits in a criminal offence in taxation sector within the Tax Period, the portion of Fiscal Year, or the Fiscal Year in question. *****)

(5) Deleted. *****)

(6) The procedure for issuance of the Tax Underpayment Assessment Letter as referred to in paragraph (1) shall be regulated by or based on a Regulation of the Finance Minister. ***)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Elucidation of Article 13

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (2a)

Self-explanatory.

Paragraph (2b)

Self-explanatory.

Paragraph (3)

This paragraph provides for the administrative sanction of a tax assessment due to violating the tax obligations as referred to in paragraph (1) letter b, letter c, and letter d. Administrative sanction in the form of increment is a proportional amount that must be added to the underpaid tax principal.

The amount of administrative sanction in the form of increment varies by the type of tax, namely for the type of Income Tax to be paid by the Taxpayer, the administrative sanction is an increment of 50% (fifty percent), for the type of Income Tax withheld by another person or corporate, the administrative sanction is in the form of increment of 100% (one hundred percent), whereas for the type of Value Added Tax and Sales Tax on Luxury Goods, the administrative sanction is in the form of increment of 100% (one hundred percent).

Paragraph (3a)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory

Paragraph (6)

Self-explanatory.

Article 13A *****)

Deleted.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Elucidation of Article 13A

Deleted.

Article 14

(1). The Director General of Taxes may issue a Tax Collection Letter if: *****)

a. the Income Tax in the current year is unpaid or underpaid;

b. from the examination results, there is a tax underpayment as a result of typing error and/or miscalculation;

c. The Taxpayer is subject to administrative sanction in the form of fine and/or interest;

d. entrepreneur who has been confirmed to be Taxable Entrepreneur, but does not make a tax invoice or is delayed in making the tax invoice;

e. entrepreneur who has been confirmed to be Taxable Entrepreneur who fails to fill out the tax invoice completely as referred to in Article 13 paragraph (5) and paragraph (6) of the Value Added Tax Law of 1984 and the amendments thereto, in addition to the identity of the Taxable Goods buyer or the Taxable Service recipient as well as the name and signature as referred to in Article 13 paragraph (5) letter b and letter g of the Value Added Tax Law of 1984 and the amendments thereto in the event the delivery is made by the retail trader Taxable Entrepreneur;

f. deleted;

g. deleted;

h. there is an interest compensation that should not be given to the Taxpayer, in the event of: *****)

1. a decision is issued;

2. a decision is received; or

3. data or information is found,

that indicates the existence of interest compensations that otherwise should not be given to the Taxpayer; or

i. there is an amount of tax that is unpaid or underpaid within the period as agreed upon to pay in installments or to postpone the tax payment as referred to in Article 9 paragraph (4).

(2). The Tax Collection Letter as referred to in paragraph (1) has the same legal effect as the tax assessment letter. ***)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(3) The amount of tax underpayment in the Tax Collection Letter as referred to in paragraph (1) letters a and b plus administrative sanction in the form of interest at a monthly interest rate determined by the Finance Minister, is calculated as of the time when the tax becomes due or the Tax Period expiry, a fraction of Fiscal Year, or Fiscal Year up to the issuance of Tax Collection Letter, and shall be imposed for maximum of 24 (twenty four) months and a fraction of month is calculated fully as 1 (one) month. *****)

(4) As to the entrepreneur or the Taxable Entrepreneur as referred to in paragraph (1) letter d or letter e, respectively, in addition to being obliged to deposit the tax payable, shall be subject to an administrative sanction in the form of fine at 1% (one percent) of the Tax Imposition Base. *****)

(5) Deleted. *****)

(5a). The monthly interest rate determined by the Finance Minister as referred to in paragraph (3) is calculated based on the basic interest rate plus 5% (five percent) and divided by 12 (twelve) which applies on the sanction calculation commencement date. *****)

(5b). The Tax Collection Letter shall be issued not later than 5 (five) years as of the time the tax becomes payable or the expiry of the Tax Period, a fraction of Fiscal Year, or the Fiscal Year. *****)

(5c). Excluded from the provisions on the issuance period as referred to in paragraph (5b) are: *****)

a. The Tax Collection Letter for administrative sanction as referred to in Article 19 paragraph (1) shall be issued not later than the expiry date of collection of the Tax Underpayment Assessment Letter and the Additional Tax Underpayment Assessment Letter, and the Notice of Tax Correction, the Objection Decision Letter, the Appeal Verdict, and the Judicial Review Award, which causes the amount of the outstanding tax increases;

b. The Tax Collection Letter for administrative sanction as referred to in Article 25 paragraph (9) can be issued not later than 5 (five) years as of the issuance date of the Objection Decision Letter, if the Taxpayer does not file an appeal; and

c. The Tax Collection Letter for administrative sanction as referred to in Article 27 paragraph (5d) can be issued not later than 5 (five) years as of the date on which the Appeal Verdict is uttered by the Tax Court judge in a court session opened for public.

(6) The procedure for issuance of a Tax Collection Letter shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 14

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (1)

Self-explanatory。

Paragraph (2)

The Tax Collection Letter according to this paragraph has the same legal effect as a tax assessment letter so that in terms of its collection can also be carried out with a Distress Warrant.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory.

Paragraph (5a)

Self-explanatory.

Paragraph (5b)

Self-explanatory.

Paragraph (5c)

Self-explanatory.

Paragraph (6)

Self-explanatory

Article 15

(1). The Director General of Taxes may issue an Additional Tax Underpayment Assessment Letter within 5 (five) years as of the time the tax becomes payable or the expiry of the Tax Period, a fraction of Fiscal Year, or the Fiscal Year if new data is found which results in an increase of the amount of tax payable after an audit has been conducted to the effect of issuance of an Additional Tax Underpayment Assessment Letter. ***)

(2). The amount of tax underpayment payable in the Additional Tax Underpayment Assessment Letter plus administrative sanction shall be in the form of increment of 100% (one hundred percent) of the total tax underpayment. ***)

(3). The increment as referred to in paragraph (2) shall not be imposed if the Additional Tax Underpayment Assessment Letter is issued based on a written statement from the Taxpayer at his/her own desire, provided that the Director General of Taxes has not started to conduct audit to the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

effect of issuance of the Additional Tax Underpayment Assessment Letter. ***)

(4). Deleted. *****)

(5). The procedure for issuance of the Additional Tax Underpayment Assessment Letter as referred to in paragraph (1) shall be regulated by or based on a Regulation of the Finance Minister.*****)

Elucidation of Article 15

Paragraph (1)

In order to accommodate the possibility of a Tax Underpayment Assessment Letter which apparently has been determined lower or the tax payable in a Nil Tax Assessment Letter is determined lower or an tax refund has been made improperly as stipulated in the Tax Overpayment Assessment Letter, the Director General of Taxes is authorized to issue an Additional Tax Underpayment Assessment Letter within 5 (five) years as of the time the tax becomes payable or the expiry of the Tax Period, the Portion of Fiscal Year or the Fiscal Year。

The Additional Tax Underpayment Assessment Letter is a correction to the previous tax assessment letter. The Additional Tax Underpayment Assessment Letter will only be issued if a tax assessment letter has ever been issued. In principle, to issue an Additional Tax Underpayment Assessment Letter, an audit is necessary. If the previous tax assessment letter was issued based on an audit, it is necessary to conduct re-audit before issuing the Additional Tax Underpayment Assessment Letter. In case the previous tax assessment letter was issued based on other information as referred to in Article 13 paragraph (1) letter a, the Additional Tax Underpayment Assessment Letter must also be issued based on an audit, but not a re-audit.

Thus, it will be impossible to issue an Additional Tax Underpayment Assessment Letter before preceded by issuance of a tax assessment letter. An issuance of Additional Tax Underpayment Assessment Letter shall be carried out subject to the existence of new data, including data that have not been previously disclosed, which result in an increase of the tax payable in the previous tax assessment letter. Accordingly, after the Tax Overpayment Assessment Letter is issued as a result of the lapse of the 12 (twelve) months period as referred to in Article 17B, an Additional Tax Underpayment Assessment Letter shall be issued only in the event the new data are found, including data that have not been previously disclosed. In the event there are still more new data are found, including data that have not been previously disclosed at the time of issuance of the Additional Tax Underpayment Assessment Letter, and/or new data,

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

including data that have not been previously disclosed, which are discovered later by the Director General of Taxes, the Additional Tax Underpayment Assessment Letter can still be issued again.

"New data" means data or information on everything needed to calculate the amount of tax payable which the Taxpayer has not disclosed at the time of original determination, both in the Tax Return and attachments thereto and in the company's books which were submitted at the time of audit.

In addition, new data include data that were not previously disclosed, namely data which:

a. are not disclosed by the Taxpayer in the Tax Return and the attachments thereto (including the financial statements); and/or

b. at the time of audit for the initial determination, the Taxpayer did neither disclose the data nor provide other information correctly, completely, and in detail so that impossible for the tax authority to properly apply the provisions of the tax laws and regulations in calculating the amount of tax payable.

Even though the Taxpayer has notified the data in the Tax Return or disclosed them at the time of audit, but if he/she notified or disclosed them in such a way so that makes it impossible for the tax authority to calculate the amount of tax payable correctly so that the amount of tax payable is determined less than it should be, it shall be treated as data that have not previously disclosed.

Example:

1. In the Tax Return and/or the financial statements, it is written an advertising cost of Rp. 10.000.000,00, whereas in fact such a cost consists of Rp. 5.000.000,00 of advertising cost in the mass media and the rest Rp. 5.000.000,00 is a donation or gift that must not be charged as cost.

   If at the time of original determination the Taxpayer did not disclose such a detail so that the tax authority did not make correction to the expenditure in the form of donation or gift so that the tax payable cannot be calculated correctly, such a data of expenditure in the form of donation or gift is classified as data that have not been previously disclosed.

2. In the Tax Return and/or the financial statements, it is stated the grouping of fixed assets which are depreciated without being furnished with break-down of assets in each relevant group, likewise at the time of examination for the initial determination the Taxpayer did not disclose these details so that the tax authority was unable to examine the correctness of such a grouping, for example assets which should be classified into the non-building tangible assets group 3, but classified into

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

group 2. As a result, no correction was made to such an error in the assets classification, so that the tax payable cannot be calculated correctly. If, later, known any data stating that the such a grouping of assets is incorrect, then the data are classified as data that have not been previously disclosed.

3. A Taxable Entrepreneur purchased a number of goods from another Taxable Entrepreneur and for such a purchase, by the seller Taxable Entrepreneur, a tax invoice was issued. Some of these goods were used for activities that have a direct relationship with their business activities, such as expenditures for production, distribution, marketing, and management activities, and some others do not have a direct relationship. The entire tax invoice was credited as the Input Tax by the buyer Taxable Entrepreneur.

   If at the time of original determination the Taxable Entrepreneur did not disclose the details of use of the goods correctly so that no correction was made to the crediting of the Input Tax by the tax authority, as a result the Value Added Tax payable cannot be calculated correctly. If, later, known there is data or information on the error in crediting the Input Tax which does not have a direct relationship with the business activity in question, such a data or information is data that have not been previously disclosed.

Paragraph (2)

In the event after the issuance of tax assessment letter, proven there are still new data found, data not yet previously disclosed, that have not been taken into account as the basis for the determination, the underpaid tax shall be billed with an Additional Tax Underpayment Assessment Letter plus administrative sanction in the form of increment of 100% (one hundred percent) of the underpaid tax.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Deleted.

Paragraph (5)

Self-explanatory.

Article 16

(1) At the request of the Taxpayer or due to his/her position, the Director General of Taxes may correct the tax assessment letter, Tax Collection Letter, Notice of Tax Correction, Objection Decision Letter, Administrative Sanction Reduction Decision Letter, Administrative Sanction Elimination Decision Letter, Tax Assessment Reduction Decision Letter, Tax

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Assessment Cancellation Decision Letter, Advance Tax Overpayment Refund Decree, or Interest Repayment Decree, which in its issuance there is any typing error, calculation error, and/or error in application of certain provisions in the tax laws and regulations. ***)

(2) The Director General of Taxes must, within not later than 6 (six) months as of the date of receipt of the application letter for correction, give a decision on the application for correction submitted by the Taxpayer as referred to in paragraph (1). ***)

(3) If the period as referred to in paragraph (2) lapses, but the Director General of Taxes does not give a decision, such an application for correction shall be deemed granted. ***)

(4) If requested by the Taxpayer, the Director General of Taxes shall be obliged to provide written information on the matters that form the basis for refusing or partially granting the Taxpayer's request as referred to in paragraph (1). ***)

Elucidation of Article 16

Paragraph (1)

Any Correction under this paragraph is carried out to the effect of carrying out the good governance tasks, thus, if there is any error or mistake which is human in nature, it needs to be corrected accordingly. Such a nature of error or mistake shall not contain a dispute between the tax authority and the Taxpayer.

If any error or mistake is found either by the tax authority or based on request of the Taxpayer, such an error or mistake must be corrected. The following can be corrected due to errors or mistakes:

a. tax assessment letters, including Tax Underpayment Assessment Letter, Additional Tax Underpayment Assessment Letters, Nil Tax Assessment Letter, and Tax Overpayment Assessment Letter;

b. Tax Collection Letter;

c. Advance Tax Overpayment Refund Decree;

d. Interest Repayment Decree;

e. Notice of Tax Correction;

f. Objection Decision Letter;

g. Administrative Sanction Reduction Decision Letter;

h. Administrative Sanction Elimination Decision Letter;

i. Tax Assessment Reduction Decision Letter; or

j. Tax Assessment Cancellation Decision Letter.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

The Scope of correction as specified in this paragraph is limited to errors or mistakes as a result of:

a. typing errors, including errors which can be the name, address, Taxpayer Identification Number, tax assessment letter number, tax type, Tax Period or Fiscal Year, and due date;

b. calculation errors, including errors originating from summations and/or subtractions and/or multiplications and/or divisions of a number; or

c. mistakes in application of certain provisions in the tax laws and regulations, namely mistakes in application of tariffs, mistakes in application of percentages of the Net Income Calculation Norms, mistakes in application of administrative sanctions, mistakes in Non-Taxable Income, mistakes in calculation of Income Tax in the current year, and mistakes in tax crediting.

The meaning of "correcting" in this paragraph is, among other things, adding, subtracting, or deleting, depending on the characteristic of the error and mistake.

If there are still any typing error, calculation error, and/or error in application of certain provisions in the tax laws and regulations, the Taxpayer may resubmit an application for correction to the Director General of Taxes, or the Director General of Taxes may make a re-correction due to its position.

Paragraph (2)

In order to provide legal certainty, the application for correction submitted by the Taxpayer must be decided within not later than 6 (six) months as of the application is received.

Paragraph (3)

In the event the 6 (six) months time limit is exceeded, but the Director General of Taxes has not given a decision, the Taxpayer's application shall be deemed granted.

Upon the Taxpayer's application deemed granted, the Director General of Taxes shall issue a Notice of Tax Correction in accordance with the Taxpayer's application.

Paragraph (4)

Self-explanatory.

Article 17

(1) The Director General of Taxes, after conducting the audit, shall issue a

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Tax Overpayment Assessment Letter if the amount of tax credit or the amount of tax paid is greater than the amount of tax payable. ***)

(2) Based on the request of the Taxpayer, the Director General of Taxes, after examining the correctness of the tax payment, shall issue a Tax Overpayment Assessment Letter if there is any tax payment which should not be payable, the provisions of which shall be regulated by or based on a Regulation of the Finance Minister. ***)

(3) A Tax Overpayment Assessment Letter can still be issued again if, based on the audit results and/or new data, found the amount of the overpaid tax is larger than the determined tax overpayment. ***)

Elucidation of Article 17

Paragraph (1)

According to the provisions in this paragraph, a Tax Overpayment Assessment Letter shall be issued for:

a. Income Tax, if the amount of tax credit is greater than the amount of tax payable;

b. Value Added Tax, if the amount of tax credit is greater than the amount of tax payable. If there is any tax collected by a Value Added Tax Collector, the amount of tax payable shall be calculated by means of the Output Tax amount minus the tax collected by the Value Added Tax Collector; or

c. Sales Tax on Luxury Goods, if the amount of tax paid is greater than the amount of tax payable.

The Tax Overpayment Assessment Letter is issued after examination of the Tax Return submitted by the Taxpayer that declares underpayment, nil, or overpayment, which is not accompanied with a request for tax overpayment refund.

If the Taxpayer, after receiving the Tax Overpayment Assessment Letter, desires a tax overpayment refund, he/she shall be obliged to submit a written application as referred to in Article 11 paragraph (2).

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Article 17A

(1) The Director General of Taxes, after conducting the audit, shall issue a Nil Tax Assessment Letter if the amount of tax credit or the amount of tax paid is equal to the amount of tax payable, or the tax is not payable and

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

there is no tax credit or there is no tax payment. ***)

(2) The procedure for issuance of Nil Tax Assessment Letter shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 17A

Paragraph (1)

According to the provisions in this paragraph, a Nil Tax Assessment Letter shall be issued for:

a. Income Tax, if the amount of the tax credit is equal to the tax payable or the tax is not payable and there is no tax credit;

b. Value Added Tax, if the amount of tax credit is equal to the amount of tax payable, or the tax is not payable and there is no tax credit. If there is any tax collected by a Value Added Tax Collector, the amount of tax payable shall be calculated by means of the Output Tax minus the tax collected by the Value Added Tax Collector; or

c. Sales Tax on Luxury Goods, if the amount of tax paid is equal to the amount of tax payable or the tax is not payable and there is no tax payment。

Paragraph (2)

Self-explanatory。

Article 17B

(1) The Director General of Taxes must, after examining the application for tax overpayment refund, in addition to the application for tax overpayment refund from the Taxpayer as referred to in Article 17C and from the Taxpayer as referred to in Article 17D, issue a tax assessment letter not later than 12 (twelve) months as of application letter is received completely. ***)

(1a) The provision as referred to in paragraph (1) does not apply to Taxpayers who are being examined for preliminary evidence of criminal offence in taxation sector, the provisions of which shall be regulated by or based on a Regulation of the Finance Minister. ***)

(2) If after the lapse of the period as referred to in paragraph (1) the Director General of Taxes does not give a decision, the application for tax overpayment refund shall be deemed granted and a Tax Overpayment Assessment Letter must be issued not later than 1 (one) month as of the period expires. ***)

(3) If the Tax Overpayment Assessment Letter is issued late as referred to in paragraph (2), the Taxpayer shall be given with an interest

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

compensations at a monthly interest rate determined by the Finance Minister calculated as of the expiry of the period as referred to in paragraph (2) up to the time when the Tax Overpayment Assessment Letter is issued. *****)

(4) If the examination of preliminary evidence of criminal offence in taxation sector as referred to in paragraph (1a): *****)

a. is not proceeded with an investigation;

b. is proceeded with investigation, but not proceeded with prosecution of criminal offence in taxation sector; or

c. is proceeded with investigation and prosecution of criminal offence in taxation sector, but is decided as freed or released from any and all legal claims based on a court judgment which is final and has permanent legal force,

and in the event a Tax Overpayment Assessment Letter is issued to the Taxpayer, the Taxpayer shall be given with an interest compensations at monthly interest rate determined by the Finance Minister calculated as of the expiry of the 12 (twelve) months period as referred to in paragraph (1) up to the time when the Tax Overpayment Assessment Letter is issued.

(5) The interest compensations as referred to in paragraph (4) shall not be given in the event the examination of preliminary evidence of criminal offense in taxation sector: *****)

a. is not proceeded with investigation because the Taxpayer voluntarily discloses his/her misdemeanors as referred to in Article 8 paragraph (3); or

b. is not proceeded with investigation, but not proceeded with prosecution of criminal offence in taxation sector because the investigation on criminal offence in taxation sector is terminated as referred to in Article 44B.

(6) The interest compensations as referred to in paragraphs (3) and (4) shall be given not later than 24 (twenty-four) months, and a fraction of month is calculated fully as 1 (one) month. *****)

(7) The monthly interest rate determined by the Finance Minister as referred to in paragraphs (3) and (4) is calculated based on the basic interest rate divided by 12 (twelve) that applies on the interest compensations calculation commencement date. *****)

Elucidation of Article 17B

Paragraph (1)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

"Application letter is received completely" means the Tax Return has been filled out completely as referred to in Article 3.

The tax assessment letter issued based on the audit result on the request for tax overpayment refund can take the form of Tax Underpayment Assessment Letter or Nil Tax Assessment Letter or Tax Overpayment Assessment Letter.

Paragraph (1a)

"Being examined for preliminary evidence" means commencing as of the notification letter of preliminary evidence examination is submitted to the Taxpayer, a representative, proxy, employee, or adult family member of the Taxpayer.

Paragraph (2)

The time limit as referred to in paragraph (1) is intended to provide legal certainty to the request of the Taxpayer or the Taxable Entrepreneur, thus, if such a time limit is exceeded and the Director General of Taxes does not give a decision, the request is deemed granted. In addition, the time limit is also intended for the purpose of tax administration compliance.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory.

Paragraph (6)

Self-explanatory.

Paragraph (7)

Self-explanatory.

Article 17C

(1) The Director General of Taxes after studying the application for tax overpayment refund from the Taxpayer with certain criteria, shall issue an Advance Tax Overpayment Refund Decree not later than 3 (three) months as of the application is received completely for Income Tax, and not later than 1 (one) month as of the application is received completely for Value Added Tax. ***)

(2) Certain criteria as referred to in paragraph (1) include:***)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

a. on time in submitting the Notification Letter;

b. having no tax arrears for all types of tax, except for tax arrears that have obtained permit to make installments for or to postpone the tax payment;

c. Financial Statements audited by a Public Accountant or a government financial supervisory agency with an Unqualified Opinion for 3 (three) consecutive years; and

d. never been convicted for committing in a criminal offence in taxation sector based on a court judgment that is final and has permanent legal force within the recent 5 (five) years.

(3) Taxpayers with certain criteria as referred to in paragraph (2) are stipulated by a Decree of the Director General of Taxes. ***)

(4) The Director General of Taxes may conduct examination on the Taxpayer as referred to in paragraph (1), and issue a tax assessment letter, after making an advance tax overpayment refund. ***)

(5) If based on the examination results as referred to in paragraph (4), the Director General of Taxes issues a Tax Underpayment Assessment Letter, the amount of tax underpaid plus the administrative sanction in the form of increment of 100% (one hundred percent) of the total tax underpayment.***)

(6) The Taxpayer as referred to in paragraph (1) cannot be given with a pre-refund of the tax overpayment surplus if: ***)

a. an investigation on criminal offence in taxation sector is carried out against the Taxpayer;

b. late in submitting the Periodic Tax Return for a certain type of tax for 2 (two) consecutive Tax Periods;

c. late in submitting the Periodic Tax Return for a certain type of tax for 3 (three) Tax Periods in 1 (one) calendar year; or

d. late in submitting the Annual Tax Return.

(7) The procedure for determination of Taxpayers with certain criteria shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 17C

Paragraph (1)

As to the application for tax overpayment refund for Taxpayers with certain criteria, after a scrutiny has been carried out, an Advance Tax Overpayment Refund Decree must be issued not later than:

a. 3 (three) months for Income Tax;

b. 1 (one) month for Value Added Tax

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

as of the application is received completely, in the meaning that the Tax Return has been filled out completely as referred to in Article 3 paragraph (1), paragraph (1a), and paragraph (6). The application can be submitted by means of filling in the columns in the Tax Return or by a separate letter. The Pre-refund of the tax overpayment surplus can be given after the Director General of Taxes confirms the correctness of the tax credit.

Paragraph (2)

Included in the meaning of compliance with submission of Tax Return are:

a. on time in submitting the Annual Tax Return in the recent 3 (three) years;

b. in the last Fiscal Year, the delay in submission of Periodic Tax Return for the Tax Period of January up to November, is not more than 3 (three) Tax Periods for each type of tax and not consecutively; and

c. The delayed Periodic Tax Return as referred to in letter b has been submitted not exceeding the deadline for submission of the next Tax Period Tax Return.

That the Taxpayer has no tax arrears is the situation as at 31 December. Any tax indebtedness that has not exceeded the deadline for settlement is not included in the meaning of tax arrears.

Paragraph (3)

Self-explanatory.

Paragraph (4)

The Director General of Taxes may issue a tax assessment letter within 5 (five) years after conducting examination on the Taxpayer who has obtained a preliminary refund as referred to in paragraph (1). The tax assessment letter can take the form of Tax Underpayment Assessment Letter, or Nil Tax Assessment Letter, or Tax Overpayment Assessment Letter.

Paragraph (5)

In order to encourage the Taxpayers in reporting the amount of tax payable in accordance with the provisions in the prevailing tax laws and regulations, if, from the audit results as referred to in paragraph (4), a Tax Underpayment Assessment Letter is issued plus administrative sanction in the form of increment of 100% (one hundred percent) of the amount of tax underpayment.

For clarity, the method the Tax Underpayment Assessment Letter calculation and the imposition of administrative sanction in the form of increment, the following example is given:

1) Income Tax

– Taxpayer has obtained an advance tax overpayment refund of

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Rp80.000.000,00。

– From the audit, the following results are obtained:

a. Income tax payable Rp100.000.000,00

b. Tax credit, namely:

– Income Tax Article 22 Rp 20.000.000,00

– Income Tax Article 23 Rp 40.000.000,00

– Income Tax Article 25 Rp 90.000.000,00

Based on the aforesaid audit results, a Tax Underpayment Assessment Letter is issued with the following calculation:

– Income tax payable Rp. 100.000.000,00

– Tax Credit:

– Income Tax Article 22 Rp20.000.000,00

– Income Tax Article 23 Rp40.000.000,00

– Income Tax Article 25 Rp90.000.000,00 (+)

Rp.150.000.000,00

– Total Pre-Refund of Tax Overpayment Rp80.000.000,00 (-)

– Total Creditable tax Rp 70.000.000,00 (-)

– Taxes unpaid/underpaid Rp30.000.000,00

– Administrative sanction in the form of increase of 100% Rp30.000.000,00 (+)

– Total outstanding Rp60.000.000,00

2) value-added tax

– Taxable Entrepreneur has obtained an advance tax overpayment refund of Rp.60.000.000,00

– From the audit, the following results are obtained:

– Output Tax Rp. 100.000.000,00

– Tax credit, namely Input Tax Rp. 150.000.000,00

Based on the aforesaid audit results, a Tax Underpayment Assessment Letter is issued with the following calculation:

– Output Tax Rp. 100.000.000,00

– Tax Credit:

- Input Tax Rp. 150.000.000,00

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

-	Total Pre-Refund of Tax Overpayment	Rp60.000.000,00 (-)
–	Total Creditable tax	Rp90.000.000,00 (-)
Underpaid tax		Rp10.000.000,00
Administrative sanction of 100% increase		Rp10.000.000,00 (+)
Total outstanding		Rp20.000.000,00

Paragraph (6)

Self-explanatory.

Paragraph (7)

Self-explanatory。

Article 17D

(1) The Director General of Taxes shall, after conducting scrutiny on the application for tax overpayment refund from the Taxpayer who meets certain requirements, issue an Advance Tax Overpayment Refund Decree not later than 3 (three) months as of the application is received completely for Income Tax, and not later than 1 (one) month as of the application is received completely for Value Added Tax. ***)

(2) Taxpayers as referred to in paragraph (1) to whom a pre-refund of the tax overpayment surplus can be given include: ***)

a. Individual Taxpayers who do not carry on business or independent job;

b. Individual Taxpayers who carry on business or independent work with total turnover and total overpayment up to a certain amount;

c. Corporate Taxpayers with total turnover and total overpayment up to a certain amount; or

d. Taxable Entrepreneurs who submit a Periodic Tax Return of Value Added Tax with total deliverables and total overpayment up to a certain amount。

(3) The limits of total turnover, total deliverables, and total overpayment as referred to in paragraph (2) shall be regulated by or based on a Regulation of the Finance Minister. ***)

(4) The Director General of Taxes may conduct examination on the Taxpayer as referred to in paragraph (1) and issue a tax assessment letter after making an advance tax overpayment refund. ***)

(5) If, based on the audit results as referred to in paragraph (4), the Director General of Taxes issues a Tax Underpayment Assessment Letter, the total underpaid tax shall be added with the administrative sanction in the form

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

of increment of 100% (one hundred percent). ***)

Elucidation of Article 17D

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

In order to reduce the misuse of the provision of accelerated tax overpayment, the Director General of Taxes may conduct an audit after providing a pre-refund of the tax overpayment surplus as referred to in paragraph (1).

Paragraph (5)

In order to motivate the Taxpayers to report the amount of tax payable in accordance with the provisions in the tax laws and regulations, if from the audit results as referred to in paragraph (4), a Tax Underpayment Assessment Letter is issued, the total underpaid tax shall be added with administrative sanction in the form of increment of 100 % (one hundred percent) of the total tax underpayment.

Article 17E ***)

Any individual who is not a resident tax subject who purchases Taxable Goods in the customs area which is not consumed in the customs area can be given with a refund of the Value Added Tax that has been paid, the provisions of which shall be regulated by or based on a Regulation of the Finance Minister.

Elucidation of Article 17E

Self-explanatory.

CHAPTER IV
TAX BILLING

Article 18

(1) The Tax Collection Letter, the Tax Underpayment Assessment Letter, as well as the Additional Tax Underpayment Assessment Letter, and the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Notice of Tax Correction, the Objection Decision Letter, the Appeal Verdicts, and the Judicial Review Awards, which causes the amount of outstanding tax increases, are the basis for tax collection. ***)

(2) Deleted. ***)

Elucidation of Article 18

Paragraph (1)

Self-explanatory.

Paragraph (2)

Deleted.

Article 19

(1) If the Tax Underpayment Assessment Letter or the Additional Tax Underpayment Assessment Letter, as well as a the Notice of Tax Correction, the Objection Decision Letter, the Appeal Verdict or Judicial Review Award or the Judicial Review Award, which causes the amount of outstanding tax increases, at the payment maturity, is unpaid or underpaid, on such an unpaid or underpaid amount shall be subject to administrative sanction in the form of interest at a monthly interest rate determined by the Finance Minister for the entire period, calculated as from the due date up to the actual payment date or the issuance date of the Tax Collection Letter, and shall be imposed for maximum of 24 (twenty four) months and a fraction of month is calculated fully as 1 (one) month. *****)

(2) In the event that the Taxpayer is allowed to make installments for or to postpone the tax payments, he/she shall also be subject to administrative sanction in the form of interest at a monthly interest rate determined by the Finance Minister from the amount of outstanding tax and shall be imposed for maximum of 24 (twenty four) months and a fraction of month is calculated fully as 1 (one) month. *****)

(3) In the event the Taxpayer is allowed to postpone the submission of the Annual Tax Return and it turns out that the temporary calculation of the tax payable as referred to in Article 3 paragraph (5) is less than the actual amount of tax payable, on such an tax underpayment, an interest shall be imposed at monthly interest rate determined by the Finance Minister, calculated as of the expiry of the deadline for submission of Annual Tax Return as referred to in Article 3 paragraph (3) letter b and letter c up to the date when such an underpayment is actually paid and shall be imposed for maximum of 24 (twenty four) months and a fraction of month is calculated fully as 1 (one) month. *****)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(4) The monthly interest rate determined by the Finance Minister as referred to in paragraph (1), paragraph (2), and paragraph (3) is calculated based on the basic interest rate divided by 12 (twelve) which applies on the sanction calculation commencement date. *****)

Elucidation of Article 19

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory。

Article 20

(1) On the amount of outstanding tax, which based on the Tax Collection Letter, the Tax Underpayment Assessment Letter, as well as the Additional Tax Underpayment Assessment Letter, and the Notice of Tax Correction, the Objection Decision Letter, the Appeal Verdict, and the Judicial Review Award which causes the amount of outstanding tax increases, which is not paid by the Tax Bearer in accordance with the period as referred to in Article 9 paragraph (3) or paragraph (3a), a tax collection shall be carried out by using a Distress Warrant in accordance with the provisions in the tax laws and regulations. ***)

(2) Excluded from the provisions as referred to in paragraph (1), an immediate lump-sum billing shall be carried out if: ***)

a. The Tax Bearer will leave Indonesia forever or intends to do so;

b. The Tax Bearer transfers the goods in his/her possession or under his/her control to the effect of winding up or shrinking his/her company activity or his/her work in Indonesia;

c. there are indications that the Tax Bearer will dissolve the business entity or merge or expand the business, or transfer the company in his/her possession or under his/her control, or make changes in any other forms;

d. the business entity will be dissolved by the state; or

e. the Tax Bearer's assets is confiscated by a third party or there are indications of insolvency。

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(3) Collection of taxes by means of Distress Warrant shall be carried out in accordance with the provisions in the tax laws and regulations. ***)

Elucidation of Article 20

Paragraph (1)

If the amount of tax indebtedness is unpaid or underpaid until the due date of payment or until the due date of the payment deferment, or the Taxpayer fails to fulfill the tax payment installments, its collection shall be carried out using a Distress Warrant in accordance with the provisions in the tax laws and regulations. The tax collection by using Distress Warrant shall be carried out against the Tax Bearer.

Paragraph (2)

"Immediate and lump sum collection" means an action of collecting tax that is carried out by the Tax Bailiff on the Tax Bearer without waiting for the payment due date which covers the whole tax payables from all types of taxes, Tax Periods and Fiscal Years.

Paragraph (3)

Self-explanatory.

Article 20A ******)

(1) The Finance Minister is authorized to establish cooperation for implementation of tax collection assistance with partner countries or partner jurisdictions.

(2) The implementation of tax collection assistance as referred to in paragraph (1) shall be carried out by the Director General of Taxes, which includes the giving of tax collection assistance and the asking for tax collection assistance to the partner countries or the partner jurisdictions.

(3) The giving of tax collection assistance and the asking for tax collection assistance as referred to in paragraph (2) shall be carried out based on a reciprocal international agreement.

(4) The partner country or partner jurisdiction as referred to in paragraph (1) is a country or jurisdiction that is bound with the Government of Indonesia in an international agreement.

(5) The international agreement as referred to in paragraph (3) shall be a bilateral or multilateral agreement that regulates the cooperation on matters relating to tax collection assistance, including:

a. double taxation avoidance treaty;

b. convention on joint administrative assistance in taxation sector; or

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

c. other bilateral or multilateral agreements.

(6) The tax collection assistance as referred to in paragraph (2) can be made after receiving a tax claim from the partner country or partner jurisdiction.

(7) The tax claim as referred to in paragraph (6) is a legal instrument from the partner country or partner jurisdiction which shall at least contain:

a. the tax claim value for which the collection assistance is requested; and

b. identity of the tax bearer of the tax claim.

(8) The tax claim as referred to in paragraph (7) is the basis for tax collection on which the tax collection shall be carried out by using a Distress Warrant in accordance with the provisions in the tax laws and regulations that are applicable mutatis mutandis with the tax collection provisions applicable in the partner countries or the partner jurisdictions.

(9) Proceeds of the tax collection on the tax claims from the partner countries or the partner jurisdictions are stored in another government account before delivered to the partner countries or the partner jurisdictions.

Elucidation of Article 20A

Paragraph (1)

This law authorizes the Finance Minister to make cooperate for implementation of tax collection assistance to the governments of partner countries or partner jurisdictions.

"Tax collection assistance" means a tax collection assistance facility as contained in an international agreement which can be utilized by the Government of Indonesia and the governments of partner countries or partner jurisdictions to collect the tax indebtedness which are administered by the Director General of Taxes or the tax authorities of the partner countries or the partner jurisdictions.

Paragraph (2)

In the implementation of tax collection assistance cooperation, the Director General of Taxes carries out the tax collection assistance activities to the tax authorities of partner countries or partner jurisdictions. The implementation of the tax collection assistance includes the giving of tax collection assistance and the asking for tax collection assistance to the tax authorities of partner countries or partner jurisdictions.

Paragraph (3)

The application of the reciprocal principle in this paragraph is meant that the Director General of Taxes can provide tax collection assistance to the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

governments of partner countries or partner jurisdictions as long as the governments of partner countries or partner jurisdictions also provide equal tax collection assistance to the Government of Indonesian. For example, a tax collection action will be carried out up to giving a Distress Warrant in the event the partner country or partner jurisdiction conducts the tax collection assistance up to giving a Distress Warrant or equivalent action.

Paragraph (4)

Self-explanatory.

Paragraph (5)

"International agreement" means a bilateral or multilateral agreement that has been ratified by the Government of Indonesia in accordance with the provisions of Law on International Agreement, stating that the Government of Indonesia has bound itself with the partner countries or the partner jurisdictions regarding cooperation on matters relating to tax collection assistance. International agreements include convention on mutual administrative assistance in tax matters.

Paragraph (6)

Self-explanatory.

Paragraph (7)

Letter a

"Tax claim value" means the value of money for which tax collection assistance is requested by a partner country or partner jurisdiction which contains, among other things, the outstanding tax principal value, the administrative sanction, and the collection costs imposed by the partner country or the partner jurisdiction.

Meanwhile, the collection costs incurred by the Directorate General of Taxes to the effect of the giving of tax collection assistance shall be borne by the partner country or the partner jurisdiction who has asked for the tax collection assistance, in case the tax claim is collectible, and vice versa. The collection costs are recorded as Non-Tax State Revenue in the State Budget.

In case the tax claim is uncollectible, the tax collection costs that have been incurred by the Directorate General of Taxes are borne by the state.

The tax claims for which the tax collection assistance are requested by the partner countries or the partner jurisdictions shall not be under dispute (already *inkracht*) in the partner country or the partner jurisdiction.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Letter b

Identity of the tax bearer shall contain at least the name, identity number, and address of the tax bearer。

Paragraph (8)

Tax claims from the partner countries or the partner jurisdictions are the basis for tax collection on which the tax collection action will be taken by the Director General of Taxes in accordance with the provisions in the tax laws and regulations that are applicable mutatis mutandis with the tax collection provisions applicable in the partner countries or the partner jurisdictions

The value of tax claim from the partner country or partner jurisdiction ranks equal to a tax indebtedness. Therefore, on such a tax claim value, a tax collection action shall be taken by the Director General of Taxes by means of reprimanding or warning activities, issuing and giving a Distress Warrant, carrying out confiscation, selling the confiscated goods, proposing preventions, and carrying out a hostage taking in accordance with the provisions of legislation in taxation sector。

The tax collection actions shall be taken equal to the actions taken by the partner countries or the partner jurisdictions. For example, a tax collection action will be carried out up to giving a Distress Warrant in the event the partner country or partner jurisdiction conducts the tax collection assistance up to giving a Distress Warrant or equivalent action.

Tax collection actions shall be conducted against the tax bearer whose identity is specified in the tax claim。

Paragraph (9)

The proceeds of tax collection on tax claims from the partner countries or the partner jurisdictions are stored in another government account that is separate from the state cash account or the state revenue module before being delivered to the partner countries or the partner jurisdictions. The proceeds of tax collection on tax claims from the partner countries or the partner jurisdictions are not State Revenue, thus, not recorded in the State Budget because they are not included in the state finance domain.

Article 21

(1) The state has the pre-emptive rights to the tax payable on the properties of the Tax Bearer. ***)

(2) The provisions concerning the pre-emptive rights as referred to in paragraph (1) include the tax principal, administrative sanction in the form of interest, fines, increments, and tax collection costs. ***)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(3) The pre-emptive rights to the tax payable exceeds all of other pre-emptive rights, except for: ***)

a. costs of proceedings that are resulted only from a sentence to auction a movable and/or immovable property;

b. costs that have been incurred to save the property in question; and/or

c. costs of proceedings that are resulted only from an auction and settlement of an inheritance.

(3a) In the event the Taxpayer is declared bankrupt, dissolved, or liquidated, the curator, liquidator, or a person or corporate who is assigned to make settlement is prohibited from distributing any assets of the Taxpayer in bankruptcy, dissolution or liquidation to shareholders or other creditors before applying such assets to pay the tax payables of the Taxpayer. ***)

(4) The pre-emptive rights are lost after the lapse of 5 (five) years as of the issuance date of the Tax Collection Letter, the Tax Underpayment Assessment Letter, the Additional Tax Underpayment Assessment Letter, the Notice of Tax Correction, the Objection Decision Letter, the Appeal Verdict, or the Judicial Review Award which cause the amount of outstanding tax increases. ***)

(5) Calculation of the preemptive right period is determined as follows: ***)

a. in case the Distress Warrant to pay is notified officially, the 5 (five) years period as referred to in paragraph (4) is calculated as from the Distress Warrant notification; or

b. in case a payment deferment or approval of installment payments is granted, the 5 (five) years period is calculated as from the deadline for deferment is given.

Elucidation of Article 21

Paragraph (1)

This paragraph stipulates the state's position as a preferred creditor who is declared to have pre-emptive rights to the goods belonging to the Tax Bearer that will be auctioned before the public.

Payments to other creditors shall be settled after the tax payables have been paid.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (3a)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory.

Article 22

(1) The right to collect the taxes, including the interests, fines, increments, and tax collection fees, expires after the lapse of 5 (five) years as of the issuance of Tax Collection Letter, Tax Underpayment Assessment Letter, and Additional Tax Underpayment Assessment Letter, and Notice of Tax Correction, Objection Decision Letter, Appeal Verdict, and Judicial Review Award. ***)

(2) The tax collection expiry as referred to in paragraph (1) shall be postponed if: ***)

a. a Distress Warrant is issued;

b. there is an acknowledgment of tax indebtedness from the Taxpayer, either directly or indirectly;

c. a Tax Underpayment Assessment Letter as referred to in Article 13 paragraph (5), or an Additional Tax Underpayment Assessment Letter as referred to in article 15 paragraph (4) is issued; or

d. investigation on criminal offence in taxation sector is carried out.

Elucidation of Article 22

Paragraph (1)

This tax collection expiry time needs to be stipulated to provide legal certainty on when the tax indebtedness is uncollectible anymore.

The tax collection expiry is 5 (five) years as from the issuance of Tax Collection Letter and tax assessment letter. In the event the Taxpayer submits an application for correction, objection, appeal or Judicial Review, the tax collection expiry is 5 (five) years as from the issuance date of the Notice of Tax Correction, the Objection Decision Letter, the Appeal Verdict, or the Judicial Review Award.

Paragraph (2)

The tax collection expiry can exceed 5 (five) years as referred to in paragraph (1) if:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

a. The Director General of Taxes issues and notifies a Distress Warrant to the Tax Bearer who does not pay the tax payable until the payment due date. In such a case, the tax collection expiry is calculated as from the Distress Warrant notification date.

b. The Taxpayer declares an acknowledgment of tax indebtedness by submitting an application for installments or postponement of tax payable payment before the payment maturity. In such a case, the tax collection expiry is calculated as from the date on which the Director General of Taxes receives the application for installments or postponement of tax payable payment.

c. There is a Tax Underpayment Assessment Letter or an Additional Tax Underpayment Assessment Letter is issued to the Taxpayer because the Taxpayer commits in a criminal offence in taxation sector and other criminal offences that can inflict losses to the state revenues based on a court judgment that is final and has permanent legal force. In such a case, the tax collection expiry is calculated as from the issuance date of the tax assessment letter.

d. The Taxpayer is subject to investigation on criminal offence in taxation sector, the tax collection expiry is calculated as from the issuance date of the Order of Investigation on criminal offence in taxation sector.

Article 23

(1) Deleted. ***)

(2) Lawsuit or Taxpayer Tax Bearer against: ***)

a. implementation of Distress Warrant, Confiscation Order, or Auction Announcement;

b. decision of prevention in term of tax collection;

c. decisions relating to the implementation of taxation decisions, other than those stipulated in Article 25 paragraph (1) and Article 26; or

d. issuance of tax assessment letter or Objection Decision Letter in which its issuance is not in conformity with the procedures as prescribed in the provisions in the tax laws and regulations

May only be filed to the tax court.

(3) Deleted. ***)

Elucidation of Article 23

Paragraph (1)

Deleted.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (2)

Self-explanatory.

Paragraph (3)

Deleted.

Article 24

Procedures for tax receivable write-off and determination of the write-off amount shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 24

The Finance Minister regulates the procedures for write-off and determine the amount of tax receivables which cannot be collected anymore, such as due to the Taxpayer died and has no inheritances or assets, corporate Taxpayer that just has completed the bankruptcy process, or Taxpayer who ceases to meet the requirements to be tax subject and the right to collect the tax has expired. In this way, the amount of tax receivables balance that will be collectible or disbursable can be estimated effectively.

CHAPTER V
OBJECTION AND APPEAL

Article 25

(1) Taxpayer may file an objection only to the Director General of Taxes against:***)

a. a Tax Underpayment Assessment Letter;

b. an Additional Tax Underpayment Assessment Letter;

c. a Nil Tax Assessment Letter;

d. a Tax Overpayment Assessment Letter; or

e. a withholding tax or assessment by third party based on the provisions in the tax laws and regulations.

(2) The objection shall be filed in writing in Indonesian language by setting out the amount of tax payable, the amount of tax withheld or collected, or the amount of loss according to the Taxpayer's calculation accompanied with the reasons that form the basis of calculation. ***)

(3) The objection must be submitted within 3 (three) months as of the date the tax assessment letter is sent or as of the withholding tax or assessment date as referred to in paragraph (1) unless the Taxpayer is able to show that such a period cannot be fulfilled due to circumstances

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

beyond his/her control. ***)

(3a) In the event the Taxpayer files an objection to the tax assessment letter, the Taxpayer shall be obliged to pay off the outstanding tax at least equal to the amount the Taxpayer has agreed upon in the final discussion of the audit result, prior to the objection letter is submitted. ***)

(4) An objection that does not meet the requirements as referred to in paragraph (1), paragraph (2), paragraph (3), or paragraph (3a) does not constitute an objection letter, thus, shall not be considered. ***)

(5) A receipt of objection letter given by an officer of the Directorate General of Taxes who is appointed to receive the objection letter or a receipt of objection letter by post with a proof of mail delivery, or through other means as regulated by or based on a Regulation of the Finance Minister serves as a proof of receipt of the objection letter.** *)

(6) If requested by the Taxpayer for the purpose of filing an objection, the Director General of Taxes shall be obliged to provide written information on matters that form the basis for tax imposition, loss calculation, or withholding tax or assessment.***)

(7) In the event the Taxpayer files an objection, the tax settlement period as referred to in Article 9 paragraph (3) or paragraph (3a) on the amount of tax unpaid at the time of filing the objection, shall be postponed for up to 1 (one) month as of the Objection Decision Letter issuance date. ***)

(8) The amount of tax unpaid at the time of filing the objection as referred to in paragraph (7) shall not be treated as tax payable as referred to in Article 11 paragraph (1) and paragraph (1a). ***)

(9) In the event the Taxpayer's objection is declined or partially granted, the Taxpayer shall be subject to an administrative sanction in the form of fine at 30% (thirty percent) of the total tax based on the objection decision less the tax paid before the filing of objection. ******)

(10) In the event the Taxpayer submit an application for appeal, the administrative sanction in the form of fine at 30% (thirty percent) as referred to in paragraph (9) shall not be imposed. ******)

Elucidation of Article 25

Paragraph (1)

If the Taxpayer is of the opinion that the amount of loss, the amount of tax, and the withholding tax or assessment is not as it should be, the Taxpayer may file an objection only to the Director General of Taxes.

The objection submitted shall be regarding the materials or contents of the tax assessment, namely the amount of loss based on the provisions in the tax laws and regulations, the amount of tax, or the withholding tax or

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

assessment. The "a" or "an" in this paragraph means 1 (one) objection must be filed against 1 (one) tax type and 1 (one) Tax Period or Fiscal Year.

Example:

Objections to the Income Tax assessments for the Fiscal Year 2008 and the Fiscal Year 2009 must be filed each in 1 (one) separate objection letter. For the 2 (two) Fiscal Years, 2 (two) objection letters must be submitted.

Paragraph (2)

"Reasons that form the basis of calculation" means clear reasons and attached with a photocopy of tax assessment letter, proof of collection, or proof of withholding.

Paragraph (3)

The time limit for submission of objection letter shall be within 3 (three) months as of the date of the tax assessment letter is sent or as of the withholding tax or assessment date as referred to in paragraph (1) with the aim that the Taxpayer has sufficient time to prepare the objection letter along with the reasons thereof.

If it turns out that the 3 (three) month time limit cannot be fulfilled by the Taxpayer due to circumstances beyond the Taxpayer's control (force majeure), such 3 (three) month grace period may still be considered to be extended by the Director General of Taxes.

Paragraph (3a)

This provision provides that the requirement for filing the objection for a Taxpayer is he/she has to settle first a number of his/her tax obligations he/she has agreed upon during the final discussion of the audit result. Such a settlement must be made prior to the Taxpayer submits the objection.

Paragraph (4)

An application for objection that does not meet any of the requirements as referred to in this article does not constitute an objection letter, thus, cannot be considered and an Objection Decision Letter shall not be issued.

Paragraph (5)

A receipt of letter that has been given by an officer of the Directorate General of Taxes or by post serves as a receipt of objection letter if such a letter meets the requirements as an objection letter. Thus, the deadline for settlement of objection is calculated as of the receipt date of the letter in question.

If the Taxpayer's letter does not meet the requirements as an objection

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

letter and the Taxpayer corrects it within the objection letter submission time limit, the objection settlement time limit shall be calculated as of the receipt of the next letter that meets the requirements as an objection letter.

Paragraph (6)

To allow the Taxpayer to be able to prepare the objection with forceful reasons, the Taxpayer is given with the right to ask for the basis of tax imposition, loss calculation, or withholding tax or assessment that has been determined. Therefore, the Director General of Taxes shall be obliged to fulfill such a request.

Paragraph (7)

This paragraph provides that the payment maturity stated in the tax assessment letter is deferred up to 1 (one) month as of the Objection Decision Letter issuance date. The postponement of the tax settlement period causes the administrative sanction in the form of interest of 2% (two percent) per month as specified in Article 19 shall not be applied to the amount of tax that has not been paid at the time of filing the objection.

Paragraph (8)

Self-explanatory.

Paragraph (9)

In the event the Taxpayer's objection is declined or partially granted and the Taxpayer does not file a request for appeal, the amount of tax based on the objection decision less the tax paid before the submission of objection must be paid fully not later than 1 (one) month as of the Objection Decision Letter issuance date, and a collection with a Distress Warrant will be carried out if the Taxpayer does not pay off such a tax indebtedness. In addition, the Taxpayer is subject to administrative sanction in the form of fine at 30% (thirty percent).

Example:

For the Fiscal Year 2023, a Tax Underpayment Assessment Letter (SKPKB) with the amount of outstanding tax Rp1.000.000.000,00 (one billion rupiah) is issued to PT A. In the final discussion of the audit result, the Taxpayer only approves the outstanding tax amounting to Rp. 200.000.000,00 (two hundred million rupiah). The Taxpayer has paid a part of the SKPKB amounting to Rp. 200.000.000,00 (two hundred million rupiah) and, then, filed an objection to other corrections. The Director General of Taxes partially granted the Taxpayer's objection with the amount of outstanding tax becoming Rp. 750.000.000,00 (seven hundred and fifty million rupiah). In this case, the Taxpayer is not subject to administrative sanction as specified in Article 19, but is subject to

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

administrative sanction in accordance with this paragraph, namely amounting to 30% x (Rp750.000.000,00 - Rp200.000.000,00) = Rp165.000.000,00.

Paragraph (10)

Self-explanatory.

Article 26

(1) The Director General of Taxes must, within not later than 12 (twelve) months as of the receipt date of the objection letter, make a decision on the objection filed. ***)

(2) Before issuance of the decision letter, the Taxpayer may submit additional reasons or a written explanation. ***)

(3) The decision of the Director General of Taxes on the objection can take the form of accepting in its entirety or in part, declining or increasing the amount of the tax payable. ***)

(4) In the event the Taxpayer files an objection to the tax assessment letter as referred to in Article 13 paragraph (1) letter b and letter d, the relevant Taxpayer must be able to prove the incorrectness of such a tax assessment. ***)

(5) If the period as referred to in paragraph (1) lapses and the Director General of Taxes does not give a decision, such an objection shall be deemed accepted. ***)

Elucidation of Article 26

Paragraph (1)

As to the objection letter submitted by the Taxpayer, the authority to settle in the first instance is granted to the Director General of Taxes provided that the time limit for settlement of the decision on the Taxpayer's objection shall be not later than 12 (twelve) months as of the receipt date of the objection letter.

With such a determination of the time limit for settlement of the decision on the objection, means a legal certainty will be obtained for the Taxpayer in addition to the implementation of tax administration.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

This paragraph requires the Taxpayer to prove the incorrectness of the tax assessment in the event the Taxpayer files an objection to the taxes that are assessed on in officio basis. Such a tax assessment letter on in officio basis is issued due to the Taxpayer fails to submit the Annual Tax Return even though he has been reprimanded in writing, fails to fulfill the obligation to maintain the bookkeeping, or refuses to give the auditor the opportunity to enter certain places as they deem necessary, to the effect of the audit in order to determine the amount of tax payable. If the Taxpayer is unable to prove the incorrectness of tax assessment letter on in officio basis, his/her submission of objection shall be declined.

Paragraph (5)

Self-explanatory.

Article 26A

(1) Procedures for submission and settlement of objection shall be regulated by or based on a Regulation of the Finance Minister. ***)

(2) Procedures for submission and settlement of objection as referred to in paragraph (1), among other things, regulates the granting of rights to the Taxpayer to be present to provide information or to obtain explanation regarding his/her objection. ***)

(3) If the Taxpayer does not exercise the rights as referred to in paragraph (2), the objection proceeding can still be settled. ***)

(4) Taxpayer who discloses the books, records, data, information, or other particulars in the objection proceeding that are not given during the audit, other than the data and information that the Taxpayer has not obtained at the time of audit from third parties, such books, records, data, information, or other particulars shall not be considered in the settlement of his/her objection. ***)

Elucidation of Article 26A

Paragraph (1)

Self-explanatory.

Paragraph (2)

In order to give a wider opportunity for the Taxpayer to obtain justice in the settlement of his/her objection, the procedures as referred to in this paragraph, it is regulated, among other things, that the Taxpayer may be present to give information or obtain explanations on his/her objection.

Paragraph (3)

Self-explanatory.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (4)

Self-explanatory。

Article 27

(1) Taxpayer may file a request for appeal only to the tax court against the Objection Decision Letter as referred to in Article 26 paragraph (1)). ***)

(2) The Tax Court's award is a special court award within the milieu of state administrative court. ***)

(3) The request as referred to in paragraph (1) shall be submitted in writing in Indonesian language with clear reasons not later than 3 (three) months as of the Objection Decision Letter is received and attached with a copy of the Objection Decision Letter. ***)

(4) Deleted. ***)

(4a) If requested by the Taxpayer for the purpose of filing a request for appeal, the Director General of Taxes must give a written statement of the matters that form the basis of the Objection Decision Letter issued not later than 1 (one) month as of the written request is received by the Director General of Taxes. ******)

(5) Deleted.***)

(5a) In the event the Taxpayer files an appeal, the tax settlement period as referred to in Article 9 paragraph (3), paragraph (3a), or Article 25 paragraph (7), for the amount of unpaid tax at the time of filing the objection, shall be postponed until 1 (one) month as of the Appeal Verdict issuance date.***)

(5b) The amount of unpaid tax at the time of filing the appeal as referred to in paragraph (5a) shall not be treated as tax indebtedness as referred to in Article 11 paragraph (1) and paragraph (1a).***)

(5c) The amount of unpaid tax at the time of filing the appeal shall not be treated as tax indebtedness as referred to in Article 11 paragraph (1) and paragraph (1a) until the Appeal Verdict is issued. ******)

(5d) In the event the request for appeal is declined or partially granted, the Taxpayer is subject to administrative sanction in the form of fine at 60% (sixty percent) of the total tax based on the Appeal Verdict less the tax payment that has been made before the submission of objection. ******)

(5e) In the event the Taxpayer or the Director General of Taxes submits an application for judicial review, the execution of Tax Court's award shall not be suspended or terminated. ******)

(5f) In the event of Judicial Review Award that causes the amount of outstanding tax increases, an administrative sanction is imposed in the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

form of fine at 60% (sixty percent) of the total tax based on the Judicial Review Award less the tax payment that has been made before filing the objection. ******)

(5g) The Tax Collection Letter for administrative sanction as referred to in paragraph (5f) is issued not later than 2 (two) years as of the receipt date of the Judicial Review Award by the Director General of Taxes. ******)

(6) The tax court as referred to in paragraph (1) and in Article 23 paragraph (2) shall be regulated by laws. ***)

Elucidation of Article 27

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Deleted.

Paragraph (4a)

Self-explanatory。

Paragraph (5)

Deleted.

Paragraph (5a)

This paragraph provides that, for a Taxpayer who files an appeal, the tax payment period against which the appeal is submitted shall be postponed up to 1 (one) month as of the Appeal Verdict issuance date. The postponement of the tax settlement period causes the administrative sanction in the form of interest as specified in Article 19 shall not be applied to the amount of tax that has not been paid at the time of filing the objection。

Paragraph (5b)

Self-explanatory.

Paragraph (5c)

Self-explanatory.

Paragraph (5d)

In the event the Taxpayer's request for appeal is declined or partially

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

granted, the amount of tax based on the Appeal Verdict less the tax that has been paid prior to submitting an objection must be paid fully not later than 1 (one) month as of the Appeal Verdict issuance date, and collection with a Distress Warrant will be carried out if the Taxpayer fails to pay off such a tax indebtedness. In addition, the Taxpayer is subject to administrative sanction in the form of fine at 60% (sixty percent) as referred to in this paragraph。

Example:

For the Fiscal Year 2023, a Tax Underpayment Assessment Letter (SKPKB) with total outstanding tax Rp. 1.000.000.000,00 (one billion rupiah) is issued to PT A. In the final discussion of the audit result, the Taxpayer only approves the outstanding tax amounting to Rp. 200.000.000,00 (two hundred million rupiah). The Taxpayer has paid a part of the SKPKB amounting to Rp. 200.000.000,00 (two hundred million rupiah) and, then, filed an objection to other corrections. The Director General of Taxes partially granted the Taxpayer's objection with the amount of outstanding tax becoming Rp. 750.000.000,00 (seven hundred and fifty million rupiah).

Further, the Taxpayer submits a request for appeal and the Tax Court decides the amount of outstanding tax becoming Rp.450.000.000,00 (four hundred and fifty million rupiah). In this case, neither the administrative sanction in the form of interest as regulated in Article 19 nor the administrative sanction in the form of fine as specified in Article 25 paragraph (9) are imposed. However, the Taxpayer is subject to an administrative sanction in the form of fine in accordance with this paragraph, namely amounting to 60% x (Rp.450.000.000,00 – Rp. 200.000.000,00) = Rp. 150.000.000,00

Paragraph (5e)

Self-explanatory.

Paragraph (5f)

In the event that a request for judicial review is submitted against the Appeal Verdict by the Taxpayer or the Director General of Taxes and based on the Judicial Review Award resulting in an increase in the amount of outstanding tax of the Taxpayer, the Taxpayer is subject to administrative sanction in the form of fine at 60% (sixty percent) of the total tax based on the Judicial Review Award less the tax that has been paid before filing the objection。

Example 1:

The Tax Underpayment Assessment Letter (SKPKB) is issued to the Taxpayer for the Fiscal Year 2023 with the amount of outstanding tax Rp. 3.000.000.000,00 (three billion rupiah). The corporate Annual Income Tax

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Return that was previously submitted by the Taxpayer is of underpaid status with a value of Rp1.000.000.000,00 (one billion rupiah). In the final discussion of the audit result, the Taxpayer does not agree with all of the outstanding taxes, so that there is no payment of the SKPKB made by the Taxpayer before the submission of objection. Based on the submission of objection by the Taxpayer, the Director General of Taxes issues an Objection Decision Letter the substance of which declines all the objections of the Taxpayer. The Taxpayer then files a request for appeal and the Tax Court Judge decides accepting the entire appeal of the Taxpayer. Based on the Appeal Verdict, there is no outstanding tax payable by the Taxpayer. The Director General of Taxes then submits a request for judicial review to the Supreme Court. The Judicial Review Award grants the applicant's request and states that the amount of outstanding tax payable by the Taxpayer is Rp. 3.000.000.000,00 (three billion rupiah). In this case, the Taxpayer must pay off the underpayment amounting to Rp.3.000.000.000,00 plus the administrative sanction as referred to in this paragraph, namely 60% x Rp.3.000.000.000,00 = Rp.1.800.000.000,00.

Example 2:

A Tax Underpayment Assessment Letter (SKPKB) is issued to the Taxpayer for Fiscal Year 2023 with the amount of outstanding tax Rp. 3.000.000.000,00 (three billion rupiah). The corporate Annual Income Tax Return that was previously submitted by the Taxpayer is of underpaid status with a value of Rp. 400.000.000,00 (four hundred million rupiah). In the final discussion of the audit result, the Taxpayer agrees with the amount of outstanding tax amounting to Rp.600.000.000,00 (six hundred million rupiah) so that the Taxpayer pays the SKPKB equal to the amount agreed in the final discussion of the audit result before the submission of objection. Based on the submission of objection by the Taxpayer, the Director General of Taxes issues an Objection Decision Letter the substance of which declines all the objections of the Taxpayer, and then files a request for appeal and the Tax Court Judge decides accepting partially the appeal of the Taxpayer and declares the underpaid tax to become Rp.600.000.000,00 (six hundred million rupiah). Bearing in mind that the Taxpayer has made a payment prior to filing the objection the amount of which is equal to the Appeal Verdict, then, there is no tax that must be settled based on the Appeal Verdict by the Taxpayer and it is not subject to administrative sanctions as referred to in paragraph (5d). The Director General of Taxes then submits a request for judicial review to the Supreme Court. The Judicial Review Award grants the applicant's request and states that the amount of outstanding tax payable by the Taxpayer is Rp. 3.000.000.000,00 (three billion rupiah). In this case, the Taxpayer must pay off the underpayment amounting to Rp3.000.000.000,00 -

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Rp600.000.000,00 = Rp2.400.000.000,00, plus the administrative sanction as referred to in this paragraph, namely 60% x (Rp3.000.000.000,00 – Rp600.000.000,00) = Rp1.440.000.000,00.

Paragraph (5g)

Self-explanatory.

Paragraph (6)

Self-explanatory。

Article 27A *****)

Deleted.

Elucidation of Article 27A

Deleted.

Article 27B *****)

(1) Taxpayer shall be given with interest compensations in the event the submission of objection, appeal, or judicial review is granted partially or in its entirety, so that resulting in a tax overpayment. *****)

(2) The interest compensations as referred to in paragraph (1) shall be given to the tax overpayment in maximum equal to the amount of overpayment approved by the Taxpayer in the final discussion of the audit result on the Tax Return that states the overpayment, to which the following has been issued:

a. Tax Underpayment Assessment Letter;

b. Additional Tax Underpayment Assessment Letter;

c. Tax Overpayment Assessment Letter; or

d. Nil Tax Assessment Letter. *****)

(3) The Taxpayer shall be given with interest compensations in the event the application for correction, application for reduction or cancellation of tax assessment letter, or application for reduction or cancellation of Tax Collection Letter is granted partially or in its entirety, so that resulting in a tax overpayment. *****)

(4) The interest compensations as referred to in paragraph (1) and paragraph (3) shall be given: *****)

a. based on the monthly interest rate determined by the Finance Minister based on the basic interest rate divided by 12 (twelve); and

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

b. given for maximum of 24 (twenty-four) months, and a fraction of month is calculated fully as 1 (one) month.

(5) The monthly interest rate as referred to in paragraph (4) which is used as the basis for calculating the interest compensations is the monthly interest rate that applies on the interest compensations calculation commencement date. *****)

(6) The interest compensations as referred to in paragraph (1), is calculated as from the issuance date of the Tax Underpayment Assessment Letter, Additional Tax Underpayment Assessment Letter, Tax Overpayment Assessment Letter, or Nil Tax Assessment Letter until the issuance date of the Objection Decision Letter, Appeal Verdict, or Judicial Review Award. *****)

(7) The interest rate as referred to in paragraph (3) is calculated: *****)

a. as from the payment date of the Tax Underpayment Assessment Letter or the Additional Tax Underpayment Assessment Letter until the issuance date of the Notice of Tax Correction, decision letter on reduction or cancellation of tax assessment letter;

b. as from the issuance date of the Tax Overpayment Assessment Letter or the Nil Tax Assessment Letter until the of issuance date of the Notice of Tax Correction, decision letter on reduction or cancellation of tax assessment letter; or

c. as m the payment date of the Tax Collection Letter until the issuance date of the Notice of Tax Correction, decision letter on or cancellation of Tax Collection Letter.

(8) Further provisions on the procedures for groaning of interest compensations shall be regulated by or based on a Regulation of the Finance Minister. *****)

Elucidation of Article 27B

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Self-explanatory.

Paragraph (6)

Self-explanatory.

Paragraph (7)

Self-explanatory.

Paragraph (8)

Self-explanatory.

Article 27C ******)

(1) The Director General of Taxes has the authority to carry out the mutual agreement procedure to prevent or solve the problems that arise in the application of the double taxation avoidance treaty.

(2) The mutual agreement procedure as referred to in paragraph (1) can be applied for by:

a. Resident Taxpayer;

b. the Director General of Taxes;

c. the competent authorities of the partner countries or partner jurisdictions of the double taxation avoidance treaty; or

d. Indonesian citizens through the Director General of Taxes in relation to discriminatory treatment in the partner countries or the partner jurisdictions of the double taxation avoidance treaty, which contradictory to the provisions on non-discrimination.

(3) Request for the implementation of the mutual agreement procedure as referred to in paragraph (2) letter a, letter b, and letter c, can be submitted in coincidence with the resident Taxpayer's request to submit:

a. the objection as referred to in Article 25;

b. the appeal as referred to in Article 27; or

c. the reduction or cancellation of incorrect tax assessment letter as referred to in Article 36 paragraph (1) letter b.

(4) In the event the implementation of mutual agreement procedure as referred to in paragraph (3) letter b has not resulted in mutual agreement until the Appeal Verdict or Judicial Review Award is uttered, the Director General of Taxes shall:

a. continue the negotiation, in case the dispute materials decided in the Appeal Verdict or Judicial Review Award is not the materials for which the mutual agreement procedure is submitted; or

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

b. use the Appeal Verdict or the Judicial Review Award as a position in the negotiation or in terminating the negotiation, in case the dispute materials decided is the materials for which the mutual agreement procedure is submitted。

(5) The Director General of Taxes shall follow up to the result of implementation of the mutual agreement procedure as referred to in paragraph (1) by issuing a decision letter on mutual agreement。

(6) The decision letter on mutual agreement as referred to in paragraph (5) includes the basis for tax refund as referred to in Article 11 paragraph (1a) or the basis for tax collection as referred to in Article 18。

Elucidation of Article 27C

Paragraph (1)

"Mutual agreement procedure" means an administrative procedure that is regulated in the double taxation avoidance treaty to prevent or solve problems that arise in the application of the double taxation avoidance treaty.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

To allow the mutual agreement procedure effectively encourages the Taxpayers to obtain justice and to eliminate double taxation, it is necessary to regulate their interaction in case the mutual agreement procedure is carried out in coincidence with the domestic dispute resolution process, particularly the submission of appeal and judicial review. This paragraph emphasizes that in the event that the appeal verdict or judicial review award has been uttered first before the mutual agreement is reached but the dispute for which the mutual agreement procedure is submitted is not decided in the appeal verdict or judicial review award, the negotiation within the framework of mutual agreement procedure shall be continued.

In the event the appeal verdict or judicial review award also decides the dispute for which the mutual agreement procedure is submitted, negotiation can still be continued by relying on the bargaining position of the Director General of Taxes in the appeal verdict or judicial review award. In the event a mutual agreement cannot be reached with such a bargaining position, the Director General of Taxes may propose to discontinue the negotiation by taking into account the provisions and rules

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

in the international negotiation and bargaining, particularly relating to the implementation of mutual agreement procedure.

Paragraph (5)

Self-explanatory.

Paragraph (6)

Self-explanatory。

CHAPTER VI
BOOKKEEPING AND AUDITING

Article 28

(1) Individual Taxpayers who carry on business activity or independent job and corporate Taxpayers in Indonesia shall be obliged to maintain a bookkeeping. ***)

(2) Taxpayers who are excluded from the obligation to maintain bookkeeping as referred to in paragraph (1), but shall be obliged to make records, are individual Taxpayers who carry on business activity or independent job who, according to the provisions in the tax laws and regulations, are allowed to calculate the net income by using the Net Income Calculation Norm and individual Taxpayers who do not carry on business activity or independent job. ***)

(3) The bookkeeping or recording must be carried out by paying into attention to the good faith and reflecting the actual condition or business activity. ***)

(4) The bookkeeping or recording must be carried out in Indonesia by using Latin letters, Arabic numerals, Rupiah currency unit, and compiled in Indonesian language or in a foreign language as permitted by the Finance Minister. ***)

(5) The bookkeeping shall be carried out on consistency principle and with the accrual basis or cash basis. ***)

(6) Any changes to the bookkeeping method and/or book year must obtain approval from the Director General of Taxes. ***)

(7) The bookkeeping shall at least consist of records of assets, liabilities, capitals, incomes and costs, as well as sales and purchases so that the amount of tax payable can be calculated. ***)

(8) The bookkeeping by using foreign languages and currencies other than Rupiah may be carried out by the Taxpayer after obtaining permit from the Finance Minister. ***)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(9) The recording as referred to in paragraph (2) shall consist of data collected regularly on the turnover or gross revenues and/or gross incomes as the basis for calculating the amount of tax payable, including incomes which are not tax object and/or which are subject to final tax. ***)

(10) Deleted. ***)

(11) Books, records, and documents on which the bookkeeping or recording is based, and other documents including the results of data processing from the electronically managed bookkeeping or by on-line application programs must be retained for 10 (ten) years in Indonesia, namely at the place of activity or the residential place of Individual Taxpayers, or at the place of domicile of corporate Taxpayers. ***)

(12) The form and procedures for recording as referred to in paragraph (2) shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 28

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Consistency principle is the same principle used in the bookkeeping method as in previous years to prevent the shifts in profit or loss. The consistency principle in the bookkeeping method is, for example, in the application of:

a. income recognition basis;

b. book year;

c. inventory valuation method; or

d. depreciation and amortization method.

The accrual basis is a method of calculating incomes and costs in the meaning the income is recognized when it is earned and the cost is recognized when it is owed. So, it doesn't depend on when the income is

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

received and when the cost is paid in cash.

Included in the definition of accrual basis are income recognition based on the percentage method of work completion level which is generally used in the construction sector and other methods used in certain business fields, such as, the build operate and transfer (BOT) and the real estate.

Cash basis is a method the calculation of which is based on the incomes received and the costs paid in cash.

According to the cash basis, a revenue is only deemed as income if it has actually been received in cash within a certain period and a new cost is only deemed as cost if it has actually been paid in cash within a certain period.

Cash basis is usually used by small companies of individuals or service companies, such as transportation, entertainment, and restaurant in which the grace period between the service delivery and the payment receipt does not last long. In the pure cash basis, income from delivery of goods or services is determined when the payment from the customer is received and the costs are determined when the goods, services and other operating costs are paid.

In this way, the use of cash basis may result in a calculation that obscures the income, namely the amount of income from year to year can be adapted by adjusting the cash receipts and the cash expenses. Therefore, for calculating the Income Tax using the cash basis, the following must be taken into account, such as:

1) Calculation of total sales in a period must include all sales, either cash and non-cash. In calculating the sale basic price, all purchases and inventories must be taken into account.

2) In acquiring the depreciable assets and amortizable rights, the cost that are deducted from income can only be made through depreciation and amortization.

3) The use of cash basis must be carried out on consistent basis.

Thus, the use of cash basis for taxation purposes can also be called as mixed basis.

Paragraph (6)

Basically, the bookkeeping method adopted must be consistent, namely must be the same as in previous years, for example in terms of the use of the income and cost recognition method (cash or accrual method), the fixed asset depreciation method, and the inventory valuation method. However, a change of bookkeeping method is still possible provided that it has obtained approval from the Director General of Taxes. A change of bookkeeping method must be submitted to the Director General of Taxes

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

before commencement of the relevant book year by giving logical and acceptable reasons and the possible consequences of such a change.

The changes in the bookkeeping method will result in a change in the consistency principle which may include the change in method from cash to accrual or vice versa or change in the use of income recognition or cost recognition method itself, for example in the cost recognition method relating to depreciation of fixed assets by using certain depreciation methods.

Example:

Taxpayer in 2008 used the straight-line depreciation method. If in 2009 the Taxpayer intended to change the asset depreciation method to use the declining balance method, the Taxpayer must seek the prior approval from the Director General of Taxes before the commencement of the book year 2009 by stating the reasons for changing the depreciation method and the consequences of such a change.

In addition, a change in the period of the book year also results in a change in the amount of income or loss of the Taxpayer. Therefore, such a change must also obtain the approval of the Director General of Taxes.

Fiscal Year is the same as the calendar year unless the Taxpayer uses a book year that is different from the calendar year.

If the Taxpayer uses a book year that is different from the calendar year, the reference to the relevant Fiscal Year shall use a year which includes the first 6 (six) months or more in it.

Example:

a. Book year 1 July 2008 up to 30 June 2009 is Fiscal Year 2008.

b. Book year 1 October 2008 up to 30 September 2009 is Fiscal Year 2009.

Paragraph (7)

Definition of bookkeeping has been provided in Article 1 point 29. The arrangement in this paragraph is intended that, based on the bookkeeping, the amount of tax payable can be calculated.

In addition to being able to calculate the amount of Income Tax, other taxes must also be able to be calculated from the bookkeeping. In order for the Value Added Tax and the Sales Tax on Luxury Goods can be calculated correctly, the bookkeeping must also record the total acquisition price or import value, total selling price or export value, total selling price of the goods subject to the Sales Tax on Luxury Goods, total payments for utilization of Intangible Taxable Goods from outside the customs area within the customs area and/or utilization of Taxable

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**) : Second Amendment (Law Number 16 of 2000)
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****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Services from outside the customs area within the customs area, the amount of Input Tax creditable and uncreditable.

Thus, the bookkeeping must be carried out in manners or systems commonly used in Indonesia, for example based on the Financial Accounting Standards, unless the taxation laws provide otherwise.

Paragraph (8)

Self-explanatory.

Paragraph (9)

Recording by individual Taxpayers who carry out business activity and independent job includes turnover or gross proceeds and other income receipts, whereas for those who merely receive income from other than business and independent job, the recording is only on the gross income, the deductions and the net incomes which are the Income Tax object.

In addition, the recording also includes incomes that are not tax object and/or that are subject to final tax.

Paragraph (10)

Deleted.

Paragraph (11)

Books, records, and documents, including those that are carried out by on-line application programs and the results of electronic data processing that form the basis for the bookkeeping or the recording, must be retained for 10 (ten) years in Indonesia. This is intended that, if the Director General of Taxes is to issue a tax assessment letter, the required bookkeeping or recording materials are still available and can be provided immediately. The 10 (ten) years retention period of the books, records, and documents that form the basis for the bookkeeping or the recording is in conformity with the provisions governing the expiry limit of investigation on criminal offence in taxation sector. The retention of books, records, and documents that form the basis for the bookkeeping or the recording and other documents, those that are carried out by on-line application programs, must be performed by taking into account the security, feasibility, and retention reasonableness factors.

Paragraph (12)

Self-explanatory.

Article 29

(1) The Director General of Taxes has the authority to conduct audits to test the Taxpayer's compliance with fulfillment of tax obligations and for other

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

purposes to the effect of implementing the provisions in the tax laws and regulations. ***)

(2) For the purposes of audit, the audit officer must have an auditor's Identity Card and shall be equipped with a Tax Audit Order and shall show it to the auditee Taxpayer. ***)

(3) The auditee Taxpayer shall be obliged to: ***)

a. show and/or lend the books or the records, the documents he/she relies on, and other documents relating to the incomes earned, the business activity, the independent job of the Taxpayer, or the objects on which the tax is payable;

b. give the opportunity to enter the places or spaces as deemed necessary and to provide assistance for smooth implementation of the audit; and/or

c. provide other necessary information.

(3a) The books, records and documents, as well as the data, information, and other particulars as referred to in paragraph (3) shall be obliged to be made available by the Taxpayer not later than 1 (one) month as of the request is submitted. ***)

(3b) In the event that an individual Taxpayer who carries on business activity or independent job fails to meet the provisions as referred to in paragraph (3) so that the amount of his/her taxable income cannot be calculated, the taxable income can be calculated on in officio basis in accordance with the provisions in the taxation laws and regulations. ***)

(4) If in disclosing the bookkeeping, the recording, or the documents and particulars requested, the Taxpayer is bound by a confidentiality obligation, then such confidentiality obligation shall be eliminated on request for the audit purposes as referred to in paragraph (1). ***)

Elucidation of Article 29

Paragraph (1)

The Director General of Taxes within the framework of supervision of the Taxpayer's compliance with fulfillment of tax obligations has the authority to conduct audit in order to:

a. test the Taxpayer's compliance with fulfillment of tax obligations; and/or

b. other purposes to the effect of implementing the provisions in the tax laws and regulations.

The audit can be carried out at the office (Office Audit) or at the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Taxpayer's site (Field Audit) the scope of audit of which may include one type of tax, several types of tax, or all types of tax, either for the past years and for the current year.

The audit can be carried out on the Taxpayers, including on the government agencies and other entities as tax collector or tax withholder.

The implementation of audit to the effect of testing the Taxpayer's compliance with fulfillment of tax obligations shall be carried out by tracing the correctness of the Tax Return, the bookkeeping or the recording, and other fulfillments of tax obligations compared to the actual condition or business activity of the Taxpayer.

In addition, the audit may also be carried out for other purposes, including:

a. the granting of Taxpayer Identification Number on in officio basis;

b. deletion of Taxpayer Identification Number;

c. confirmation or revocation of Taxable Entrepreneur confirmation;

d. the Taxpayer files an objection;

e. collection of materials for the establishment of Net Income Calculation Norm;

f. verifying the data and/or particulars;

g. determination of Taxpayers located in remote areas;

h. determination of one or more places where the Value Added Tax is payable;

i. audit within the framework of tax collection;

j. determination of the production commencement time in relation to tax incentives; and/or

k. fulfillment of requests for information from the partner countries of the Double Taxation Avoidance Treaty.

Paragraph (2)

The audit shall be carried out by audit officer(s) who have (has) a clear identity. Therefore, the audit officers must have the auditor identity and be equipped with a Tax Audit Order, and must show it to the auditee Taxpayer. The audit officer must explain the purposes of the audit to the Taxpayer.

The audit officer(s) must have received adequate technical education and have the skill as a tax auditor. In performing their duties, the audit officers must work honestly, responsibly, understandingly, politely, and objectively and shall be obliged to avoid themselves from any disgraceful acts.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

The opinion and conclusion of the audit officer must be based on conclusive and relevant evidences and be based on the provisions in the tax laws and regulations.

The audit officers must conduct fostering to the Taxpayers in fulfilling their tax obligations in accordance with the provisions in the tax laws and regulations.

Paragraph (3)

The obligations that must be fulfilled by the auditee Taxpayer as referred to in this paragraph are adjusted to the purpose of the audit, both to the effect of testing the compliance with fulfillment of tax obligations and for other purposes to the effect of implementing the provisions in the tax laws and regulations.

If the Taxpayer carries out the recording or the bookkeeping by using electronic data processing (EDP), either carried out independently or through another party, the Taxpayer must give the access right to the auditor to access and/or download the data from the records, documents, and other documents related to the income earned, the business activity, the independent job of the Taxpayer, or the objects on which the tax is payable.

Based on this paragraph, the auditee Taxpayer has also the obligation to give the auditor an opportunity to enter the places or rooms where the documents, moneys, and/or goods are stored, which can give a guidance on the business condition of the Taxpayer and to carry out borrowing and/or audit at these places.

In the event the audit officer requires any other particulars other than books, records, and other documents, the Taxpayer must provide other particulars which can take the form of written statements and/or oral statements.

Written statements include, for examples:

a. a statement letter not to be audited by Public Accounting Firm;

b. a statement that the photocopy of the document lent conforms to the original;

c. a statement letter of the property ownership; or

d. a statement letter of the estimated cost of living.

Oral statements include, for example:

a. interview on the Taxpayer's bookkeeping process;

b. interview on the Taxpayer's production process; or

c. interview with the management on special transactions.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (3a)

Self-explanatory.

Paragraph (3b)

Self-explanatory.

Paragraph (4)

To prevent the existence of pretext that the auditee Taxpayer is bound to a nondisclosure obligation so that the books, records, documents and other information required cannot be provided by the Taxpayer, this paragraph confirms that such a nondisclosure obligation is waived.

Article 29A***)

For corporate Taxpayers whose share issuance registration statement has been declared effective by the capital market supervisory agency and submit a Tax Return furnished with the Financial Statements that has been audited by a Public Accountant with an unqualified opinion: ***)

a. whose Annual Tax Return states an overpayment as referred to in Article 17B; or

b. which is selected to be audited based on a risk analysis

can be audited through an Office Audit.

Elucidation of Article 29A

This provision is intended to provide facilities to the Taxpayers who list their shares on the stock exchange, namely in the event the Taxpayer is audited, the audit can be conducted through an Office Audit. With the Office Audit, the audit process becomes simpler and faster to complete so that Taxpayer will get legal certainty more quickly, compared to the Field Audit.

In the light of an audit can be carried out through an Office Audit and its audit period is quite short, the Director General of Taxes through the Taxpayer may ask for the audit work paper made by the Public Accountant.

Article 30

(1) The Director General of Taxes has the authority to seal certain places or rooms as well as the movable and/or immovable goods if the Taxpayer does not fulfill the obligations as referred to in Article 29 paragraph (3) letter b. ***)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(2) The sealing procedure as referred to in paragraph (1) shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 30

Paragraph (1)

In the audit, it can be found a Taxpayer who does not fulfill the provisions as specified in Article 29 paragraph (3) letter b, namely not giving the opportunity to enter the places or spaces as deemed necessary nor providing assistance for smooth implementation of the audit. Such a situation can be caused by various things, for example, the Taxpayer is not being in site or deliberately does not give the auditor an opportunity to enter the places or spaces as deemed necessary and does not provide assistance for smooth implementation of the audit.

Taxpayer who at the time of audit does not does not give the auditor an opportunity to enter the places, spaces, and movable and/or immovable goods, as well as to access the electronically managed data or does not provide assistance for smooth implementation of the audit, is considered as hindering the implementation of the audit.

In such a case, in order to obtain the books, records, documents including the electronically managed data and other objects that can give a guidance on the business activity or independent job of the auditee Taxpayer, it is considered necessary to authorize the Director General of Taxes, which shall be carried out by the auditor, to carry out the sealing of the places, spaces, and movable and/or immovable goods.

Sealing is the auditor's last effort to obtain or secure the books, records, documents including the electronically managed data, and other objects that can give a guidance on the business activity or independent job of the auditee Taxpayer so as not to be relocated, abolished, destroyed, changed, tampered with, exchanged, or falsified.

The sealing of electronic data shall be carried out as long as does not stop the smooth operation of the company, particularly those related to the public interest.

Paragraph (2)

Self-explanatory.

Article 31

(1) The audit procedure shall be regulated by or based on a Regulation of the Finance Minister.***)

(2) The audit procedure as referred to in paragraph (1) provides, among other things, the re-audit, the audit period, the obligation to submit a

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

notification letter of audit results to the Taxpayer, and the Taxpayer's right to attend the final discussion of the audit result within the prescribed time limit. ***)

(3) If in the application of the audit, the Taxpayer does not fulfill any of the obligations as referred to in Article 29 paragraph (3) so that the taxable income calculation shall be carried out on in officio basis, the Director General of Taxes shall be obliged to submit a notification letter of audit results to the Taxpayer and shall give the Taxpayer the right to attend the final discussion of the audit result within the prescribed time limit. ***)

Elucidation of Article 31

Paragraph (1)

Self-explanatory.

Paragraph (2)

In order to better provide a balance of rights to the Taxpayers in responding to the findings of the audit result, the audit procedures provides, among other things, the obligation to submit a notification letter of audit result to the Taxpayer and give the Taxpayer the right to attend the final discussion of the audit result within the prescribed time limit. In the event the Taxpayer is not present within the prescribed time limit, the audit result shall be followed up in accordance with the provisions in the tax laws and regulations.

Paragraph (3)

Self-explanatory.

CHAPTER VII
SPECIAL PROVISIONS

Article 32

(1) In exercising the rights and obligations in accordance with the provisions in the tax laws and regulations, the Taxpayer is represented, in case of: ***)

a. a corporate, by the management;

b. a corporate that is declared bankrupt, by a curator;

c. a corporate in dissolution, by a person or corporate assigned to carry out the settlement;

d. a corporate in liquidation, by the liquidators;

e. an undivided inheritance, by one of his/her heirs, his/her

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

testamentary executor or his/her inheritance administrator; or

f. minor children or persons under curatele, by their guardian or custodian。

(2) The representatives as referred to in paragraph (1) are responsible individually and/or jointly for the payment of the tax payable, unless they are able to prove to and convince the Director General of Taxes that, in their position, they are really impossible to be held responsible for the tax payable. ***)

(3) An individual or corporate can appoint a proxy with a special power of attorney to exercise the rights and to perform the obligations in accordance with the provisions in the tax laws and regulations. ***)

(3a) A proxy who is appointed as referred to in paragraph (3) must have certain competencies in the taxation aspects, unless the appointed proxy is a husband, wife, or a biological family (*keluarga sedarah*) or a relative through marriage (*semenda*) up to the second degree. ******)

(4) Included in the definition of management as referred to in paragraph (1) letter a are persons who really have the authority to participate in determining the policies and/or in making decisions in operating the company. ***)

Elucidation of Article 32

Paragraph (1)

This Law determines who is the representative to exercise the taxation rights and to perform the taxation obligations of the Taxpayer for corporate, corporate that are declared bankrupt, corporate in dissolution, corporate in liquidation, undivided inheritances, and minor children or persons under curatele. For these Taxpayers, it is necessary to determine who is their representative or proxy because they cannot or may not carry out the legal action by themselves。

Paragraph (2)

This paragraph confirms that the Taxpayer's representative as regulated in this Law is personally or jointly responsible for the payments of the tax payable.

Exceptions may be considered by the Director General of Taxes if the Taxpayer's representative can prove and convince that in his/her position, according to the fairness and decency, it is impossible to be held responsible.

Paragraph (3)

This paragraph provides a forbearance and opportunity for Taxpayers to ask for assistance from other parties who understand the taxation issues

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

as their proxies, for and on behalf of them, to assist in exercising the taxation rights and obligations of the Taxpayer.

The assistance includes the performance of formal and material obligations as well as the fulfillment of the rights of the Taxpayer as determined in the tax laws and regulations.

"Proxy" means a person who receives a special power of attorney from the Taxpayer to exercise the rights and to perform certain tax obligations of the Taxpayer in accordance with the provisions in the tax laws and regulations.

Paragraph (3a)

Paragraph (4)

Persons who really have the authority to determine policies and/or to make decisions to the effect of carrying on the company activity, for example, authorized to sign contracts with third parties, sign checks, and so on, even though his/her name is not listed in the composition of the management board as specified in the deed of establishment and the deed of amendment, is included in the definition of management. Provisions in this paragraph also apply to the commissioners and the majority or controlling shareholders.

Article 32A ******)

(1) The Finance Minister appoints other parties to withhold, collect, deposit, and/or report the taxes in accordance with the provisions in the laws and regulations.

(2) Other parties as referred to in paragraph (1) are parties who are directly involved in or facilitate the transactions between the transacting parties.

(3) The assessment, collection, legal remedies, and imposition of sanctions on the Taxpayers as specified in the laws and regulations in taxation sector apply mutatis mutandis to other parties as referred to in paragraph (2).

(4) In the event the other party as referred to in paragraph (2) is an electronic system provider, in addition to being subject to sanctions as referred to in paragraph (3), such an electronic system provider may be subject to sanction in the form of access shutting-down after being given with a warning.

(5) In the event the other party as referred to in paragraph (4) has made withholding, collection, deposit, and/or reporting in accordance with the provisions of the statutory regulations after being given with a warning, the other party shall not subject to sanction of access shutting-down.

(6) In the event that the other party as referred to in paragraph (4) has

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

carried out withholding, collection, deposit, and/or reporting in accordance with the provisions of the statutory regulations after the access is shut-down, the other party's access shall be normalized again.

(7) The Minister who is in charge of government affairs in communication and information technology sector has the authority to conduct access shutting-down as referred to in paragraph (4) and to carry out access normalization as referred to in paragraph (6) based on the request of the Finance Minister.

Elucidation of Article 32A

Paragraph (1)

Self-explanatory.

Paragraph (2)

In order to increase the realization of potential taxation and to optimize the tax imposition, a withholding tax and/or collection scheme (withholding tax) can be applied through appointment of tax withholders and/or collectors, namely other parties.

Other parties appointed as tax withholders and/or collectors are tax subjects both Resident and Non-Resident, who are directly involved in or who facilitate transactions, for example by providing transaction facilities or media, including transactions that are carried out electronically.

Example 1:

PT ABC is a resident Taxpayer that provides a peer to peer lending platform in Indonesia. Mr. A lends an amount of funds to Mr. B through that platform. In this scheme, even though PT ABC is merely as intermediary for the transaction between Mr. A and Mr. B in the peer to peer lending platform, the Finance Minister may appoint PT ABC as another party to withhold, deposit, and report the taxes on income in the form of interests received by Mr. A from Mr. B.

Example 2:

R Inc. is a company that provides sites for video sharing that domiciles outside Indonesia. Mr. C, a content creator earns the income from R Inc. In this transaction, R Inc. is another party which can be appointed by the Finance Minister to withhold, deposit, and report the taxes on income paid to Mr. C.

Example 3:

PT DEF is a domestic marketplace platform provider as a forum for goods traders and/or service providers to post the offers of goods and/or services. PT PQR is a Taxable Entrepreneur who offers goods through the marketplace platform provided by PT DEF. Mr. Z purchases the goods

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

offered by PT PQR through the marketplace platform provided by PT DEF. PT DEF can be appointed by the Finance Minister as a VAT collector to collect, deposit, and report the VAT payable on the delivery of Taxable Goods by PT PQR to Mr. Z which is carried out through the marketplace platform provided by PT DEF.

Paragraph (3)

Arrangement regarding the assessment, collection, legal remedies, and imposition of sanctions on the Taxpayers in accordance with the Law on General Provisions and Procedures of Taxation and Law on Tax Collection with Distress Warrant also applies to other parties, including tax subjects that are located outside the jurisdiction of Indonesia.

Paragraph (4)

Electronic system provider is an electronic system provider as specified in the provisions of laws and regulations regarding electronic information and transaction.

Paragraph (5)

Self-explanatory.

Paragraph (6)

Self-explanatory.

Paragraph (7)

Self-explanatory.

Article 33

Deleted. ***)

Elucidation of Article 33

Deleted.

Article 34

(1) Any official is prohibited from disclosing to other parties everything he/she knows or notified to him by the Taxpayer within the framework of his/her position or work to perform the provisions in the tax laws and regulations. ***)

(2) The prohibition as referred to in paragraph (1) also applies to expert personnel appointed by the Director General of Taxes to assist in the implementation of the provisions in the tax laws and regulations. ***)

(2a) Excluded from the provisions as referred to in paragraph (1) and

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

paragraph (2) are:***)

a. officials and expert personnel who act as witness or expert witness in any court proceedings; or

b. officials and/or expert personnel who are designated by the Finance Minister to provide information to the officials of state institutions or the government agencies who are authorized to conduct audits in the field of state finance.

(3) In the interest of the state, to the effect of investigation, prosecution, or to the effect of establishing cooperation with state institutions, government agencies, legal entities established through laws or government regulations, or other parties, the Finance Minister has the authority to grant written permits to the officials as referred to in paragraph (1) and the expert personnel as referred to in paragraph (2) to give information and to show written evidences of or about the Taxpayer to the appointed party. ******)

(4) For the benefit of examination in the courts in criminal or civil cases, at the request of the judge in accordance with the Criminal Procedure Code and the Civil Procedure Code, the Finance Minister may give written permits to the officials as referred to in paragraph (1), and the expert personnel as referred to in paragraph (2), to provide and show written evidences and information of Taxpayer which are held by them. ***)

(5) The judge's request as referred to in paragraph (4) must specify the name of the suspect or the name of the defendant, the information requested, as well as the connection between the relevant criminal or civil case and the information requested. ***)

Elucidation of Article 34

Paragraph (1)

Any official, either tax officers or those who are on duty in taxation sector, are prohibited from disclosing the Taxpayer's confidentiality relating to the tax matters, such as:

a. Tax Return, financial statements, and others that are reported by the Taxpayer;

b. any data acquired in the course of audit;

c. any documents and/or data acquired from third parties that are confidential in nature;

d. any documents and/or confidentialities of the Taxpayer in accordance with the relevant provisions of laws and regulations.

Paragraph (2)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Any experts, such as linguists, accountants, and lawyers who are appointed by the Director General of Taxes to assist in the implementation of tax laws, likewise with the tax officials, are also prohibited from disclosing the Taxpayer's confidentialities as referred to in paragraph (1).

Paragraph (2a)

Information which can be disclosed are the Taxpayer's identity and general information on taxation.

The Taxpayer identity includes:

1. Taxpayer's name;
2. Taxpayer Identification Number;
3. Taxpayer's address;
4. business activity address;
5. business brand; and/or
6. Taxpayer's business activity.

a. General information on taxation includes:
b. national tax revenue;
c. tax revenue per Regional Office of the Directorate General of Taxes and/or per Tax Office;
d. tax revenue per type of tax;
e. tax revenue per business field classification;
f. number of registered Taxpayers and/or Taxable Entrepreneurs;
g. Taxpayer application register;
h. national tax arrears; and/or
i. tax arrears per Regional Office of the Directorate General of Taxes and/or per Tax Office.

Paragraph (3)

The cooperation as referred to in this paragraph is a giving or exchange of data and/or information between the Directorate General of Taxes and the state institutions, government agencies, legal entities established through Laws or Government Regulations, or other parties for the interest of the state to the effect of raising the state and regional revenues or carrying out the good governance administration and supporting the government policies.

The permit issued by the Finance Minister must specify the name of the Taxpayer, the name of the appointed party, and the name of the official,

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

expert, or expert personnel who is permitted to provide information or to show written evidence of or about the Taxpayer.

The permit issued by the Finance Minister to the effect of cooperation implementation for the interest of the state may omit to specify the name of the Taxpayer but must specify the type of data as specified in the cooperation.

The granting of such a permit shall be carried out on a limited basis in cases deemed necessary by the Finance Minister.

Paragraph (4)

To carry out examinations before the court in criminal or civil cases related to tax matters, for the benefit of the court, the Finance Minister grants exemption from the confidentiality obligation to the tax officials and the experts as referred to in paragraphs (1) and (2) at the written request of the presiding judge.

Paragraph (5)

This paragraph is a limitation and affirmation that the tax information requested shall be only regarding the criminal or civil cases concerning actions or events relating to the taxation sector and shall only be limited to the suspect in question.

Article 35

(1) If in implementing the provisions in the tax laws and regulations, any information or evidences are required from banks, public accountants, notaries, tax consultants, administrative offices, and/or other third parties, who have relationship with a Taxpayer who is subject to tax audit, tax collection, or investigation of criminal offenses in taxation sector, on the written request of the Director General of Taxes, these parties shall be obliged to provide the information or evidences requested. ***)

(2) In the event the parties as referred to in paragraph (1) are bound by a confidentiality obligation, for the purposes of examination, tax collection, or investigation on criminal offence in taxation sector, such an confidential obligation shall be eliminated, except for banks, the confidential obligation shall be eliminated on request at the written request of the Finance Minister. ***)

(3) Procedures for asking for information or evidences from the parties bound by a confidential obligation as referred to in paragraph (2) shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 35

Paragraph (1)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

To implement the provisions in the tax laws and regulations, on the written request of the Director General of Taxes, the third parties, namely banks, public accountants, notaries, tax consultants, administrative offices, and other third parties who have relationship with the business activity of the Taxpayer who is subject to the tax audit or tax collection or criminal investigation in taxation sector must provide the information or evidences requested.

"Tax consultant" means any person who in his/her work scope freely provides consulting services to Taxpayers in exercising their rights and performing their tax obligations in accordance with the provisions in the tax laws and regulations.

Paragraph (2)

For taxation purposes, the top management of Bank Indonesia on the request of the Finance Minister is authorized to issue written orders to banks to provide information and to show written evidences and letters pertaining to the financial condition of certain depositors to the tax officials.

Paragraph (3)

Self-explanatory

Article 35A

(1) Any government agency, institution, association, and other party, shall be obliged to provide data and information related to the taxation to the Directorate General of Taxes, the provisions of which shall regulated by the Government Regulation by taking into account the provisions as referred to in Article 35 paragraph (2). ***)

(2) In the event the data and information as referred to in paragraph (1) are insufficient, the Director General of Taxes has the authority to collect data and information for the benefit of state revenues the provisions of which shall regulated by the Government Regulation by taking into account the provisions as referred to in Article 35 paragraph (2). ***)

Elucidation of Article 35A

Paragraph (1)

To the effect of supervision of the obligation compliance as a consequence of the self-assessment system implementation, the Directorate General of Taxes highly requires data and information relating to the taxation originating from the government agencies, institutions, associations, and other parties. Such data and information are data and information of individuals or corporate that can describe the activity or business,

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

business turnover, the relevant incomes and/or assets, including information on debtor customers, data of financial transactions and foreign exchange traffic, credit cards, and the financial statements and/or business activity reports submitted to other agencies beyond the Directorate General of Taxes。

To the effect of implementation of this provision, the sources, types, and procedures for submission of data and information to the Directorate General of Taxes shall regulated by the Government Regulation。

Paragraph (2)

If the data and information relating to taxation provided by the government agencies, institutions, associations, and other parties are not sufficient, for the benefit of state revenues, the Director General of Taxes may collect data and information related to taxation in connection with the occurrence of an event that is supposedly related to fulfillment of the tax obligations of the Taxpayer by taking into account the provisions on the confidentiality of such data and information。

Article 36

(1) The Director General of Taxes due to its position or on the request of the Taxpayer may: ***)

a. reduce or eliminate the administrative sanction in the form of interest, fine, and increment owed in accordance with the provisions in the tax laws and regulations in the event that such sanctions are imposed due to the Taxpayer's negligence or not due to its fault;

b. reduce or cancel the incorrect tax assessment letter;

c. reduce or cancel the Tax Collection Letter as referred to in Article 14 which is incorrect; or

d. cancel the tax audit result or the tax assessment letter of the audit result that is carried out without:

1. submission of notification letter of audit results; or

2. final discussion of the audit result with the Taxpayer。

(1a) The request as referred to in paragraph (1) letter a, letter b, and letter c may only be submitted by a Taxpayer in maximum 2 (two) times. ***)

(1b) The request as referred to in paragraph (1) letter d may only be submitted by the Taxpayer 1 (one) time. ***)

(1c) The Director General of Taxes within not later than 6 (six) months as of the receipt date of the request as referred to in paragraph (1), must give

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

a decision on the request submitted. ***)

(1d) If the period as referred to in paragraph (1c) lapses but the Director General of Taxes does not give a decision, the Taxpayer's request as referred to in paragraph (1) shall be deemed granted. ***)

(1e) If requested by the Taxpayer, the Director General of Taxes shall be obliged to provide written information on matters that form the basis for refusing or granting partially the Taxpayer's request as referred to in paragraph (1c)). ***)

(2) The provisions on implementation of paragraph (1), paragraph (1a), paragraph (1b), paragraph (1c), paragraph (1d), and paragraph (1e) shall be regulated by or based on a Regulation of the Finance Minister. ***)

Elucidation of Article 36

Paragraph (1)

In practice, it may be found an administrative sanction imposed on the Taxpayer is inappropriate due to inaccuracy of the tax official which may burden the Taxpayer who is not guilty or does not understand the tax regulations. In such a case, the administrative sanction in the form of interest, fine, and increment that has been determined can be abolished or reduced by the Director General of Taxes.

In addition, the Director General of Taxes due to its position or on the request of the Taxpayer and based on the justice element can reduce or cancel the incorrect tax assessment letter, for example, a Taxpayer whose objection is declined due to does not meet the formal requirements (submitting the objection letter not timely) even though the material requirements are fulfilled.

Likewise, the Director General of Taxes may reduce or cancel any incorrect Tax Collection Letter due to its position or on the request of the Taxpayer.

In order to provide the justice and to protect the rights of the Taxpayer, the Director General of Taxes in its authority or on the request of the Taxpayer may cancel the results of a tax audit carried out without the submission of a notification letter of audit results or without final discussion of the audit result with the Taxpayer. However, in the event the Taxpayer is not present in the final discussion of the audit result within the determine time limit, the Taxpayer's request cannot be considered.

Paragraph (1a)

Self-explanatory.

Paragraph (1b)

Self-explanatory.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (1c)

Self-explanatory.

Paragraph (1d)

Self-explanatory.

Paragraph (1e)

Self-explanatory.

Paragraph (2)

Self-explanatory。

Article 36A

(1) A tax officer who, due to his/her negligence or intentionally, calculates or determines the tax not in conformity with the provisions of the tax law shall be subject to sanctions in accordance with the provisions in the laws and regulations. ***)

(2) A tax officer who, in carrying out his/her duty, intentionally acts beyond his/her authority as specified in the provisions in the tax laws and regulations, can be reported to the internal unit of the Ministry of Finance which is authorized to conduct inspection and investigation and if it is proven, he/she shall be subject to sanctions in accordance with the provisions in the laws and regulations. ***)

(3) A tax officer who, in carrying out his/her duty, is proven to have extorted and threatened the Taxpayer for his/her own benefit unlawfully, is threatened with punishment as referred to in Article 368 of the Criminal Code. ***)

(4) A tax officer who, with the aim of benefiting his/herself unlawfully by abusing his/her power, compels someone to give something, to pay or receive payment, or to do something for his/herself, is threatened with punishment as referred to in Article 12 of Law Number 31 of 1999 regarding Eradication of Corruption Crimes and the amendments thereto. ***)

(5) Tax officers cannot be prosecuted, either civilly or criminally, if in carrying out their duties they have relied on the good faith and in accordance with the provisions in the tax laws and regulations. ***)

Elucidation of Article 36A

Paragraph (1)

To the effect of safeguarding the state revenues and improving the professionalism of tax officers in implementing the provisions of the tax

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

law, a tax officer who intentionally calculate or determine taxes not in conformity with the law, resulting in a loss of state revenue, shall be subject to sanctions in accordance with the provisions in the laws and regulations.

Paragraph (2)

This paragraph regulates violations committed by tax officer, for example if a tax officer commits a violation in the employment sector, the tax officer can be reported for violating the statutory regulations in the employment sector. If the tax officer is deemed to have committed a criminal offence, the tax officer can be reported for having committed a criminal offence. Likewise, if a tax officer commits a criminal offence of corruption, the tax officer can be reported for committing a criminal offence of corruption.

In such circumstances, the Taxpayer can report the violation committed by the tax officer to the internal unit of the Ministry of Finance.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

A tax officer, in performing his/her duties, is deemed doing so on a good faith basis if such a tax officer, in performing his/her duties, does so not for seeking profit for his/herself, his/her family, group, and/or other actions that indicate a corruption, collusion, and/or nepotism.

Article 36B ***)

(1) The Finance Minister has the obligation to make a code of ethics for the employees of the Directorate General of Taxes.

(2) Employees of the Directorate General of Taxes shall be obliged to comply with the code of ethics for employees of the Directorate General of Taxes.

(3) Supervision of the implementation and accommodation of complaints on violations of the code of ethics for employees of the Directorate General of Taxes shall be carried out by the Code of Ethics Committee the provisions of which shall be regulated by or based on a Regulation of the Finance Minister.

Elucidation of Article 36B

Paragraph (1)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Article 36C***)

The Finance Minister establishes a tax supervisory committee, the provisions of which shall regulated by the Regulation of the Finance Minister.

Elucidation of Article 36C

Self-explanatory.

Article 36D ***)

(1) The Directorate General of Taxes may be given with incentives based on certain performance achievement.

(2) The giving of incentives as referred to in paragraph (1) is determined through the State Budget.

(3) Procedures for the giving and utilization of incentives as referred to in paragraph (1) shall regulated by the Regulation of the Finance Minister.

Elucidation of Article 36D

Paragraph (1)

Self-explanatory.

Paragraph (2)

The determination of the amount of incentive shall be made through discussions conducted by the Government with the elements of the House of Representatives in charge of the financial matters.

Paragraph (3)

Self-explanatory.

Article 37

Any change in the amount of interest compensations and administrative sanction in the form of interest, fine, and increment, shall be regulated by the Government Regulation. **)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Elucidation of Article 37

In accordance with the financial economic situation, the value of money will change. Therefore, the law authorizes the Government if necessary to issue a Government Regulation to change and adjust the amount of the interest compensations and the administrative sanction in the form of interest, fine, and increment, in accordance with the financial economic situation.

Article 37A ****)

(1) Any Taxpayer who submits a correction of the Annual Income Tax Return prior to the Fiscal Year 2007, which results the outstanding tax becoming higher and is carried out not later than on 28 February 2009, may be granted with reduction or elimination of administrative sanction in the form of interest for late settlement of the tax underpayment the provisions of which shall be regulated by or based on a Regulation of the Finance Minister. ****)

(2) An individual Taxpayer who voluntarily registers his/herself to obtain a Taxpayer Identification Number not later than 1 (one) year as of the enactment of this Law shall be given the abolition of administrative sanction for the unpaid or underpaid taxes for the Fiscal Year prior to the Taxpayer Identification Number is obtained and a tax audit shall not be conducted, unless there are data or information stating that the Tax Return submitted by the Taxpayer is incorrect or stating an overpayment. ***)

Elucidation of Article 37A

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

CHAPTER VIII
CRIMINAL PROVISIONS

Article 38

Any person who, due to his/her negligence: *****)

a. does not submit the Tax Return; or

b. submits a Tax Return, but its contents are incorrect or incomplete, or

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

attach information containing incorrect contents

so that may lead to a loss to the state income, shall be subject to a fine of at least 1 (one) time the amount of the tax payable unpaid or underpaid and in maximum 2 (two) times the amount of tax payable unpaid or underpaid, or sentenced with imprisonment in minimum 3 (three) months or in maximum 1 (one) year.

Elucidation of Article 38

Self-explanatory.

Article 39

(1) Any person who intentionally: ***)

a. does not register him/herself to be given with a Taxpayer Identification Number or does not report his/her business to be confirmed as Taxable Entrepreneur;

b. misuses or uses unrightfully the Taxpayer Identification Number or the Taxable Entrepreneur Confirmation;

c. does not submit the Tax Return;

d. submits the Tax Return and/or information the contents of which are incorrect or incomplete;

e. refuses to be subjected to an audit as referred to in Article 29;

f. shows books, records, or other documents that are false or falsified as if they were true, or are not representing the actual conditions;

g. does not carry out bookkeeping or recording in Indonesia, does not show or does not lend the books, records, or other documents;

h. does not keep books, records, or documents that form the basis for the bookkeeping or recording and other documents including the results of data processing of the bookkeeping that is managed electronically or administered by on-line application programs in Indonesia as referred to in Article 28 paragraph (11); or

i. does not deposit the taxes that have been withheld or collected.

so that may lead to a loss to the state income, shall be punished with imprisonment for in minimum 6 (six) months or in maximum 6 (six) years and a fine of at least 2 (two) times the amount of the tax payable unpaid or underpaid and in maximum 2 (two) times the amount of tax payable unpaid or underpaid.

(2) The imprisonment as referred to in paragraph (1) shall be added 1 (one) time to become 2 (two) times the imprisonment sanction if someone

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

commits another criminal offence in taxation sector before the lapse of 1 (one) year as of completing in undergoing the imprisonment sentence awarded.

(3) Any person who attempts to commit in a criminal offence of abusing or using unrightfully the Taxpayer Identification Number or the Taxable Entrepreneur Confirmation as referred to in paragraph (1) letter b, or submits the Tax Return and/or information the contents of which are incorrect or incomplete, as referred to in paragraph (1) letter d, to the effect of submitting an application for a restitution or making a tax compensation or tax credit, shall be punished with imprisonment for in minimum 6 (six) months and in maximum 2 (two) years and a fine of at least 2 (two) times the amount of the restitution applied for and/or the compensation or crediting made and in maximum 4 (four) times the amount of the restitution applied for and/or the compensation or crediting made.

Elucidation of Article 39

Paragraph (1)

The deeds or actions as referred to in this paragraph that are carried out intentionally shall be subject to severe sanctions considering the important role of the tax revenues in the state revenue.

These deeds or actions include any person who intentionally does not register him/herself, abuses or uses unrightfully the Taxpayer Identification Number, or misuses or uses unrightfully the Taxable Entrepreneur Confirmation.

Paragraph (2)

To prevent the repetition of criminal offence in taxation sector from occurring, those who commits in another criminal offence in taxation sector before the lapse of 1 (one) year as of completing in undergoing the imprisonment sentence awarded, shall be punished with more severe penal sanction, namely added 1 (one) time to become 2 (two) times the imprisonment sanction as specified in paragraph (1).

Paragraph (3)

The abuse or the use unrightfully the Taxpayer Identification Number or the Taxable Entrepreneur Confirmation, or the submission of the Tax Return the contents of which are incorrect or incomplete to the effect of submitting an application for tax restitution and/or tax compensation or tax crediting untruthfully is very detrimental to the state. Therefore, an attempt to commit in such an offence is a separate offense.

Article 39A ***)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Any person who intentionally:

a. issues and/or uses any tax invoice, proof of tax collection, proof of withholding tax, and/or proof of tax payment not based on actual transactions; or

b. issues a tax invoice but has not been confirmed to be Taxable Entrepreneur

shall be punished with imprisonment for in minimum 2 (two) years and in maximum 6 (six) years and a fine of at least 2 (two) times the amount of tax in the tax invoice, proof of tax collection, proof of withholding tax, and/or proof of tax payment and in maximum 6 (six) times the amount of tax in the tax invoice, proof of tax collection, proof of withholding tax, and/or proof of tax payment.

Elucidation of Article 39A

Tax invoice as a proof of tax levy is a very important administrative means in implementing the Value Added Tax provisions. Likewise, proof of withholding tax and proof of tax collection is a means for crediting or reducing the tax payable, thus, any misuse of tax invoice, proof of withholding tax, proof of tax collection, and/or proof of tax payment can have a negative impact on the successful collection of the Value Added Taxes and Income Taxes. Therefore, the such a misuse in the form of issuance and/or use of tax invoice, proof of withholding tax, proof of tax collection, and/or proof of tax payment that is not based on actual transactions shall be subject to imprisonment sanctions.

Article 40 ******)

Any criminal offense in taxation sector cannot be prosecuted after the lapse of 10 (ten) years since the time the tax is due, the Tax Period expiry, the Portion of Fiscal Year expiry, or the relevant Fiscal Year expiry.

Elucidation of Article 40

Prosecution against criminal offence in taxation sector shall expire 10 (ten) years as of the time the tax is due, the expiry of the Tax Period, the Portion of Fiscal Year, or the relevant Fiscal Year. This is intended to provide legal certainty for the Taxpayers, the public prosecutors and the judges.

"Prosecution" means a submission of a notification letter of the commencement of investigation to the public prosecutor through an investigator official of the Indonesian National Police and/or to the reported party.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Article 41 ***)

(1) An official who due to his/her negligence does not fulfill the obligation to keep things confidential as referred to in Article 34 shall be punished with imprisonment for in maximum 1 (one) year and a fine of in maximum Rp. 25.000.000,00 (twenty-five million rupiah).

(2) An official who intentionally does not fulfill his/her obligations or someone who causes non fulfillment of the official's obligations as referred to in Article 34 shall be punished with imprisonment for in maximum 2 (two) years and a fine of in maximum Rp. 50.000.000,00 (fifty million rupiah).

(3) The prosecution against criminal offence as referred to in paragraphs (1) and (2) shall only be carried out upon report from person(s) whose confidentiality has been violated.

Elucidation of Article 41

Paragraph (1)

In order to ensure that confidentiality of taxation will not be disclosed to other parties and in order that the Taxpayer does not hesitate in providing data and information, to the effect of implementation of Taxation Law, it is necessary to establish imprisonment sanctions on the relevant official who has caused such a disclosure of confidentiality occurrence.

The confidentiality disclosure as referred to in this paragraph is carried out due to negligence in the sense of being negligent, careless, or disobedient so that the obligation to keep confidential the information or evidences of the Taxpayer that is protected by the Taxation Law is violated. For such negligence, the perpetrator shall be punished with an appropriate punishment.

Paragraph (2)

The deeds or actions as referred to in this paragraph that are carried out intentionally shall be subject to more severe sanctions than the deeds or actions taken due to negligence so that the relevant official is more careful so as not to commit in divulgence of the Taxpayer's confidentiality.

Paragraph (3)

The criminal prosecution against the breach of confidentiality as referred to in paragraph (1) and paragraph (2), by its nature, relates to the personal interest of a person or corporate as a Taxpayer.

Article 41A ***)

Any person who shall be obliged to provide the required information or evidence

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

as referred to in Article 35 but intentionally does not provide such an information or evidence, or provides incorrect information or evidence, shall be subject to imprisonment of maximally 1 (one) year a fine of maximally Rp. 25.000.000,00 (twenty-five million rupiah)。

Elucidation of Article 41A

In order that the third party fulfill the request of the Director General of Taxes as specified in Article 35, it is necessary to establish sanctions on the relevant third party who commits such a deed or action as referred to in this Article.

Article 41B***)

Any person who deliberately obstructs or makes difficult the investigation of a criminal offence in taxation sector shall be punished with imprisonment for in maximum 3 (three) years and a fine of in maximum Rp.75.000.000,00 (seventy-five million rupiah).

Elucidation of Article 41B

A person who commits in any action to obstruct or make difficult any investigation of a criminal offence in taxation sector, for example, preventing the investigator from conducting a search and/or hiding the evidences as referred to in this Article, shall be subject to an imprisonment sanction.

Article 41C***)

(1) Any person who intentionally does not fulfill the obligations as referred to in Article 35A paragraph (1) shall be subject to imprisonment of maximally 1 (one) year or a maximum fine of Rp. 1.000.000.000,00 (one billion rupiah).

(2) Any person who intentionally causes non performance of any obligations of the official and other parties as referred to in Article 35A paragraph (1) shall be punished with imprisonment for in maximum 10 (ten) months or a fine of maximally Rp.800.000.000,00 (eight hundred million rupiah).

(3) Any person who intentionally does not provide data and information requested by the Director General of Taxes as referred to in Article 35A paragraph (2) shall be subject to imprisonment of maximally 10 (ten) months or a maximum fine of Rp.800.000.000,00 (eight hundred million rupiah).)。

(4) Any person who intentionally misuses the taxation data and information so as to inflict losses to the state shall be subject to imprisonment of maximally 1 (one) year or a maximum fine of Rp. 500.000.000,00 (five

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

hundred million rupiah).

Elucidation of Article 41C

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory

Article 42

Deleted.

Elucidation of Article 42 *)

Deleted.

Article 43 ***)

(1) The provisions as referred to in Article 39 and Article 39A, also apply to any representatives, proxies, employees of the Taxpayer, or other parties who ask to commit, who participate in committing, who recommend, or who assist in the committing in the criminal offence in taxation sector.

(2) The provisions as referred to in Article 41A and Article 41B also apply to those who ask to commit, who recommend, or who assist in committing in the criminal offence in taxation sector.

Elucidation of Article 43

Paragraph (1)

Those who shall be subject to imprisonment for committing in criminal offence in taxation sector are not limited to the Taxpayer, Taxpayer's representatives, Taxpayer's proxies, Taxpayer employees, Public Accountants, Tax Consultants, or other parties, but also those who ask to commit, who participate in committing, who recommend, or assist in the committing in the criminal offence in taxation sector。

Paragraph (2)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Self-explanatory.

CHAPTER IX
INVESTIGATION

Article 43A ***)

(1) The Director General of Taxes, based on information, data, reports, and complaints, is authorized to conduct preliminary evidence examination before an investigation of criminal offence in taxation sector is carried out.

(1a) The Preliminary Evidence Examination shall be carried out by the Civil Servant Investigating Officer within the milieu of the Directorate General of Taxes who receives an order of preliminary evidence examination.******)

(2) In the event there any indication of criminal offence in taxation sector involving an officer of the Directorate General of Taxes, the Finance Minister may assign an internal audit unit within the milieu of the Ministry of Finance to carry out a preliminary evidence examination. ******)

(3) If from the preliminary evidence found any corruption criminal offence element, the relevant officer of the Directorate General of Taxes shall be processed according to the provisions of the Corruption Law.

(4) Procedures for examining the preliminary evidence of criminal offence in taxation sector as referred to in paragraph (1) and paragraph (2) shall be regulated by or based on a Regulation of the Finance Minister.

Elucidation of Article 43A

Paragraph (1)

Any information, data, reports, and complaints received by the Directorate General of Taxes will be developed and analyzed through intelligence activity and/or other activities, the results of which can be either followed up with an Audit, Preliminary Evidence Examination, or not followed up.

Preliminary Evidence Examination has the same purpose and position as the investigation as regulated in the Law governing the criminal procedural law.

Paragraph (1a)

Self-explanatory

Paragraph (2)

Self-explanatory.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory。

Article 44

(1) Investigation of criminal offence in taxation sector may only be carried out by a certain Civil Servant Official within the milieu of the Directorate General of Taxes who is given with special authorities as an investigator of criminal offence in taxation sector.

(2) The authorities of the investigator as referred to in paragraph (1) include: ******)

a. to receive, seek out, collect, and inspect information or reports relating to criminal offence in taxation sector to allow such information or reports become more complete and clear;

b. to examine, seek out, and collect information on individuals or corporate regarding the truth of the actions committed in relation to a criminal offence in taxation sector;

c. to ask for information and evidences from individuals or corporate in relation to a criminal offence in taxation sector;

d. to examine the books, records, and other documents relating to a criminal offence in taxation sector;

e. to conduct searches to obtain evidences in the form of books, records, and other documents, as well as other evidences allegedly related to a criminal offence in taxation sector and/or to confiscate any of the aforesaid evidences;

f. to ask for assistance from the expert personnel to the effect of implementation of the task of investigating the criminal offence in taxation sector;

g. to ask to stop and/or to prohibit someone from leaving the room or the place while the inspection is in progress and to check the identity of persons, objects, and/or documents brought with them;

h. to photograph a person relating to a criminal offence in taxation sector;

i. to summon persons to have their statements are heard and be examined as suspects or witnesses;

j. to block the assets of the suspect in accordance with the provisions of the statutory regulations and/or to confiscate the assets of the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

suspect in accordance with the laws governing the criminal procedural law, including but not limited to the existence of permit of the chairman of the local district court

k. to stop the investigation; and/or

l. to take other necessary actions for smooth implementation of investigation on criminal offence in taxation sector in accordance with the provisions of the statutory regulations.

(3) The investigator as referred to in paragraph (1) shall notify the commencement of the investigation and submit their investigation results to the public prosecutor through the investigator official of the State Police of the Republic of Indonesia in accordance with the provisions as specified in the Law on Criminal Procedural Law. ***)

(4) To the effect of implementation of the investigation authority as referred to in paragraph (1), the investigator may request for assistance from other law enforcement officers. ***)

Elucidation of Article 44

Paragraph (1)

Certain Civil Servant Officials within the milieu of the Directorate General of Taxes who are appointed as investigators of criminal offence in taxation sector by the competent authorities are investigators of criminal offence in taxation sector. Investigation of criminal offence in taxation sector shall be carried out in accordance with the provisions as specified in the prevailing Criminal Procedural Law.

Paragraph (2)

Letter a

Self-explanatory.

Letter b

Self-explanatory.

Letter c

Self-explanatory.

Letter d

Self-explanatory.

Letter e

Self-explanatory.

Letter f

Self-explanatory.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Letter g

Self-explanatory.

Letter h

Self-explanatory.

Letter i

Self-explanatory.

Letter j

Confiscation for the purpose of recovering losses in state income can be carried out on movable or immovable goods, including bank accounts, receivables, and securities belonging to the Taxpayers, Tax Bearers, and/or other parties who have been determined as the suspects. Confiscations shall be carried out by an investigator in accordance with the provisions of the criminal procedural law, including:

1. must obtain permit from the chairman of the local district court;
2. in crucial and urgent circumstances, the investigators can confiscate and immediately report to the chairman of the local district court for their approval.

"Another party" means a party who asks to commit, who participates in the committing, who recommends, or who assists in committing in a criminal offence in taxation sector.

The blocking shall be carried out by requesting for blocking to the competent authorities such as banks, land offices, Samsat offices and others.

Letter k

Self-explanatory.

Letter l

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Article 44A

The investigator as referred to in Article 44 paragraph (1) shall terminate the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Investigation as referred to in Article 44 paragraph (2) letter k in the event: ******)

a. The Taxpayer discloses any of the misdemeanors as specified in Article 8 paragraph (3);

b. there is not enough evidence;

c. the event is not a criminal offence in taxation sector; or

d. for the sake of law。

Elucidation of Article 44A

In the event the investigation of a criminal offense in taxation sector is terminated, except due to its event has expired, the tax assessment letter can still be issued。

Article 44B

(1) For the benefit of state revenues, on the request of the Finance Minister, the Attorney General may terminate the investigation on criminal offence in taxation sector within not later than 6 (six) months as of the request letter date. ***)

(2) The termination of investigation on criminal offence in taxation sector as referred to in paragraph (1) shall only be carried out after the Taxpayer or the suspect has paid fully: ******)

a. the loss in the state revenue as referred to in Article 38 plus administrative sanction in the form of fine at 1 (one) time the amount of loss in the state revenue;

b. the loss in the state revenue as referred to in Article 39 plus administrative sanction in the form of fine at 3 (three) times the amount of the loss in the state revenue; or

c. the amount of tax in the tax invoice, proof of tax collection, proof of withholding tax, and/or proof of tax payment as referred to in Article 39A plus administrative sanction in the form of fine at 4 (four) times the amount of tax in the tax invoice, proof of tax collection, proof of withholding tax, and/or proof of tax payment

(2a) In the event a criminal case has been passed to the court, the defendant can still pay off: ******)

a. the loss in state revenue plus the administrative sanction as referred to in paragraph (2) letter a or letter b; or

b. the amount of tax in the tax invoice, proof of tax collection, proof of withholding tax, and/or proof of tax payment plus the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

administrative sanction as referred to in paragraph (2) letter c.

(2b) The pay of as referred to in paragraph (2a) becomes a consideration for prosecution without being accompanied with an imprisonment sentence award. ******)

(2c) In the event the payment made by the Taxpayer, the suspect, or the defendant at the investigation stage until the court trial does not meet the amount as referred to in paragraph (2), such a payment can be taken into account as payment of a fine sentence imposed on the defendant. ******)

(3) Deleted. ******)

Elucidation of Article 44B

Paragraph (1)

For the benefit of state revenues, on the request of the Finance Minister, the Attorney General may terminate an investigation of tax crime as long as such criminal case has not been passed to the court.

Paragraph (2)

In the event the investigation process has determined more than 1 (one) person or corporate as the suspects, each of the suspects also has the right to request for investigation termination for him/herself.

The request for investigation termination shall be submitted by the suspect after paying off the total loss in state revenue; the amount of tax payable unpaid or underpaid; the amount of tax in the tax invoice, proof of tax collection, proof of withholding tax, and/or proof of tax payment; the amount of restitution applied for and/or tax compensation or tax credit made, in accordance with the proportion to which he/she is liable plus administrative sanction in the form of fine.

Example:

Investigator conducts an investigation against PT XYZ with a loss in the state income of Rp. 100.000.000,00. On this case, A and B are determined as the suspects. Based on the examination results, it is known that A received a benefit of Rp. 15.000.000,00, while B received a benefit of Rp. 5.000.000,00. A and B then request for investigation termination and ask for information on losses in the state revenue that they must pay off.

Based on the benefits received by A and B, the amounts of losses in the state revenue that must be paid off to the effect of request for investigation termination are as follows:

1. A should pay off the amount of (Rp.15.000.000,00/Rp.20.000.000,00) x Rp.100.000.000,00 = Rp.75.000.000,00

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

2. B must pay off the amount of (Rp.5.000.000.000,00/Rp.20.000.000,00) x Rp.100.000.000,00 = Rp.25.000.000,00

Paragraph (2a)

Considering the handling of criminal cases in taxation sector prioritizes more on the recovery of losses in the state revenue than the punishment, the opportunity for the defendant to pay off the amount of losses in the state revenue; the amount of tax payable unpaid or underpaid; the amount of tax in the tax invoice, proof of tax collection, proof of withholding tax, and/or proof of tax payment; the amount of restitution requested for and/or the tax compensation or credits made, in accordance with the proportion to which he/she is liable plus administrative sanction in the form of fine is extended up to the trial stage.

Article 44C ******)

(1) The fine as referred to in Article 39 and Article 39A cannot be replaced by imprisonment and must be paid by the convicted.

(2) In the event the convicted does not pay the fine sentence as referred to in paragraph (1) not later than 1 (one) month as of the court's judgment has been in full force and effect, the prosecutor shall confiscate and auction the assets of the convicted to pay the fine sentence in accordance with the provisions of the statutory regulations.

(3) In case, after the tracing and confiscation of assets has been carried out, the convicted individual does not have sufficient assets to pay the fine sentence, he/she can be punished with imprisonment the length of which shall not exceed the imprisonment awarded.

Elucidation of Article 44C

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

The length of imprisonment as a subsidiary to a fine shall be determined in a court award.

Article 44D ******)

(1) In the event the defendant has been legally summoned and is not present

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

at the court session without an acceptable reason, the case of criminal offence in taxation sector can still be examined and decided without the presence of the defendant.

(2) In the event the defendant as referred to in paragraph (1) is present at the court trial before the judgment is awarded, the defendant shall be examined, and all witness testimonies and letters read out in the previous trial are considered as spoken in the court trial.

Elucidation of Article 44D

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory。

CHAPTER IXA
DELEGATION OF AUTHORITY

Article 44E ******)

(1) Further provisions on the provision of data to the effect of integration of the population database with the taxation database as referred to in Article 2 paragraph (10) shall be regulated by or based on a Government Regulation。

(2) Further provisions on:

a. the period of registration and reporting and the procedures for registration and confirmation as referred to in Article 2 paragraph (1), paragraph (2), paragraph (3), and paragraph (4) including the use of personnel registration number as Taxpayer Identification Number, the abolition of Taxpayer Identification Number and/or revocation of Taxable Entrepreneur Confirmation;

b. the giving of and request for tax collection assistance as referred to in Article 20A paragraph (2);

c. the holding and delivery of proceeds of tax collection on tax claims as referred to in Article 20A paragraph (9);

d. the implementation of mutual agreement procedure as referred to in Article 27C paragraph (1);

e. the exercise of rights and fulfillment of tax obligations by a proxy as referred to in Article 32 paragraph (3) and certain competencies that must be possessed by a proxy as referred to in Article 32 paragraph (3a);

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

f. the assignment, withholding, collection, deposit, and/or reporting of the tax that has been withheld or collected by other parties as referred to in Article 32A paragraph (2);

g. assessment, collection, and legal remedies as referred to in Article 32A paragraph (3);

h. the giving of warning as referred to in Article 32A paragraph (4) and the request for access shutting-down and access normalization as referred to in Article 32A paragraph (7); and

i. the request for termination of investigation on criminal offence in taxation sector as referred to in Article 44B paragraph (1) and the settlement as referred to in Article 44B paragraph (2) and paragraph (2a),

shall be regulated by or based on Regulations of the Finance Minister

Elucidation of Article 44E

Self-explanatory

CHAPTER X
TRANSITIONAL TERMS

Article 45

For taxes that are payable at any time, for the Tax Period, the Portion of Fiscal Year, or the Fiscal Year that ends prior to the enactment of this Law, the provisions in the old tax laws and regulations shall remain in full force and effect until 31 December 1988.

Elucidation of Article 45

Although the old Taxation Law has been revoked with the promulgation of this Law, to accommodate the settlement of the tax assessments that are payable in the tax periods or years prior to the enactment of this Law, the implementation of which is still based on the provisions in the old tax laws and regulations, this law determines the validity period of the old laws and regulations until 31 December 1988. The determination of such a five-year period is adjusted to the tax collection expiry。

Article 46

Upon the coming into effect of this Law, all the old implementing regulations in taxation sector shall remain in full force and effect as long as not contrary to this Law。

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Elucidation of Article 46

Self-explanatory.

Article 47

Deleted. *)

Elucidation of Article 47

The provisions of this article are deleted, because substantively they are the materials of the Law on Income Tax and have been regulated in that Law.

Article 47A **)

To all of the tax rights and obligations of Fiscal Year 1995 up to Fiscal Year 2000, the provisions in Law Number 6 of 1983 regarding General Provisions and Procedures of Taxation as amended by Law Number 9 of 1994 apply prior to the amendment is made based on Law Number 16 of 2000.

Elucidation of Article 47A

In order to provide certainty to the Taxpayers regarding tax rights and obligations that have not been settled for the fiscal year 2000 and earlier, the Law Number 6 of 1983 regarding General Provisions and Procedures of Taxation as amended by Law Number 9 of 1994 shall remain apply.

CHAPTER XI
CLOSING PROVISION

Article 48

Matters which have not been sufficiently regulated in this Law, shall be regulated further by the Government Regulation.

Elucidation of Article 48

To accommodate matters that have not been sufficiently regulated regarding the procedures or the completeness the materials of which have been included in this Law, they are regulated further by Government Regulations. Therefore, it will be easier to make adjustment of the implementation of this Law and the necessary procedures.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Article 49

The provisions in this Law also apply to other tax laws unless specified otherwise.

Elucidation of Article 49

Self-explanatory.

Article 50

This law came into force as of 1 January 1984.

Elucidation of Article 50

Self-explanatory

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)



TAXPAYERS,
HELP INDONESIA TO MOVE

Tax Payment is a form of contribution of the Indonesian people in the national development which aims to improve the welfare of the nation both materially and spiritually. Pay the tax in a compact way, towards more advanced Indonesia!

djp

PRESIDENT
OF THE REPUBLIC OF INDONESIA

COMPILATION INTO SINGLE DOCUMENT OF LAW OF THE REPUBLIC OF INDONESIA NUMBER 7 OF 1983 REGARDING INCOME TAX AS AMENDED SEVERAL TIMES, LASTLY BY LAW OF THE REPUBLIC OF INDONESIA NUMBER 7 OF 2021

CHAPTER I
GENERAL PROVISIONS

Article 1

Income Tax is imposed to the Tax Subjects on the incomes received or earned in the fiscal year. **)

Elucidation of Article 1

This Law regulates the imposition of Income Tax on the tax subjects in relation to incomes received or earned in the fiscal year. The tax subjects are imposed to tax if they receive or earn an income. Any tax subject who receives or earn incomes is, in this Law, called as Taxpayer. The Taxpayers are taxed on the incomes they receive or earn during a fiscal year or may also be taxed on the income in a fraction of fiscal year, if their subjective tax obligation commences or ends in the fiscal year.

"Fiscal year" in this Law means a calendar year, but Taxpayers may use a book year that is different from the calendar year, as long as the book year covers a period of 12 (twelve) months. ****)

CHAPTER II
TAX SUBJECT

Article 2

(1) The tax subjects include:

a. 1. individual persons; and

2. undivided inheritances as one unity replace those who are entitled;

b. corporate; and

c. permanent establishments. *****)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(1a) Permanent establishment is a tax subject whose tax treatment is equal to a corporate tax subject. ****)

(2) Tax subjects are distinguished into resident tax subjects and non-resident tax subjects. ****)

(3) Resident tax subjects are:

a. individual persons, either Indonesian citizens or foreign citizens who:

1. reside in Indonesia;

2. are staying in Indonesia for more than 183 (one hundred and eighty-three) days within 12 (twelve) months period; or

3. within a fiscal year, are staying in Indonesia and having the intention to reside in Indonesia;

b. corporate established or having their domicile in Indonesia, except for certain units of government agencies that meet the following criteria:

1. their establishment is based on the provisions of statutory regulations;

2. their financing derived from the State Budget or the Regional Budget;

3. their revenues are included in the Central Government budget or Regional Government budget; and

4. their bookkeeping are audited by the state functional supervisory apparatus; and

c. undivided inheritances as one unity replace those who are entitled. *****)

(4) Non-resident tax subjects are:

a. individual persons who do not reside in Indonesia;

b. foreign citizens staying in Indonesia for not more than 183 (one hundred and eighty-three) days within 12 (twelve) months period;

c. Indonesian citizens who are staying outside Indonesia for more than 183 (one hundred and eighty-three) days within 12 (twelve) months period and meet the following requirements:

1. residence;

2. main activity center;

3. place of practice;

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

4. tax subject status; and/or

5. other specific requirements

the further provisions on the requirements of which shall be regulated in a Regulation of the Finance Minister; and

d. corporate that are not established and not having their domicile in Indonesia that carry on business or carry out the activity through a permanent establishment in Indonesia or that may receive or earn incomes from Indonesia not from carrying on business nor carrying out activities through a permanent establishment in Indonesia. *****)

(5) Permanent establishment is a form of business used by an individual as referred to in paragraph (4) letter a, letter b, and letter c, and a corporate as referred to in paragraph (4) letter d to carry on business or carry out activities in Indonesia which can be in the form of :

a. management domicile;

b. company branches;

c. representative offices;

d. office buildings;

e. factories;

f. workshops;

g. warehouses;

h. space for promotion and sales;

i. mining and quarrying of natural resources;

j. oil and natural gas mining work areas;

k. fishery, animal husbandry, agriculture, plantation, or forestry;

l. construction, installation, or assembly projects;

m. provision of services in any form by employees or other persons as long as carried out for more than 60 (sixty) days within 12 (twelve) months period;

n. persons or corporate who act as agent whose position is not independent;

o. agents or employees of insurance companies that are not established and not domiciled in Indonesia who receive insurance premiums or bear the risks in Indonesia; and

p. computers, electronic agents, or automated equipments owned, rented, or used by electronic transaction providers to carry out

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

business activities via the internet. *****)

(6) Residential places of individual persons or domicile of a corporate shall be determined by the Director General of Taxes according to the actual situation. ***)

Elucidation of Article 2

Paragraph (1)

Letter a

Individuals as tax subjects can reside or stay in Indonesia or outside Indonesia. Undivided inheritances as one unity are substitute tax subjects, replace those who are entitled, namely the heirs. Designation of undivided inheritances as a substitute tax subject is intended that the imposition of taxes on the incomes derived from the inheritances can still be implemented.

Letter b

Corporate is a group of persons and/or capitals which is a unity whether doing business or not doing business including limited liability company, commanditaire company, other companies, state-owned enterprise or regionally-owned enterprise in whatever name and form, firm, syndicate, cooperative, pension fund, partnership, association, foundation, mass organization, socio-political organization, or other organizations, institution and other forms of corporate including collective investment contracts and permanent establishments. State-owned enterprises and regional-owned enterprises are tax subject regardless their name and form, thus, each of certain units of the Government agency, such as, institutions, agencies, etc., owned by the Central Government and Regional Governments that carry on business or carry out activities to earn income are tax subjects.

By definition, association also includes associations, unions, unions, or society of parties who have the same interest.

Letter c

Self-explanatory.

Paragraph (1a)

Self-explanatory.

Paragraph (2)

Tax subjects are distinguished into resident tax subjects and non-resident tax subjects. Resident individual tax subject becomes a Taxpayer if he/she has received or earned income in the amount of exceeding the Non-

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Taxable Income.

A resident corporate tax subject becomes a Taxpayer as of the time it is established, or having its domicile in Indonesia. Non-resident tax subjects, either individuals and corporate, are also Taxpayers because they receive and/or earn income derived from Indonesia or receive and/or earn income derived from Indonesia through a permanent establishment in Indonesia. In other words, a Taxpayer is an individual or corporate that has fulfilled the subjective and objective obligations. In relation to the ownership of Taxpayer Identification Number (TIN), an individual Taxpayer who receives income lower than the Non-Taxable Income (PTKP) is not obliged to register him/herself to obtain a TIN (NPWP).

Important difference between the resident Taxpayer and the non-resident Taxpayer lies on the fulfillment of their tax obligations, including:

a. A resident Taxpayer is subject to tax on income either received or earned from Indonesia or from outside Indonesia, whereas a non-resident Taxpayer is subject to tax only on the income derived from income sources in Indonesia;

b. A resident Taxpayer is taxed based on net income at the general rate, whereas a non-resident Taxpayer is taxed based on gross income at equivalent tax rate; and

c. Resident Taxpayers shall be obliged to submit an Annual Income Tax Return as a means to determine the tax payable in a fiscal year, whereas the non-resident Taxpayers are not obliged to submit the Annual Income Tax Return because their tax obligations are fulfilled through final withholding tax.

For non-resident Taxpayers who carry on business or carry out activities through a permanent establishment in Indonesia, the fulfillment of their tax obligations is equated with fulfillment of tax obligations of resident corporate Taxpayers as specified in this Law and the Laws that govern the general provisions and procedures of taxation.

Paragraph (3)

Letter a

In principle, individuals who are subject to the resident taxes are individuals who reside or stay in Indonesia. Included in the definition of individuals who reside in Indonesia are those who intend to reside in Indonesia. Whether a person has the intention to reside in Indonesia is considered according to the circumstance. The presence of an individual in Indonesia for more than 183 (one hundred and eighty-three) days is not necessarily have to be consecutive, but is determined by the number of days such a

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

person is staying in Indonesia within 12 (twelve) months period since his/her arrival in Indonesia.

Letter b

Self-explanatory.

Letter c

An undivided inheritance left by an individual as a resident tax subject is deemed as resident tax subject in the meaning of this Law following the heir's status. As to for the implementation of fulfillment of their tax obligations, such an inheritance replaces the obligations of the entitled heirs. If the inheritance has been divided, their tax obligations pass to the heirs.

Undivided inheritance left by an individual as a non-resident tax subject who does not carry on business nor carry out activities through a permanent establishment in Indonesia, is not considered as a substitute tax subject because the imposition of tax on the incomes received or earned by the individual attaches to the object.

Paragraph (4)

Non-resident tax subject is an individual or corporate who resides or domiciles outside Indonesia who can receive or earn income from Indonesia, either through or without a permanent establishment.

An individual who does not reside in Indonesia, but stays in Indonesia for not more than 183 (one hundred and eighty-three) days within 12 (twelve) months period, that person is a non-resident tax subject.

If income is received or earned through a permanent establishment, then the individual or corporate is taxed through the permanent establishment. The status of such an individual or corporate remains as a non-resident tax subject. Thus, such a permanent establishment replaces an individual or corporate as a non-resident tax subject in fulfilling their tax obligations in Indonesia. In the event the income is received or earned other than through a permanent establishment, the tax will be imposed directly on such a non-resident tax subject.

Paragraph (5)

A permanent establishment implies the existence of a place of business, namely a facility which can be in the form of land and building, including machineries, equipments, warehouses and computers or electronic agents or automated equipments that are owned, rented or used by an electronic transaction provider to carry on business activity via the internet.

The place of business is permanent and is used to carry on business or

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

carry out the activity of an individual who does not reside or a corporate that is not established and does not have its domicile in Indonesia.

The definition of permanent establishment also includes an individual or corporate as an agent whose position is not independent who acts for and on behalf of an individual or corporate who does not reside or does not have its domicile in Indonesia. An individual who does not reside or a corporate that is not established and does not have its domicile in Indonesia cannot be deemed a having a permanent establishment in Indonesia if the individual or corporate, in carrying on business or carrying out activities in Indonesia, uses an agent, broker or intermediary who has independent status, provided that the agent or intermediary is in fact acting fully to the effect of carrying on his/her own company.

An insurance company that is established and that has its domicile outside Indonesia is deemed to have a permanent establishment in Indonesia if the insurance company receives insurance premium payments or bears the risks in Indonesia through its employees, representatives or agents in Indonesia. Bearing the risk in Indonesia does not mean that the event giving rise to the risk occurs in Indonesia. Something to note is that the insured party resides, stays, or having its domicile in Indonesia.

Paragraph (6)

Determination of the residential place of an individual or the domicile of a corporate is important to determine which Tax Office has the taxation jurisdiction over the incomes received or earned by the individual or corporate.

Basically, residential place of an individual or domicile of a corporate is determined according to the real situation. Thus, determination of residential place or domicile is not only based on formal considerations, but is based more on the reality.

There are several things that need to be considered by the Director General of Taxes in determining the residential place of a person or the place of domicile of a corporate, such as, domicile, residential address, family residential address, place of business activity or other things that need to be considered to facilitate the fulfillment of tax obligations.

Article 2A

(1) The subjective tax obligation of an individual as referred to in Article 2 paragraph (3) letter a begins when the individual is born, is staying, or is intending to reside in Indonesia and ends when he/she dies or leaves Indonesia forever. **)

(2) The subjective tax obligation of a corporate as referred to in Article 2 paragraph (3) letter b begins when the corporate is established or having

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

their domicile in Indonesia and ends when it is dissolved or ceasing from having their domicile in Indonesia. **)

(3) The subjective tax obligation of an individual or corporate as referred to in Article 2 paragraph (4) letter a begins when the individual or corporate is carrying on the business or carrying out the activity as referred to in Article 2 paragraph (5) and ends when it is ceasing from carrying on the business or carrying out the activity through a permanent establishment. **)

(4) The subjective tax obligation of an individual or corporate as referred to in Article 2 paragraph (4) letter b begins when the individual or corporate is receiving or earning income from Indonesia and ends when the individual or corporate is ceasing from receiving or earning such an income. **)

(5) The subjective tax obligation of undivided inheritance as referred to in Article 2 paragraph (1) letter a number 2) begins at the time of incurrence of the undivided inheritance and ends when such an inheritance is divided completely. **)

(6) If the subjective tax obligation of an individual who resides or stays in Indonesia only covers a fraction of fiscal year, then such a fraction of fiscal year replaces the fiscal year. **)

Elucidation of Article 2A

Income Tax is a type of subjective tax the tax obligations of which attach to the relevant Tax Subject, meaning such a tax obligation is intended not to be delegated to another Tax Subject. Therefore, in order to provide legal certainty, the determination of the commencement and end time of the subjective tax obligation is important.

Paragraph (1)

The subjective tax obligation of an individual who resides in Indonesia begins when he/she is born in Indonesia. For an individual who stays in Indonesia for more than 183 (one hundred and eighty-three) days within 12 (twelve) months period, his/her subjective tax obligation begins since the first day he/she is staying Indonesia.

The subjective tax obligation of an individual ends when he/she dies or leaves Indonesia forever.

The definition of leaving Indonesia forever must be related to real things when such an individual is leaving Indonesia. If, at the time he/she is leaving Indonesia, there is real evidence of his/her intention to leave Indonesia forever, then, at that time he/she is no longer a resident Tax Subject.

Paragraph (2)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Self-explanatory

Paragraph (3)

For an individual who does not reside and stay in Indonesia for not more than 183 (one hundred and eighty three) days, and a corporate that is not established and does not have their domicile in Indonesia, that carries on business or carries out the activity in Indonesia through a permanent establishment, the subjective tax obligation begins when the permanent establishment is in Indonesia and ends when the permanent establishment is no longer in Indonesia.

Paragraph (4)

An individual who does not reside or stays in Indonesia for not more than 183 (one hundred and eighty three) days and a corporate that is not established and does not have their domicile in Indonesia and does not carry on business nor carries out the activity through a permanent establishment in Indonesia, is a non-resident Tax Subject as long as such an individual or corporate has an economic relationship with Indonesia. Economic relationship with Indonesia is deemed exists if the individual or corporate receives or earns income from any income sources in Indonesia.

The subjective tax obligation of an individual or corporate begins when the individual or corporate has an economic relationship with Indonesia, namely receiving or earning income from any sources in Indonesia and ends when such an individual or corporate is ceasing from having the economic relationship with Indonesia.

Paragraph (5)

The subjective tax obligation of undivided inheritance begins at the time of incurrence of such an undivided inheritance, namely at the time of the death of the devisor. Since then, the fulfillment of his/her tax obligation attaches to the inheritance. The subjective tax obligation of inheritance ends when the inheritance is divided among the heirs. Since then, the fulfillment of tax obligations has passed to the heirs.

Paragraph (6)

It is possible, an individual becomes a Tax Subject not for a full fiscal year, for example an individual who begins to become a Tax Subject in the middle of a fiscal year, or who leaves Indonesia forever in the middle of a fiscal year. The period of less than one fiscal year is called as a fraction of fiscal year that replaces the fiscal year.

Article 3

(1) Excluded from the tax subjects as referred to in Article 2 are:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

a. representative offices of foreign countries;

b. diplomatic representative officials and consulates or other officials of foreign countries and persons who are seconded to those who work for and live with them provided that they are not Indonesian citizens and do not receive or earn income beyond their office or job and the relevant country provide a reciprocal treatment;

c. international organizations provided that:

1. Indonesia is a member of that organization; and

2. not running a business or other activities to earn income from Indonesia other than providing loans to the government the funds of which derive from the contribution of the members;

d. representative officials of international organizations as referred to in letter c, provided that they are not Indonesian citizens and do not carry on business, activities, or other jobs to earn incomes from Indonesia. ****)

(2) International organizations that are not tax subjects as referred to in paragraph (1) letter c shall be stipulated by a Decree of the Finance Minister. ****)

Elucidation of Article 3

Paragraph (1)

In accordance with the international practice, representative offices of foreign countries along with the diplomatic representative officials, consulates and other officials are excluded as tax subjects at the places where they represent their country. The exclusion as tax subjects for these officials does not apply if they earn other incomes beyond their office or they are Indonesian citizens.

Thus, if a representative official of a foreign country earns other incomes in Indonesia beyond his/her office or job, then he/she is a tax subject that may be subjected to tax on such other incomes.

Paragraph (2)

Self-explanatory.

CHAPTER III
TAX OBJECT

Article 4

(1) Tax object is any income, namely any additional economic capability

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

received or obtained by a Taxpayer, either from Indonesia or from outside Indonesia, which can be used for consumption or to increase the wealth of the relevant Taxpayer, in any name and any form of whatsoever, including:

a. reimbursements or compensations in relation to work or services, that are received or obtained including salaries, wages, allowances, honoraria, commissions, bonuses, gratuities, pensions, or compensations in other forms, including any incomes in-kind and/or other enjoyments, unless otherwise determined in this Law;

b. prizes from lotteries or works or activities, and awards;

c. operating profit;

d. gains from the sale or transfer of assets, including:

   1. gains from transfer of assets to a company, partnership, and other entities in exchange of shares or equity participation;

   2. gains from transfer of assets to shareholders, partners, or members that are obtained by companies, partnerships and other entities;

   3. profit due to liquidation, merger, amalgamation, expansion, demerger, business takeover, or reorganization in any name and in any form of whatsoever;

   4. gains from transfer of assets in the form of grants, aids, or donations, except for those given to biological family (*keluarga sedarah*) within one degree of direct lineage and religious agencies, educational agencies, social institutions including foundations, cooperatives, or individual persons who run micro and small business, as long as do not have relationship with business, employment, ownership, or control among the relevant parties; and

   5. profits due to sale or transfer of part or all of mining rights, certificate of participation in financing, or capital in a mining company;

e. receipts of tax refund that have been charged as cost and additional payment of tax refund;

f. interests including premiums, discounts, and compensations due to debt repayment security;

g. dividends in any name and any form, including dividends from insurance companies to policyholders;

h. royalties or compensations for the use of rights;

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

i. rents and other incomes in relation to the use of assets;

j. receipt or acquisition of periodic payments;

k. profits due to debt easement, except up to a certain amount as stipulated by a Government Regulation;

l. profit from foreign exchange rate;

m. surplus due to asset revaluation;

n. insurance premiums;

o. contributions received or obtained by an association from its members consisting of Taxpayers who carry on business or carry out independent work;

p. increase in net wealth originating from incomes that have not been taxed;

q. incomes from sharia-based businesses;

r. interest compensation as referred to in the Law that governs general provisions and procedures of taxation; and

s. surplus of Bank Indonesia. ******)

(1a) For exception of the provisions as referred to in paragraph (1), any foreign citizen who has become resident tax subject is subject to Income Tax only on the incomes received or earned from Indonesia with the following provisions:

a. possessing certain expertise in accordance with the provisions of the statutory regulations; and

b. valid for 4 (four) fiscal years calculated as from becoming a resident tax subject. ******)

(1b) Included in the definition of income received or earned from Indonesia as referred to in paragraph (1a) are incomes received or earned by foreign citizens in relation to works, services, or activities in Indonesia in any name and in any form that are paid outside Indonesia. *****)

(1c) The provisions as referred to in paragraph (1a) do not apply to any foreign citizen who takes advantage of the Double Taxation Avoidance Treaty between the government of Indonesia and the government of a partner country or partner jurisdiction of the Double Taxation Avoidance Treaty where the foreign citizen earns income from outside Indonesia. *****)

(1d) Deleted.

(2) The following incomes are subject to final tax:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

a. incomes in the form of interests on deposits and other savings, interests on bonds and government bonds, interests or discounts on short-term securities traded on the money markets, and interests on deposits paid by cooperatives to individual cooperative members;

b. incomes in the form of lottery prizes;

c. incomes from transactions of shares and other securities, transactions of derivatives traded on the stock exchanges, and transactions of share sales or transfers of equity participation in partner companies received by venture capital companies;

d. incomes from asset transfer transactions in the form of lands and/or buildings, construction service businesses, real estate businesses, and land and/or building rentals; and

e. other certain incomes, including incomes from business received or earned by a Taxpayer who has a certain gross turnover,

that are regulated in or based on Government Regulation(s). ******)

(3) Excluded from the tax object are:

a. 1. Aids or donations, including zakat, infaq, and alms received by amil zakat agencies or amil zakat institutions established or legalized by the government and received by eligible zakat recipients or religious donations that are mandatory in nature for the adherents of religions recognized in Indonesia, which are received by religious institutions established or legalized by the government and received by the rightful donation recipients, the provisions of which shall regulated by or based on the Government Regulation; and

2. donated assets received by biological families (*keluarga sedarah*) within one degree of direct lineage, religious agencies, educational agencies, social institutions including foundations, cooperatives, or individuals who run micro and small businesses,

as long as do not have relationship with business, employment, ownership, or control among the relevant parties; ******)

b. inheritances;

c. assets including cash deposits received by any of the agencies as referred to in Article 2 paragraph (1) letter b as a substitute for shares or as a substitute for equity participation;

d. reimbursements or compensations in relation to works or services that are received or earned in kind and/or enjoyment, including:

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**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

1. meals, food ingredients, beverage ingredients, and/or drinks for all employees;
2. kind and/or enjoyment provided in certain regions;
3. kind and/or enjoyment that must be provided by the employer in the implementation of work;
4. kind and/or enjoyment derived from or financed by the State Budget, the Regional Budget, and/or the Village Budget; or
5. kind and/or enjoyment with certain types and/or limitations; ******)

e. payments from insurance companies due to an accident, illness, or death of the insured person, and payments of scholarship insurance;

f. dividends or other incomes with the following provisions:

1. dividends originating from the internal country that are received or earned by:
   a) resident individual Taxpayers as long as such dividends are invested in the territory of the Republic of Indonesia within a certain period of time; and/or
   b) resident corporate Taxpayers;
2. dividends originating from abroad and income after tax from an overseas permanent establishment that are received or earned by resident corporate Taxpayers or resident individual Taxpayers, as long as they are invested or used to support other business activities in the territory of the Republic of Indonesia within a certain period of time, and meet the following requirements:
   a) the dividends and incomes after tax invested amount to at least 30% (thirty percent) of the profit after tax; or
   b) dividends originating from overseas business entities whose shares are not traded on the stock exchanges are invested in Indonesia prior to the Director General of Taxes issues a tax assessment letter on such dividends in relation to the application of the Article 18 paragraph (2) of this Law;
3. dividends originating from abroad as referred to in number 2 are:
   a) dividends distributed originating from overseas

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

business entities whose shares are traded on the stock exchanges; or

b) dividends distributed originating from overseas business entities whose shares are not traded on the stock exchanges in accordance with the proportion of share ownership;

4. in case the dividends as referred to in number 3 letter b) and the income after tax from an overseas permanent establishment as referred to in number 2 are invested in the territory of the Republic of Indonesia less than 30% (thirty percent) of the total profit after tax as referred to in number 2 letter a), the following provisions apply:

a) the dividends and the income after-tax invested are excluded from the Income Tax imposition;

b) the difference of 30% (thirty percent) of profit after tax less dividends and/or income after tax invested as referred to in letter a) is imposed to Income Tax; and

c) the balance of profit after tax less dividends and/or income after tax invested as referred to in letter a) and the difference as referred to in letter b), are not imposed to Income Tax;

5. in case the dividends as referred to in number 3 letter b and the income after tax from an overseas permanent establishment as referred to in number 2, are invested in the territory of the Republic of Indonesia in the amount of more than 30% (thirty percent) of the total profit after tax as referred to in number 2 letter a), the following provisions apply:

a) the dividends and the income after-tax invested are excluded from the Income Tax imposition; and

b) the balance of profit after tax less dividends and/or income after tax invested as referred to in letter a), are not imposed to Income Tax;

6. in case the dividends originating from overseas business entities whose shares are not traded on stock exchanges are invested in Indonesia after the Director General of Taxes issues a tax assessment letter on the dividends in relation to the application of the Article 18 paragraph (2) of this Law, the relevant dividends are not excluded from the Income Tax imposition as referred to in number 2;

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

7. the Income Tax imposition on incomes from abroad not through a permanent establishment received or earned by a resident corporate Taxpayer or a resident individual Taxpayer are excluded from the Income Tax imposition in the event that the income is invested in the territory of the Republic of Indonesia within a certain period of time and meets the following requirements:
   a) income originating from active business abroad; and
   b) not income from companies owned aboard;
8. to the tax on income that paid or payable abroad on the incomes as referred to in number 2 and number 7, the following provisions apply:
   a) it cannot be calculated with Income Tax payable;
   b) it cannot be charged as cost or as income deduction; and/or
   c) tax overpayment refund cannot be requested for;
9. in case the Taxpayer does not invest the income within a certain period of time as referred to in number 2 and number 7, the following provisions apply:
   a) the income originating from abroad constitutes income in the fiscal year in which it is earned; and
   b) Tax on income paid or payable abroad on such an income constitutes the tax credit as referred to in Article 24 of this Law;
10. deleted;

g. contributions received or obtained by a pension fund whose establishment has been legalized by the Financial Services Authority, whether paid by the employer or the employee;

h. incomes from the capital invested by a pension fund as referred to in letter g, in certain fields;

i. a share of profit or the remaining operating results received or obtained by members of cooperatives, limited liability companies whose capital is not divided into shares, partnerships, associations, firms, and joint ventures, including holders of participation units of collective investment contracts;

j. deleted;

k. incomes received or earned by a venture capital company in the form of a share of profits from a business partner that is

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

established and running a business or activity in Indonesia, provided that such a business partner:

1. is a micro, small, medium company, or that carries out an activity in the business sectors that are regulated by or based on Regulation(s) of the Finance Minister; and
2. its shares are not traded on stock exchanges in Indonesia;

l. scholarships that meet certain requirements; ******)

m. surplus received or obtained by a non-profit agency or institution engaged in education and/or research and development, which has been registered with the agency in charge of it, that is reinvested in the form of facilities and infrastructures for educational and/or research and development activities, within not later than 4 (four) years as of such a surplus is obtained; ********)

n. assistance or benefits paid by the Social Security Organizing Agency (*Badan Penyelenggara Jaminan Sosial*) to certain Taxpayers; ******)

o. funds for the deposit of Hajj Pilgrimage Cost (*Biaya Penyelenggaraan Ibadah Haji*/BPIH) and/or Special BPIH, and incomes from the Hajj finance development in certain financial fields or instruments, received by the Hajj Financial Management Agency (*Badan Pengelola Keuangan Haji* / BPKH); and ******)

p. surplus received/obtained by social and religious agencies or institutions registered with the agency in charge of it, that is reinvested in the form of social and religious facilities and infrastructures within not later than 4 (four) years as of such a surplus is obtained, or placed as endowment fund. ******)

Elucidation of Article 4

Paragraph (1)

This Law adopts the taxation of income principle in a broad sense, namely that the tax is imposed on any additional economic capability received or obtained by the Taxpayer regardless its origins which can be used for consumption or to increase the wealth of the Taxpayer. The definition of income in this Law does not regard of the existence of income from certain sources, but of the existence of additional economic capability. The additional economic capability that is received or obtained by a Taxpayer is the best measure on the ability of the Taxpayer to contribute to jointly bearing the costs required by the government for routine and development activities. Viewed from the flow of additional economic capability to Taxpayers, incomes can be grouped into:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

i. incomes from work in an employment relationship and independent job such as salary, honorarium, and incomes from the practicing activity of doctors, notaries, actuaries, accountants, lawyers, and so on;

ii. incomes from business and activities;

iii. incomes from capital, in the form of movable assets or immovable assets, such as interests, dividends, royalties, rents, and profits from the sale of assets or rights that are not used for business; and

iv. other incomes, such as debt easement and gifts.

Viewed from its use, income can be used for consumption and can also be saved to increase the wealth of the Taxpayer.

Since this Law adopts a broad definition of income, all types of incomes received or earned in a fiscal year are consolidated to obtain the tax basis. Thus, if within one fiscal year, a business or activity suffers a loss, such a loss is compensated with other incomes (horizontal compensation), except for losses suffered abroad. However, if a type of income is taxed at a final rate or is excluded from the tax object, then such an income may not be combined with other incomes which are subject to general rate.

Example of income referred to in this provision is intended to clarify the definition of broad income which is not limited to the relevant example.

Letter a

All payments or compensations in relation to work, such as wages, salaries, life insurance premiums, and health insurances paid by the employer, or compensations in other forms are tax subjects. The definition of compensation in other forms includes compensations in kind and/or enjoyment which are essentially incomes.

In addition, the definition of income includes gratuity which is a reasonable gift due to the services and benefits received by the gratuity giver in relation to the implementation of work or the provision of services.

"Compensation in kind" means a compensation in the form of goods other than money, whereas "compensations compensation in the form of enjoyment" is compensation in the form of rights to utilization of a facility and/or service.

Letter b

Definition of prize includes prizes from lotteries, work, and activities such as savings lottery prizes and prizes from sport competitions.

"Award" means a compensation given in relation to certain activities, for example, the compensation received in relation to the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

discovery of ancient objects.

Letter c

Self-explanatory.

Letter d

If the Taxpayer sells the assets at a price higher than the book value or higher than the acquisition price or value, such a difference in price is a profit. In the event such a sale of assets occurs between a business entity and its shareholders, the selling price used as the basis for calculating the profit from the sale is the market price.

For example, PT S owns a car that is used in its business activity with the book value of Rp. 40.000.000,00 (forty million rupiah). The car is sold at a price of Rp. 60.000.000,00 (sixty million rupiah). Thus, PT S's profit from such a sale of car is Rp. 20.000.000,00 (twenty million rupiah). If the car is sold to one of its shareholders at a price of Rp. 55.000.000,00 (fifty-five million rupiah), the selling value of the car is still calculated based on the market price of Rp. 60.000.000,00 (sixty million rupiah). The difference of Rp. 20.000.000,00 (twenty million rupiah) is a profit for PT S and for the shareholder who bought the car, the difference of Rp. 5.000.000,00 (five million rupiah) is an income.

When a corporate is liquidated, the profit from the sale of assets, namely the difference between the selling price based on the market price and the book value of the assets, is a tax subject. Likewise, the surplus between the market price and the book salvage value in the event of merger, consolidation, expansion, demerger, and business takeover is an income.

In the event of a transfer of assets in exchange of shares or equity participation, the profit in the form of difference between the market price of the asset handed over and its book value shall constitute an income.

Profit in the form of difference between the market price and the acquisition value or the book salvage value on the transfer of assets in the form of grants, aids, or donations constitute income for the transferor unless the asset is granted to a biological family (*keluarga sedarah*) within one degree of direct lineage. Likewise, profits in the form of difference between the market price and the acquisition value or book salvage value on the transfer of assets in the form of aids or donations and grants to religious agencies, educational bodies, social bodies including foundations, cooperatives, or individual persons who run micro and small

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

businesses are not income, as long as they do not relate with business, work, ownership, or control among the relevant parties.

In the event a Taxpayer who owns the mining right transfers part or all of that right to another Taxpayer, the profit obtained is a tax object.

Letter e

A tax refund that has been charged as costs when calculating the Taxable Income is a tax object.

For example, Land and Building tax that has been paid and charged as cost, which for some reason is refunded, then the amount of such a refund is an income.

Letter f

The definition of interest includes premiums, discounts, and compensations in relation to debt repayment guarantees.

A premium occurs when, for example, the bond is sold at above its par value, whereas a discount occurs when the bond is purchased at below its par value.

The premium is an income for the bond issuer and the discount is an income for the bond buyer.

Letter g

Dividend is part of profit earned by shareholders or insurance policy holders.

Included in the definition of dividend are:

1) profit sharing, either directly or indirectly, in any name and in any form;

2) repayment due to liquidation that exceeds the amount of paid-in capital;

3) the granting of bonus shares without deposit, including bonus shares derived from capitalization of share premium;

4) profit sharing in the form of shares;

5) recording of additional capital made without deposit;

6) an amount exceeding the amount of paid-in shares received or obtained by a shareholder due to a repurchase of shares by the relevant company;

7) repayment of all or part of the paid-up capital, if profits were gained in past years, unless such a repayment is a result of a decrease in authorized (statutory) capital that is conducted

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

legally;

8) payments in relation to the profit coupons, including those received as redemption for such profit coupons;

9) share of profits in relation to bond ownership;

10) share of profits received by the policyholder;

11) company expenses for personal purpose of shareholders charged as company cost.

In practice, it is frequently found that a distribution or payment of dividends is disguised, for example in case of a shareholder who has fully paid-up his/her capital and provides a loan to the company in return for interest that exceeds the reasonableness. In such a case, the surplus between the interest paid and the interest rate applicable in the markets is treated as a dividend. The fraction of interest that is treated as dividend must not be charged as cost by the relevant company.

Letter h

Royalty is an amount paid or payable in any way or calculation, whether periodically or not, in return for:

1. the use of or the right to use a copyright in the fields of literatures, arts or scientific works, patents, designs or models, plans, secret formulas or processes, trademarks, or other forms of intellectual/industrial property rights or other similar rights;

2. the use of or the right to use industrial, commercial, or scientific tools/equipments;

3. provision of knowledge or information in scientific, technical, industrial, or commercial sectors;

4. provision of additional or complementary assistance in relation to the use of or the right to use such rights as referred to in point 1, the use of or the right to use the tools/equipments as referred to in number 2, or provision of knowledge or information as referred to in number 3, in the form of:

   a) receipt of or the right to receive image recordings or voice recordings or both, which are distributed to the public via satellite, cable, fiber optic, or similar technologies;

   b) the use of or the right to use image recordings or voice recordings or both, for television or radio broadcasting

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

that are broadcasted/transmitted via satellite, cable, fiber optic, or similar technologies;

c) the use of or the right to use part or all of the radio communication spectrum;

5. the use of or the right to use motion picture films, films or video tapes for television broadcasts, or audio tapes for radio broadcasts; and

6. release of all or part of the rights relating to the use or the granting of intellectual/industrial property rights or other rights as mentioned above.

Letter i

The definition of rental includes compensations received or obtained in any name and in any form in relation to the use of movable assets or immovable assets, for examples car rental, office rental, house rental, and warehouse rental.

Letter j

Receipt in the form of periodic payments, such as "alimentation" or a lifetime allowance that is paid repeatedly within a certain period.

Letter k

Debt discharge by the creditor is deemed as income for the original debtor, whereas for the creditor it can be charged as cost.

However, with a Government Regulation, it can be stipulated that a debt discharge for small debtors, such as, Pre-Prosperous Family Business Loan (Keluarga Prasejahtera/Kukesra), Farmer Business Loans (Kredit Usaha Tani/KUT), People's Business Credit (Kredit Usaha Rakyat /KUR), loans for very simple housing, and other small loans up to a certain amount are excluded to be tax object.

Letter l

Profits gained due to fluctuations in foreign exchange rates are recognized based on the bookkeeping system adopted and carried out consistently in accordance with the Financial Accounting Standards applicable in Indonesia.

Letter m

Surplus due to revaluation of assets as referred to in Article 19 is an income.

Letter n

The definition of insurance premium includes reinsurance

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

premiums.

Letter o

Self-explanatory.

Letter p

Increase in net wealth is essentially an accumulation of incomes, both that have been taxed and that are not tax object and that have not been taxed. If known any increase in net wealth exceeding the accumulated income that has been taxed and that is not a tax object, then such an increase in net wealth is an income.

Letter q

Sharia-based business activities have a different philosophical foundation from conventional business activities. However, incomes received or earned from such sharia-based business activities remain constituting a tax object according to this Law.

Letter r

Self-explanatory.

Letter s

Self-explanatory.

Paragraph (1a)

Self-explanatory.

Paragraph (1b)

Self-explanatory.

Paragraph (1c)

Self-explanatory.

Paragraph (1d)

Deleted.

Paragraph (2)

In accordance with the provisions in paragraph (1), incomes as referred to in this paragraph are a tax object. Based on the following considerations:

- there is a need for encouragement to the effect of development of public investment and savings;
- simplicity in tax collection;
- reduced administrative burden for both the Taxpayers and the Directorate General of Taxes;

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

- equity in the tax imposition; and
- paying attention to economic and monetary development,

on the aforesaid incomes, it is necessary to give a separate treatment in their tax imposition.

Separate treatment in the tax imposition on these types of income including the nature, amount, and procedures for implementation of payments, withholdings, or collections shall be regulated in a Government Regulation.

The bonds as referred to in this paragraph include notes with maturity of more than 12 (twelve) months, such as Medium-Term Notes, Floating Rate Notes with maturity of more than 12 (twelve) months.

Government Bonds as referred to in this paragraph include State Bonds and State Treasury Papers.

Paragraph (3)

Letter a

Aids or donations for the recipients are not a tax object as long as received not within the framework of an employment relationship, business relationship, ownership relationship, or control relationship among the relevant parties. Zakat, infaq, and alms received by amil zakat agencies or amil zakat institutions established or legalized by the government and eligible zakat recipients as well as religious donations that are mandatory in nature for the adherents of other religions recognized in Indonesia that are received by religious institutions that are established or approved by the government and that are received by eligible donation recipients are treated the same as aids or donations. "Zakat" means zakat as referred to in the laws governing the zakat.

A business relationship between the giver and the recipient can occur, for example PT A as a producer of a type of goods the main raw materials of which are produced by PT B. If PT B gives a contribution of the raw materials to PT A, the contribution of raw materials received by PT A is a tax object.

Granted assets for the recipient are not a tax object if received by a biological family (*keluarga sedarah*) within one degree of direct lineage, and by religious agencies, educational bodies, or social bodies including foundations or individual persons who run micro and small business including cooperatives, as long as they are received not within the framework of employment relationship, business relationship, ownership relationship, or control relationship among the relevant parties.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Letter b

Self-explanatory.

Letter c

In principle, the assets, including cash deposits, received by an agency, are an additional economic capability for the agencies. However, since the assets are received in exchange of shares or equity participation, then, based on this provision, such assets received are not a tax object.

Letter d

Certain regions is a region that meets the criteria, such as, remote area, namely a region that economically has the feasible potential to be developed but its economic infrastructure condition is generally inadequate and difficult to reach by public transportation, either by land, sea or air, so as to change the available economic potential to be a real economic strength, the investors will bear a fairly high risks and a relatively long payback period, including marine water areas that have a depth of more than 50 (fifty) meters whose seabed has mineral deposits.

Letter e

Reimbursements or benefits received by an individual person from an insurance company in relation to health insurance policy, accident insurance, life insurance, endowment insurance, and scholarship insurance, are not a tax object. This is in line with the provisions in Article 9 paragraph (1) letter d, namely that an insurance premium paid by an individual Taxpayer for his/her own benefit must not be deducted therefrom in the calculation of Taxable Income.

Letter f

Self-explanatory.

Letter g

Exclusion to be tax object under this provision only applies to pension funds the establishment of which has been approved by the Financial Services Authority. Excluded from the tax object are contributions received from pension participants, either at their own expense or those borne by the employer. Basically, the contributions received by the pension fund are funds belonging to the pension participant, which will be repaid to him/her in time. The tax imposition on these contributions means reducing the rights of the pension participants, and therefore these contributions are

*) : First Amendment (Law Number 9 of 1994)
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***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

excluded to be tax object.

Letter h

As referred to in letter g, the exclusion to be tax object under this provision only applies to the pension funds the establishment of which has been approved by the Financial Services Authority. Excluded from the tax object in this case is the incomes from capital invested in certain sectors. Investment by pension funds is intended for development and is a fund for repayment to the pension participants in the future, thus, such an investment needs to be directed to the sectors that neither speculative nor high risk inn nature.

Letter i

For the purpose of tax imposition, the corporate as referred to in this provision, which are a group of their members, are taxed as a unity, namely at the level of the corporate. Therefore, the share of profit or the remaining operating result received by the members of the corporate are no longer a tax object.

Letter j

Self-explanatory.

Letter k

"Venture capital company" means a company whose business activity finances a business entity (as a business partner) in the form of equity participation for a certain period of time. Based on this provision, the share of profit received or gained from a business partner company is excluded to be tax object, provided that such a partner company is a micro, small, medium company, or that runs a business or carries out the activity in certain sectors as determined by the Finance Minister, and the company's shares are not traded on Indonesian stock exchange.

If a business partner of a venture capital company fulfills the provisions as referred to in paragraph (3) letter f, the dividends received or obtained by the venture capital company are not a tax object.

As to allow the activities of a venture capital company to be directed to an economic activity sector that receives a high priority to be developed, for example to increase the non-oil and gas exports, the business or activities of the business partner company are regulated by the Finance Minister.

Considering a venture capital company is a financing alternative in

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***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

the form of equity participation, the equity participation to be carried out by the venture capital company is directed to companies that do not yet have access to the stock exchange.

Letter l

Self-explanatory.

Letter m

That in order to support the efforts of improving the quality of human resources through education and/or research and development, adequate facilities and infrastructures are required. Therefore, it is deemed necessary to provide tax incentives in the form of exclusion from tax imposition on the surplus received or earned as long as such a surplus is reinvested in the form of construction and procurement of facilities and infrastructures for the relevant activity. Such a reinvestment of surplus must be realized within not later than 4 (four) years as of the time the surplus is received or earned. To ensure the achievement of the purpose of this facility provision, the institutions or agencies that provide the education must be non-profit. The education and research and development shall be open to anyone and have been approved by the agency in charge of it.

Letter n

Assistance or benefits provided by the Social Security Organizing Agency (BPJS) to certain Taxpayers are social assistance provided specifically to Taxpayers or the community members who are unable or are experiencing natural disasters or are afflicted with a calamity.

Letter o

Self-explanatory.

Letter p

Self-explanatory.

Article 5

(1) Tax Objects of a permanent establishment include:

a. income from the businesses or activities of the permanent establishment and from the assets it owns or controls;

b. incomes of the head office from businesses or activities, sales of goods, or the provision of services in Indonesia that are similar to those carried on or carried out by a permanent establishment in

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Indonesia;

c. incomes as referred to in Article 26 that are received or earned by the head office, to the extent there is an effective relationship between the permanent establishment and the assets or the activities that provide the relevant income. **)

(2) Costs relating to income as referred to in paragraph (1) letter b and letter c may be deducted from the incomes of a permanent establishment. **)

(3) In determining the amount of profit of a permanent establishment:

a. the head office administrative costs that are allowed to be charged are costs related to the business or activities of a permanent establishment, the amount of which is determined by the Director General of Taxes;

b. payments to the head office that are not allowed to be charged as costs are:

1. royalties or other compensations in relation to the use of property, patents, or other rights;

2. compensations in relation to managerial services and other services;

3. interests, except interests related to banking business;

c. the payments as referred to in letter b that are received or earned from the head office are not treated as a Tax Object, except for interests related to the banking business. **)

Elucidation of Article 5

An individual person who does not reside or a corporate that is not established and not having its domicile in Indonesia that runs a business or carries out the activity through a permanent establishment in Indonesia, is subject to tax in Indonesia through the permanent establishment.

Paragraph (1)

Letter a

Permanent establishment is subject to tax on incomes derived from its businesses or activities and from the assets it owns or controls. Thus, all of such income are subject to tax in Indonesia.

Letter b

Based on this provision, incomes of a head office derived from business or activities, sales of goods and provision of services, which are equivalent to those carried out by the permanent

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******) : Sixth Amendment (Law Number 7 of 2021)

establishment shall be treated as income of the permanent establishment, because essentially the business or activity is included in the scope of business or activity and can be carried out by a permanent establishment.

A business or activity that is similar to the business or activity of a permanent establishment, for example, occurs when a bank outside Indonesia that has a permanent establishment in Indonesia provides a loan directly, without going through its permanent establishment, to a company in Indonesia.

A sale of goods that is similar to those sold by the permanent establishment is, for example, an overseas head office which has a permanent establishment in Indonesia sells the same products as a product sold by the permanent establishment directly, without going through the permanent establishment, to the buyers in Indonesia.

The provision of a service by a head office which is similar to the services provided by the permanent establishment is, for example the head office of a consulting firm outside Indonesia provides the same consultation service as the type of services provided by the permanent establishment directly without going through the permanent establishment to the clients in Indonesia.

Letter c

Income as referred to in Article 26 received or earned by the head office is treated as income from a permanent establishment in Indonesia, if there is an effective relationship between the asset or the activity that provides the income and the permanent establishment. For example, X Inc. concludes a license agreement with PT Y to use the X Inc's trademark. For such a use of right, X Inc. receives a consideration in the form of royalty from PT Y. In relation to that agreement, X Inc. also provides management services to PT Y through a permanent establishment in Indonesia, to the effect of marketing PT Y's products using the trademark. In such a case, PT Y's use of the trademark has an effective relationship with the permanent establishment in Indonesia, and therefore the income of X Inc., that is in the form of royalty, is treated as the permanent establishment's income.

Paragraph (2)

Self-explanatory

Paragraph (3)

Letter a

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Administrative costs incurred by the head office to the extent they are used to support the business or activities of the permanent establishment in Indonesia, may be deducted from the income of the permanent establishment. The types and the amount of costs that may be deducted are determined by the Director General of Taxes.

Letter b and letter c

Basically, a permanent establishment is an integral part of its head office, thus, payments by the permanent establishment to its head office, such as royalties for the use of assets of the head office, constitute a fund circulation within one company. Therefore, based on this provision, payments by the permanent establishment to its head office in the form of royalties, service fees, and interests may not be deducted from the permanent establishment's incomes. However, if the head office and its permanent establishment engage in the banking business, then, payments in the form of loan interests can be charged as a cost.

As a consequence of such a treatment, similar payments received by the permanent establishment from its head office are not treated as a Tax Object, except the interests received by the permanent establishment from its head office relating to banking business.

Article 6

(1) The amount of Tax of Taxable Income for resident Taxpayers and permanent establishments, is determined based on the gross income less the costs to obtain, collect, and maintain the income, including:

a. costs that directly or indirectly relate to the business activity, including:

1. costs for purchasing the materials;
2. costs related to works or services including wages, salaries, honoraria, bonuses, gratuities, and allowances that are given in the form of money;
3. interests, rents, and royalties;
4. travel expenses;
5. waste treatment costs;
6. insurance premiums;
7. promotion and sales expenses;
8. administrative costs; and

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****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

9. taxes other than the Income Tax;

b. depreciation of expenses to acquire tangible assets and amortization of expenses to obtain the rights and amortization of other costs that have a useful life of more than 1 (one) year as referred to in Article 11 and Article 11A;

c. contributions to the pension funds the establishment of which has been approved by the Financial Services Authority;

d. losses from the sale or transfer of assets owned and used in the company or owned to obtain, collect, and maintain the income;

e. loss from difference of foreign exchange rate;

f. costs of research and development of the company that is conducted in Indonesia;

g. scholarship, internship, and training costs;

h. receivables that are obviously uncollectible on conditions that:

1. they have been charged as cost in the commercial income statement;

2. the Taxpayer must submit a list of uncollectible receivables to the Directorate General of Taxes; and

3. its collection case has been submitted to the District Court or the government agency in charge of state receivables; or the presence of written agreement on write-off of receivables/debt easement between the creditor and relevant the debtor; or has been published in a general or special publication; or there is an acknowledgment from the debtor that its debt has been written off for a certain amount of the debt;

4. the condition as referred to in number 3 does not apply to the write-off of bad debts from small debtors as referred to in Article 4 paragraph (1) letter k;

i. donations within the framework of national disaster management, the provisions of which shall be regulated by Government Regulations;

j. donations within the framework of research and development that are carried out in Indonesia, the provisions of which shall be regulated by Government Regulations;

k. costs of social infrastructure construction, the provisions of which shall be regulated by a Government Regulation;

l. donations of educational facilities, the provisions of which shall be

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***) : Third Amendment (Law Number 28 of 2007)
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*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

regulated by a Government Regulation;

m. donations within the framework of sport development, the provisions of which shall be regulated by Government Regulations; and

n. costs of reimbursement or compensation that is given in kind and/or in the form of enjoyment. ******)

(2) If the gross income after deduction as referred to in paragraph (1) results in a lost, such a loss is compensated with incomes starting from the next fiscal year consecutively up to 5 (five) years.****)

(3) Individual persons as resident Taxpayers are given with reduction in the form of Non-Taxable Income as referred to in Article 7. **)

Elucidation of Article 6

Paragraph (1)

Expenses that can be deducted from the gross income can be divided into 2 (two) groups, namely expenses or costs with the useful life of not more than 1 (one) year and those with the useful life of more than 1 (one) year. Expenses with the useful life of not more than 1 (one) year are costs in the relevant year, for example salaries, administrative costs and interests, and routine waste treatment costs, whereas expenses with the useful life of more than 1 (one) year are charged through depreciation or through amortization. In addition, if in a Fiscal year there are losses from the sale of assets or from the difference of foreign exchange rate, such losses can be deducted from the gross income.

Letter a

The costs as referred to in this paragraph are commonly called as daily costs that may be charged in the spending year.

To be charged as cost, the expenditure must have a direct or indirect relationship with the business activity or the activities to obtain, collect, and maintain income which is a tax object.

Thus, the spending to obtain, collect and maintain income that are not a tax object may not be charged as cost.

Example:

Pension Fund A whose establishment has been approved by the Financial Services Authority earns the gross incomes consisting of:

a. income that is not a tax object in accordance with Article 4 paragraph (3) letter h Rp 100.000.000,00

b. Other gross incomes Rp 300.000.000,00 (+)

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******) : Sixth Amendment (Law Number 7 of 2021)

Total gross income	Rp 400.000.000,00

If the total cost is Rp 200.000.000,00 (two hundred million rupiah), the cost that may be deducted to obtain, collect and maintain the income is 3/4 x Rp 200.000.000,00 = Rp. 150.000.000,00.
Likewise, the interest on loan that is used to purchase the shares may be charged as a cost as long as the dividend it receives is not a tax object as referred to in Article 4 paragraph (3) letter f. The interest on loan that may not be charged as cost can be capitalized as an addition to the share acquisition price.

Expenses that do not relate with the efforts to obtain, collect, and maintain incomes, for example expenses for personal needs of the shareholders, payments of interest on loan that are used for the personal needs of the borrower and payments of insurance premiums for personal benefits, may not be charged as cost. Payments of insurance premiums by the employers for the benefit of their employees may be charged as company costs, but for the relevant employee, such premiums are an income.

Expenses that can be deducted from the gross income must be made within reasonable limits in accordance with the good merchant customs. Thus, if an expense that exceeds the reasonable limit is affected by a special relationship, such an amount exceeding the reasonable limits may not be deducted from the gross income.

Further, see the provisions in Article 9 paragraph (1) letter f and Article 18 along with their elucidation.

Taxes that are liability of the company within the framework of its business other than the Income Tax, such as Land and Building Tax (PBB), Stamp Duty (BM), Hotel Tax, and Restaurant Tax, can be charged as cost.

Regarding the expenditures for promotion, it is necessary to distinguish between the costs that are actually spent on promotion and the costs that are essentially a donation. Costs that are actually spent for promotion may be deducted from the gross income.

Letter b

Expenses to acquire tangible assets and intangible assets and other expenses with the useful life of more than 1 (one) year, are charged through depreciation or amortization.

Further, see the provisions in Article 9 paragraph (2), Article 11, and Article 11A along with their elucidation. Expenses which by their nature are advance payments, such as, a rent for several years which is paid at once, can be charged through allocation.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Letter c

Contributions to a pension fund whose establishment has been approved by the Financial Services Authority may be charged as cost, whereas contributions paid to a pension fund whose establishment is not or has not been approved by the Financial Services Authority may not be charged as cost.

Letter d

A loss from sale or transfer of assets which according to its original purpose is not intended to be sold or transferred which is owned and used in the company or owned to obtain, collect and maintain income can be deducted from the gross income.

A loss from the sale or transfer of assets owned but not used in the company, or owned but not used to obtain, collect and maintain income, may not be deducted from the gross income.

Letter e

A loss from fluctuations in the foreign exchange rate is recognized based on the bookkeeping system adopted and carried out consistently in accordance with the Financial Accounting Standards applicable in Indonesia.

Letter f

Cost of research and development of the company that is carried out in Indonesia in a reasonable amount to discover new technologies or systems for the company development may be charged as company cost.

Letter g

Costs incurred for the purposes of scholarship, internship, and training in order to improve the quality of human resources can be charged as the company's cost with due regard to the fairness, including scholarships that can be charged as cost are scholarships given to students, university students, and other parties.

Letter h

Receivables that are obviously uncollectible can be charged as cost to the extent the Taxpayer has recognized it as an cost in the commercial income statement and has made the best or final efforts to collect them.

Publication does not only mean a national-scale publication, but also internal publications of associations and the like.

Letter i

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Self-explanatory.

Letter j

Self-explanatory.

Letter k

"Social infrastructure construction cost" means costs incurred for the purpose of construction the facilities and infrastructures for the public interest and are non-profit in nature.

Example of social infrastructures are, among other things, worship houses, cultural art studios, and polyclinics.

Letter l

Self-explanatory.

Letter m

Self-explanatory.

Letter n

Self-explanatory.

Paragraph (2)

If the expenses that are allowed based on the provisions of paragraph (1), after being deducted from the gross income, result in a loss, such a loss is compensated with the net income or the fiscal profit during 5 (five) consecutive years starting from the next year after the year in which the loss is gotten.

Example:

PT A in 2009 suffered a fiscal loss of Rp. 1.200.000.000,00 (one billion and two hundred million rupiah). In the next 5 (five) years, the fiscal profit and loss of PT A is as follows:

2010	:	fiscal profit	Rp. 200.000.000,00
2011	:	fiscal loss	(Rp. 300.000.000,00)
2012	:	fiscal profit	Rp NIL
2013	:	fiscal profit	Rp. 100.000.000,00
2014	:	fiscal profit	Rp. 800.000.000,00

The compensation for losses was carried out as follows:

Fiscal loss in 2009	(Rp 1.200.000.000,00)
Fiscal profit in 2010	Rp 200.000.000,00 (+)
Remaining fiscal loss in 2009	(Rp 1.000.000.000,00)

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****) : Fourth Amendment (Law Number 16 of 2009)
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******) : Sixth Amendment (Law Number 7 of 2021)

Fiscal loss in 2011	(Rp 300.000.000,00)
Remaining fiscal loss in 2009	(Rp 1.000.000.000,00)
Fiscal profit in 2012	Rp NIL (+)
Remaining fiscal loss in 2009	(Rp 1.000.000.000,00)
Fiscal profit in 2013	Rp 100.000.000,00 (+)
Remaining fiscal loss in 2009	(Rp 900.000.000,00)
Fiscal profit in 2014	Rp 800.000.000,00 (+)
Remaining fiscal loss in 2009	(Rp 100.000.000,00)

Fiscal loss in 2009 in amount of Rp 100.000.000,00 (one hundred million rupiah) that was still remaining at the end of 2014 may not be compensated again with the fiscal profit in 2015, whereas the fiscal loss in 2011 amounting to Rp. 300.000.000,00 (three hundred million rupiah) may only be compensated with the fiscal profit in 2015 and 2016, because the five-year period starting in 2012 ends at the end of 2016.

Paragraph (3)

In calculating the Taxable Income of a resident Individual Taxpayer, he/she is given with a reduction in the form of Non-Taxable Income (PTKP) based on the provisions as referred to in Article 7.

Article 7

(1) Non-Taxable Income per year is given at least:

a. Rp 54.000.000,00 (fifty-four million rupiah) for an individual Taxpayer him/herself;

b. Additional Rp. 4.500.000,00 (four million and five hundred thousand rupiah) for a married Taxpayer;

c. Additional Rp. 54.000.000,00 (fifty-four million rupiah) for a wife whose income is combined with the husband's income as referred to in Article 8 paragraph (1); and

d. Additional Rp. 4.500.000,00 (four million and five hundred thousand rupiah) for each biological family member (*keluarga sedarah*) and relative through marriage (*keluarga semenda*) in a direct lineage and adopted children, who are fully dependent, with a maximum of 3 (three) persons for each family. ******)

(2) The application of the provisions as referred to in paragraph (1) is determined by the circumstances at the beginning of fiscal year or at the beginning of a fraction of fiscal year. ****)

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***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(2a) Individual Taxpayer who has a certain gross turnover as referred to in Article 4 paragraph (2) letter e is not subject to Income Tax on the share of gross turnover up to Rp. 500.000.000,00 (five hundred million rupiah) in 1 (one) fiscal year.

(3) Adjustment of the amounts of:

a. Non-Taxable Income as referred to in paragraph (1); and

b. the gross turnover limit not subject to Income Tax as referred to in paragraph (2a),

are determined by Regulation of the Minister of Finance after consultation with the House of Representatives of the Republic of Indonesia.

Elucidation of Article 7

Paragraph (1)

To calculate the amount of Taxable Income of a resident individual Taxpayer, his/her net income is subtracted by the amount of Non-Taxable Income. In addition to for him/herself, a married Taxpayer is given with additional non-taxable income.

For a Taxpayer whose wife receives or has income combined with his income, the Taxpayer receives an additional Non-Taxable Income for a wife of at least Rp. 54.000.000,00 (fifty-four million rupiah).

Taxpayer who has biological family members (*keluarga sedarah*) and relatives through marriage (*keluarga semenda*) in a direct lineage who are his dependent fully, for example parents, parents in-law, biological children, or adopted children, is given with an additional Non-Taxable Income for maximum of 3 (three) persons. "Family member who are fully dependent" means a family member who has no income and all of his/her living expenses are borne by the Taxpayer.

Example:

Taxpayer A has a wife with 4 (four) dependent children. If his/her wife earns income from an employer that has been taxed with Income Tax Article 21 and such an employment does not relate with the business of her husband or other family members, the amount of Non-Taxable Income given to the Taxpayer A is Rp 72.000.000,00 {Rp 54.000.000,00 + Rp. 4.500.000,00 + (3 x Rp. 4.500.000,00)}, whereas for his wife, at the time of withholding of the Income Tax Article 21 by the employer, a Non-Taxable Income of Rp. 54.000.000,00 (fifty-four million rupiah) is given. If the wife's income must be combined with the husband's income, the amount of Non-Taxable Income given to the Taxpayer A is Rp. 126.000.000,00 (Rp. 72.000.000,00 + Rp. 54.000.000,00).

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (2)

The calculation of the amount of Non-Taxable Income as referred to in paragraph (1) is determined according to the condition of the Taxpayer at the beginning of fiscal year or at the beginning of a fraction of fiscal year.

For example, on 1 January 2021, Taxpayer B, a married man, with 1 (one) dependent child. If the second child is born after 1 January 2021, the amount of Non-Taxable Income given to the Taxpayer B for the fiscal year 2021 will still be calculated based on the married status with 1 (one) child.

Paragraph (2a)

Self-explanatory.

Paragraph (3)

Based on this provision, the Minister of Finance is authorized to change the amounts of:

a. Non-Taxable Income as referred to in Paragraph (1); and

b. gross turnover limit of not subject to Income Tax as referred to in Paragraph (2a),

after consultation with the permanent apparatus of the House of Representatives of the Republic of Indonesia, namely a commission whose task and authority are in the financial, banking, and development planning sector by considering the economic and monetary development as well as the development of prices of basic stuffs every year.

Article 8

(1) All incomes or losses for a married women at the beginning of fiscal year or at the beginning of a fraction of fiscal year, as well as her losses from the previous years that have not been compensated as referred to in Article 6 paragraph (2), are treated as incomes or losses of her husband, unless the incomes are solely received or earned from 1 (one) employer which has been taxed based on the provisions in Article 21 and such an employment does not relate with the business or independent job of her husband or other family members. **)

(2) The spouse's income is taxed separately if:

a. the spouse has lived separately based on a judge's award;

b. desired in writing by the spouse based on an agreement on separation of assets and incomes; or

c. desired by the wife who chooses to exercise her own tax rights and

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

obligations. ****)

(3) The net income of the spouse as referred to in paragraph (2) letter b and letter c is subject to Tax based on the combined net income of the husband and wife and the amount of tax that must be paid off by each spouse is calculated according to proportion of their net income. ****)

(4) Income of minor children is combined with the income of their parents. ****)

Elucidation of Article 8

The tax imposition system based on this Law places the family as an economic unity, meaning the incomes or losses of all family members are combined as a single unity that is subject to tax and the fulfillment of their tax obligations is performed by the head of family.

However, in certain cases, the fulfillment of the tax obligation is carried out separately.

Paragraph (1)

Incomes or losses for a married woman at the beginning of fiscal year or at the beginning of a fraction of fiscal year is treated as income or loss of her husband and is taxed as a single unity. Such a combination is not carried out in the event the wife's income is obtained from employment as an employee which has been taxed by the employer, provided that:

a. the wife's income is solely obtained from one employer, and

b. The wife's income derives from employment that does not relate with the business or independent job of her husband or other family members.

Example:

Taxpayer A who earns a net income from business amounting to Rp. 100.000.000,00 (one hundred million rupiah) has a wife who is an employee with a net income of Rp. 70.000.000,00 (seventy million rupiah). If the wife's income is obtained from one employer and has been taxed by the employer and such an employment does not relate with the business of her husband or other family members, the net income of Rp 70.000.000,00 (seventy million rupiah) is not combined with the income of A and the imposition of tax on the wife's income is final.

If, in addition to being an employee, the A's wife also runs a business, for example a beauty salon with a net income of Rp. 80.000.000,00 (eighty million rupiah), the entire incomes of the wife amounting to Rp. 150.000.000,00 (Rp 70.000.000,00 + Rp. 80.000.000, 00) are combined with the A's incomes.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

With such a combination, A is subject to tax on the net income of Rp. 250.000.000,00 (Rp. 100.000.000,00 + Rp. 70.000.000,00 + Rp. 80.000.000.00).

The withholding tax on the wife's income is not final, meaning it can be credited against the tax payable on the income amounting to Rp. 250.000.000,00 (two hundred and fifty million rupiah) which is reported in the Annual Income Tax Return. ****)

Paragraph (2) and paragraph (3)

In the event a married couple have lived separately based on a judge's award, calculation of their Taxable Income and the tax imposition is carried out separately. If the married couple enters into an agreement on separation of assets and incomes in writing or if the wife intends to exercise her own tax rights and obligations, the tax calculation is made based on the sum of net incomes of the married couple and each of them bears the tax liability in proportion to the amount of net income.

Example:

calculation of tax for a married couple who entered into a written agreement on income separation or if the wife intends to exercise her own tax rights and obligations is as follows:

From the example in Paragraph (1), if the wife runs a beauty salon business, her tax imposition is calculated based on the total income of Rp. 250.000.000,00 (two hundred and fifty million rupiah).

For example, the tax payable on this total income is Rp. 27.550.000,00 (twenty-seven million five hundred and fifty thousand rupiah), then, for each of the husband and the wife, their tax imposition is calculated as follows:

-Husband: $\frac{100.000.000,00}{250.000.000,00}$ x Rp 27.550.000,00 = Rp 11.020.000,00

-Wife: $\frac{150.000.000,00}{250.000.000,00}$ x Rp 27.550.000,00 = Rp 16.530.000,00

Paragraph (4)

Income of minor children, regardless of the source of their income and regardless of the nature of their employment, is combined with the income of their parents in the same fiscal year.

"Minor children" means children who are not yet 18 (eighteen) years old and have never been married.

If a minor child, whose parents have separated, receives or earns an income, his/her tax imposition is combined with the income of his/her

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

father or mother based on the actual situation.

Article 9

(1) To determine the amount of Taxable Income for a resident Taxpayer and a permanent establishment, the following may not be deducted therefrom:

a. distribution of profits in any name and in any form, such as dividends, including dividends paid by insurance companies to policyholders, and distribution of the remaining operating results of cooperatives;

b. costs charged or incurred for personal benefit of shareholders, partners, or members;

c. establishment or accumulation of reserve funds, except:

1. reserves of uncollectible receivables for bank's and other business entity's businesses that distribute credits, leases with option rights, consumer financing companies, and factoring companies that are calculated based on the applicable financial accounting standards with certain limits after coordination with the Financial Services Authority;

2. reserves for insurance businesses, including reserves for social aids established by the Social Security Organizing Agency;

3. reserves of pledges for Deposit Insurance Agency (*Lembaga Penjamin Simpanan*);

4. reserves of reclamation costs for mining businesses;

5. reserves of reinvestment costs for forestry businesses; and

6. reserves of closing and maintenance of industrial waste disposal sites for industrial waste treatment businesses,

that meet certain requirements; ******)

d. premiums of health insurance, accident insurance, life insurance, endowment insurance, and scholarship insurance, which are paid by an individual Taxpayer, unless paid by the employer and such premiums are calculated as income for the relevant Taxpayer;

e. deleted;

f. amounts that exceeds the reasonableness paid to shareholders or to related parties as consideration in relation to the work performed;

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

g. the granted assets, aids or donations, and inheritances as referred to in Article 4 paragraph (3) letter a and letter b, except for donations as referred to in Article 6 paragraph (1) letter i up to letter m and zakat received by amil zakat institution agencies or amil zakat institutions that are established or legalized by the government or any religious donations which are mandatory for the adherents of recognized religions in Indonesia, which are received by religious institutions established or legalized by the government, the provisions of which shall regulated by or based on the Government Regulation;

h. Income tax;

i. expenses charged or incurred for the personal interest of the Taxpayer or his/her dependents;

j. salaries paid to members of partnerships, firms, or limited liability companies whose capital is not divided into shares;

k. administrative sanction in the form of interest, fine, and increment as well as penal sanctions in the form of fines relating to the implementation of the provisions of statutory regulations in taxation sector. ******)

(2) Expenses to obtain, collect, and maintain incomes that have the useful life of more than 1 (one) year are not allowed to be charged at once, but must be charged through depreciation or amortization as referred to in Article 11 or Article 11A. **)

Elucidation of Article 9

Paragraph (1)

Expenditures made by Taxpayers can be distinguished between expenses that may and may not be charged as cost.

In principle, costs that may be deducted from the gross income are costs that have a direct and indirect relationship with a business or activity to obtain, collect, and maintain income which is a tax object, the charging of which can be carried out in the spending year or during the useful life of the expense. Expenses that may not be deducted from the gross income include expenses which are the use of income or the amount of which exceeds the reasonableness.

Letter a

Distribution of profits in any name and in any form, including dividend payments to capital owners, distribution of the remaining operating profits of cooperatives to its members, and dividends paid by insurance companies to the policyholders, may not be deducted

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

from the income of the corporate that distributes them because such a profit distribution is part of incomes of the corporate which will be taxed based on this Law.

Letter b

Those that may not deducted from the company's gross income are costs incurred or charged by the company for personal benefit of shareholders, partners or members, such as repairs of private homes, travel expenses, insurance premium expenses paid by the company for the personal benefit of shareholders or their families.

Letter c

Self-explanatory.

Letter d

Premiums for health insurance, accident insurance, life insurance, endowment insurance, and scholarship insurance that are paid by the individual Taxpayer him/herself may not be deducted from the gross income, and when such an individual receives the compensation or insurance benefits, such a receipt is not a tax object.

If the insurance premium is paid or borne by the employer, then for the employer, such a payment may be charged as cost and, for the relevant employee, it is an income which is a tax object.

Letter e

Deleted.

Letter f

In an employment relationship, a payment of benefit to an employee who is also a shareholder is possible to occur. Because, basically, the expenses to obtain, collect, and maintain income that may be deducted from the gross income are expenses that are reasonable in amount in accordance with the arm's length principle, based on this provision, such an amount that exceeds the reasonableness may not be charged as cost.

The reasonable amount as referred to in this paragraph is an amount that does not exceed the amount that should be issued by the employer as consideration in relation to the work if it is carried out by an unrelated party.

For example, an expert who is a shareholder of an agency provides a service to that agency in exchange for Rp. 50.000.000,00 (fifty million rupiah).

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

If for the same service that is provided by other equivalent experts, only paid at Rp. 20.000.000,00 (twenty million rupiah), the amount of Rp. 30.000.000,00 (thirty million rupiah) may not be charged as a cost. For experts who are also shareholders, the amount of Rp. 30.000.000,00 (thirty million rupiah) is treated as a dividend.

Letter g

Self-explanatory.

Letter h

Income Tax in this provision means an Income Tax payable by the relevant Taxpayer.

Letter i

Expenses for personal needs of the Taxpayer or his/her dependents, is essentially the use of income by the relevant Taxpayer. Therefore, such expenses may not be deducted from the gross income of the company.

Letter j

Members of firms, partnerships and limited liability companies whose capital is not divided into shares are treated as a single unity, thus, there is no compensation as salary.

Thus, a salary received by a member of partnership, firm, or limited liability company whose capital is not divided into shares, is not a payment that may be deducted from the gross income of the entity.

Letter k

Self-explanatory.

Paragraph (2)

In accordance with the arm's length principle, expenses that play a role in income for several years, the charging is carried out according to the number of years the expenses have played a role in the income.

In line with the harmonization principle between the expenses and the incomes, in this provision, expenses to obtain, collect and maintain income with the useful life of more than 1 (one) year may not be deducted as a lump sum cost of the company in the spending year, but shall be charged through depreciation and amortization during its useful life as specified in Article 11 and Article 11A.

Article 10

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(1) Acquisition price or selling price in the event of a sale and purchase of assets that is not affected by a special relationship as referred to in Article 18 paragraph (4) is the amount actually spent or received, whereas if there is a special relationship, it is the amount that should be issued or received. **)

(2) Acquisition value or selling value in the event of asset exchange is the amount that should be spent or received based on the market price. **)

(3) Acquisition value or transfer value of assets transferred to the effect of liquidation, merger, amalgamation, expansion, demerger, or business takeover is the amount that should be spent or received based on the market price, unless stipulated otherwise by the Finance Minister. **)

(4) If a transfer of assets occurs:

a. which meets the requirements as referred to in Article 4 paragraph (3) letter a and letter b, then, the valuation basis for the transferee is equal to the book salvage value of the transferor or a value as the Director General of Taxes may determine;

b. which does not meet the requirements as referred to in Article 4 paragraph (3) letter a, then, the valuation basis for the transferee is equal to the market value of the assets. **)

(5) If a transfer of assets as referred to in Article 4 paragraph (3) letter c occurs, then, the valuation basis of the assets for the corporate transferee is equal to the market value of the assets. **)

(6) Inventories and the use of inventories for the calculation of cost of goods are valued based on the acquisition price that is made with the average method or by prioritizing the first acquired inventory. **)

Elucidation of Article 10

This provision governs how to valuate assets, including inventories, to the effect of calculating the income in relation to the use of assets in a company, calculating the profit or loss in the event of a sale or transfer of assets, and calculating the proceeds of sales of merchandises.

Paragraph (1)

In general, in the sale and purchase of assets, the acquisition price of assets for the buyer is the actual price paid and the selling price for the seller is the actual price received. Included in the acquisition price are the purchase price and costs incurred in acquiring the assets, such as import duty, transportation cost and installation cost.

In a sale and purchase that is affected by a special relationship as referred to in Article 18 Paragraph (4), for the buyer the acquisition value is the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

amount that should be paid and for the seller the selling value is the amount that should be received. The existence of a special relationship between the buyer and the seller may result in the acquisition price to be higher or lower than those if the sale and purchase is not affected by the special relationship. Therefore, in this provision, it is regulated that the acquisition value or the selling value of assets for the relevant parties is the amount that should be spent or that should be received.

Paragraph (2)

Assets acquired based on an exchange transaction with other assets, its acquisition value or selling value is the amount that should be spent or received based on the market price.

Example:

	PT A (Asset X)	PT B (Asset Y)
Book salvage value	Rp 10.000.000,00	Rp 20.000.000,00
Market price	Rp 12.000.000,00	Rp 20.000.000,00

Between PT A and PT B, an exchange of assets occurs. Although there is no realization of payment between the relevant parties, but, since the market price of the assets exchanged is Rp 20.000.000,00 then the amount of Rp 20.000.000,00 is the acquisition value that should be spent or the selling value that should be received.

The difference between the market price and the book salvage value of the assets exchanged is a taxable profit. PT A gains a profit of Rp 10.000.000,00 (Rp 20.000.000,00 – Rp 10.000.000,00) and PT B gains a profit of Rp 8.000.000,00 (Rp 20.000.000,00 – Rp 12.000.000,00).

Paragraph (3)

In principle, in the event of a transfer of assets, valuation of the assets transferred is carried out based on the market price. Such a transfer of assets can be carried out to the effect of business development in the form of merger, amalgamation, expansion, demerger, and business takeover. In addition, the transfer can also be carried out to the effect of business liquidation or for other reasons.

The difference between the market price and the book salvage value of the assets transferred is a taxable income.

Example:

PT A and PT B amalgamated and formed a new entity, namely PT C. The book salvage value and the market price of the assets of the two entities are as follows:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

	PT A	PT B
Book salvage value	Rp 200.000.000,00	Rp 300.000.000,00
Market price	Rp 300.000.000,00	Rp 450.000.000,00

Basically, valuation of the assets delivered by PT A and PT B to the effect of amalgamation into PT C is the market price of the assets. Thus, PT A gains a profit of Rp 100.000.000,00 (Rp 300.000.000,00 – Rp 200.000.000,00) and PT B gains a profit of Rp 150.000.000,00 (Rp 450.000.000,00 – Rp 300.000.000,00). Whereas, PT C records all of these assets in the amount of Rp 750.000.000,00 (Rp 300.000.000,00 + Rp 45.000.000,00). However, in order to harmonize with policies in the social, economic, investment, monetary and other sectors, the Minister of Finance is authorized to determine a value other than the market price, namely based on the book salvage value ("pooling of interest"). In this case, PT C records the receipt of assets from PT A and PT B amounting to Rp 500.000.000,00 (Rp 200.000.000,00 +Rp 300.000.000,00).

Paragraph (4)

In the event of a transfer of assets due to a grant, aid, donation that meets the requirements in Article 4 Paragraph (3) letter a or a legacy, then the acquisition value for the receiving party is the book salvage value of the assets from the party making the delivery.

If the Taxpayer does not carry out a bookkeeping so that the book salvage value is unknown, then the acquisition value of the assets is determined by the Director General of Taxes. In the event of a transfer of assets due to grants, aids, donations that do not meet the requirements as referred to in Article 4 Paragraph (3) letter a, the acquisition value for the party who receives the assets is the market price.

Paragraph (5)

Taxpayer participation in the capital of a corporate can be fulfilled by cash deposit or transfer of assets.

This provision governs the valuation of the assets transferred in exchange of shares or equity participation, namely, it is valuated based on the market value of the transferred assets.

Example:

Taxpayer X delivers 20 units of lathe engine with a book value of Rp 25.000.000,00 to PT Y as in exchange of its share participation with a nominal value of Rp 20.000.000,00.

The market price of the lathe engines is Rp 40.000.000,00. In this case,

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

PT Y will record the lathe engines as an asset worth of Rp 40.000.000,00 and such an amount of value is not income for PT Y.

The difference between the nominal value of the shares and the market value of the assets, namely amounting to Rp 20.000.000,00 (Rp 40.000.000,00 - Rp 20.000.000,00) is recorded as a premium (*agio*). For Taxpayer X the difference amounting to Rp 15.000.000,00 (Rp 40.000.000,00 - Rp 25.000.000,00) is a Tax Object.

Paragraph (6)

In general, there are 3 (three) categories of inventory, namely finished goods or merchandises, goods under production, raw materials and auxiliary materials. The provisions in this paragraph governs that the valuation of inventories may only use the acquisition price. The valuation of inventory usage for calculating the cost of goods may only be made with the average method or by prioritizing the inventories that are first acquired ("first-in, first-out or abbreviated as FIFO"). In usual practices, this valuation method is also applied to securities.

Example:

1. Beginning inventory 100 units @Rp 9,00
2. Purchase 100 units @Rp 12,00
3. Purchase 100 units @Rp 11,25
4. Sales/use 100 units
5. Sales/use 100 units

Calculation of the cost of goods of sales and the inventory value is by using the average method, for example as follows:

No.	Acquired	Used	Remaining/Stock
1.			100 @ Rp 9,00 = Rp 900,00
2.	100 @ Rp 12,00 = Rp 1.200,00		200 @ Rp 10,50 = Rp 2.100,00
3.	100 @ Rp 11,25 = Rp 1.125,00		300 @ Rp 10,75 = Rp 3.225,00
4.		100 @ Rp 10,75 = Rp 1.075,00	200 @ Rp 10,75 = Rp 2.150,00
5.		100 @ Rp 10,75 = Rp 1.075,00	100 @ Rp 10,75 = Rp 1.075,00

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***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Calculation of the cost of goods of sales and the inventory value is by using the FIFO method, for example as follows:

No.	Acquired	Used	Remaining/Stock
1.			100 @ Rp 9,00 = Rp 900,00
2.	100 @ Rp 12,00 = Rp 1.200,00		100 @ Rp 9,00 = Rp 900,00 100 @ Rp. 12,00 = Rp. 1.200,00
3.	100 @ Rp 11,25 = Rp 1.125,00		100 @ Rp 9,00 = Rp 900,00 100 @ Rp. 12,00 = Rp. 1.200,00 100 @ Rp. 11,25 = Rp. 1.125,00
4.		100 @ Rp 9,00 = Rp 900,00	100 @ Rp. 12,00 = Rp. 1.200,00 100 @ Rp. 11,25 = Rp. 1.125,00
5.		100 @ Rp. 12,00 = Rp. 1.200,00	100 @ Rp. 11,25 = Rp. 1.125,00

Once the Taxpayer has chosen one method of valuation of the use of inventories for calculating the said cost of goods, then, for subsequent years, the same method must be used.

Article 11

(1) Depreciation of expenses for the purchase, establishment, addition, repair, or change of tangible assets, except for lands with the status of property right (*hak milik*), right to build (*hak guna bangunan*), right of exploitation (*hak guna usaha*) and right of use (*hak pakai*), which are owned and used to obtain, collect, and maintain the income with the useful life of more than 1 (one) year is made in portions in equal amounts during the predetermined useful life for the assets. ***)

(2) Depreciation of the expenses for tangible assets as referred to in paragraph (1) other than buildings, can also be made out in the declining portions during the useful life, which is calculated by applying the depreciation rate on the book salvage value, and at the end of the useful life, the book salvage value is depreciated at once, provided that it is

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

carried out consistently. ***)

(3) Depreciation begins in the month in which the expenses are made, except for assets that are still under the working process, its depreciation begins in the month in which the working of assets is completed. ***)

(4) With the approval of the Director General of Taxes, the Taxpayer is allowed to make depreciation starting in the month in which the assets are used to obtain, collect, and maintain the income or in the month in which the relevant assets start in production. ***)

(5) If the Taxpayer makes a revaluation of assets based on the provisions as referred to in Article 19, the depreciation basis on the assets is the value after revaluation of the assets. **)

(6) To calculate the depreciation, the useful life and the depreciation rate of tangible assets are determined as follows: **)

Tangible Asset Group	Useful Life	Depreciation rate as referred to in	
		Paragraph (1)	Paragraph (2)
I. Non-Building			
Group 1	4 years	25%	50%
Group 2	8 years	12.5%	25%
Group 3	16 years	6.25%	12.5%
Group 4	20 years	5%	10%
II. Building			
Permanent	20 years	5%	
Non-Permanent	10 years	10%	

(6a) If the permanent building as referred to in paragraph (6) has the useful life of more than 20 (twenty) years, the depreciation as referred to in paragraph (1) is made in fractions in equal amount, in accordance with the useful life as referred to in paragraph (6) or in accordance with the actual useful life based on the Taxpayer's bookkeeping. ******)

(7) Depreciation of tangible assets owned and used in certain business sectors can be regulated separately. ******)

(8) In the event of a transfer or withdrawal of assets as referred to in Article 4 paragraph (1) letter d or withdrawal of assets for other reasons, the total book salvage value of the assets is charged as a loss and the total selling price or its insurance compensation received or obtained is recorded as income in the year in which the withdrawal of assets occurs. **)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(9) If the proceeds of insurance compensation to be received can only be known exactly in the future, then, with the approval of the Director General of Taxes, an amount equal to the loss as referred to in paragraph (8) is recorded as a future expense. ***)

(10) If a transfer of assets occurs that meets the requirements as referred to in Article 4 paragraph (3) letters a and b, which are in the form of tangible assets, the total book salvage value of the assets may not be charged as a loss for the transferor. **)

(11) Deleted.

Elucidation of Article 11

Paragraph (1) and paragraph (2)

Expenses to acquire tangible assets with the useful life of more than 1 (one) year must be charged as cost to obtain, collect, and maintain the income by means of allocating these expenses during the useful life of the tangible assets through depreciation. The expenses to acquire lands under the ownership right, including lands with the status of the first right to build (*hak guna bangunan*), right of exploitation (*hak guna usaha*) and right of use (*hak pakai*) may not be depreciated, except if the land is used in the company or owned to earn the income on condition that the value of the land decreases due to its use to earn income, for example the land is used for a tile company, ceramic company, or brick company.

"Expenses to acquire the first lands under the right to build (*hak guna bangunan*), right of exploitation (*hak guna usaha*) and right of use (*hak pakai*)" means the acquisition cost of lands with the status of the right to build (*hak guna bangunan*), right of exploitation (*hak guna usaha*) and right of use (*hak pakai*) from third parties and the dealing of such rights from the competent authorities for the first time, whereas the costs for extension of the right to build (*hak guna bangunan*), right of exploitation (*hak guna usaha*) and right of use (*hak pakai*) are amortized throughout the term of these rights.

The depreciation method allowed under this provision is carried out:

a. in fractions in equal amount during the determined useful life for the assets (straight line method); or

b. in declining portions by means of applying the depreciation rate on the book salvage value (declining balance method).

The use of the depreciation method on assets must be carried out consistently.

As to the tangible assets in the form of buildings, may only be depreciated

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

with the straight-line method. Tangible assets other than buildings may be depreciated with the straight-line method or the declining balance method.

In the event the Taxpayer chooses to use the declining balance method, the book salvage value at the end of the useful life must be depreciated all at once.

In accordance with the Taxpayer's bookkeeping, the same or similar small tools can be depreciated in one group.

Example of use of the straight-line method:

A building with the acquisition price of Rp. 1.000.000.000,00 (one billion rupiah) and the useful life of 20 (twenty) years, its depreciation per year is Rp. 50.000.000,00 (Rp. 1.000.000.000,00 : 20).

Example of use of the declining balance method:

A machine that was bought and placed in January 2009 with the acquisition price of Rp. 150.000.000,00 (one hundred and fifty million rupiah). The useful life of the machine is 4 (four) years. If, for example, the depreciation rate is set at 50% (fifty percent), the calculation of its depreciation is as follows:

Year	Rate	Depreciation	Book Salvage Value
Acquisition Price			150.000.000,00
2009	50%	75.000.000,00	75.000.000,00
2010	50%	37.500.000,00	37.500.000,00
2011	50%	18.750.000,00	18.750.000,00
2012	Depreciated at once	18.750.000,00	0,00

****)

Paragraph (3)

Depreciation begins in the month the expenditure is made or in the month when the work on an asset is completed so that depreciation in the first year is calculated on a pro-rata basis.

Example 1:

Expenses for the construction of a building is Rp. 1.000.000.000,00 (one billion rupiah). The construction began in October 2009 and was

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

completed for use in March 2010. Depreciation on the acquisition price of the building began in March of the fiscal year 2010.

Example 2:

A machine was bought and placed in July 2009 with the acquisition price of Rp. 100.000.000,00 (one hundred million rupiah). The useful life of the machine is 4 (four) years. If, for example, the depreciation rate is set at 50% (fifty percent), then the calculation of its depreciation is as follows:

Year	Rate	Depreciation	Book Salvage Value
Acquisition Price			100.000.000,00
2009	6/12 x 50%	25.000.000,00	75.000.000,00
2010	50%	37.500.000,00	37.500.000,00
2011	50%	18.750.000,00	18.750.000,00
2012	50%	9.375.000,00	9.375.000,00
2013	Depreciated at Once	9.375.000,00	0,00

****)

Paragraph (4)

Upon approval of the Director General of Taxes, the commencement of depreciation can be carried out in the month in which the assets are used to obtain, collect and maintain the income or in the month in which the assets start production. The time of starting production in this provision is related with the time of starting production and not related with the time when income is received or earned.

Example:

PT X, which engages in the plantation sector, bought a tractor in 2009. The plantation began to produce (harvest) in 2010. With the approval of the Director General of Taxes, the depreciation of the tractor can be carried out starting in 2010. ****)

Paragraph (5)

Self-explanatory.

Paragraph (6)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

To provide a legal certainty for the Taxpayers in depreciating the expenses of tangible assets, this provision governs the group of assets' useful lives and depreciation rates according to both the straight-line method and the declining balance method.

"Non-permanent building" means a building that is temporary in nature and made of non-durable materials or a movable building, with the useful life not more than 10 (ten) years, for example barracks or dormitories made of woods for employees.

Paragraph (6a)

Self-explanatory.

Paragraph (7)

In order to adapt to the characteristics of certain business sectors, such as hardwood plantations, forestry, and animal husbandry, it is necessary to provide a separate arrangement for depreciation of the tangible assets used in the certain business sectors.

Paragraph (8) and paragraph (9)

Basically, the profit or loss from the transfer of asset is taxed in the year in which the asset is transferred.

If the asset is sold or burned, then the net receipt from the sale of the asset, namely the difference between the selling price and the costs incurred in relation to the sale and or insurance compensation, is recorded as income in the year in which the sale occurs or the year in which the insurance compensation is received, and the book salvage value of the asset is charged as a loss in the relevant fiscal year.

In case the amount of insurance compensation received can only be known exactly on a later date, the Taxpayer may submit an application to the Director General of Taxes for an amount equal to such a loss can be charged in the year in which the insurance compensation is paid.

Paragraph (10)

Notwithstanding the provisions as referred to in Paragraph (8), in the case of a transfer of tangible assets that meets the requirements as referred to in Article 4 paragraph (3) letters a and b, its book salvage value may not be charged as a loss by the transferee.

Paragraph (11)

Deleted.

Article 11A

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(1) Amortization of expenses to acquire intangible assets and other expenses including the cost for extension of the right to build (*hak guna bangunan*), right of exploitation (*hak guna usaha*), right of use (*hak pakai*), and goodwill with the useful life of more than 1 (one) year which is used to obtain, collect and maintain the income is carried out in fractions in equal amounts or in declining portions during the useful life, which is calculated by applying the amortization rate on the expenses or to the book salvage value and at the end of the useful life, they are amortized all at once on condition that it shall be carried out consistently. ****)

(1a) Amortization begins in the month in which the expense is made, except for certain business sectors. ******)

(2) To calculate the amortization, the useful life and the amortization rate are determined as follows: **)

Intangible Assets Group	Useful Life	Amortization rate by method	
		Straight Line	Decreased Balance
Group 1	4 years	25%	50%
Group 2	8 years	12.5%	25%
Group 3	16 years	6.25%	12.5%
Group 4	20 years	5%	10%

(2a) If the intangible assets as referred to in paragraph (2) have the useful life more than 20 (twenty) years, the amortization as referred to in paragraph (1) is carried out in accordance with the useful life as referred to in paragraph (2) for intangible assets group 4 or in accordance with the actual useful life based on the Taxpayer's bookkeeping. ******)

(3) Expenses for establishment costs and capital expansion costs of a company are charged in the year in which the expenses occurred or amortized in accordance with the provisions as referred to in paragraph (2). ***)

(4) Amortization of expenses to obtain the rights and other expenses with the useful life of more than 1 (one) year in oil and natural gas mining sector is carried out by using the production unit method. **)

(5) Amortization of expenses to obtain the mining rights other than those referred to in paragraph (4), forest concession rights, and exploitation rights of natural resources and other natural outcomes with the useful life of more than 1 (one) year, is carried out using the production unit method

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

up to maximum 20% (twenty percent) a year. ***)

(6) Expenses made prior to the commercial operation with the useful life of more than 1 (one) year are capitalized and then amortized in accordance with the provisions as referred to in paragraph (2). ***)

(7) In the event of a transfer of the intangible assets or the rights as referred to in paragraph (1), paragraph (4), and paragraph (5), the book salvage value of the assets or the rights is charged as loss and the amount received as replacement is an income in the year in which the transfer occurs. ***)

(8) In the event of a transfer of assets that meet the requirements as referred to in Article 4 paragraph (3) letters a and b, which are in the form of intangible assets, then the total book salvage value of the assets may not be charged as a loss for the transferee. **)

Elucidation of Article 11A

Paragraph (1)

Acquisition price of intangible assets and other expenses including the costs for extension of the right to build (*hak guna bangunan*), right of exploitation (*hak guna usaha*), right of use (*hak pakai*), and goodwill with the useful life of more than 1 (one) year is amortized by using the following methods:

a. in equal portions each year during the useful life; or

b. in declining portions each year by applying the amortization rate on the book salvage value.

Particularly for the amortization of intangible assets by using the declining balance method, at the end of the useful life the book salvage value of the intangible assets or the rights are amortized all at once.

Paragraph (1a)

Amortization begins in the month in which the expense is made so that the amortization in the first year is calculated on a pro-rate basis.

In order to adapt to the characteristics of certain business sectors, it is necessary to provide a separate arrangement for the commencement time of amortization.

Paragraph (2)

Determination of the useful life and the amortization rate for intangible asset expenses is intended to provide uniformity for the Taxpayers in carrying out an amortization.

The Taxpayer may carry out amortization according to the method he/she

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

chooses as referred to in Paragraph (1) based on the actual useful life of each intangible asset. The amortization rate applied is based on the useful life group as governed in this provision. For intangible assets whose useful life is not listed in the existing useful life group, then the Taxpayer uses the closest useful life. For example, an intangible asset with the actual useful life of 6 (six) years may use the useful life group of 4 (four) years or 8 (eight) years. In the event the actual useful life is 5 (five) years, the intangible assets are amortized by using the useful life group of 4 (four) years.

Paragraph (2a)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

The production unit method is carried out by applying an amortization rate percentage the amount per year of which is equal to the ratio percentage between the realization of oil and natural gas mining in the relevant year and the estimated total amount of oil and natural gas in that location, that can be produced.

If apparently the actual total production is smaller than the estimate, so that there are still remaining expenses for obtaining the rights or other expenses, then the remaining expenses may be charged at once in the relevant fiscal year.

Paragraph (5)

Expenses for obtaining the mining rights other than oil and natural gas, forest concession rights, and exploitation rights of natural resource and other natural outcomes, such as marine product concession rights, are amortized based on the production unit method with the maximum amount of 20% (twenty percent) per year.

Example:

Expenses for obtaining the forest concession rights, which have a potential of 10.000.000 (ten million) tons of timbers, amounting to Rp. 500.000.000,00 (five hundred million rupiah) are amortized according to the percentage of production units that is realized in the relevant year. If within 1 (one) fiscal year, apparently the total production reaches 3.000.000 (three million) tons, meaning 30% (thirty percent) of the available potential, even though the total production in that year reaches 30% (thirty percent) of the total potential available, the amount of amortization that is allowed to be deducted from the gross income in that

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
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****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

year is 20% (twenty percent) of the expenses or Rp. 100.000.000,00 (one hundred million rupiah). ****)

Paragraph (6)

The definition of expense made prior to the commercial operation, is costs incurred prior to the commercial operation, such as the feasibility study cost and trial production cost but excluding the routine operational costs, such as employee salaries, electricity and telephone bills, and other office costs. As to this routine operating expense may not be capitalized but charged at once in the spending year.

Paragraph (7)

Example:

PT X incurs costs to obtain an oil and natural gas mining right in a location in the amount of Rp. 500.000.000,00. The estimated total oil reserve in the area is 200,000,000 (two hundred million) barrels. After the oil and natural gas production reaches 100,000,000 (one hundred million) barrels, PT X sells the mining rights to another party at a price of Rp. 300.000.000,00. Calculation of income and loss from the sale of these rights is as follows:

Acquisition price	Rp 500.000.000,00
Amortization made:	
100.000.000/200.000.000 barrel (50%)	Rp 250.000.000,00
Book value of assets	Rp 250.000.000,00
Selling price of assets	Rp 300.000.000,00

Thus, total book salvage value of Rp 250.000.000,00 is charged as a loss and the amount of Rp. 300.000.000,00 is recorded as income.

Paragraph (8)

Self-explanatory.

Article 12

Deleted **)

Elucidation of Article 12

Self-explanatory.

Article 13

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Deleted **)

Elucidation of Article 13

Self-explanatory.

Article 14

(1) The Net Income Calculation Norm to determine net incomes is made and continuously enhanced and issued by the Director General of Taxes. ***)

(2) Individual Taxpayer who carries out business activity or independent job whose gross turnover in 1 (one) year is less than Rp. 4.800.000.000,00 (four billion and eight hundred million rupiah) may calculate his/her net income by using the Net Income Calculation Norm as referred to in paragraph (1). paragraph (1), provided that he/she notifies the Director General of Taxes within the first 3 (three) months as of the relevant fiscal year. ****)

(3) The Taxpayer as referred to in paragraph (2) who calculates his/her net income by using the Net Income Calculation Norm shall be obliged to carry out the recording as referred to in Law which governs the general provisions and procedures of taxation. ****)

(4) The Taxpayer as referred to in paragraph (2) who fails to notify the Director General of Taxes to calculate his/her net income by using the Net Income Calculation Norm is deemed as chooses to carry out bookkeeping. ***)

(5) A Taxpayer who shall be obliged to carry out the bookkeeping or the recording, including Taxpayer as referred to in paragraphs (3) and (4), who apparently does not or does not fully carry out the bookkeeping or the recording or does not show the records or the supporting evidences, his/her net income is calculated based on the Net Income Calculation Norm and his/her gross turnover is calculated in another way as regulated by or based on the Regulation of the Minister of Finance. ****)

(6) Deleted. ***)

(7) The amount of gross turnover as referred to in paragraph (2) can be changed by a Regulation of the Minister of Finance. ****)

Elucidation of Article 14

Correct and complete information of the Taxpayer's income is very important to be able to impose a fair and reasonable tax in accordance with the economic capability of the Taxpayer. In order to be able to

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

present such an information, the Taxpayer must carry out bookkeeping. However, it is realized that not all Taxpayers are able to carry out bookkeeping.

All corporate Taxpayers and permanent establishments shall be obliged to carry out bookkeeping. Individual Taxpayers who run business or carry out independent job with a certain gross turnover are not obliged to carry out bookkeeping.

In order to provide convenience in calculating the amount of net income for individual Taxpayers who run business or independent job with a certain gross turnover, the Director General of Taxes issues a calculation norm.

Paragraph (1)

Calculation Norm is a guideline to determine the amount of net income that is issued by the Director General of Taxes and is continuously enhanced.

The use of the Calculation Norm is basically made in the following events:

a. there is no better calculation basis, namely a complete bookkeeping, or

b. the bookkeeping or recording of the Taxpayer's gross turnover apparently carried out incorrectly.

The Calculation Norm is developed in such a way based on the results of research or other data, and with due regard to the fairness.

The Calculation Norm will be very helpful for Taxpayer who has not been able to carry out bookkeeping to calculate his/her net income.

Paragraph (2)

The Net Income Calculation Norm may only be used by individual Taxpayers who carry out business activity or independent job whose gross turnover is less than Rp. 4.800.000.000,00 (four billion and eight hundred million rupiah). To be able to use the Net Income Calculation Norm, an individual Taxpayer must notify the Director General of Taxes within the first 3 (three) months as of the relevant fiscal year.

Paragraph (3)

An Individual Taxpayer who uses the Net Income Calculation Norm shall be obliged to keep records of their gross turnover as specified in the Law that governs the general provisions and procedures of taxation.

The recording is intended to facilitate the application of the norm in calculating net income.

Paragraph (4)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

If an eligible individual Taxpayer intends to use the Net Income Calculation Norm, but does not notify the Director General of Taxes within the determined period, such a Taxpayer is deemed chooses to carry out bookkeeping. ****)

Paragraph (5)

A Taxpayer who shall be obliged to carry out bookkeeping, obliged to carry out recording, or deemed chooses to carry out bookkeeping, but:

a. does not or does not fully perform the obligations of recording or bookkeeping; or

b. is not willing to show the bookkeeping or the recording or the supporting evidences when the audit is conducted

so as to result in the actual gross turnover and net income being unknown, the gross turnover of the relevant Taxpayer is calculated in another way as specified by or based on the Regulation of the Minister of Finance and his/her net income is calculated by using the Net Income Calculation Norm.

Paragraph (6)

Self-explanatory.

Paragraph (7)

The Minister of Finance may adjust the amount of the gross turnover limit as referred to in Paragraph (2) by taking into account the economic development and the ability of the Taxpayer community to carry out bookkeeping.

Article 15

A Special Calculation Norm to calculate the net income of certain Taxpayers which cannot be calculated based on the provisions in Article 16 paragraph (1) or paragraph (3) shall be stipulated by the Finance Minister. **)

Elucidation of Article 15

This provision governs the Special Calculation Norm for certain groups of Taxpayers, including international shipping or aviation companies, foreign insurance companies, oil, gas and geothermal drilling companies, foreign trading companies, companies that invest in the form of "build, operate, and transfer" arrangements.

In order to avoid difficulties in calculating the amount of Taxable Income for certain groups of Taxpayers, based on practical considerations, or in accordance with the reasonableness in tax imposition in the aforesaid

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

business sectors, the Minister of Finance is authorized to stipulate a Special Calculation Norm to calculate the amount of net income of certain Taxpayers.

CHAPTER IV
HOW TO CALCULATE TAXES

Article 16

(1) Taxable Income as the basis for applying the rates for resident Taxpayers in a fiscal year is calculated by means of subtracting from the income as referred to in Article 4 paragraph (1) with the reduction as referred to in Article 6 paragraph (1) and paragraph (2), Article 7 paragraph (1), as well as Article 9 paragraph (1) letter c, letter d, letter e, and letter g. ****)

(2) Taxable Income for individual and corporate Taxpayer as referred to in Article 14 is calculated by using the calculation norm as referred to in Article 14 and for individual Taxpayer, it is subtracted by Non-Taxable Income as referred to in Article 7 paragraph (1). ****)

(3) Taxable Income for non-resident Taxpayers who run a business or carry out an activity through a permanent establishment in Indonesia in a fiscal year is calculated by subtracting from the income as referred to in Article 5 paragraph (1) by taking into account the provisions in Article 4 paragraph (1) with the reduction as referred to in Article 5 paragraph (2) and paragraph (3), Article 6 paragraph (1) and paragraph (2), as well as Article 9 paragraph (1) letter c, letter d, letter e, and letter g. ****)

(4) Taxable Income for resident individual Taxpayers whose tax is payable in a fraction of fiscal year as referred to in Article 2A paragraph (6) is calculated based on the net incomes received or earned in the annualized fraction of the fiscal year. **)

Elucidation of Article 16

Taxable Income is the basis of calculation to determine the amount of Income Tax payable. In this law, there are two categories of Taxpayers, namely resident Taxpayers and non-resident Taxpayers.

For resident Taxpayers, basically there are two methods to determine the amount of taxable income, namely calculation as usual and calculation using the Calculation Norm.

In addition, there is a calculation method using the Special Calculation Norm, which is designated for certain Taxpayers which shall regulated by or based on the Regulation of the Minister of Finance.

For non-resident Taxpayers, determination of the amount of Taxable

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Income is distinguished between:

1. Non-Resident Taxpayers who run business or carry out activities through a permanent establishment in Indonesia; and
2. Other non-resident Taxpayers.

Paragraph (1)

For a resident Taxpayer who carries out bookkeeping, his/her Taxable Income is calculated by using the usual calculation method, as in the example below.

- Gross turnover	Rp 6.000.000.000,00	
- Costs to obtain, collect and maintain the income	Rp 5.400.000.000,00	(-)
-Operating profit (net operating income)	Rp 600.000.000,00	
-Other incomes	Rp 50.000.000,00	
-Costs to obtain, collect and maintain other incomes	Rp 30.000.000,00	(-)
	Rp 20.000.000,00	(+)
- Total net income	Rp 620.000.000,00	
- Loss compensation	Rp 10.000.000,00	(-)
- Taxable Income (for corporate Taxpayer)	Rp 610.000.000,00	
- Deduction in the form of Non-Taxable Income for individual Taxpayer (wife + 2 children)	Rp 19.800.000,00	(-)
- Taxable Income (for individual Taxpayer)	Rp 590.200. 0000,00	

Paragraph (2)

For individual Taxpayers who have the right not to carry out bookkeeping, their Taxable Income is calculated by using the Net Income Calculation Norm, as in the example below.

- Gross Turnover	Rp 4.000.000.000,00	
- Net income (according to the Calculation Norm), for example 20%	Rp 800.000.000,00	
- Other net income	Rp 5.000.000,00	(+)
- Total net income	Rp 805.000.000,00	
- Non-Taxable Income (wife + 3 children)	Rp 21.120.000,00	(-)
- Taxable Income	Rp 783.880.000,00	

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (3)

For non-resident Taxpayers who run a business or carry out an activity through a permanent establishment in Indonesia, the method to calculate their Taxable Income is basically the same as the method of calculating Taxable Income for resident Corporate Taxpayers. Since the permanent establishment shall be obliged to carry out bookkeeping, their Taxable Income is calculated by using the usual calculation method.

Example:

- Gross Turnover		Rp.10.000.000.000,00
- Costs to obtain, collect and maintain the income		Rp 8.000.000.000,00 (-)
		Rp 2.000.000.000,00
- Income from Interests		Rp 50.000.000,00
- Direct sales of goods that are similar to goods sold by a permanent establishment by the head office	Rp 2.000.000.000,00	
- Costs to obtain, collect and maintain the income	Rp 1.500.000.000,00 (-)	
	Rp 500.000.000,00	
Dividends received or earned by the head office that have an effective relationship with the permanent establishment		Rp 1.000.000.000,00 (+)
		Rp 3.550.000.000,00
- Costs according to Article 5 Paragraph (3)		Rp 45.000.000,00 (-)
- Taxable Income		Rp 3.100.000.000,00

Paragraph (4)

Example:

An unmarried individual person whose subjective tax obligation as a resident tax subject is 3 (three) months and within such a period earns an income of Rp. 150.000.000,00 (one hundred and fifty million rupiah), then, the calculation of his/her Taxable Income is as follows.

Income for 3 (three) months	Rp 150.000.000,00

Annual income amounts to:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(360 : (3x30)) x Rp. 150.000.000,00	Rp 600.000.000,00
Non-Taxable Income	Rp 15.840.000,00 (-)
Taxable Income	Rp 584.160.000,00

****)

Article 17

(1) Tax rates applied to the Taxable Income for:

a. Resident individual Taxpayers are as follows:

Taxable Income Layer	Tax Rate
up to Rp 60.000.000,00 (sixty million rupiah)	5% (five percent)
above Rp 60.000.000,00 (sixty million rupiah) up to Rp 250.000.000,00 (two hundred and fifty million rupiah)	15% (fifteen percent)
above Rp. 250.000.000,00 (two hundred and fifty million rupiah) up to Rp. 500.000.000,00 (five hundred million rupiah)	25% (twenty five percent)
above Rp. 500.000.000,00 (five hundred million rupiah) up to Rp. 5.000.000.000,00 (five billion rupiah)	30% (thirty percent)
above Rp. 5.000.000.000,00 (five billion rupiah)	35% (thirty five percent)

******)

b. The Resident corporate Taxpayers and the permanent establishments is at 22% (twenty two percent) which comes to effect as of the fiscal year 2022. ******)

(2) The rates as referred to in paragraph (1) letter a may be amended by a Government Regulation after being submitted by the government to the House of Representatives of the Republic of Indonesia to be discussed and agreed upon in the preparation of the Draft State Budget. ******)

(2a) Deleted.

(2b) Resident corporate Taxpayers:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

a. in the form of public company;

b. with the total number of paid-up shares traded on Indonesian stock exchange at least 40% (forty percent); and

c. meeting the certain requirements,

may obtain rates of 3% (three percent) lower than the rates as referred to in paragraph (1) letter b. ******)

(2c) The rates imposed on incomes in the form of dividends distributed to individual resident Taxpayers is maximally 10% (ten percent) and is final. ****)

(2d) Further provisions on the amount of rates as referred to in paragraph (2c) shall be regulated by a Government Regulation. ****)

(2e) Further provisions regarding certain requirements as referred to in paragraph (2b) letter c shall regulated by or based on the Government Regulation. ******)

(3) The amount of Taxable Income layers as referred to in paragraph (1) letter a can be amended by a Regulation of the Minister of Finance. ******)

(4) For the purpose of applying the tax rates as referred to in paragraph (1), the amount of Taxable Income is rounded down into full thousand rupiah. ***)

(5) The amount of tax payable for individual resident Taxpayers whose tax is payable in a fraction of fiscal year as referred to in Article 16 paragraph (4), is calculated equal to the number of days in such a fraction of fiscal year divided by 360 (three hundred and sixty) multiplied by the tax payable for 1 (one) fiscal year.**)

(6) For the purposes of tax calculation as referred to in paragraph (5), every full month is counted as 30 (thirty) days. ***)

(7) With a Government Regulation, a separate tax rate can be determined on the income as referred to in Article 4 paragraph (2), to the extent not exceeding the highest tax rate as referred to in paragraph (1). ***)

Elucidation of Article 17

Paragraph (1)

Letter a

Example of calculation of tax payable for an individual Taxpayer:

Total Taxable Income is Rp. 6.000.000.000,00 (six billion rupiah).

The Income Tax payable is:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

5% x Rp. 60.000.000,00	=	Rp	3.000.000,00
15% x Rp 190.000.000,00	=	Rp	28.500.000,00
25% x Rp. 250.000.000,00	=	Rp	62.500.000,00
30% x Rp. 4.500.000.000,00	=	Rp.	1.350.000.000,00
35% x Rp. 1.000.000.000,00	=	Rp	350.000.000,00 (+)
		Rp	1.794.000.000,00

Letter b

Example of calculation of tax payable for a resident corporate Taxpayer and a permanent establishment:

Taxable income of PT A in the fiscal year 2022 is Rp. 1.500.000.000,00 (one billion and five hundred million rupiah).

Income Tax payable for the fiscal year 2022:

22% x Rp. 1.500.000.000,00 = Rp. 330.000.000,00.

Paragraph (2)

Any amendment to the rate will be applied nationally commencing as of 1 January, announced not later than 1 (one) month prior to the new rate comes to effect.

Paragraph (2a)

Deleted.

Paragraph (2b)

Self-explanatory.

Paragraph (2c)

Self-explanatory.

Paragraph (2d)

Self-explanatory.

Paragraph (2e)

Self-explanatory.

Paragraph (3)

The amount of Taxable Income layer as referred to in Paragraph (1) letter a will be adjusted to the adjustment factor, such as, the inflation rate, which is stipulated by a Regulation of the Minister of Finance.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (4)

Example:

Taxable Income of Rp. 5.050.900,00, for the application of rate is rounded down to Rp. 5.050.000,00.

Paragraph (5)

Self-explanatory.

Paragraph (6)

Example:

Annual Taxable Income of an individual Taxpayer (calculated according to the provisions in Article 16 Paragraph (4)): Rp584.160.000,00 (five hundred eighty-four million one hundred and sixty thousand rupiah).

The Annual Income Tax:

5% x Rp. 60.000.000,00	=	Rp	3.000.000,00
15% x Rp 190.000.000,00	=	Rp	28.500.000,00
25% x Rp. 250.000.000,00	=	Rp	62.500.000,00
35% x Rp. 84.160.000,00	=	Rp	25.248.000,00 (+)
		Rp	119.248.000,00

Income Tax payable in a part of the year (3 months) ((3 x 30) : 360) x Rp 119.248.000,00 = Rp 29.812.000,00

Paragraph (7)

The provisions in this paragraph authorize the Government to determine a separate tax rate which can be final on certain types of income as referred to in Article 4 Paragraph (2), to the extent not higher than the highest tax rate as referred to in paragraph (1). Such a determination of separate tax rate is based on considerations of simplicity, fairness, and equity in the tax imposition. ****)

Article 18

(1) The Minister of Finance has the authority to set the limit of the loan cost amount that can be charged for the purpose of tax calculation based on this Law.******)

(2) The Minister of Finance has the authority to determine the receipt time of dividend by the resident Taxpayer for his/her equity participation in an overseas business entity other than business entities that sells their

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

shares on the stock exchange, on the following provisions:

a. the amount of equity participation of the resident Taxpayer is at least 50% (fifty percent) of the total paid-up shares; or

b. collectively with other resident Taxpayers have an equity participation of at least 50% (fifty percent) of the total paid-up shares. ****)

(3) The Director General of Taxes has the authority to re-determine the amounts of income and deduction as well as to determine the debt as capital to calculate the amount of Taxable Income for Taxpayer who has special relationship with other Taxpayers in accordance with the arm's length principle that are not affected by special relationships by using the price comparison method among independent parties, the resale price method, the cost-plus method, or other methods. ****)

(3a) The Director General of Taxes has the authority to enter into agreements with Taxpayers and to cooperate with tax authorities of other countries to determine the transaction price between related parties as referred to in paragraph (4), which is applicable for a certain period and to supervise its implementation and to renegotiate after such a certain period ends. ***)

(3b) A Taxpayer who purchases shares or assets of a company through another party or a corporate that is established for such a purpose (a special purpose company), may be determined as the party that actually makes such a purchase to the extent the relevant Taxpayer has a special relationship with another party or the corporate and there is an irregularity in the pricing. ****)

(3c) A sale or transfer of shares of in a conduit company (or special purpose company) established or having their domicile in a tax haven country that has a special relationship with a corporate established or having their domicile in Indonesia or a permanent establishment in Indonesia can be determined as a sale or transfer of shares in a corporate established or having their domicile in Indonesia or a permanent establishment in Indonesia. ****)

(3d) The amount of income earned by a resident individual Taxpayer from an employer who has a special relationship with another company that is not established and not having its domicile in Indonesia can be re-determined, in the event the employer transfers all or part of the income of such a resident individual Taxpayer in the form of cost or other expenses paid to the company which is not established and not having its domicile in Indonesia. ****)

(3e) Deleted.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(4) The special relationship as referred to in paragraph (3) up to paragraph (3d), Article 9 paragraph (1) letter f, and Article 10 paragraph (1) is deemed to exist if:

a. The Taxpayer has a direct or indirect equity participation of at least 25% (twenty five percent) in another Taxpayer; relationship between the Taxpayer and the minimum participation of 25% (twenty five percent) in two or more Taxpayers; or relationship between two or more of the later Taxpayers;

b. A Taxpayer controls another Taxpayer or two or more Taxpayers are under the same control either directly or indirectly; or

c. there is a familial relationship either biological family (*sedarah*) or relative through marriage (*semenda)* in a straight and/or sidewise lineage of one degree. ****)

(5) Deleted. ***)

Elucidation of Article 18

The government has the authority to prevent any tax evasion practices as an effort made by Taxpayers to reduce, avoid, or delay the payment of taxes that should be payable in contrary to the purposes and objectives of the provisions of statutory regulations in taxation sector. One on ways to avoid tax is by carrying out a transaction that is not in compliance with the real situation which is contrary to the *substance over form* principle, namely recognition of economic substance over its formal form. ******)

Paragraph (1)

In determining the limit of the amount of loan cost that can be charged for taxation purpose, methods commonly applied in the international world are used, for example, through the method of determining a certain reasonable comparison level regarding the debt to equity ratio, through a certain percentage of the loan costs compared to the operating income before deducting the loan cost, taxes, depreciation and amortization (earnings before interest, taxes, depreciation, and amortization) or through other methods. ******)

Paragraph (2)

With the increasingly development of international economy and trade in line with the globalization era, it is likely that resident Taxpayers invest their capital abroad. In order to reduce the possibility of tax avoidance, for investments abroad other than in business entities that sell their shares on the stock exchange, the Minister of Finance has the authority to determine the time when the dividends are obtained.

Example:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

PT A and PT B, respectively, held 40% (forty percent) and 20% (twenty percent) shares in X Ltd., which domiciles in country Q. Shares in X Ltd. were not traded on the stock exchanges. In 2009 X Ltd. earned profit after tax in the amount of Rp. 1.000.000.000,00 (one billion rupiah).

In such a case, the Minister of Finance has the authority to determine the time when the dividend is obtained and its calculation basis.

Paragraph (3)

This provision is intended to prevent tax evasion that may occur due to a special relationship. Taxpayers may evade the taxes by, among other things, reporting their income less than it should be, reporting the cost more than it should be, reporting their operating profit lower than the financial performance of other Taxpayers in similar business sector, or reporting their operating loss unreasonably even though the Taxpayer has made commercial selling for 5 (five) years.

In such a case, the Director General of Taxes has the authority to re-determine the amount of income and/or costs on arm's length principle basis which is not affected by a special relationship.

"Arm's length principle" means a principle in the sound business practice as applicable between the parties who do not have and/or are not influenced by a special relationship. In re-determining the amount of income and/or deductions to calculate the amount of Taxable Income, the following can be used:

a. price comparison method between independent parties (*comparable uncontrolled price method*);

b. resale price method;

c. cost-plus method; or

d. other methods, such as:

   1. profit split method;

   2. transactional net margin method;

   3. comparable uncontrolled transaction method;

   4. tangible assets and intangible asset valuation method; and

   5. business valuation method.

To the Taxpayers who report their operating profit lower than the financial performance of other Taxpayers in similar business sector or report their operating losses unreasonably even though the Taxpayer has made commercial selling for 5 (five) years, the financial performance comparison method with other Taxpayers in similar business activity (benchmarking method) can be applied to the effect of calculating the

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

taxes that should be payable. Likewise, there may be a covert equity participation by declaring the equity participation as a debt, thus, the Director General of Taxes has the authority to determine such a debt as the company's capital. This determination can be made. This determination can be made, for example, through indication of ratio between the equity and the debt that usually occurs between parties that are not influenced by a special relationship or based on other data or indication.

Thus, the interests paid by the Taxpayer in relation to such a debt which is deemed as equity participation is not allowed to be deducted therefrom in calculating the Taxable Income of the Taxpayer. Meanwhile, for parties who have a special relationship with the Taxpayer who receive or obtain the payments, such an interest is treated as a taxable dividend.

For the difference between the transaction value affected by a special relationship which does not conform to the arm's length principle and the transaction value affected by a special relationship which conforms to the arm's length principle, is also treated as a dividend which is subject to income tax in accordance with the provisions of the statutory regulations in taxation sector. ******)

Paragraph (3a)

Advance Pricing Agreement (APA) is an agreement between the Taxpayer and the Director General of Taxes regarding the fair selling price of products they produce to the related parties. The purpose of entering into an APA is to reduce the transfer pricing abuse practice by multinational companies. The agreement between the Taxpayer and the Director General of Taxes may cover several things, including the selling price of the products produced, and the amount of royalties and others, depending on the agreement. The benefit of APA, in addition to providing legal certainty and ease calculation of tax, the tax authority does not need to make corrections of the selling price and the profit of the products sold by Taxpayers to companies in the same group. APA can be unilateral, namely constituting an agreement between the Director General of Taxes and the Taxpayer, or bilateral, namely an agreement between the Director General of Taxes and the tax authority of another country relating to Taxpayers in their area of jurisdiction.

Paragraph (3b)

This provision is intended to prevent tax evasion by a Taxpayer who purchases shares/participation in a resident Taxpayer company through an overseas company which is specially established for that purpose (special purpose company).

Paragraph (3c)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Example:

X Ltd. which is established and having its domicile in country A, a country that provides tax protection (tax haven country), holds 95% (ninety five percent) of shares in PT X which is established and having its domicile in Indonesia. This X Ltd is a conduit company which was established and wholly owned by Y Co., a company in country B, with the aim of being a conduit company in its ownership of the majority shares in PT X.

If Y Co. sells all of its ownership of shares in X Ltd . to PT Z which is a resident Taxpayer, the aforesaid transaction is legally and formally a transfer of shares of an overseas company by a non-resident Taxpayer.

However, essentially this transaction is a transfer of (shares) ownership of a resident Taxpayer company by a non-resident Taxpayer, thus, on the income from this transfer, the Income Tax is payable.

Paragraph (3d)

Self-explanatory.

Paragraph (3e)

Deleted.

Paragraph (4)

A special relationship between Taxpayers may occur due to dependence or inter-relation of one to the other due to:

a. equity ownership or participation; or

b. a control through management or use of technology.

In addition, due to the aforesaid matters, special relationships between individual Taxpayers may also occur due to blood relation or marriage.

Letter a

A special relationship is considered to exist if there is an ownership relationship in the form of equity participation of 25% (twenty five percent) or more either directly or indirectly.

For example, PT A holds 50% (fifty percent) of shares in PT B. The ownership of shares by PT A is a direct investment.

Further, if PT B holds 50% (fifty percent) of shares in PT C, PT A as a shareholder in PT B indirectly has 25% (twenty five percent) participation in PT C. In such a case, PT A, PT B, and PT C are deemed to have a special relationship. If PT A also holds 25% (twenty five percent) of shares in PT D, then, between PT B, PT C and PT D are deemed to have a special relationship.

The ownership relationship as described above may also occur

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

between individuals and corporate.

Letter b

A special relationship between Taxpayers may also occur due to a control through management or the use of technology even though there is no ownership relationship.

A special relationship is deemed exist if one or more companies are under the same control.

Likewise with a relationship between several companies that are under the same control.

Letter c

"Biological family relationship within one degree of direct lineage" means father, mother, and children, whereas "biological family relationship in a sidewise lineage of one degree" is the relative.

"Relative through marriage (*semenda)* within one degree of direct lineage" means parents in-law and step children, whereas "relative through marriage (*semenda)* relationship a sidewise lineage of one degree" means brothers and sisters in-law.

Paragraph (5)

Deleted.

Article 19

(1) The Minister of Finance has the authority to stipulate regulations regarding asset revaluation and adjustment factors if there is a discrepancy between the cost elements and the income due to a price development. **)

(2) On the difference of asset revaluations as referred to in paragraph (1), a separate tax rate is applied in accordance with a Regulation of the Minister of Finance to the extent not exceeding the highest tax rate as referred to in Article 17 paragraph (1). ****)

Elucidation of Article 19

Paragraph (1)

Any significant price development or policy change in the monetary sector can cause a mismatch between the cost and the income, which may lead to unreasonable tax burden.

In such a circumstance, the Minister of Finance is authorized to stipulate regulations regarding revaluation of fixed assets or indexation of costs and income.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (2)

Self-explanatory.

CHAPTER V
SETTLEMENT OF TAXES IN THE CURRENT YEAR

Article 20

(1) Taxes that are estimated to be payable in a fiscal year shall be paid fully by the Taxpayer in the current fiscal year tax through withholding and deduction by other parties, as well as tax payments by the Taxpayer him/herself. **)

(2) The tax settlement as referred to in paragraph (1) is carried out on either monthly basis or in other period as stipulated by the Finance Minister. **)

(3) Tax settlement as referred to in paragraph (1) is a tax installment that may be credited against the Income Tax payable for the relevant fiscal year, except for income the tax imposition of which is final. **)

Elucidation of Article 20

Paragraph (1)

To allow the tax payments in the current fiscal year come close to the amount of tax to be payable for the relevant fiscal year, its implementation is carried out through:

a. withholding tax by other parties in the event the income is earned by the Taxpayer from the works, services or activities as referred to in Article 21, collection of tax on income from business as referred to in Article 22, and withholding tax on income from certain capital, services and activities as referred to in Article 23.

b. payments by the Taxpayer him/herself as referred to in Article 25.

Paragraph (2)

Basically, settlement of taxes in the current year shall be made on monthly basis, but the Minister of Finance may determine other times, such as when the transaction is made or when the income is received or earned, so that the settlement of taxes in the current year can be carried out properly.

Paragraph (3)

Tax settlement in the current fiscal year is an installment of tax payments which may later be calculated by crediting against the income tax payable for the relevant fiscal year.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

On consideration of convenience, simplicity, certainty, punctual tax imposition, and other considerations, settlement of final taxes in the current year can be arranged on certain types of income as referred to in Article 21, Article 22, and Article 23. The final Income Tax cannot be credited with the Income Tax payable.

Article 21

(1) Withholding tax on income in relation to works, services, or activities in any name and any form of whatsoever received or earned by a resident individual Taxpayer must be made by:

a. employers who pay salaries, wages, honorarium, allowances, and other payments as a consideration in relation to works performed by employees or non-employees;

b. government treasurers who pay salaries, wages, honorarium, allowances, and other payments in relation to works, services, or activities;

c. pension funds or other agencies that pay pensions and other payments in any name of whatsoever within the framework of pension;

d. agencies that pay the honorarium or other payments as a consideration in relation to services, including the services of experts who perform independent job; and

e. activity organizers who make payments in relation to the implementation of an activity. ****)

(2) Excluded from employers who shall be obliged to make withholding tax as referred to in paragraph (1) letter a are representative offices of foreign countries and international organizations as referred to in Article 3. ****)

(3) Income of a permanent employee or pensioner that is withheld for tax on monthly basis is the gross income after deducting the office cost or pension cost the amount of which is stipulated by a Regulation of the Minister of Finance, pension contributions, and Non-Taxable Income. ****)

(4) Income of daily, weekly, and other non-permanent employees that is subject to tax is the total gross income after deducting the fraction of income that is not subject to withholding, the amount of which is determined by a Regulation of the Minister of Finance. ****)

(5) The withholding rate on the income as referred to in paragraph (1) is the tax rate as referred to in Article 17 paragraph (1) letter a, unless specified otherwise by a Government Regulation. ****)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(5a) The rate as referred to in paragraph (5) which is applied to a Taxpayer who does not have a Taxpayer Identification Number is 20% (twenty percent) higher than the rate applied to a Taxpayer who can show a his/her own Taxpayer Identification Number. ****)

(6) Deleted. ***)

(7) Deleted. ***)

(8) Provisions on instructions for implementation of withholding tax on income in relation to works, services, or activities shall be regulated by or based on the Regulation of the Minister of Finance. ****)

Elucidation of Article 21

Paragraph (1)

This provision governs the payment of taxes in the current year through withholding tax on incomes received or earned by resident individual Taxpayers in relation to works, services and activities. Parties who shall be obliged to carry out withholding tax are employers, government treasurers, pension funds, entities, companies, and activity organizers.

Letter a

Employers who shall be obliged to make withholding tax are individuals or corporate that are parents, branches, representatives, or company units that pay or owe salaries, wages, allowances, honoraria, and other payments in any name of whatsoever to the management, employees or non-employees as a consideration in relation to the works, services, or activities performed. The definition of employer includes international organization that is not exempt from the obligation to withhold the taxes.

"Other payments" mean payments in any name of whatsoever other than salaries, wages, allowances, honorariums, and other payments, such as bonuses, gratuities, and tantiem.

"Non-employee" means an individual who receives or earns income from the employer in relation to a temporary employment contract, for example an artist who receives or earns honorarium from the employer.

Letter b

Government treasurers include the treasurers of Central Government, Regional Governments, government agencies or institutions, other state institutions, and the Embassies of the Republic of Indonesia abroad who pay salaries, wages, allowances, honoraria, and other payments in relation to works, services, or

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

activities.

Also included in the definition of treasurer are cash holders and other officials who perform the same function.

Letter c

"Other agencies" include, for example, manpower social security administering agency that pays pensions, old-age benefits, old-age savings, and other similar payments in any name of whatsoever.

Included in the definition of pensions or other payments are allowances, whether paid periodically or not, which are paid to the pension recipients, old-age benefit recipients, and old-age saving recipients.

Letter d

Included in the definition of agencies are international organizations which are not excluded under paragraph (2).

Individual experts include, for examples, doctors, lawyers, and accountants, who perform independent job and act for and on their own behalf, not for and on behalf of their partnership.

Letter e

Any activity organizer shall be obliged to withhold tax on any payment of prize or award in any form received or earned by a resident individual Taxpayer in relation to an activity. The definition of activity organizer includes, among other things, agencies, government agencies, organizations including international organizations, associations, individuals, and other institutions that organize activities. The activities organized include sports, religious and art activities.

Paragraph (2)

Self-explanatory.

Paragraph (3)

For permanent employees, the amount of income to be withheld for tax is gross income less the office fee, pension contributions, and Non-Taxable Incomes. The definition of pension contribution includes old-age benefit contributions or old-age savings paid by the employees.

For pensioners, the amount of income to be withheld for tax is the total gross income less the pension cost and the Non-Taxable Incomes. The definition of pensioner includes the recipients of old-age benefits or old-age savings.

Paragraph (4)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

The amount of income to be withheld for taxes for the daily, weekly and other non-permanent employees is the gross income less the fraction of income that is not subject to withholding, the amount of which is determined by a Regulation of the Minister of Finance, by taking into account the applicable Non-Taxable Incomes.

Paragraph (5)

Self-explanatory.

Paragraph (5a)

Ownership of the Taxpayer Identification Number (TIN/NPWP) can be proven by the Taxpayer, among other things, by showing the NPWP card.

Example:

Taxable Income is Rp. 75.000.000,00

Income Tax that must be withheld for a Taxpayer who has TIN/NPWP is:

5% x Rp. 50.000.000,00	=	Rp 2.500.000,00
15% x Rp. 25.000.000,00	=	Rp 3.750.000,00(+)
Total		Rp 6.250.000,00

The Income Tax that must be withheld if the Taxpayer does not have an NPWP is:

5% x 120% x Rp. 50.000.000	=	Rp 3.000.000,00
15% x 120% x Rp. 25.000.000	=	Rp 4.500.000,00 (+)
Total		Rp 7.500.000,00

Paragraph (6)

Self-explanatory.

Paragraph (7)

Self-explanatory.

Paragraph (8)

Self-explanatory.

Article 22

(1) The Minister of Finance may determine:

a. the government treasurer to collect taxes in relation to payments for delivery of goods;

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

b. certain agencies to collect taxes from Taxpayers who carry out activities in the import sector or business activity in other sectors; and

c. Certain corporate Taxpayers to collect taxes from buyers on the sales of goods that are classified as very luxurious. ****)

(2) Provisions regarding the collection basis, criteria, nature and amount of tax imposition as referred to in paragraph (1) shall regulated by or based on the Regulation of the Minister of Finance. ****)

(3) The amount of tax imposition as referred to in paragraph (2) which is applied to Taxpayers who do not have a Taxpayer Identification Number is 100% (one hundred percent) higher than the rate applied to Taxpayers who can show a Taxpayer Identification Number. ****)

Elucidation of Article 22

Paragraph (1)

Paragraph (1)

Based on this provision, those who can be appointed to be tax collectors are:

- government treasurers, including treasurers at the Central Government, Regional Governments, government agencies or institutions, and other state institutions, in relation to payments for delivery of goods, included also in the definition of treasurers are cash holders and other officials who perform the same function;
- certain agencies, both government and private agencies, in relation to activities in the import sector or business activities in other sectors, such as business activities in production of certain goods, including automotives and cements; and
- Certain corporate Taxpayers to collect taxes from buyers on the sales of goods that are classified as very luxurious. This tax collection by certain corporate Taxpayers will be imposed on the purchase of goods that meet certain criteria as very luxurious goods, both in terms of its type of goods and its price, such as cruise ships, very luxurious houses, very luxurious apartments and condominiums, and very luxurious vehicles.

In implementing this provision, the Minister of Finance considers, among other things:

- selective appointment of tax collectors, for the sake of implementing the tax collection effectively and efficiently;
- do not interfere with the smooth traffic of goods; and

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

- the collection procedure is simple so that easy to carry out. Tax collection based on this provision is intended to increase public participation in collecting the funds through the tax payment system and for the purpose of simplicity, convenience, and punctual taxation. To that regard, tax collection based on this provision may be final in nature.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Ownership of Taxpayer Identification Number can be proven by the Taxpayer, among other things, by showing the Taxpayer Identification Number card.

Article 23

(1) On the incomes mentioned below in any name and in any form of whatsoever that are paid, made available to be paid, or have been due for payment by a government agency, resident corporate tax subject, activity organizer, permanent establishment, or other foreign company representatives to a resident Taxpayer or a permanent establishment, taxes are withheld by the parties who shall be obliged to pay them:

a. at 15% (fifteen percent) of the gross amount of:

1. dividends as referred to in Article 4 paragraph (1) letter g;
2. interests as referred to in Article 4 paragraph (1) letter f;
3. royalties; and
4. gifts, awards, bonuses, and the like other than those already withheld with Income Tax as referred to in Article 21 paragraph (1) letter e;

b. deleted;

c. at 2% (two percent) of the gross amount of:

1. rents and other incomes in relation to the use of assets, except for rents and other incomes in relation to the use of assets which have been subject to Income Tax as referred to in Article 4 paragraph (2); and
2. compensations in relation to technical services, management services, construction services, consulting services, and other services other than those that have been withheld with the Income Tax as referred to in Article 21. ****)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(1a) In the event the Taxpayer who receives or earns income as referred to in paragraph (1) does not have a Taxpayer Identification Number, the amount of withholding rate is 100% (one hundred percent) higher than the rate as referred to in paragraph (1). ****)

(2) Further provisions regarding other types of services as referred to in paragraph (1) letter c number 2 shall regulated by or based on the Regulation of the Minister of Finance. ****)

(3) Any individual as a resident Taxpayer can be appointed by the Director General of Taxes to withhold tax as referred to in paragraph (1). **)

(4) The withholding tax as referred to in paragraph (1) is not carried out on:

a. incomes paid or payable to the banks;

b. rents paid or payable in relation to leases with the option rights;

c. dividends as referred to in Article 4 paragraph (3) letter f and dividends received by individuals as referred to in Article 17 paragraph (2c);

d. deleted;

e. profit sharing as referred to in Article 4 paragraph (3) letter i;

f. the remaining operating results of a cooperative that is paid by the cooperative to its members;

g. deleted; and

h. incomes paid or payable to business entities for financial services that function as a loan and/or financing distributor that shall regulated by the Regulation of the Minister of Finance. ****)

Elucidation of Article 23

Paragraph (1)

Self-explanatory.

Paragraph (1a)

Ownership of Taxpayer Identification Number can be proven by the Taxpayer, among other things, by showing the Taxpayer Identification Number card.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Self-explanatory.

Article 24

(1) Taxes paid or payable abroad on the incomes from abroad that are received or earned by resident Taxpayers may be credited against the taxes payable under this Law in the same fiscal year. **)

(2) The amount of the tax credit as referred to in paragraph (1) is equal to the income tax paid or payable abroad but may not exceed the calculation of the tax payable based on this Law. **)

(3) In calculating the limit of amount of tax that may be credited, the source of income is determined as follows:

a. income from shares and other securities as well as profits from transfers of shares and other securities, is the country of establishment or domicile of the entity which issues the shares or securities;

b. income in the form of interest, royalties and rent in relation to the use of movable assets, is the country of establishment or domicile of the party who pays or is charged with the interests, royalties or rents;

c. income in the form of rents in relation to the use of immovable assets, is the country where the assets is located;

d. income in the form of compensations in relation to the services, works, and activities, is the country where the party who pays or is charged with such compensations has its domicile or is located;

e. income of a permanent establishment, is the country where the permanent establishment runs the business or carries out the activity;

f. income from a transfer of part or all of the mining rights or participation mark in a financing or capital in a mining company, is the country where the mining site is located;

g. profits from a transfer of fixed assets, is the country where the fixed assets are located; and

h. profits from a transfer of assets that are part of a permanent establishment, is the country where the permanent establishment is located. ****)

(4) Determination of sources of income other than incomes as referred to in paragraph (3) shall uses the same principles as those as referred to in paragraph (3). **)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(5) If the tax on income from abroad that is credited is later proven as deducted or refunded, the tax payable according to this Law must be added with that amount in the year when such a reduction or refund is made. **)

(6) Provisions regarding the implementation of tax crediting on the incomes from abroad shall regulated by or based on the Regulation of the Minister of Finance. ****)

Elucidation of Article 24

Basically, a resident Taxpayer is owed tax on all incomes, including incomes received or earned from abroad. In order to mitigate the double tax burden that may occur due to the imposition of tax on incomes received or earned abroad, this provision governs the calculation of the amount of taxes on income paid or payable abroad which can be credited against the tax payable on all incomes of the Taxpayer in home country.

Paragraph (1)

Taxes on incomes paid or payable abroad that can be credited against taxes payable in Indonesia are only taxes that are directly imposed on the incomes received or earned by the Taxpayers.

Example:

PT A in Indonesia is the sole shareholder of Z Inc. in Country X. Z Inc. in 1995 earned a profit of US$ 100,000.00. The income tax applicable in country X was 48% and the Dividend Tax was 38%. Calculation of the tax on the dividends is as follows:

Profits of Z Inc	US$ 100,000,00	
Corporate income tax of Z Inc.: (48%)	US$ 48,000.00	(-)
	US$ 52,000.00	
Tax on dividends (38%)	US$ 19,760.00	(-)
Dividends remitted to Indonesia	US$ 32,240.00	

Income Tax that can be credited against all Income Taxes payable of PT A is the tax that is directly imposed on the incomes received or earned overseas, in the example above, is amounting to US$19,760.00.

Corporate Income Tax of Z Inc. in the amount of US$48,000.00 cannot be credited against the payable Income Tax of PT A, because the tax of US$48,000.00 is not imposed directly on the incomes received or earned by PT A from abroad, rather the tax imposed on the profits of Z Inc. in country X.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (2)

In order to provide equal tax treatment between incomes received or earned from abroad and incomes received or earned in Indonesia, the amount of tax paid or payable abroad can be credited against the tax payable in Indonesia but may not exceed the tax amount calculated based on this Law. The method of calculating the tax amount that can be credited is determined by the Finance Minister based on the authority as regulated in Paragraph (6).

Paragraphs (3) and (4)

In calculating the tax credit on the income paid or payable abroad which can be credited against the tax payable according to this Law, the determination of income source becomes very important.

Further, this provision governs the determination of income source to take into account the non-resident tax credit.

Considering this Law adopts a broad definition of income, then, in accordance with the provisions in Paragraph (4), the determination of income source other than those referred to in paragraph (3) uses the same principles as those referred to in paragraph (3), for example A as a resident Taxpayer owns a house in Singapore and in 1995 the house was sold.

The profit derived from the sale of the house is an income sourced in Singapore because the house is located in Singapore.

Paragraph (5)

If there is any reduction or refund of tax of income paid abroad, so that the amount of tax that can be credited in Indonesia is lower than the original calculation, then, its difference is added to the Income Tax payable in accordance with this Law. For example, in 1996, the Taxpayer got a tax deduction on his/her foreign income for the fiscal year 1995 in the amount of Rp. 5.000.000,00 which was originally included in the amount of tax credited against the Tax payable for the fiscal year 1995, then the amount of Rp. 5.000.000,00 is added to the Income Tax payable in the fiscal year 1996.

Paragraph (6)

Self-explanatory.

Article 25

(1) The amount of tax installment in the current fiscal year that must be paid by the Taxpayer him/herself for every month is the amount of Income Tax payable according to the Annual Income Tax Return of the previous fiscal

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

year less:

a. Income Tax withheld as referred to in Article 21 and Article 23 as well as Income Tax withheld as referred to in Article 22; and

b. Income Tax paid or payable abroad that may be credited as referred to in Article 24,

divided by 12 (twelve) or the number of months in a fraction of fiscal year. ****)

(2) The amount of tax installment that must be paid by the Taxpayer him/herself for the months prior to the Annual Income Tax Return is submitted before the deadline for submission of the Annual Income Tax Return is equal to the amount of tax installment for the last month of the previous fiscal year.****)

(3) Deleted. ***)

(4) If in the current fiscal year, a tax assessment letter is issued for the previous fiscal year, the amount of the tax installment is recalculated based on the tax assessment letter and takes effect as of the next month after the issuance month the tax assessment letter. ****)

(5) Deleted. ***)

(6) The Director General of Taxes has the authority to stipulate the calculation of the amount of tax installment in the current fiscal year in certain cases, as follows:

a. the Taxpayer is entitled to a compensation for losses;

b. the Taxpayers earns irregular incomes;

c. the Income Tax Annual Return of the last year is submitted after the lapse of determined time limit;

d. the Taxpayer is given with an extension of period for submitting the Annual Income Tax Return;

e. the Taxpayer corrects by him/herself the Annual Income Tax Return which results in the monthly installment higher than the monthly installment prior to such as correction; and

f. there is a change in the business condition or activity of the Taxpayer. ****)

(7) The Minister of Finance stipulates the calculation of the amount of tax installment for:

a. new Taxpayer;

b. banks, state-owned enterprises, regionally-owned enterprises, Taxpayers listed on the stock exchange, and other Taxpayers who,

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

based on the provisions of statutory regulations, must make periodic financial statements; and

c. Certain entrepreneur individual Taxpayers with a maximum rate of 0.75% (zero point seventy five percent) of the gross turnover. ****)

(8) Resident individual Taxpayer who do not have a Taxpayer Identification Number and are 21 (twenty-one) years old or older who depart abroad shall be obliged to pay taxes the provisions of which shall be regulated by Government Regulations. ****)

(8a) The provisions as referred to in paragraph (8) are valid until 31 December 2010. ****)

(9) Deleted. ****)

Elucidation of Article 25

This provision governs the calculation of the amount of monthly installment that must be paid by the Taxpayer him/herself in the current year.

Paragraph (1)

Example 1:

Income Tax payable based on the Annual Income Tax Return 2009	Rp 50.000.000,00	
less:		
a. Income Tax withheld by the Employer (Article 21)	Rp 15.000.000,00	
b. Income Tax collected by other parties (Article 22)	Rp 10.000.000,00	
c. Income Tax withheld by other parties (Article 23)	Rp 2.500.000,00	
d. Foreign Income Tax Credit (Article 24)	Rp 7.500.000,00	(+)
Total Tax credit	Rp 35.000.000,00	(-)
Difference	Rp 15.000.000,00	

The amount of tax installment that must be paid every month for 2010 is Rp. 1.250.000,00 (Rp. 15.000.000,00 divided by 12).

Example 2:

If the Income Tax as referred to in the example above relates to

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

the incomes received or earned for the a fraction of fiscal year covering a period of 6 (six) months in 2009, the amount of monthly installment that must be paid every month in 2010 is Rp 2.500.000,00 (Rp 15.000.000,00 divided by 6).

Paragraph (2)

Given the deadline for submission of Annual Income Tax Return for individual Taxpayers is the end of the third month of the next fiscal year and for corporate Taxpayers is the end of the fourth month of the next fiscal year, the amount of tax installment that must be paid by the Taxpayer him/herself for the month prior to the Annual Income Tax Return is submitted cannot be calculated yet according to the provision in Paragraph (1).

Based on this provision, the amount of tax installment for the month prior to the Annual Income Tax Return is submitted before the deadline for submission of Annual Tax Return is equal to the tax installment for the last month of the previous fiscal year.

Example:

If the Annual Income Tax Return is submitted by an individual Taxpayer in February 2010, the amount of tax installment that must be paid by the Taxpayer for January 2010 is equal to the amount of tax installment for December 2009, for example Rp 1.000.000,00 (one million rupiah).

If in September 2009, a decision is issued to reduce the tax installment to nil so that the tax installments from October to December 2009 become nil, the amount of tax installment that must be paid by the Taxpayer for January 2010 will remain equal to the installment for December 2009, namely nil.

Paragraph (3)

Self-explanatory.

Paragraph (4)

If in the current year, a tax assessment letter is issued for the previous fiscal year, the tax installment is calculated based on the tax assessment letter. The change in tax installment takes effect as of the next month after the issuance month of the tax assessment letter.

Example:

Based on the Annual Income Tax Return 2009 which was submitted by the Taxpayer in February 2010, the calculation of the amount of tax installment that must be paid is Rp. 1.250.000,00 (one million two hundred and fifty thousand rupiah). In June 2010, a tax assessment letter

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

for the fiscal year 2009 was issued which resulted in the amount of monthly tax installment amounting to Rp. 2.000.000,00 (two million rupiah).

Based on the provisions in this paragraph, the amount of tax installment as from July 2010 is Rp. 2.000.000,00 (two million rupiah). The determination of the amount of tax installment based on the tax assessment letter can be the equal to, higher, or lower than the previous tax installment based on the Annual Tax Return.

Paragraph (5)

Self-explanatory.

Paragraph (6)

Basically, the amount of tax installment payments by the Taxpayer him/herself in the current year is endeavored to be as close as possible to the amount of tax that will be payable at the end of the year. Therefore, based on this provision in certain cases, the Director General of Taxes is authorized to adjust the calculation of the amount of Tax installment that must be paid by the Taxpayer him/herself in the current year if there is a compensation for loss; Taxpayers receive or earn irregular incomes; or there is a change in the business condition or activity of the Taxpayer.

Example 1:

- PT X's income in 2009 Rp 120.000.000,00
- Remaining losses from the previous year that can still be compensated Rp 150.000.000,00
- Remaining losses uncompensated in 2009 Rp 30.000.000,00

Calculation of Income Tax Article 25 of 2010 is as follows:

Income used as the basis for calculating the installment of Income Tax Article 25 = Rp. 120.000.000,00 – Rp. 30.000.000,00 = Rp. 90.000.000,00.

Income Tax payable:

28% x Rp. 90.000.000,00 = Rp. 25.200.000,00

If in 2009 there was no Income Tax withheld or collected by other parties and taxes paid or payable abroad in accordance with the provisions in Article 24, the amount of monthly tax installment for PT X in 2010 = 1/12 x Rp. 25.200.000,00 = Rp. 2.100.000,00.

Example 2:
In 2009, Taxpayer A's regular income from the trading business is Rp. 48.000.000,00 (forty-eight million rupiah) and irregular income is Rp.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

72.000.000,00 (seventy-two million rupiah). The income used as the basis for calculating the Income Tax Article 25 from Taxpayer A in 2010 is only from the regular income.

Example 3:

Change in the business condition or activity of the Taxpayer may occur due to a decrease or increase in business. PT B, which engages in yarn production, in 2009 paid the monthly installment of Rp. 15.000.000,00 (fifteen million rupiah). In June 2009 PT B's factory caught on fire. Therefore, based on Decree of the Director General of Taxes, starting in July 2009 PT B's monthly installments can be adjusted to be less than Rp 15.000.000,00 (fifteen million rupiah). On contrary, if PT B experiences an increase in its business, for example an increase in sales and estimably its Taxable Income will be higher than in the previous year, the monthly installment obligation of PT B can be adjusted by the Director General of Taxes.

Paragraph (7)

In principle, calculation of the amount of monthly installment in the current year is based on the last year Annual Income Tax Return. However, this provision authorizes the Minister of Finance to stipulate the calculation basis of the monthly installment amount other than based on the aforesaid principle. This is intended to come closer to the fairness in calculating the amount of tax installment because it is based on the latest data on the company's business activity.

Letter a

For new Taxpayers who start in business or carry out the activity in the current fiscal year, the calculation of the installment amount is necessary to be regulated, because the Taxpayer has never submitted an Annual Income Tax Return, the determination of the amount of tax installment is based on the business reality or activity of the Taxpayer.

Letter b

For Taxpayers that engage in banking, state-owned enterprises and regional-owned enterprises, as well as Taxpayers listed on the stock exchange and other Taxpayers which, based on the provisions, are required to make periodic financial statements, it is necessary to regulate a separate calculation of the installment amount because there is an obligation to submit reports relating to financial management within a certain period to the government authority that can be used as a basis for calculating the amount of tax installment in the current year.

Letter c

For certain entrepreneur individual Taxpayers, namely individual

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Taxpayers who have 1 (one) or more place of business, the maximum amount of tax installment is 0.75% (zero point seventy five percent) of the gross turnover.

Paragraph (8)

Self-explanatory.

Paragraph (8a)

Self-explanatory.

Paragraph (9)

Self-explanatory.

Article 26

(1) For the incomes specified hereunder, in name and any form of whatsoever, which are paid, made available to be paid, or have been due for payment by a government agency, resident tax subject, activity organizer, permanent establishment, or other foreign company representatives to a non-resident Taxpayer other than a permanent establishment in Indonesia is subject to withholding tax at 20% (twenty percent) of the gross amount by the party who shall be obliged to pay:

a. dividends;

b. interests, including premiums, discounts, and compensations in relation to debt repayment guarantees;

c. royalties, rents, and other incomes in relation to the use of assets;

d. compensations in relation to services, works, and activities;

e. prizes and awards;

f. pensions and other periodic payments;

g. swap premiums and other hedging transactions; and/or

h. benefits from debt easement. ****)

(1a) Domicile country of a non-resident Taxpayer other than those who run business or carry out business activity through a permanent establishment in Indonesia as referred to in paragraph (1) is the country of residence or domicile of the non-resident Taxpayer who actually receives the benefits from the income (*beneficial owner*). ****)

(1b) A rate of 20% (twenty percent) of the gross amount by the party who shall be obliged to pay interests including premiums, discounts, and compensations in relation to the debt repayment guarantee as referred to in paragraph (1) letter b can be reduced by a Government Regulation.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

*****)

(2) On any income from the sale or transfer of assets in Indonesia, except as specified in Article 4 paragraph (2), which is received or earned by a non-resident Taxpayer other than a permanent establishment in Indonesia, and insurance premiums paid to foreign insurance companies is subject to withholding tax at 20% (twenty percent) of the estimated net income. ****)

(2a) On any income from the sale or transfer of shares as referred to in Article 18 paragraph (3c) is subject to withholding tax at 20% (twenty percent) of the estimated net income. ****)

(3) Implementation of the provisions as referred to in paragraph (2) and paragraph (2a) shall regulated by or based on the Regulation of the Minister of Finance. ****)

(4) Taxable Income after tax from a permanent establishment in Indonesia is subject to withholding tax at 20% (twenty percent), unless such an income is reinvested in Indonesia, the provisions of which shall be regulated further by or based on the Regulation of the Minister of Finance. ****)

(5) The withholding tax as referred to in paragraph (1), paragraph (2), paragraph (2a), and paragraph (4) is final, except:

a. withholding of incomes as referred to in Article 5 paragraph (1) letter b and letter c; and

b. withholding of incomes received or earned by nonresident individuals or corporate that change their status to become resident Taxpayers or permanent establishments. ****)

Elucidation of Article 26

On incomes received or earned by non-resident Taxpayers from Indonesia, this Law adopts two tax imposition systems, namely self-fulfillment of tax obligations for non-resident Taxpayers who run business or carry out activities through a permanent establishment in Indonesia and withholding by parties who shall be obliged to pay them for other non-resident Taxpayers.

This provision governs the withholding of incomes originating in Indonesia that are received or earned by non-resident Taxpayers other than permanent establishments.

Paragraph (1)

Withholding tax based on this provision shall be obliged to be carried out by government agencies, resident tax subjects, activity organizers,

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

permanent establishments, or representatives of other foreign companies that make payments to non-resident Taxpayers other than permanent establishments in Indonesia at a rate of 20% (two twenty percent) of the gross amount.

Types of incomes that shall be obliged to be withheld can be classified into:

1. incomes originating from capital in the form of dividends, interests including premiums, discounts, and compensations for debt repayment guarantee, royalties, and rents as well as other incomes in relation to the use of assets;
2. compensations in relation to services, works, or activities;
3. prizes and awards in any name and any form;
4. pensions and other periodic payments;
5. swap premiums and other hedging transactions; and/or
6. benefits from debt easement.

In accordance with this provision, for example, a resident tax subject corporate pays a royalty of Rp. 100.000.000,00 (one hundred million rupiah) to a non-resident Taxpayer, such a resident tax subject shall be obliged to withhold the income tax of 20% (twenty percent) of Rp. 100.000.000,00 (one hundred million rupiah).

As another example, a foreign athlete who participates in a marathon race in Indonesia and then wins the prize of money, such a prize is subject to withholding Income Tax at 20% (twenty percent).

Paragraph (1a)

The domicile country of non-resident Taxpayers other than those running a business or carrying out business activity through a permanent establishment in Indonesia who receive income from Indonesia is determined based on the residential place or place of domicile of the Taxpayer who actually receives the benefits from the income (*beneficial owner*). Therefore, the domicile country is not only determined based on the Certificate of Domicile, but also the residential place or the place of domicile of the beneficiary of the relevant income.

In the event the beneficiary is an individual person, the domicile country is the country where the individual resides or stays, whereas if the beneficiary is a corporate, the domicile country is the country where the owner or more than 50% (fifty percent) of shareholders either individually or jointly domicile or their effective management is located.

Paragraph (1b)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Self-explanatory.

Paragraph (2)

This provision governs the withholding tax on incomes received or earned by non-resident Taxpayers originating in Indonesia, other than from incomes as referred to in Paragraph (1), namely incomes from the sale or transfer of assets, and insurance premiums, including reinsurance premiums. Such incomes are subject to withholding tax at 20% (twenty percent) of the estimated net income and is final. The Minister of Finance is authorized to stipulate the amount of the estimated net income, as well as other matters to the effect of implementation of the withholding of taxes.

This provision is not applied in the event the non-resident Taxpayer runs his/her business or carries out his/her activity through a permanent establishment in Indonesia or if the income from the sale of the assets has been taxed under the provisions in Article 4 Paragraph (2).

Paragraph (2a)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

On Taxable Income after tax from a permanent establishment in Indonesia is subject to withholding tax at 20% (twenty percent).

Example:

Taxable Income of a permanent establishment in Indonesia in 2021	Rp 17.500.000.000,00	
Income Tax:		
22% x Rp. 17.500.000.000,00 =	Rp 3.850.000.000,00	(-)
Taxable Income after tax	Rp 13.650.000.000,00	
Income Tax Article 26 payable		
20% x Rp. 13.650.000.000 =	Rp 2.730.000.000,00	

If the aforesaid income after tax of Rp. 13.850.000.000,00 (thirteen billion eight hundred and fifty million rupiah) is reinvested in Indonesia in accordance with or based on the Regulation of the Minister of Finance, such an income is not subject to the withholding tax. *****)

Paragraph (5)

In principle, withholding tax on non-resident Taxpayers is final, but on the incomes as referred to in Article 5 Paragraph (1) letter b and letter c, and

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

on the incomes of non-resident individual or corporate Taxpayers that change their status to become resident Taxpayers or permanent establishment, their withholding tax is not final, so that such a withholding tax can be credited in the Annual Income Tax Return.

Example:

A, as an individual foreign worker, enters into an employment agreement with PT B, as a resident Taxpayer, to work in Indonesia for a period of 5 (five) months starting from 1 January 2021. On 20 April 2021 the employment agreement is extended to 8 (eight) month so that will end on 31 August 2021.

If the employment agreement is not extended, A's status will remain as a non-resident Taxpayer. With the extension of the employment agreement, A's status changes from a non-resident Taxpayer to become a resident Taxpayer since 1 January 2021. During January to March 2021, A's gross income has been withheld for Income Tax Article 26 by PT B'.

Based on this provision, therefore, to calculate the Income Tax payable on A's income for the period January to August 2021, the Income Tax Article 26 which has been withheld and paid by PT B on A's income up to March, can be credited against A's tax as a resident Taxpayer. *****)

Article 27

Deleted **)

Elucidation of Article 27

Self-explanatory

CHAPTER VI
CALCULATION OF TAX AT THE END OF THE YEAR

Article 28

(1) For resident Taxpayers and permanent establishments, the tax payable is deducted with the tax credit for the relevant fiscal year, in the form of:

a. withholding tax on income from works, services and activities as referred to in Article 21;

b. tax withheld on income from activities in the import sector or business activity in other sectors as referred to in Article 22;

c. tax withheld on income in the form of dividends, interest, royalties,

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

rents, prizes and awards, and service fees as referred to in Article 23;

d. creditable tax paid or payable on income from abroad that as referred to in Article 24;

e. tax payments made by the Taxpayer him/herself as referred to in Article 25;

f. tax withheld on income as referred to in Article 26 paragraph (5)). **)

(2) Administrative sanctions in the form of interest, fine, and increment as well as criminal sanction in the form of a fine relating to the implementation of the prevailing statutory regulations in taxation sector may not be credited against the tax payable as referred to in paragraph (1). **)

Elucidation of Article 28

Paragraph (1)

Taxes which have been paid for the current year, either paid by the Taxpayer him/herself or withheld and collected by other parties, may be credited against the tax payable at the end of the relevant fiscal year.

Example:

Income tax payable	Rp 80.000.000,00
Tax credit:	
Withholding tax from work (Article 21)	Rp 5.000.000,00
Collection of taxes by other parties (Article 22)	Rp 10.000.000,00
Tax withheld from capital (Article 23)	Rp 5.000.000,00
Non-resident tax credit (Article 24)	Rp 15.000.000,00
Paid by the Taxpayer him/herself (Article 25)	Rp 10.000.000,00 (+)
Total creditable Income Tax	Rp 45.000.000,00 (-)
Accrued Income Tax	Rp 35.000.000,00

Paragraph (2)

Self-explanatory

Article 28A

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

If the tax payable for a fiscal year is less than the amount of tax credit as referred to in Article 28 paragraph (1), then, after an audit, the overpaid tax shall be refunded after being offset against the outstanding tax together with the sanctions thereof. **)

Elucidation of Article 28A

In accordance with the provisions in Article 17B paragraph (1) of Law regarding General Provisions and Procedures of Taxation, the Director General of Taxes or the appointed official has the authority to conduct audits before refund or calculation of the tax overpayment.

Matters that must be considered before refund or calculation of the tax overpayment include:

a. material correctness of the amount of Income Tax payable;

b. the validity of the evidences of withholding tax and evidences of tax collections as well as evidences of tax payments by the Taxpayer him/herself during and for the relevant fiscal year.

Therefore, for the purposes of the audit, the Director General of Taxes or another authorized official are authorized to conduct audits on the financial statements, books, and other records and to conduct other audits relating to determination of the amount of Income Tax payable, the correctness of the tax amount and the amount of tax that has been credited and to determine the amount of tax overpayment that must be refunded.

The purpose of this audit is to ensure that any money to be refunded to the Taxpayer as a restitution is indeed the right of the Taxpayer.

Article 29

If the tax payable for a fiscal year is higher than the amount of tax credit as referred to in Article 28 paragraph (1), the outstanding underpaid tax must be paid fully before the Annual Income Tax Return is submitted. ****)

Elucidation of Article 29

This provision places an obligation on the Taxpayer to pay dully the outstanding underpaid tax according to the provisions of this Law prior to the Annual Income Tax Return is submitted and not later than the deadline for submission of the Annual Income Tax Return. If the book year is the same as the calendar year, the tax underpaid shall be obliged to be paid off not later than 31 March for individual Taxpayers or 30 April

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

for corporate Taxpayers after the fiscal year ends, whereas if the fiscal year is different from the calendar year, for example as from 1 July up to 30 June, the tax overpaid must be paid fully not later than 30 September for individual Taxpayers or 31 October for corporate Taxpayers.

Article 30

Deleted **)

Elucidation of Article 30

Self-explanatory

Article 31

Deleted **)

Elucidation of Article 31

Self-explanatory

CHAPTER VII
MISCELLANEOUS

Article 31A

(1) Taxpayers who invest in certain business sectors and/or in certain regions that receive a high priority in the national scale, may be given with tax incentives in the form of:

a. a deduction on net income of maximum of 30% (thirty percent) of the total investment made;

b. accelerated depreciation and amortization;

c. longer compensation for losses, but not more than 10 (ten) years; and

d. the Income Tax imposition on dividends as referred to in Article 26 at 10% (ten percent), unless the rate according to the applicable tax agreement determines a lower rate. ****)

(2) Further provisions concerning certain business sectors and/or certain regions that receive a high priority in the national scale as well as the provision of tax incentives as referred to in paragraph (1) shall be regulated by the Government Regulation. ****)

Elucidation of Article 31A

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (1)

One of the principles to be upheld in the tax law is the application of equal treatment to all Taxpayers or to all cases of taxation which are essentially the same, by relying on the provisions of statutory regulations. Therefore, any facilities in taxation if really needed must refer to the aforesaid rules and need to be maintained so that there is no divergence in its application from the meaning and purpose for which such facilities are granted.

The purpose of this tax incentive is to encourage direct investment activities in Indonesia, either through foreign investments or domestic investments in certain business sectors and/or in certain regions that receive a high priority in the national scale.

This provision can also be used to cover the possibility of agreements with other countries in the fields of trade, investment, and other areas.

Paragraph (2)

Self-explanatory.

Article 31B

Deleted **)**

Elucidation of Article 31B

Self-explanatory.

Article 31C

(1) State revenue from resident individual resident Taxpayers and Income Tax Article 21 withheld by the employer, shall be shared with a proportion 80% for the Central Government and 20% for the Regional Government where the Taxpayer is registered. ***)

(2) Deleted. ****)

Elucidation of Article 31C

Self-explanatory.

Article 31D

Provisions on taxation for the oil and natural gas mining business sector, geothermal business sector, general mining business sector including coals, and sharia-based business sector, shall be regulated by or based on the Government

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Regulation. ****)

Elucidation of Article 31D

Self-explanatory.

Article 31E

(1) Resident corporate Taxpayer with the gross turnover up to Rp. 50.000.000.000,00 (fifty billion rupiah) receives an incentive in the form of reduction of the rate by 50% (fifty percent) of the rate as referred to in Article 17 paragraph (1) letter b and paragraph (2a) imposed on the Taxable Income from of the part of gross turnover up to Rp. 4.800.000.000,00 (four billion and eight hundred million rupiah)). ****)

(2) The amount of the gross turnover as referred to in paragraph (1) can be increased by the Regulation of the Minister of Finance. ****)

Elucidation of Article 31E

Paragraph (1)

Example 1:

Gross turnover of PT Y in the fiscal tax 2009 is Rp. 4.500.000.000,00 (four billion and five hundred million rupiah) with the Taxable Income of Rp. 500.000.000,00 (five hundred million rupiah).

Calculation of tax payable:

All of Taxable Incomes derived from the gross turnover are subject to a rate of 50% (fifty percent) of the applicable corporate Income Tax rate because the total gross turnover of PT Y does not exceed Rp. 4.800.000.000,00 (four billion and eight hundred million rupiah).

Income Tax payable:

(50% x 28%) x Rp. 500.000.000,00 = Rp. 70.000.000,00

Example 2:

Gross turnover of PT X in the fiscal year 2009 is Rp 30.000.000.000,00 (thirty billion rupiah) with the Taxable Income of Rp 3.000.000.000,00 (three billion rupiah).

Calculation of Income Tax payable:

1. Total Taxable Income from the part of gross turnover that obtains the facilities:

   (Rp 4.800.000.000,00 : Rp. 30.000.000.000,00) x Rp.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

3.000.000,00 = Rp. 480.000.000,00

2. Total Taxable Income from the part of gross turnover that does not receive the facilities:

Rp. 3.000.000.000,00 – Rp. 480.000.000,00 = Rp. 2.520.000.000,00

Income Tax payable:

- (50% x 28%) x Rp 480.000.000,00 = Rp 67.200.000,00
- 28% x Rp. 2.520.000.000,00 = Rp. 705.600.000,00 (+)

Total Income Tax payable Rp. 772.800.000,00

Paragraph (2)

Self-explanatory.

Article 32

Procedures for imposition of taxes and sanctions in relation to the implementation of this Law shall be carried out in accordance with Law Number 6 of 1983 regarding General Provisions and Procedures of Taxation as amended several times, lastly by Law Number 28 of 2007 regarding the Third Amendment to Law Number 6 of 1983 regarding General Provisions and Procedures of Taxation. ****)

Elucidation of Article 32

Self-explanatory.

Article 32A

The government has the authority to conclude and/or implement agreements and/or treaties in taxation sector with the governments of partner countries or partner jurisdictions, either bilaterally or multilaterally within the framework of:

a. avoidance of double taxation and prevention of tax evasion;

b. prevention of erosion of the taxation base and shifting of profits;

c. exchange of tax information;

d. tax collection assistance; and

e. other tax cooperation. ******)

Elucidation of Article 32A

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

In order to improve the economic relationship, particularly in taxation sector, with partner countries or partner jurisdictions and in line with the development of the dynamic international taxation landscape, the Government of Indonesia is authorized to conclude and/or implement agreements and/or treaties with governments of partner countries or partner jurisdictions, either bilaterally or multilaterally through specially applicable legal instruments (lex-specialists) for the avoidance of double taxation and prevention of tax evasion, prevention of erosion of the taxation base and shifting of profits, exchange of tax information, assistance in tax collection, and other tax cooperation.

"Agreement and/or treaty in taxation sector" means an agreement and/or treaty in a certain form and name in the taxation sector, which refers to the prevailing law comes to effect before, since, or after this Law comes into effect.

Letter a

"Double taxation" means a tax imposition by two or more countries or jurisdictions on the same income earned/received by the same tax subject and on the same income earned/received by different tax subjects.

"Tax evasion" means a tax evasion, embezzlement or reduction that is carried out illegally by an individual, corporate, or permanent establishment with the aim not to pay tax(es) in any country or jurisdiction or to reduce the tax payable.

Letter b

"Taxation base erosion and profit shifting" means a tax planning strategy that aims to take advantage of interactions of tax provisions between different countries/jurisdictions, one of which is by transferring profits to a country or jurisdiction that does not impose the tax or imposes tax at a low rate and which has no or has small contribution to its economic substance activities with the aim not to pay tax(es) in any country or jurisdiction or to reduce the tax payable.

Letter c

"Exchange of tax information" means an exchange of information relating to taxation between countries/jurisdictions as the implementation of international agreements.

Letter d

"Tax collection assistance" means a tax collection assistance facility as specified in the agreement that can be utilized by the Government of Indonesia and the governments of partner countries or partner

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

jurisdictions to collect tax indebtedness which is administered by the Director General of Taxes or a tax authority of the partner country or the partner jurisdiction.

Letter e

Self-explanatory.

Article 32B

The provisions on the imposition of taxes on interest or discount on State Bonds traded in other countries based on reciprocal treatment agreements with other countries shall be regulated by the Government Regulation. ****)

Elucidation of Article 32B

In order to expand the Government Bond market, the government may impose a lower special rate or apply a tax exemption to the Government Bond traded on stock exchange of other countries. The government can only impose this special treatment to the extent the other country gives the same treatment to its bonds traded on Indonesian stock exchange.

CHAPTER VIIA
DELEGATION OF AUTHORITY

Article 32C

Further provisions on:

a. income in the form of gains from transfer of assets in the form of grants, aids, or donations that are excluded from the tax object because they are given to biological families within one degree of direct lineage and religious agencies, educational bodies, social bodies including foundations, cooperatives, or individual persons who run micro and small enterprises, provided that there is no relationship with business, employment, ownership, or control among the relevant parties as referred to in Article 4 paragraph (1) letter d number 4;

b. certain skill criteria of and the Income Tax imposition on foreign citizens as referred to in Article 4 paragraph (1a);

c. the granted assets received by biological families within one degree of direct lineage, religious agencies, educational bodies, social bodies including foundations, cooperatives, or individual persons who run micro and small business, provided that there is no relationship with business, work, ownership, or control among the relevant parties, who are excluded from the tax object as referred to in Article 4 paragraph (3) letter a

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

number 2;

d. reimbursement or compensations in relation to work or services that is received or earned in kind and/or enjoyment that is excluded from the tax object as referred to in Article 4 paragraph (3) letter d;

e. the criteria of, period of, and changes to the limits on the dividends invested, as well as the provisions on exemption from Income Tax on dividends or other incomes as referred to in Article 4 paragraph (3) letter f;

f. income from investment in certain sectors that is received by the pension fund, which is excluded from the tax object as referred to in Article 4 paragraph (3) letter h;

g. scholarships that meet certain requirements that are excluded from the tax object as referred to in Article 4 paragraph (3) letter l;

h. any surplus received or earned by a non-profit agency or institution engaged in education and/or research and development, which is excluded from the tax object as referred to in Article 4 paragraph (3) letter m;

i. aid or compensation paid by the Social Security Organizing Agency to certain Taxpayers, which are excluded from the tax object as referred to in Article 4 paragraph (3) letter n;

j. deposit funds for the Hajj Pilgrimage Cost (*Biaya Penyelenggaraan Ibadah Haji* /BPIH) and/or special BPIH, and income from the development of Hajj finance in certain financial fields or instruments received by the Hajj Financial Management Agency the Hajj Financial Management Agency (*Badan Pengelola Keuangan Haji* / BPKH), which are excluded from the tax object as referred to in Article 4 paragraph (3) letter o;

k. any surplus received/obtained by social and religious agencies or institutions, which are excluded from the tax object as referred to in Article 4 paragraph (3) letter p;

l. promotion and sales costs that can be deducted from the gross income as referred to in Article 6 paragraph (1) letter a number 7;

m. receivables that are obviously uncollectible which can be deducted from the gross income as referred to in Article 6 paragraph (1) letter h;

n. cost reimbursement or compensation given in kind and/or in enjoyment which can be deducted from the gross income as referred to in Article 6 paragraph (1) letter n;

o. formation or accumulation of reserve funds which can be deducted from the gross income as referred to in Article 9 paragraph (1) letter c;

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

p. group of tangible assets, useful life, and calculation of depreciation as referred to in Article 11 paragraph (6) and paragraph (6a);

q. depreciation of tangible assets owned and used in certain business sectors as referred to in Article 11 paragraph (7);

r. the commencement of amortization for certain business sectors as referred to in Article 11A paragraph (1a);

s. calculation of amortization as referred to in Article 11A paragraph (2) and paragraph (2a);

t. limits on the amount of loan cost that can be charged for tax calculation purpose as referred to in Article 18 paragraph (1);

u. determination of the time when the dividend is obtained by a resident Taxpayer for his/her equity participation in a foreign business entity other than the business entities that sell their shares on the stock exchange as referred to in Article 18 paragraph (2);

v. application of the arm's length principle to the effect of calculating the amount of Taxable Income for Taxpayer who has special relationship with other Taxpayers as referred to in Article 18 paragraph (3);

w. the implementation of transaction pricing agreements between the related parties as referred to in Article 18 paragraph (3a);

x. determination of the party who actually purchases the shares or assets of the company through another party or entity that is established for such a purpose (*special purpose company*) as referred to in Article 18 paragraph (3b);

y. stipulation on the sale of the transfer of shares of an entity established or having their domicile in Indonesia or a permanent establishment in Indonesia as referred to in Article 18 paragraph (3c);

z. re-determination of the amount of income earned by resident individual Taxpayer from the employer who has special relationship with another company that is not established and having its domicile in Indonesia as referred to in Article 18 paragraph (3d);

aa. criteria of the special relationship as referred to in Article 18 paragraph (4);

bb. conclusion and/or implementation of agreements and/or treaties in taxation sector as referred to in Article 32A,

shall be regulated by or based on the Government Regulation. ******)

Elucidation of Article 32C

Self-explanatory.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

CHAPTER VIII
TRANSITIONAL PROVISIONS

Article 33

(1) A Taxpayer whose book year ends as of 30 June 1984 and those ended between 30 June 1984 and 31 December 1984 may elect a method to calculate their tax based on the provisions of the Corporate Tax Ordinance of 1925 or the Income Tax Ordinance of 1944, or based on the provisions in this law.

(2) Taxation facilities that have been granted up to 31 December 1983:

a. where its term is limited, can be enjoyed by the relevant Taxpayer until expires;

b. where its term is not determined, can be enjoyed until the fiscal year prior to the fiscal year 1984.

(3) Taxable incomes received or earned in oil and natural gas mining sector as well as in other mining sectors in relation to Work Contracts and Production Sharing Contracts, which are still valid when this law comes into effect, are subject to taxes based on the provisions in the Corporate Tax Ordinance of 1925 and the Tax Law on Interest, Dividends and Royalties of 1970 and all of the implementing regulations thereof.

Elucidation of Article 33

Paragraph (1)

For a Taxpayer whose fiscal year is a book year, there is possibility that a fraction of fiscal year is included in the 1984 calendar year. According to the provisions in this paragraph, if the 6 (six) months of the fiscal year are included in the 1984 calendar year, the Taxpayer is allowed to elect whether to use the Company Tax Ordinance of 1925 or the Income Tax Ordinance of 1944, or to elect the implementation of the provisions as contained in this law. Such an opportunity to choose also applies to Taxpayers whose more than 6 (six) months of the fiscal year are included in the 1984 calendar year.

Paragraph (2)

Letter a

Tax incentives where their term is limited, such as tax incentives based on Law Number 1 of 1967 regarding Foreign Investment and Law Number 6 of 1968 regarding Domestic Investment, that have been given until 31 December 1983 can still be enjoyed until the expiry of the tax incentives.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Letter b

Tax incentives where their term is not determined, can no longer be enjoyed as from the effective date of this law, for example:

- tax incentives granted to PT Danareksa, in the form of corporate tax exemption on the operating profits and the and exemption of capital stamp duty for the subscription and deposit of share capital pursuant to the Decree of the Minister of Finance No. KEP-1680/MK/II/12/1976 dated 28 December 1976;
- tax incentives granted to Limited Liability Companies that sell their shares through the Capital Market, in the form of a Corporation Tax rate reduction pursuant to the Decree of the Minister of Finance No. 112/KMK.04/1979 dated 27 March 1979.

Paragraph (3)

The Corporate Tax Ordinance of 1925, and the Law on Taxes on Interest, Dividend and Royalty of 1970 and all of the implementing regulations thereof shall remain in full force and effect to the taxable incomes received or earned in the oil and natural gas mining sector and in other mining sectors that are conducted within the framework of Work Contracts and Production Sharing Contracts, as long as such Work Contracts and Production Sharing Contracts are still effective at the time this Law comes into effect.

The provisions in this law shall only apply to taxable incomes received or earned in oil and natural gas mining sector that are conducted within the framework of Work Contracts and Production Sharing Contracts, if such Work Contracts and Production Sharing Contracts are entered into after this law comes into effect.

Article 33A

(1) Taxpayers whose book year ends after 30 June 1995 shall be obliged to calculate their taxes based on the provisions as specified in Law Number 7 of 1983 as last amended by this Law. **)

(2) Taxpayers who obtain tax incentives and have received a decision on the commencement of commercial production before 1 January 1995, may continue to enjoy the tax incentives in accordance with the determined period.**)

(3) The tax incentives that have been granted, shall expire on 31 December 1994, except for the incentives as referred to in paragraph (2 .)). **)

Elucidation of Article 33A

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Paragraph (1)

If the Taxpayer uses the fiscal year that ends as of 30 June 1995 or earlier (different from the calendar year), then the fiscal year is the fiscal year 1994. Taxes payable in that year shall continue to be calculated based on Law Number 7 of 1983 as amended by Law Number 7 of 1991. However, a Taxpayer whose book year ends after 30 June 1995, shall be obliged to calculate his/her taxes as from the fiscal year 1995 based on Law Number 7 of 1983 regarding Income Tax, as last amended by this Law.

Paragraph (2) and paragraph (3)

A Taxpayer who has obtained the Decree of the Minister of Finance regarding tax incentives concerning the commencement of commercial production that is issued before 1 January 1995 can enjoy the tax incentives granted until the period stipulated in the relevant decree. Therefore, since 1 January 1995 the decision on the commencement of commercial production shall not be issued anymore.

Paragraph (4)

The tax provisions in a production sharing contract, work contract, or mining concession agreement which is still valid at the time this Law comes into effect, are declared to remain in full force and effect until the expiry of such a production sharing contract, work contract, or mining concession cooperation agreement. Notwithstanding the coming into effect of this Law, the tax obligations of a Taxpayer bound by a production sharing contract, work contract or mining concession agreement shall continue to be calculated based on the relevant contract or agreement.

Accordingly, the provisions in this Law shall only apply to the imposition of tax on incomes received or earned by Taxpayers in oil and natural gas mining sector and other general mining operations that are carried out in the form of a work contract, production sharing contract, or mining concession agreement, signed after the coming into effect of this Law.

Article 34

Implementing regulations related to Income Tax which are still in effect at the coming into effect of this Law, are declared remain in full force and effect as long as not contrary to the provisions in this Law. **)

Elucidation of Article 34

Self-explanatory.

CHAPTER IX

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

CLOSING PROVISIONS

Article 35

Matters which have not been sufficiently regulated in the implementation of this Law shall be governed further by the Government Regulation. ****)

Elucidation of Article 35

With the government regulation, any matters that have not been sufficiently regulated in the implementation of this Law, namely all regulations required to allow this Law can be implemented as good as possible, including the transitional regulations, are regulated.

Article 36

(1) This law comes into effect as of 1 January 1984.

(2) This law can be called as Income Tax Law 1984.

Elucidation of Article 36

Paragraph (1)

This paragraph confirms that the Income Tax Law 1984 comes into effect as of 1 January 1984.

For a Taxpayer whose fiscal year is the same as the calendar year, this law applies to them as from the fiscal year 1984. For Taxpayers who use a book year that is different from the calendar year, this law will apply to the book years that commence after 1 January 1984.

Paragraph (2)

Self-explanatory.

NOTES

A. Law Number 7 of 1991 regarding Amendment to Law Number 7 of 1983 regarding Income Tax:

Article II

This law comes into effect as of 1 January 1992.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Elucidation of Article II

Self-explanatory.

B. Law Number 10 of 1994 regarding Amendment to Law Number 7 of 1983 regarding Income Tax as Amended by Law Number 7 of 1991:

Article II

This law can be called as "Law of the Second Amendment to the Income Tax Law 1984".

Elucidation of Article II

Self-explanatory.

Article III

This law comes into effect as of 1 January 1995.

Elucidation of Article III

Self-explanatory.

C. Law Number 17 of 2000 regarding the Third Amendment to Law Number 7 of 1983 regarding Income Tax:

Article II

This law can be called as "Law on the Third Amendment to the Income Tax Law 1984".

Elucidation of Article II

Self-explanatory.

Article III

This law comes into effect as of 1 January 2001.

Elucidation of Article III

Self-explanatory.

D. Law Number 36 of 2008 regarding the Fourth Amendment to Law Number 7 of 1983 regarding Income Tax:

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

Article II

Upon the coming into effect of this Law:

1. Taxpayers whose book year ends after 30 June 2001 are obliged to calculate their taxes based on the provisions as specified in Law Number 7 of 1983 regarding Income Tax as amended several times, lastly by Law Number 17 of 2000 regarding the Third Amendment to Law Number 7 of 1983 regarding Income Tax.
2. Taxpayers whose book year ends after 30 June 2009 are obliged to calculate their taxes based on the provisions as specified in Law Number 7 of 1983 as amended several times, lastly by this Law.

This law comes into effect as of 1 January 2009.

Elucidation of Article II

Number 1

If the Taxpayer uses the fiscal year ended as of 30 June 2001 or earlier (different from the calendar year), the fiscal year is the fiscal year 2000. Taxes payable in that year shall continue to be calculated based on Law Number 7 of 1983 as amended several times, lastly by Law Number 10 of 1994 regarding the Second Amendment to Law Number 7 of 1983 regarding Income Tax, however Taxpayers whose book year ends after 30 June 2001 shall be obliged to calculate their taxes as from the fiscal year 2001 based on Law Number 7 1983 regarding Income Tax, as amended several times, lastly by Law Number 17 of 2000 regarding the Third Amendment to Law Number 7 of 1983 regarding Income Tax.

Number 2

If a Taxpayer uses the fiscal year ended as of 30 June 2009 or earlier (different from the calendar year), the fiscal year is the fiscal year 2008. Taxes payable in that year shall continue to be calculated based on Law Number 7 of 1983 as amended several times, lastly by Law Number 17 of 2000 regarding the Third Amendment to Law Number 7 of 1983 regarding Income Tax, however Taxpayers whose book year ends after 30 June 2009 are obliged to calculate their taxes as from the fiscal year 2009 based on Law Number 7 1983 regarding Income Tax as amended several times, lastly by this Law.

E. Law Number 2 of 2020 regarding Stipulation of Government Regulations in Lieu of Law Number 1 of 2020 regarding the State Financial Policies and the Financial System Stability for Handling the Corona Virus Disease

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

(COVID-19) Pandemic and/or In Facing Threats That Endanger the National Economy and /or the Financial System Stability To Become Law.

Article 2

This Law comes to effect as of the promulgation date.

Elucidation of Article 2

Self-explanatory.

Remarks:

The law was promulgated on 18 May 2020. As to the Government Regulation in Lieu of Law Number 1 of 2020 regarding the State Financial Policy and the Financial System Stability for Handling the Corona Virus Disease (COVID-19) Pandemic and/or in Facing Threats That Endanger the National Economy and/or the Financial System Stability was promulgated on 31 March 2020.

F. Law Number 11 of 2020 regarding Job Creation

Article 186

This Law comes to effect as of the promulgation date.

Elucidation of Article 186

Self-explanatory.

Remarks:

The law was promulgated on 2 November 2020.

G. Law Number 7 of 2021 regarding Harmonization of Tax Regulations

Article 19

This Law comes to effect as of the promulgation date.

Elucidation of Article 19

Self-explanatory.

Remarks:
The law was promulgated on 29 October 2021.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

TAX STIMULUS
POWERFUL
INDONESIA'S ECONOMY
GROWS



PRESIDENT
OF THE REPUBLIC OF INDONESIA

COMPILATION INTO SINGLE DOCUMENT OF LAW OF THE REPUBLIC OF INDONESIA NUMBER 8 OF 1983 REGARDING VALUE ADDED TAX AS AMENDED SEVERAL TIMES, LASTLY BY LAW OF THE REPUBLIC OF INDONESIA NUMBER 7 OF 2021

CHAPTER I
GENERAL PROVISIONS

Article 1 ***)

In this Law, the following definitions shall apply:

1. Customs Area means the territory of the Republic of Indonesia including the lands, waters and air spaces above it, as well as certain places in the Exclusive Economic Zone and the continental shelf in which the Law governing the customs affairs apply. ***)
2. Goods means tangible goods, which by their nature or according to law can be in the form of movable goods or immovable goods, and intangible goods.**)
3. Taxable Goods mean any goods that are subject to tax under this Law.***)
4. Delivery of Taxable Goods is any activity of delivery of Taxable Goods. ***)
5. Service means any service activity based on an agreement or legal action that causes a goods, incentive, convenience or a right be available for use, including services performed to produce goods on order or on request with the materials and on instructions from a customer.***)
6. Taxable Service mean a service that is subject to tax based on this Law.***)
7. Taxable Services Delivery means any activity of providing Taxable Services.***)
8. Utilization of Taxable Services from outside the Customs Area means any activity of utilizing the Taxable Services from outside the Customs Area within the Customs Area.**)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

9. Import means any activity of bringing goods from outside the Customs Area into the Customs Area. **)

10. Utilization of Intangible Taxable Goods from outside the Customs Area means any activity of utilizing Intangible Taxable Goods from outside the Customs Area within the Customs Area. ***)

11. Export of Tangible Taxable Goods means any activity of bringing Tangible Taxable Goods from within the Customs Area to outside the Customs Area.***)

12. Trade means a business activity of purchasing and selling, including an activity of exchanging goods, without changing its form or characteristics. **)

13. Entity means a group of persons and/or capitals which constitutes a unit whether doing business or not including limited liability company, commanditaire company, other companies, state-owned enterprise or regionally-owned enterprise in whatever name and form, firm, joint venture, cooperative, pension fund, partnership, association, foundation, mass organization, socio-political organization, or other organizations, institution and other forms of corporate including collective investment contracts and permanent establishments.***)

14. Entrepreneur means an individual or corporate in any form which in its business activity or work produces goods, imports goods, exports goods, carries on trade business, utilizes intangible goods from outside the Customs Area, carries on service business, or utilizes services from outside the Customs Area. ***)

15. Taxable Entrepreneur means any Entrepreneur who delivers Taxable Goods and/or delivers Taxable Services imposed with taxes based on this Law. ***)

16. Producing means an activity of processing through a process of changing the form and/or characteristics of an item from its original form into a new item or having a new usefulness or an activity of processing the natural resources, including asking another individual person or entity to carry out such an activity. ***)

17. Tax Imposition Base means the amount of Selling Price, Reimbursement, Import Value, Export Value, or other values for use as the basis for calculating the tax payable. ***)

18. Selling Price means a value of money, including all costs that are asked for or should be asked for by the seller due to a delivery of Taxable Goods, excluding Value Added Taxes collected according to this Law and the price discounts as specified in the Tax Invoice. **)

19. Reimbursement means a value of money, including all costs that are asked for or should be asked for by an entrepreneur resulting from a delivery of Taxable Services, export of Taxable Services, or export of

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Intangible Taxable Goods, but excluding Value Added Taxes collected according to this Law and the price discounts as specified in the Tax Invoice or a value of money that is paid or should be paid by the Service Recipient resulting from a utilization of Taxable Services and/or by the Recipient of Intangible Taxable Goods resulting from a utilization of Intangible Taxable Goods from outside the Customs Area within the Customs Area. ***)

20. Import Value means a value of money that is used as the basis for calculating import duty plus levies based on the provisions in the statutory regulations that govern the customs and excise for the Taxable Goods importations, excluding Value Added Tax and Sales Tax on Luxury Goods that are collected according to this Law. ***)

21. Buyer means an individual person or entity who receives or should receive a delivery of Taxable Goods and who pays or should pay the price for such a Taxable Goods. **)

22. Service Recipient means an individual person or entity who receives or should receive a delivery of Taxable Services and who pays or should pay for the Reimbursement for such Taxable Services. **)

23. Tax Invoice means a proof of tax collection made by a Taxable Entrepreneur who delivers a Taxable Goods or delivers a Taxable Service. ***)

24. Input Tax means a Value Added Tax that should have been paid by a Taxable Entrepreneur due to an acquisition of Taxable Goods and/or acquisition of Taxable Services and/or utilization of Intangible Taxable Goods from outside the Customs Area and/or utilization of Taxable Services from outside the Customs Area and/or import of Taxable Goods. ***)

25. Output Tax means a payable Value Added Tax that must be collected by a Taxable Entrepreneur who carries out a delivery of Taxable Goods, delivery of Taxable Services, export of Tangible Taxable Goods, export of Intangible Taxable Goods and/or export of Taxable Services. ***)

26. Export Value means a value of money, including all costs that are asked or should be asked by the exporter. **)

27. Value Added Tax Collector means a government treasurer, agency, or government agency appointed by the Minister of Finance to withhold, deposit, and report the taxes payable by the Taxable Entrepreneurs on deliveries of Taxable Goods and/or deliveries of Taxable Services to the government treasurer, agency, or government agency. ***)

28. Export of Intangible Taxable Goods means any activity of utilizing Intangible Taxable Goods from within the Customs Area outside the Customs Area. ***)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

29. Export of Taxable Services means any activity of delivering Taxable Services to outside the Customs Area. ***)

Elucidation of Article 1

Self-explanatory

Article 1A ****)

(1) The definition of delivery of Taxable Goods includes: ****)

a. delivery of rights to Taxable Goods due to an agreement;

b. transfer of Taxable Goods due to a lease-purchase agreement and/or a leasing agreement;

c. delivery of Taxable Goods to intermediary traders or through auctioneers;

d. use for own purpose and/or giving for free of Taxable Goods;

e. Taxable Goods in the form of inventories and/or assets which according to their original purpose are not for sale, still remaining at the time of the company dissolution;

f. delivery of Taxable Goods from the center to branches or vice versa and/or delivery of Taxable Goods between branches;

g. deleted; and

h. delivery of Taxable Goods by a Taxable Entrepreneur within the framework of a financing agreement that is carried out based on sharia principles, the delivery of which is deemed as straightforward from the Taxable Entrepreneur to the party who needs the Taxable Goods。

(2) The definition of delivery of Taxable Goods excludes: ****)

a. delivery of Taxable Goods to a broker as referred to in the Indonesian Commercial Code;

b. delivery of Taxable Goods for a guarantee of debts;

c. delivery of Taxable Goods as referred to in paragraph (1) letter f in the event a Taxable Entrepreneur centralizes the place where the tax is payable;

d. transfer of Taxable Goods to the effect of merger, amalgamation, expansion, demerger, and business takeover, as well as transfer of Taxable Goods for the purpose of paying for capital in lieu of shares, provided that the transferor and the transferee are Taxable Entrepreneurs; and

e. Taxable Goods in the form of assets which according to their original purpose are not for sale, still remaining at the time of the

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

company dissolution, and the Input Tax on the acquisition of which may not be credited as referred to in Article 9 paragraph (8) letter b and letter c.

Elucidation of Article 1A

Paragraph (1)

Letter a

"Agreement" includes sale and purchase, exchange, sale and purchase in installments, or other agreements that result in a transfer of rights to the goods.

Letter b

Delivery of Taxable Goods may occur due to a lease-purchase agreement and/or a leasing agreement.

"Transfer of Taxable Goods due to a leasing agreement" means a delivery of Taxable Goods that is caused by a leasing agreement with option rights.

In the event of delivery of Taxable Goods by a Taxable Entrepreneur within the framework of a leasing agreement with option rights, the Taxable Goods are deemed as delivered directly from the Taxable Entrepreneur supplier to the party who needs the goods (lessee).

Letter c

"Intermediary trader" means an individual person or entity who in his/her business activities or work, in his/her own name, enters into an agreement or arrangement on and for account of another person by receiving a certain wage or consideration, for example a commissioner.

"Auctioneer" means an auctioneer of the Government or who is appointed by the Government.

Letter d

"Use for own purpose" means the use for the benefit of an entrepreneur, management, or employee him/herself, of either a self-produced goods or non-self-produced goods.

"Giving for free" means a gift that is given without payment, of either self-produced goods or non self-produced goods, such as the giving of samples of goods for promotion to relations or buyers.

Letter e

Taxable Goods in the form of inventories and/or assets inventories and/or assets which according to their original purpose are not for sale, still remaining at the time of the company dissolution, are

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

equivalent to a use for own purpose, thus, treated as delivery of Taxable Goods.

This provision in letter e excludes deliveries as referred to in Article 1A paragraph (2) letter e.

Letter f

In the event a company has more than one place where the tax is payable, either as the center or as a branch of the company, a transfer of Taxable Goods between those places is a delivery of Taxable Goods.

"Center" means a residential place or a place of domicile.

"Branch" means, among other things, a location of business, representative, marketing unit, and similar places of business activities.

Letter g

Deleted.

Letter h

Example:

In a *murabahah* transaction, a sharia bank acts as a provider of funds to purchase a motor vehicle from Taxable Entrepreneur A on order of a sharia bank customer (Mr. B). Although based on the sharia principles, a sharia bank must buy first the such a motor vehicle and then sell it to Mr. B, based on this Law, such a delivery of motor vehicle is deemed as carried out directly by Taxable Entrepreneur A to Mr. B.

Paragraph (2)

Letter a

"Broker" means a broker as referred to in the Indonesian Commercial Code, namely an intermediary trader appointed by the President or by an official who is authorized by the President to do so. They carry on their company by doing work for a certain wage or provision, on mandate of and on behalf of other persons with whom they have no employment relationship.

Letter b

Self-explanatory.

Letter c

In the event a Taxable Entrepreneur has more than one place of business activity, either as the center or a branch of the company, and the Taxable Entrepreneur has submitted a written notification to the Director General of Taxes, a transfer of Taxable Goods from

one place of business activity to another place of business activity (from the center to a branch or vice versa or between branches) is deemed as excluded from the definition of delivery of Taxable Goods, except for a transfer of Taxable Goods between places where the tax is payable.

Letter d

"Demerger" means a separation of businesses as referred to in the law that governs limited liability companies.

A transfer of Taxable Goods within the framework of merger, amalgamation, expansion, demerger, and business takeover, as well as a transfer of Taxable Goods for the purpose of paying for capital in lieu of shares, which is carried out by:

a. a Taxable Entrepreneur to another Taxable Entrepreneur, is excluded from the definition of delivery of Taxable Goods, thus no Value Added Tax is payable;

b. an entrepreneur who has not been or is not confirmed to be a Taxable Entrepreneur, is included in the definition of delivery of Taxable Goods, thus, there is Value Added Tax payable but not collected by that entrepreneur because he/she has not been or is not confirmed to be a Taxable Entrepreneur; or

c. a Taxable Entrepreneur to an entrepreneur who has not been or is not confirmed to be a Taxable Entrepreneur, is included in the definition of delivery of Taxable Goods, thus, there is a Value Added Tax payable that must be withheld by the Taxable Entrepreneur. In the event the transferred Taxable Goods are in the form of assets, which according to their original purpose are not for sale, then, the Value Added Tax to be imposed on the transfer of Taxable Goods is in accordance with the provisions that govern the delivery of Taxable Goods in the form of assets which according to their original purpose are not for sale.

Letter e

Taxable Goods in the form of assets which according to their original purpose are not for sale, still remaining at the time of the company dissolution, the Input Tax on acquisition of which may not be credited due to having no direct relationship with the business activity as referred to in Article 9 paragraph (8) letter b and/or assets in the form of sedan and station wagon motor vehicles the Input Tax on acquisition of which may not be credited as referred to in Article 9 paragraph (8) letter c is excluded from the definition of delivery of Taxable Goods.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Article 2 *)

(1) In case the Selling Price or Reimbursement is affected by a special relationship, then, the Selling Price or Reimbursement is calculated on the basis of the fair market price at the time the delivery of Taxable Goods or Taxable Services is made.

(2) A special relationship is deemed to exist if: *)

a. an Entrepreneur has a direct or indirect participation of 25% (twenty five percent) or more in another Entrepreneur, or relationship between the Entrepreneur and the participation of 25% (twenty five percent) or more in two or more entrepreneurs, as well as relationship between two or more of the latter Entrepreneurs; or

b. an Entrepreneur controls another Entrepreneur or two or more Entrepreneurs are under the control of the same Entrepreneur either directly or indirectly; or

c. There is a familial relationship either biological family (sedarah) or relative through marriage (semenda) in a straight and/or sidewise lineage of one degree。

<u>Elucidation of Article 2</u>

Paragraph (1)

Effect of the special relationship as referred to in this Law is the possibility of the price being depressed to be lower than the market price. In this case, the Director General of Taxes has the authority to adjust the Selling Price or Reimbursement that become the Tax Imposition Base with the fair market price applicable in the free market.

Paragraph (2)

A special relationship between a Taxable Entrepreneur and the recipient of delivery of Taxable Goods and/or Taxable Services may occur due to dependence or inter-relation of one to the other due to:

- an ownership or participation factor;
- a control through management or use of technology。

In addition, due to the aforesaid matters, special relationships between individual persons may also occur due to blood relation or marriage。

a. A special relationship is deemed to exist if there is an ownership relationship in the form of equity participation of 25% (twenty five percent) or more, either directly or indirectly.

Example:

If PT. A holds 50% (fifty percent) of shares in PT. B, the share ownership by PT A is a direct investment. Further, if PT. B holds 50% (fifty percent) of shares in PT. C, then PT. A as a shareholder

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

in PT. B indirectly has participation in 25% (twenty five percent) participation in PT. C. In such a case, PT A, PT B, and PT C are deemed to have a special relationship.

If PT A also holds 25% (twenty five percent) of shares in PT D, then, between PT B, PT C and PT D are deemed to have a special relationship. The ownership relationship as described above may also occur between individuals and corporate.

b. The relationship between entrepreneurs as described in letter a may also occur due to a control through management or the use of technology, even though there is no ownership relationship.

A special relationship is deemed exist if one or more companies are under the control of the same entrepreneur. Likewise with a relationship between several companies that are under the control of the same entrepreneur.

c. Biological familial relationship (sedarah) in a straight lineage of one degree means father, mother, and children, whereas biological familial relationship (sedarah) in a sidewise lineage of one degree means brothers and sisters.

A relative through marriage (semenda) in a straight lineage of one degree means parents in-law and stepchildren, whereas a relative through marriage (semenda) in a sidewise lineage of one degree means brothers and sisters in-law.

If a married couple has an agreement on separation of assets and incomes, then relationship between the married couple is included in the definition of special relationship according to this Law.

CHAPTER II
TAXABLE ENTREPRENEUR CONFIRMATION

Article 3 *)

Deleted.

Elucidation of Article 3

The provisions in Article 3 which govern the Taxable Entrepreneur Confirmation, are deleted and transferred to the Law on General Provisions and Procedures of Taxation.

CHAPTER IIA
OBLIGATION TO REPORT THE BUSINESS AND OBLIGATION TO WITHHOLD, DEPOSIT AND REPORT THE TAX PAYABLE

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Article 3A

(1) Entrepreneurs who carry out deliveries as referred to in Article 4 paragraph (1) letter a, letter c, letter f, letter g, and letter h, except small entrepreneurs the limits of which shall be stipulated by the Minister of Finance, are obliged to report their business for confirmation to me a Taxable Entrepreneur and shall be obliged to withhold, deposit, and report the Value Added Tax and the Sales Tax On Luxury Goods payable. ***)

(1a) Small Entrepreneurs as referred to in paragraph (1) may choose to be confirmed to be Taxable Entrepreneurs. ***)

(2) A Small Entrepreneur who chooses to be confirmed to be a Taxable Entrepreneur is obliged to implement the provisions as referred to in paragraph (1)). ***)

(3) Individuals or corporate that utilize any Intangible Taxable Goods from outside the Customs Area as referred to in Article 4 paragraph (1) letter d and/or utilize any Taxable Services from outside the Customs Area as referred to in Article 4 paragraph (1) letter e are obliged to withhold, deposit, and report the Value Added Tax payable, the calculation and procedures of which shall be governed by the Regulation of the Minister of Finance. ***)

Elucidation of Article 3A

Paragraph (1)

An Entrepreneur who carries out delivery of Taxable Goods and/or delivery of Taxable Services within the Customs Area and/or carries out an export of Tangible Taxable Goods, export of Taxable Services, and/or export of Intangible Taxable Goods is obliged to:

a. report his/her business to be confirmed as a Taxable Entrepreneur;

b. withhold taxes payable;

c. deposit the accrued Value Added Tax in the event the Output Tax is higher than the Input Tax which can be credited and deposit the Sales Tax on Luxury Goods payable; and

d. report the tax calculations.

Paragraph (1a)

Self-explanatory.

Paragraph (2)

Small Entrepreneurs are allowed to choose to be confirmed as a Taxable Entrepreneur. If a small entrepreneur chooses to become a Taxable Entrepreneur, this Law applies fully to such a small entrepreneur。

Paragraph (3)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Value Added Tax payable on the utilization of Intangible Taxable Goods and/or the utilization of Taxable Services from outside the Customs Area must be withheld by such an individual or corporate who utilizes the Intangible Taxable Goods and/or Taxable Services.

CHAPTER III
TAX OBJECT

Article 4

(1) Value Added Tax is imposed on: ***)

a. delivery of Taxable Goods within the Customs Area by an Entrepreneur;

b. import of Taxable Goods;

c. delivery of Taxable Services within the Customs Area by an Entrepreneur;

d. utilization of Intangible Taxable Goods from outside the Customs Area within the Customs Area;

e. utilization of Taxable Services from outside the Customs Area within the Customs Area;

f. export of Tangible Taxable Goods by a Taxable Entrepreneur;

g. export of Intangible Taxable Goods by a Taxable Entrepreneur; and

h. export of Taxable Services by a Taxable Entrepreneur。

(2) Provisions on the limitations of activities and types of Taxable Services on which export is subject to the Value Added Tax as referred to in paragraph (1) letter h, shall be regulated by the Regulation of the Minister of Finance. ***)

Elucidation of Article 4

Paragraph (1)

Letter a

Entrepreneurs who carry out the delivery of Taxable Goods include both entrepreneurs who have been confirmed to be Taxable Entrepreneurs as referred to in Article 3A paragraph (1) and entrepreneurs who should be confirmed to be Taxable Entrepreneurs, but have not confirmed yet.

Delivery of goods that are subject to taxes must meet the following requirements:

a. Tangible goods to be delivered shall be Taxable Goods,

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

b. Intangible goods to be delivered shall be Intangible Taxable Goods,

c. the delivery is carried out within the Customs Area; and

d. the delivery is carried out within the framework of the business activity or work.

Letter b

Taxes are also collected at the time of import of Taxable Goods. The tax collection is carried out through the Directorate General of Customs and Excise。

Different from the delivery of Taxable Goods in letter a, anyone who imports the Taxable Goods into the Customs Area, regardless of whether it is carried out within the framework of his/her business or work or not, is still subject to tax.

Letter c

Entrepreneurs who carry out a delivery of Taxable Services include both entrepreneurs who have been confirmed to be Taxable Entrepreneurs as referred to in Article 3A paragraph (1) and Entrepreneurs who should be confirmed to be Taxable Entrepreneurs, but not been confirmed yet.

The delivery of services on which the tax is payable must meet the following requirements:

a. the services to be delivered shall be Taxable Services,

b. delivery is carried out within the Customs Area; and

c. delivery is carried out in the business activity or work。

d. Included in the definition of delivery of Taxable Services are Taxable Services that are utilized for own interests and/or given for free。

Letter d

In order to be able to give the same tax treatment as the import of Taxable Goods, the Intangible Taxable Goods originating from outside the Customs Area that are utilized by anyone within the Customs Area are also subject to the Value Added Tax.

Example:

Entrepreneur A who has his/her domicile in Jakarta obtains the right to use the mark of Entrepreneur B who has his/her domicile in Hongkong. On utilization of such a mark by Entrepreneur A within the Customs Area, a Value Added Tax is payable。

Letter e

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Services originating from outside the Customs Area that are utilized by anyone within the Customs Area are subject to the Value Added Tax。

For example, Taxable Entrepreneur C in Surabaya utilizes a Taxable Service from Entrepreneur B who has his/her domicile in Singapore. On utilization of such a Taxable Service, a Value Added Tax is payable。

Letter f

Different from the entrepreneurs who carry out activities as referred to in letter a and/or letter c, entrepreneurs who carry out the export of Tangible Taxable Goods shall be only entrepreneurs who have been confirmed to be Taxable Entrepreneurs as referred to in Article 3A paragraph (1)。

Letter g

As is the case with the export of Tangible Taxable Goods, entrepreneurs who export Intangible Taxable Goods shall be only entrepreneurs who have been confirmed to be Taxable Entrepreneurs as referred to in Article 3A paragraph (1)。

"Intangible Taxable Goods" mean:

1. The use or the right to use a copyright in the field of literature, arts or scientific works, patents, designs or models, plans, secret formulas or processes, trademarks, or other forms of intellectual/industrial property rights or other similar rights;
2. the use or the right to use industrial, commercial, or scientific devices/equipments;
3. disclosure of know-how or information in scientific, technical, industrial, or commercial sectors;
4. the giving of additional or complementary assistance in relation to the use or the right to use any rights as referred to in point 1, the use or the right to use the devices /equipments as referred to in number 2, or the disclosure of know-how or information as referred to in number 3, in the form of:
    a) the receipt of or the right to receive image recordings or sound recordings or both, which are distributed to the public via satellite, cables, and optic, or similar technologies;
    b) the use or the right to use image recordings or sound recordings or both, for television or radio broadcasts

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

that are transmitted via satellite, cables, optic fibers, or similar technologies; and

c) the use or the right to use part or all of the radio communication spectrum;

5. the use or the right to use motion picture films, video films or tapes for television broadcasts, or sound tapes for radio broadcasts; and

6. a release of all or part of the rights relating to the use or the granting of intellectual/industrial property rights or other rights as mentioned above.

Letter h

Included in the definition of export of Taxable Services is a delivery of Taxable Services from within the Customs Area to outside of the Customs Area by a Taxable Entrepreneur who produces and exports Tangible Taxable Goods on order or on request with the materials and on directive from buyers outside the Customs Area.

Paragraph (2)

Self-explanatory.

Article 4A *****)

(1) Deleted. ***)

(2) Types of goods that are not subject to the Value Added Tax are certain goods in the following categories of goods: *****)

a. deleted;

b. deleted;

c. foods and beverages served in hotels, restaurants, eateries, food stalls, and the like, including foods and beverages whether consumed on site or not, including foods and beverages that are delivered by catering service businesses; which constitute regional tax and regional levy objects in accordance with the provisions in the statutory regulations in the field of regional taxes and regional levies; and

d. moneys, gold bullions for the benefit of the country's foreign exchange reserves, and securities.

(3) Types of services that are not subject to the Value Added Tax are certain services in the following categories of services: *****)

a. deleted;

b. deleted;

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

c. deleted;

d. deleted;

e. deleted;

f. religious services;

g. deleted;

h. arts and entertainment services, including all types of services performed by artists and entertainers which are regional tax and regional levy objects in accordance with the provisions in the statutory regulations in the field of regional taxes and regional levies;

i. deleted;

j. deleted;

k. deleted;

l. hospitality services, including room rental services and/or space rental services in hotels which are regional tax and regional levy objects in accordance with the provisions in the statutory regulations in the field of regional taxes and regional levies;

m. services provided by the government to the effect of administering the government in general, including all types of services in relation to service activities which can only be carried out by the government in accordance with its authorities under the statutory regulations and such services cannot be provided by other forms of business;

n. parking lot services, including parking lot provision or operation services that are carried out by the parking lot owners or parking lot management entrepreneurs to the parking lot users which are regional tax and regional levy objects in accordance with the provisions in the statutory regulations in the field of regional taxes and regional levies;

o. deleted;

p. deleted; and

q. catering services, including all of food and beverage service activities which are regional tax and regional levy objects in accordance with the provisions in the statutory regulations in the field of regional taxes and regional levies。

Elucidation of Article 4A

Paragraph (1)

Deleted.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Paragraph (2)

Letter a

Deleted.

Letter b

Deleted.

Letter c

Self-explanatory.

Letter d

Self-explanatory.

Paragraph (3)

Letter a

Deleted.

Letter b

Deleted.

Letter c

Deleted.

Letter d

Deleted.

Letter e

Deleted.

Letter f

Religious services include:

1. worship house services;
2. sermons or da'wah services;
3. religious activity organizing services; and
4. other services in the religious sector.

Letter g

Deleted.

Letter h

Self-explanatory.

Letter i

Deleted.

Letter j

Deleted.

Letter k

Deleted.

Letter l

Self-explanatory.

Letter m

Self-explanatory.

Letter n

Self-explanatory.

Letter o

Deleted.

Letter p

Deleted.

Letter q

Self-explanatory

Article 5

(1) In addition to the imposition of Value Added Tax as referred to in Article 4 paragraph (1), the Sales Tax On Luxury Goods is also imposed on: ***)

a. Delivery of Taxable Goods classified as luxury by the entrepreneur who produces the goods within the Customs Area in his/her business activities or work; and

b. import of Taxable Goods classified as luxury。

(2) The Sales Tax on Luxury Goods shall be imposed only 1 (one) time at the time of delivery of the Taxable Goods classified as luxury by the entrepreneur who produces or at the time of import of the Taxable Goods classified as luxury. ***)

Elucidation of Article 5

Paragraph (1)

On the delivery of Taxable Goods classified as luxury by the producer or on the import of Taxable Goods classified as luxury, in addition to being subject to the Value Added Tax, the Sales Tax on Luxury Goods is also imposed on considerations that:

a. a balance of tax burden is necessary between low-income consumers and high-income consumers;

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

b. control of consumption pattern is necessary on the Taxable Goods classified as luxury;

c. protection of small or traditional producers is necessary; and

d. it is necessary to secure the state revenue.

"Taxable Goods classified as luxury" mean:

1. items that are not staple goods;

2. items that are consumed by certain community;

3. items that are generally consumed by high-income community; and/or

4. items that are consumed to show status.

The imposition of Sales Tax on Luxury Goods on import of Taxable Goods classified as luxury does not regard of who imports the Taxable Goods and does not regard of whether the import is carried out continuously or only once.

In addition, the imposition of Sales Tax on Luxury Goods on a delivery of Taxable Goods classified as luxury does not regard of whether a part of the Taxable Goods has been subject to or not subject to the Sales Tax on Luxury Goods in the previous transactions.

Included in the definition of producing in this paragraph are the activities of:

a. assembling, namely combining loose parts of a Goods into semi-finished goods or finished goods, such as assembling cars, electronic goods, and household furniture;

b. cooking, namely processing goods by means of heating, whether mixed with other ingredients or not;

c. mixing, namely uniting two or more elements (substances) to produce one or more other goods;

d. packaging, namely placing an item into an object to protect it from damage and/or to increase its marketing; and

e. bottling, namely putting drinks or liquids into bottles that are closed in a certain way;

f. and other activities that can be equated with these activities or asking other persons or entities to carry out these activities.

Paragraph (2)

The general definition of Input Tax only applies to the Value Added Tax and is not known in the Sales Tax on Luxury Goods. Therefore, a Sales Tax on Luxury Goods that has been paid cannot be credited to the Sales Tax on Luxury Goods payable.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Thus, the principle of collection is only 1 (one) time, namely at the time of:

a. delivery by the manufacturer or producer of Taxable Goods classified as luxury; or

b. import of Taxable Goods classified as luxury。

Delivery at the next level is no longer subject to the Sales Tax on Luxury Goods。

Article 5A

(1) The Value Added Tax or the Value Added Tax and Sales Tax on Luxury Goods on a delivery of Taxable Goods that is refunded can be deducted from the Value Added Tax or the Value Added Tax and Sales Tax on Luxury Goods payable in the Tax Period during which the Taxable Goods refund occurs. ***)

(2) Value Added Tax on delivery of Taxable Services that is canceled, either in whole or in part, can be deducted from the Value Added Tax payable in the Tax Period during which the cancellation occurs. ***)

(3) The provisions on the procedure for deduction of the Value Added Tax or the Value Added Tax and Sales Tax on Luxury Goods as referred to in paragraph (1) and reduction of Value Added Tax as referred to in paragraph (2) shall be regulated by the Regulation of the Minister of Finance. ***)

Elucidation of Article 5A

Paragraph (1)

In the event the delivered Taxable Goods is returned by the buyer, the Value Added Tax and the Sales Tax on Luxury Goods of the returned Taxable Goods shall reduce the Output Tax and the Sales Tax on Luxury Goods payable by the seller Taxable Entrepreneur and shall reduce:

a. the Input Tax of the buyer Taxable Entrepreneur, in the event the Input Tax on the returned Taxable Goods has been credited;

b. the costs or assets for a buyer Taxable Entrepreneur, in the event the tax on the returned Taxable Goods is not credited and has been charged as cost or has been added (capitalized) in the acquisition price of the asset; or

c. The costs or assets for a buyer who is not Taxable Entrepreneur in the event the tax on the returned Taxable Goods has been charged as cost or has been added (capitalized) in the acquisition price of the asset。

Paragraph (2)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

"Cancelled Taxable Service" means a cancellation in whole or in part of the rights or facilities or incentives by the recipient of the Taxable Services.

In the event the delivered Taxable Service is cancelled, either in part or in whole by the recipient of the Taxable Services, the Value Added Tax of the canceled Taxable Service shall reduce the Output Tax payable by the Taxable Entrepreneur who provides the Taxable Services and shall reduce:

a. the Input Tax of the Taxable Entrepreneur who receives the Taxable Services, in the event the Input Tax on the canceled Taxable Services has been credited;

b. the costs or assets for the Taxable Entrepreneur who receives the Taxable Services, in the event the Value Added Tax on the canceled Taxable Services is not credited and has been charged as cost or has been added (capitalized) in the acquisition price of the assets; or

c. the costs or assets for the recipient of Taxable Services who is not Taxable Entrepreneur in the event the canceled Value Added Tax on Taxable Services has been charged as cost or has been added (capitalized) in the acquisition price of the assets.

Paragraph (3)

Self-explanatory.

Article 6 **)

Deleted.

Elucidation of Article 6

The provisions in Article 6 which govern the Obligation of Recording are deleted and transferred to the Law on General Provisions and Procedures of Taxation.

CHAPTER IV
TAX RATES AND HOW TO CALCULATE THE TAX

Article 7 *****)

(1) The Value Added Tax Rates are: *****)

a. 11% (eleven percent) which will come into effect as of 1 April 2022;

b. 12% (twelve percent) which will come into effect not later than 1 January 2025.

(2) Value Added Tax rate of 0% (zero percent) is applied to: ***)

a. export of Tangible Taxable Goods;

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

b. export of Intangible Taxable Goods; and

c. export of Taxable Services. ***)

(3) The Value Added Tax rate as referred to in paragraph (1) may be amended to a minimum of 5% (five percent) and a maximum of 15% (fifteen percent)。*****)

(4) The amendment to the Value Added Tax rate as referred to in paragraph (3) shall be regulated by the Government Regulation after being submitted by the Government to the House of Representatives of the Republic of Indonesia to be discussed and agreed upon in the preparation of the Draft State Budget.

Elucidation of Article 7

Paragraph (1)

Self-explanatory.

Paragraph (2)

Value Added Tax is imposed on consumptions of Taxable Goods and/or Taxable Services within the Customs Area. Therefore, the export of Taxable Goods and/or Taxable Services for consumption outside the Customs Area is subject to the Value Added Tax at a rate of 0% (zero percent).

The imposition of a 0% (zero percent) rate does not mean an exemption from the Value Added Tax. Thus, the Input Tax that has been paid for an acquisition of Taxable Goods and/or Taxable Services relating to these activities can be credited。

Paragraph (3)

Based on considerations of economic development and/or increased need for funds for the development, the Value Added Tax rate may be amended to a minimum of 5% (five percent) and a maximum of 15% (fifteen percent).

Paragraph (4)

"The House of Representatives of the Republic of Indonesia" means a permanent apparatus of the House of Representatives of the Republic of Indonesia, namely a commission whose task and authority are in the financial, banking, and development planning sector.

Article 8

(1) The Sales Tax on Luxury Goods is set at a minimum of 10% (ten percent) and a maximum of 200% (two hundred percent).). ***)

(2) Exports of Taxable Goods classified as luxury are subject to tax at a rate of 0% (zero percent).). ***)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

(3) The provisions on the groups of Taxable Goods classified as luxury which are subject to Sales Tax on Luxury Goods at the rate as referred to in paragraph (1) shall be regulated by the Government Regulation. ***)

(4) The provisions on the types of Goods that are subject to the Sales Tax on Luxury Goods as referred to in paragraph (3) shall be regulated by or based on the Regulation of the Minister of Finance. ***)

Elucidation of Article 8

Paragraph (1)

The Sales Tax on Luxury Goods Rate can be stipulated in several rate groups, namely the lowest rate is 10% (ten percent) and the highest rate is 200% (two hundred percent). Such a difference in rate groups is based on the grouping of Taxable Goods classified as luxury which are subject to the Sales Tax on Luxury Goods as referred to in Article 5 paragraph (1).

Paragraph (2)

Sales Tax on Luxury Goods is a tax imposed on the consumption of Taxable Goods classified as luxury within the Customs Area. Therefore, Taxable Goods classified as luxury that are exported or consumed outside the Customs Area are subject to the Sales Tax on Luxury Goods at a rate of 0% (zero percent). Sales Tax on Luxury Goods that has been paid on an acquisition of Taxable Goods classified as luxury that is exported can be requested for refund.

Paragraph (3)

With reference to the considerations as specified in the Elucidation of Article 5 paragraph (1), the grouping of goods that are subject to the Sales Tax on Luxury Goods is mainly based on the level of ability of the community groups who use the goods, in addition to being based on their use value for the public in general. In this regard, high rates are imposed on goods that are consumed only by the high income people. In the event on the goods that are consumed by the public need to be subject to the Sales Tax on Luxury Goods, the rate to be used is the low tariff. The grouping of goods that are subject to the Sales Tax on Luxury Goods shall be made after consultation with the apparatus of the House of Representatives in charge of financial sector.

Paragraph (4)

Self-explanatory.

Article 8A *****)

(1) Value Added Tax payable is calculated by multiplying the rate as referred to in Article 7 with the Tax Imposition Base which includes Selling Price, Reimbursement, Import Value, Export Value, or other values. ***)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

(2) Deleted. *****)

(3) Input Tax on the acquisition of Taxable Goods and/or Taxable Services, the import of Taxable Goods, as well as the utilization of Intangible Taxable Goods and/or the utilization of Taxable Services from outside the Customs Area within the Customs Area, which in calculating the Value Added Tax payable uses the Tax Imposition Base in the form of other values as referred to in paragraph (1), may be credited. *****)

Elucidation of Article 8A

Paragraph (1)

Example:

a. Application of the 12% (twelve percent) rate

Taxable Entrepreneur A sells a Taxable Goods in cash at a Selling Price of Rp. 10.000.000,00 (ten million rupiah). Value Added Tax payable = 12% x Rp10.000.000,00 = Rp1.200.000,00. The Value Added Tax of Rp.1.200.000,00 (one million and two hundred thousand rupiah) is an Output Tax collected by Taxable Entrepreneur A

b. Application of the 12% (twelve percent) rate

Someone imports a certain Taxable Goods which is subject to a rate of 12% (twelve percent) with the Import Value of Rp. 10.000.000,00 (ten million rupiah). Value Added Tax collected through the Directorate General of Customs and Excise = 12% x Rp10.000.000,00 = Rp1.200.000,00。

c. Application of the 0% (zero percent) rate

Taxable Entrepreneur D exports a Taxable Goods with the Export Value of Rp. 10.000.000,00 (ten million rupiah). Value Added Tax payable = 0% x Rp10.000.000,00 = Rp0,00. The Value Added Tax of Rp0,00 (zero rupiah) is an Output Tax。

Paragraph (2)

Deleted

Paragraph (3)

Self-explanatory.

Article 9 *****)

(1) Deleted. ***)

(2) Input Tax in a Tax Period is credited to the Output Tax in the same Tax Period. ***)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

(2a) For a Taxable Entrepreneur who has not carried out a delivery Taxable Goods and/or Taxable Services and/or export of Taxable Goods and/or Taxable Services, the Input Tax on the acquisition of Taxable Goods and/or Taxable Services, import of Taxable Goods, and utilization of Intangible Taxable Goods and/or utilization of Taxable Services from outside the Customs Area within the Customs Area, can be credited provided that they fulfill the crediting provisions in accordance with this Law. ****)

(2b) Input Tax that is credited must use a Tax Invoice that meets the requirements as referred to in Article 13 paragraph (5) and paragraph (9). ***)

(3) If within a Tax Period, the Output Tax is higher than the Input Tax, its difference constitutes the Value Added Tax that must be paid by the Taxable Entrepreneur.***)

(4) If within a Tax Period, the creditable Input Tax is higher than the Output Tax, its difference constitutes the excess tax which is compensated for the next Tax Period. ***)

(4a) On the excess Input Tax as referred to in paragraph (4) a request for refund can be submitted at the end of the book year. ***)

(4b) Excluded from the provisions as referred to in paragraph (4) and paragraph (4a), on the excess Input Tax a request for refund can be submitted in each Tax Period by: ****)

a. A Taxable Entrepreneur who exports Tangible Taxable Goods;

b. A Taxable Entrepreneur who delivers Taxable Goods and/or delivers Taxable Services to a Value Added Tax Collector;

c. A Taxable Entrepreneur who delivers Taxable Goods and/or delivers Taxable Services on which a Value Added Tax is not collected;

d. A Taxable Entrepreneur who exports Intangible Taxable Goods;

e. A Taxable Entrepreneur who exports Taxable Services; and/or

f. Deleted.

(4c) The refund of excess Input Tax to the Taxable Entrepreneur as referred to in paragraph (4b) letters a up to e, which has the criteria as a low-risk Taxable Entrepreneur, shall be carried out with a preliminary refund of the excess tax in accordance with the provisions as referred to in Article 17C paragraph (1) of Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation and amendments thereto. ***)

(4d) Deleted. *****)

(4e) The Director General of Taxes may conduct an audit on the Taxable Entrepreneur as referred to in paragraph (4c) and issue a tax assessment letter after making a preliminary refund of the excess tax. ***)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

(4f) If based on the results of the audit as referred to in paragraph (4e), the Director General of Taxes issues an Underpaid Tax Assessment Letter, the amount of tax underpayment shall be added with administrative sanction in the form of interest as referred to in Article 13 paragraph (2) of Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation and amendments thereto. ***)

(5) If within a Tax Period, a Taxable Entrepreneur carries out:

a. delivery on which a tax is payable and the Input Tax relating to its delivery can be credited; and

b. delivery on which a tax is payable and the Input Tax relating to its delivery cannot be credited and/or delivery on which a tax is not payable,

in the event the portion of delivery on which a tax is payable as referred to in letter a can be known exactly from its bookkeeping, the amount of Input Tax that can be credited is the Input Tax relating to the delivery as referred to in letter a.*****)

(6) If within a Taxable Period, a Taxable Entrepreneur carries out:

a. delivery on which a tax is payable and the Input Tax relating to its delivery can be credited; and

b. delivery on which a tax is payable and the Input Tax relating to its delivery cannot be credited and/or delivery on which a tax is not payable,

whereas the Input Tax in relation to the delivery on which a tax is payable as referred to in letter a cannot be known exactly, the amount of Input Tax that can be credited is calculated by using the Input Tax crediting guidelines. *****)

(6a) If until a period of 3 (three) years as of the first crediting Tax Period of the Input Tax as referred to in paragraph (2a) the Taxable Entrepreneur has not carried out a delivery of Taxable Goods and/or Taxable Services and/or export of Taxable Goods and/or Taxable Services related to the Input Tax, the Input Tax that has been credited within such a period of 3 (three) years shall become non-creditable. ****)

(6b) Deleted. ****)

(6c) The period as referred to in paragraph (6a) for certain business sectors can be determined more than 3 (three) years. ****)

(6d) The provisions as referred to in paragraph (6a) shall also apply to a Taxable Entrepreneur who dissolves (terminates) his/her business, revokes his/her Taxable Entrepreneur status, or revokes a Taxable Entrepreneur on in officio basis within 3 (three) years as of the first crediting Tax Period of the Input Tax. ****)

(6e) Non-creditable Input Tax as referred to in paragraph (6a): ****)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

a. is obliged to be repaid to the state cash account by the Taxable Entrepreneur, in the event the Taxable Entrepreneur:

1. has received the refund of the tax overpayment of the relevant Input Tax; and/or

2. has credited the relevant Input Tax on the Output Tax payable in a Tax Period;

and/or

b. cannot be compensated to the next Tax Period and a refund thereof cannot be requested for, after the 3 (three) years period as referred to in paragraph (6a) ends or at the time of the business dissolution (termination), or the revocation of Taxable Entrepreneur status as referred to in paragraph (6d) by the Taxable Entrepreneur, in the event the Taxable Entrepreneur makes compensation for the relevant tax overpayment.

(6f) The repayment of Input Tax as referred to in paragraph (6e) letter a shall be made not later than: ****)

a. the end of the next month after expiration of the 3 (three) year period as referred to in paragraph (6a);

b. the end of the next month after expiration of the period for certain business sectors as referred to in paragraph (6c); or

c. the end of the next month after the business dissolution (termination) date or the revocation of Taxable Entrepreneur status as referred to in paragraph (6d).

(6g) In the event the Taxable Entrepreneur does not made the repayment obligation in accordance with the period as referred to in paragraph (6f), the Director General of Taxes shall issue an Underpaid Tax Assessment Letter on the amount of tax that otherwise should be repaid as referred to in paragraph (6e) letter a by the Taxable Entrepreneur plus the administrative sanction in the form of interest as referred to in Article 13 paragraph (2a) of Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation and amendments thereto. ****

(7) Deleted. *****)

(7a) Deleted. *****)

(7b) Deleted. *****)

(8) Input Tax Crediting as referred to in paragraph (2) cannot be applied to expenses for: ****)

a. deleted.

b. acquisition of Taxable Goods or Taxable Services that do not have a direct relationship with the business activities;

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

c. deleted; *****)

d. deleted;

e. deleted;

f. the acquisition of Taxable Goods or Taxable Services the Tax Invoice of which does not meet the provisions as referred to in Article 13 paragraph (5) or paragraph (10) or does not specify the name, address, and Taxpayer Identification Number of the buyer of Taxable Goods or the recipient of Taxable Services;

g. utilization of Intangible Taxable Goods or utilization of Taxable Services from outside the Customs Area the Tax Invoice of which does not meet the provisions as referred to in Article 13 paragraph (6);

h. deleted;

i. deleted; and

j. deleted.

(9) Input Tax which can be credited but has not been credited with the Output Tax in the same Tax Period can be credited in the next Tax Period not later than 3 (three) Tax Periods after the expiry of the Tax Period when the Tax Invoice is made provided that it has not been charged as cost or has not been added (capitalized) in the acquisition price of Taxable Goods or Taxable Services and fulfills the crediting provisions in accordance with this Law. ****)

(9a) Input Tax on the acquisition of Taxable Goods and/or Taxable Services, import of Taxable Goods and utilization of Intangible Taxable Goods and/or utilization of Taxable Services from outside the Customs Area within the Customs Area before the Entrepreneur is confirmed to be Taxable Entrepreneur, can be credited by the Taxable Entrepreneur by using the Input Tax crediting guidelines at 80% (eighty percent) of the Output Tax that should be collected. ****)

(9b) Input Tax on the acquisition of Taxable Goods and/or Taxable Services, import of Taxable Goods, as well as utilization of Intangible Taxable Goods and/or utilization of Taxable Services from outside the Customs Area within the Customs Area which is not reported in the Notification Letter of Value Added Tax Period that is notified and/or found at the time of the audit can credited by the Taxable Entrepreneur as long as it complies with the crediting provisions in accordance with this Law. ****)

(9c) Input Tax on the acquisition of Taxable Goods and/or Taxable Services, import of Taxable Goods, as well as utilization of Intangible Taxable Goods and/or utilization of Taxable Services from outside the Customs Area within the Customs Area which is billed with the issuance of a tax assessment letter can be credited by the Taxable Entrepreneurs equal to

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

the principal amount of Value Added Tax as specified in the tax assessment letter provided that the relevant tax assessment letter has been paid off and no remedies are sought and comply with the crediting provisions in accordance with this Law. ****)

(10) Deleted. **)

(11) Deleted. **)

(12) Deleted. **)

(13) Deleted. *****)

(14) In the event of any transfer of Taxable Goods to the effect of merger, amalgamation, expansion, demerger, and business takeover, the Input Tax on the transferred Taxable Goods which has not been credited by the transferor Taxable Entrepreneur can be credited by the transferee Taxable Entrepreneur provided that its Tax Invoice is received after the transfer and the Input Tax has not been charged as cost or capitalized. ****)

Elucidation of Article 9

Paragraph (1)

Deleted.

Paragraph (2)

Taxable Goods buyers, Taxable Services recipients, Taxable Goods importers, parties utilizing the Intangible Taxable Goods from outside the Customs Area, or parties utilizing the Taxable Services from outside the Customs Area are obliged to pay the Value Added Tax and are entitled to receive a receipt of tax collection. The Value Added Tax that should have been paid is an Input Tax for the Taxable Goods buyers, the Taxable Services recipients, the Taxable Goods importers, the parties utilizing the Intangible Taxable Goods from outside the Customs Area, or the parties utilizing the Taxable Services from outside the Customs Area, who have the status as Taxable Entrepreneurs.

The Input Tax that is obliged to be paid can be credited by the Taxable Entrepreneur with the Output Tax it collects in the same Tax Period.

Paragraph (2a)

Self-explanatory.

Paragraph (2b)

For the purpose of crediting the Input Tax, the Taxable Entrepreneur shall use a Tax Invoice that complies with the provisions as referred to in Article 13 paragraph (5).

In addition, the Input Tax to be credited must also comply with the formal and material requirements as referred to in Article 13 paragraph (9).

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Paragraph (3)

Self-explanatory.

Paragraph (4)

The Input Tax as referred to in this paragraph is a creditable Input Tax。

Within a Tax Period, it possible that the creditable Input Tax is higher than the Output Tax. A refund of such an excess Input Tax cannot be requested for within the relevant Tax Period, rather compensated into the next Tax Period.

Example:

Tax Period May 2023 *****)

Output Tax	=	Rp2.000.000,00
Creditable Input Tax	=	Rp4.500.000,00 (-)
Overpaid Tax	=	Rp2.500.000,00

The overpaid tax is compensated into the Tax Period June 2023. *****)

Tax Period 2023 June *****)

Output Tax	=	Rp3.000.000,00
Creditable Input Tax	=	Rp2.000.000,00 (-)
Underpaid tax	=	Rp1.000.000,00
Overpaid Tax from the Tax Period May 2023 compensated Into the Tax Period June 2023	=	Rp2.500.000,00 (-)
Overpaid Tax in the Tax Period June 2023	=	Rp1.500.000,00

The overpaid tax is compensated into the Tax Period July 2023.*****)

Paragraph (4a)

Excess Input Tax in a Tax Period in accordance with the provisions in paragraph (4) is compensated into the next Tax Period。

However, if the excess Input Tax occurs in the Tax Period of the book year end, a refund (restitution) of such an excess Input Tax can be applied for.

Included in the definition of book year end in this provision is the Tax Period when the Taxpayer terminates the business (dissolution).

Paragraph (4b)

Self-explanatory.

Paragraph (4c)

Self-explanatory.

Paragraph (4d)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Self-explanatory.

Paragraph (4e)

In order to reduce the misuse of the granting of excess tax refund acceleration facility, the Director General of Taxes may conduct an audit after providing an advance tax overpayment refund (*pengembalian pendahuluan kelebihan pajak*).

Paragraph (4f)

In the event that the Director General of Taxes, after conducting the audit, issues an Underpaid Tax Assessment Letter, the increment sanction as referred to in Article 17C paragraph (5) of Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation and the amendments thereto shall not be applied even though, at the previous stage, an Advance Tax Overpayment Refund Decree (*Surat Keputusan Pengembalian Pendahuluan Kelebihan Pajak*) has been issued.

On the other hand, administrative sanctions to be imposed shall be in accordance with the Article 13 paragraph (2) of Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation and amendments thereto.

If in the relevant audit, any indication of criminal offence in the taxation sector is found, this provision does not apply.

Paragraph (5)

"Delivery on which a tax is payable" means a delivery of goods or services in accordance with the provisions of this Law is subject to the Value Added Tax. There are two Input Tax treatments for the delivery on which a tax is payable, namely creditable or non-creditable.

"Delivery on which a tax is not payable" means a delivery of goods and services that is not subject to the Value Added Tax as referred to in Article 4A and that are exempted from the imposition of Value Added Tax as referred to in Article 16B. Input Tax on the delivery on which a tax is not payable cannot be credited.

A Taxable Entrepreneur who, within a Tax Period, makes a delivery on which a tax is payable and its Input Tax is creditable, the delivery on which a tax is payable on which the Input Tax cannot be credited and the delivery on which a tax is not payable, may only credit the Input Tax relating to the delivery on which a tax is payable and it Input Tax is creditable. The portion of such a delivery on which a tax is payable must be able to be known exactly from the bookkeeping of the Taxable Entrepreneur.

Example:

A Taxable Entrepreneur carries out several types of delivery, namely:

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

a. delivery on which a tax is payable and its Input Tax can be credited at the selling price of Rp. 25.000.000,00 (twenty-five million rupiah) with the Output Tax of Rp. 3.000.000,00 (three million rupiah) assuming the imposition of normal rate at 12% (twelve percent);

b. delivery on which a tax is payable and its Input Tax cannot be credited at a selling price of Rp. 20.000.000,00 (twenty million rupiah) with the Output Tax of Rp. 400.000,00 (four hundred thousand rupiah) assuming the imposition of final rate at 2% (two percent);

c. delivery on which a Value Added tax is not payable in the amount of Rp5.000.000,00 (five million rupiah) without collecting an Output Tax。

The amount of Output Tax that must be collected is Rp. 3.400.000,00 (three million and four hundred thousand rupiah).

Input Tax paid on the acquisition of:

a. Taxable Goods and/or Taxable Services relating to delivery on which a tax is payable and its Input Tax can be credited in the amount of Rp1.500.000,00 (one million and five hundred thousand rupiah);

b. Taxable Goods and/or Taxable Services relating to delivery on which a tax is payable and its Input Tax cannot be credited in the amount of Rp. 1.000.000,00 (one million rupiah);

c. Taxable Goods and Taxable Services relating to delivery on which a tax is payable in the amount of Rp. 300.000,00 (three hundred thousand rupiah)。

Total Input Tax paid amounting to Rp. 2.800.000, 00 (two million and eight hundred thousand rupiah)。

According to this provision, the Input Tax that can be credited with the Output Tax of Rp. 3.400.000,00 is only Rp. 1.500.000,00 originating from the Input Tax on the acquisition of Taxable Goods and/or Taxable Services related to the delivery on which a tax is payable.

Paragraph (6)

In the event the Input Tax for the delivery on which a tax is payable and its Input Tax can be credited cannot be known exactly, the method of crediting the Input Tax is calculated based on the Input Tax crediting guidelines, which is intended to provide convenience and certainty to the Taxable Entrepreneurs.

Example:

A Taxable Entrepreneur makes 3 (three) types of delivery, namely:

a. delivery on which a tax is payable and its Input Tax can be credited in the amount of Rp. 35.000.000,00 (thirty-five million rupiah) with the Output Tax of Rp. 4.200.000,00 (four million and two hundred thousand rupiah) assuming the imposition of normal rate at 12% (twelve percent);

b. delivery on which a tax is payable and its Input Tax cannot be credited in the amount of Rp. 20.000.000,00 (twenty million rupiah) with the Output Tax of Rp. 400.000,00 (four hundred thousand rupiah) assuming the imposition of final rate 2% (two percent);

c. delivery on which a tax is not payable in the amount of Rp.15.000.000,00 (fifteen million rupiah) without collecting the Output Tax.

Total Output Tax that must be collected is Rp4.600.000,00 (four million and six hundred thousand rupiah).

The Input Tax paid on the acquisition of Taxable Goods and/or Taxable Services relating to the entire delivery is Rp. 2.500.000,00 (two million and five hundred thousand rupiah), whereas the Input Tax relating to the delivery on which a tax is payable and its Input Tax can be credited cannot be known exactly. According to this provision, the Input Tax of Rp2.500.000,00 (two million and five hundred thousand rupiah) cannot be fully credited with the Output Tax of Rp4.600.000,00 (four million and six hundred thousand rupiah).

The amount of creditable Input Tax is calculated based on **the Input Tax crediting guidelines**.

Paragraph (6a)

Self-explanatory.

Paragraph (6b)

Self-explanatory.

Paragraph (6c)

Self-explanatory.

Paragraph (6d)

Self-explanatory.

Paragraph (6e)

Self-explanatory.

Paragraph (6f)

Self-explanatory.

Paragraph (6g)

Self-explanatory.

Paragraph (7)

Deleted.

Paragraph (7a)

Deleted.

Paragraph (7b)

Deleted.

Paragraph (8)

Input Tax basically can be credited with the Output Tax. However, for the expenses as referred to in this paragraph, the Input Tax cannot be credited.

Letter a

Deleted.

Letter b

Expenses that directly relate to the business activities mean expenses for production, distribution, marketing, and management activities.

This provision applies to all business sectors. In order to be creditable, the Input Tax must also meet the requirement that such an expense is relates to the existence of delivery on which Value Added Tax is payable. Therefore, even though an expense has met the requirement on the existence of direct relationship with the business activities, it is still possible that such an Input Tax cannot be credited, namely if the relevant expense has no relation with the delivery on which Value Added Tax is payable.

Letter c

Deleted.

Letter d

Deleted.

Letter e

Deleted.

Letter f

Self-explanatory.

Letter g

Self-explanatory.

Letter h

Deleted.

Letter i

Deleted.

Letter j

Deleted.

Paragraph (9)

Self-explanatory.

Paragraph (9a)

Self-explanatory.

Paragraph (9b)

Self-explanatory.

Paragraph (9c)

Self-explanatory.

Paragraph (10)

Deleted.

Paragraph (11)

Deleted.

Paragraph (12)

Deleted.

Paragraph (13)

Deleted.

Paragraph (14)

Self-explanatory.

Article 9A *****)

(1) A Taxable Entrepreneur who:

a. has a turnover in 1 (one) book year not exceeding a certain amount;

b. carries out certain business activities; and/or

c. delivers certain Taxable Goods and/or certain Taxable Services

may collect and deposit the Value Added Tax payable on the delivery of Taxable Goods and/or Taxable Services in a certain amount.*****)

(2) Input Tax on the acquisition of Taxable Goods and/or Taxable Services, import of Taxable Goods, as well as utilization of Intangible Taxable Goods

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

and/or utilization of Taxable Services from outside the Customs Area within the Customs Area, which relates to the delivery by the Taxable Entrepreneur as referred to in paragraph (1) cannot be credited. *****)

Elucidation of Article 9A

Paragraph (1)

In order to provide convenience and simplification of tax administration as well as a sense of justice, the Minister of Finance may determine the amounts of Value Added Tax to be collected and deposited by:

a. Taxable Entrepreneur whose turnover in 1 (one) book year does not exceed a certain amount;

b. Taxable Entrepreneur who carries out certain business activities, including those who:

   1. experiences difficulties in administering the Input Tax;

   2. conducts transactions through third parties, either delivery of Taxable Goods and/or Taxable Services and their payments; or

   3. has a complexity of business process so that an imposition of Value Added Tax is impossible with normal mechanism,

   and/or

c. Taxable Entrepreneur who delivers certain Taxable Goods and/or certain Taxable Services。

Paragraph (2)

"Certain Taxable Goods and/or certain Taxable Services" mean:

1. Taxable Goods and/or Taxable Services that are subject to the Value Added Tax within the framework of expanding the tax basis; and

2. Taxable Goods needed by the public。

Paragraph (2)

Self-explanatory.

Article 10 **)

(1) Sales Tax On Luxury Goods payable is calculated by multiplying the rate as referred to in Article 8 with the Tax Imposition Base. **)

(2) Sales Tax On Luxury Goods which has been paid at the time of acquisition or import of Taxable Goods Classified as Luxury cannot be credited with the Value Added Tax or the Sales Tax On Luxury Goods that are collected based on this Law. *)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

(3) A Taxable Entrepreneur who exports the Taxable Goods classified as Luxury may request for refund of the Sales Tax On Luxury Goods which has been paid at the time of the acquisition of the exported Taxable Goods classified as Luxury.**)

Elucidation of Article 10

Paragraph (1)

The method of calculating the Sales Tax On Luxury Goods payable is by multiplying the Selling Price, the Import Value, the Export Value or Other Values as stipulated by a Decree of the Minister of Finance with the tax rate as stipulated in Article 8.

Paragraph (2)

Different from the Value Added Tax collected at each level of delivery, the Sales Tax On Luxury Goods is only collected at the level of delivery by the Taxable Entrepreneur who produces the Taxable Goods classified as Luxury or on the import of Taxable Goods classified as Luxury. Thus, the Sales Tax On Luxury Goods is not an Input Tax, hence, cannot be credited. Therefore, the Sales Tax On Luxury Goods can be added to the price of the relevant Taxable Goods or charged as cost in accordance with the provisions of the Income Tax laws.

Example:

Taxable Entrepreneur "A" imports a Taxable Goods with the Import Value of Rp5.000.000,00. The Taxable Goods, in addition to being subject to the Value Added Tax, for example, is also subject to the Sales Tax On Luxury Goods at a rate of 20%. Thus, the calculation of the Value Added Tax and the Sales Tax On Luxury Goods payable on the import of such a Taxable Goods is:

- Tax Imposition Base = Rp 5.000.000,00
- Value-Added Tax :

  10% x Rp 5.000.000,00 = Rp 500.000,00
- Sales Tax On Luxury Goods :

  20% x Rp 5.000.000,00 = Rp 1.000.000,00

Thereafter, Taxable Entrepreneur "A" uses that Taxable Goods as part of another Taxable Goods on which delivery is subject to the Value Added Tax of 10% and the Sales Tax On Luxury Goods of 35%. Since the Sales Tax On Luxury Goods that has been paid on the imported Taxable Goods cannot be credited, then, the Sales Tax On Luxury Goods in the amount of Rp. 1.000.000,00 can be added to the price of the Taxable Goods produced by Taxable Entrepreneur "A" or charged as cost.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Thereafter, Taxable Entrepreneur "A" sells the Taxable Goods he/she produces to Taxable Entrepreneur "B" at a selling price of Rp. 50.000.000,00. Therefore, the calculation of the Value Added Tax and the Sales Tax On Luxury Goods payable is:

- Tax Imposition Base = Rp 50.000.000,00
- Value-Added Tax :

  10% x Rp 50.000.000,00 = Rp 5.000.000,00

- Sales Tax On Luxury Goods :

  35% x Rp 50.000.000,00 = Rp 17.500.000,00

In this example, Taxable Entrepreneur "A" may credit the aforesaid Value Added Tax of Rp500.000,00 against the Value Added Tax of Rp5.000.000,00。

Whereas, the Sales Tax On Luxury Goods of Rp. 1.000.000,00 cannot be credited, either to the Value Added Tax of Rp. 5.000.000,00 or to the Sales Tax On Luxury Goods of Rp. 17.500.000,00。

Paragraph (3)

The Taxable Entrepreneur who has paid a Sales Tax On Luxury Goods at the time of acquisition of the Taxable Goods classified as Luxury, provided that the Sales Tax On Luxury Goods has not been charged as cost, is entitled to request for refund of the Sales Tax On Luxury Goods he/she has paid, if the relevant Taxable Entrepreneur has exported the Taxable Goods Classified as Luxury。

Example:

Taxable Entrepreneur "A" buys a car from a Brand Holder Sole Agent at a price of Rp100.000.000,00. He pays the Value Added Tax and the Sales Tax On Luxury Goods in the amounts of Rp. 10.000.000,00 and Rp. 35.000.000, respectively. If the car is later exported, then Taxable Entrepreneur "A" has the right to request for refund of the Value Added Tax of Rp. 10.000.000,00 and the Sales Tax On Luxury Goods of Rp. 35.000.000,00 which he had paid at the time of buying the car.

CHAPTER V
TIME AND PLACE THE TAX IS PAYABLE AND THE TAX CALCULATION REPORT

Article 11 ***)

(1) The tax comes to be payable at the time of: ***)

a. delivery of Taxable Goods;

b. import of Taxable Goods;

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

c. delivery of Taxable Services;

d. utilization of Intangible Taxable Goods from outside the Customs Area;

e. utilization of Taxable Services from outside the Customs Area;

f. export of Tangible Taxable Goods;

g. export of Intangible Taxable Goods; or

h. export of Taxable Services.

(2) In the event the payment is received before the delivery of Taxable Goods or before the delivery of Taxable Services or in the event the payment is made before the commencement of the utilization of Intangible Taxable Goods or Taxable Services from outside the Customs Area, the time when the tax becomes payable is at the time of payment. ***)

(3) Deleted. **)

(4) The Director General of Taxes may determine another time as the time when the tax becomes payable, in the event the time when the tax becomes payable is difficult to determine or a change in the provision occurs that may result in injustice. **)

(5) Deleted. **)

Elucidation of Article 11

Paragraph (1)

The collection of Value Added Tax and Sales Tax on Luxury Goods adopts the accrual principle, meaning a tax becomes payable at the time of delivery of the Taxable Goods or the Taxable Services even though the payment for such a delivery has not been received or not fully received or at the time of import of the Taxable Goods. The time when the tax becomes payable for transactions made through electronic commerce subject to this provision.

Letter a

Self-explanatory.

Letter b

Self-explanatory.

Letter c

Self-explanatory.

Letter d

In the event an individual person or entity utilizes an Intangible Taxable Goods from outside the Customs Area within the Customs Area or utilizes a Taxable Service from outside the Customs Area

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

within the Customs Area, the tax becomes payable when such an individual or entity begins to utilize the Intangible Taxable Goods or the Taxable Service within the Customs Area. This is related to the fact that the party who delivers the Intangible Taxable Goods or the Taxable Service is outside the Customs Area so that he/she cannot be confirmed to be Taxable Entrepreneur. Therefore, the time when the tax becomes payable is no longer related with the time of delivery, but related with the time of utilization。

Letter e

Self-explanatory.

Letter f

Self-explanatory.

Letter g

Self-explanatory.

Letter h

Self-explanatory.

Paragraph (2)

In the event the payment is received before the delivery of Taxable Goods as referred to in Article 4 paragraph (1) letter a, before the delivery of Taxable Services as referred to in Article 4 paragraph (1) letter c, before the commencement of utilization of Intangible Taxable Goods from outside the Customs Area as referred to in Article 4 paragraph (1) letter d, or before the commencement of utilization of Taxable Services from outside the Customs Area as referred to in Article 4 paragraph (1) letter e, the time when the tax becomes payable is the time of payment.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory.

Article 12 ***)

(1) The Taxable Entrepreneur who makes a delivery as referred to in Article 4 paragraph (1) letter a, letter c, letter f, letter g, and/or letter h owes the tax at the residential place or the place of domicile and/or the place of business activity or other places other than the residential place or the place of domicile and/or the place where the business activity is carried

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

out which shall be regulated by the Regulation of the Director General of Taxes. ***)

(2) Upon the written notification from the Taxable Entrepreneur, the Director General of Taxes may determine 1 (one) or more place(s) as the place where the tax is payable. ***)

(3) In case of import, the place where the tax is payable is the place where the Taxable Goods is imported and collected through the Directorate General of Customs and Excise. *)

(4) An Individual or entity that utilizes Intangible Taxable Goods and/or Taxable Services from outside the Customs Area within the Customs Area as referred to in Article 4 paragraph (1) letter d and letter e owes the tax at the at their residential place or place of domicile and/or place of business activity. ***)

Elucidation of Article 12

Paragraph (1)

Individual Taxable Entrepreneur owes the tax at the residential place and/or the place of business activity, whereas as to a corporate Taxable Entrepreneur owes the tax at the at the place of domicile and the place of business activity.

If a Taxable Entrepreneur has one or more places of business activity outside his/her residential place or his/her place of domicile, each of these places is a place where the tax is payable, and the relevant Taxable Entrepreneur is obliged to report his/her business to be confirmed as a Taxable Entrepreneur.

If a Taxable Entrepreneur has more than one place of where the tax is payable that are located within the work area of 1 (one) Office of the Directorate General of Taxes, for all the places where the tax is payable, the Taxable Entrepreneur shall choose one of the places of business activity as the place where the tax is payable which is responsible for all of its places of business activity, unless the Taxable Entrepreneur desires more than 1 (one) place where the tax is payable, the Taxable Entrepreneur is obliged to notify the Director General of Taxes。

In certain cases, the Director General of Taxes may determine a place other than the residential place or place of domicile and place of business activity as the place where the tax is payable.

Example 1:

Individual A who resides in Bogor has a business in Cibinong. If at the residential place of individual A there is no delivery of Taxable Goods and/or Taxable Services, individual A is only obliged to o report his/her business to be confirmed as a Taxable Entrepreneur in the Cibinong Pratama Tax Office because the place where the tax is payable for

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

individual A is in Cibinong. On the other hand, if the delivery of Taxable Goods and/or Taxable Services is carried out by individual A only at his/her residential place, individual A is only obliged to register him/herself in the Bogor Pratama Tax Office. However, if both at his/her residential place and his/her place of business activity, individual A delivers the Taxable Goods and/or Taxable Services, he/she is obliged to register him/herself both in the Bogor Pratama Tax Office and in the Cibinong Pratama Tax Office because the places where his/her tax payable are in Bogor and Cibinong.

Different from an individual person, a corporate Taxable Entrepreneur is obliged to register him/herself both at the place of domicile and at the place of business activity because for a corporate Taxable Entrepreneurs is deemed carrying out the delivery of Taxable Goods and/or Taxable Services at the both places.

Example 2:

PT A has 3 (three) places of business activity, namely in Bengkulu, Bintuhan, and Manna cities, all three of which are under the service of 1 (one) tax office, namely the Bengkulu Pratama Tax Office. The three places of business activity deliver Taxable Goods and/or Taxable Services and perform the sales administration and financial administration, thus, PT A owes the tax in these three places or cities. In such a circumstance, PT A is obliged to choose one of the places of business activity to report its business in order to be confirmed as a Taxable Entrepreneur, for example the place of business activity in Bengkulu. PT A, which has its place of business activity in Bengkulu, is responsible for reporting all the business activities carried out by the three places of business activity of the company。

In the event PT A desires the place of business activity in Bengkulu and Bintuhan is determined as a place where the tax is payable for all of its business activities, PT A is obliged to notify the Head of the Bengkulu Pratama Tax Office.

Paragraph (2)

If the Taxable Entrepreneur owes a tax in more than 1 (one) place of business activity, such a Taxable Entrepreneur in performing his/her tax obligations may submit a written notification to the Director General of Taxes to choose 1 (one) or more place(s) as the place where the tax is payable.

Paragraph (3)

Self-explanatory.

Paragraph (4)

An Individual or entity, either as Taxable Entrepreneurs and non-Taxable Entrepreneur, who utilizes Intangible Taxable Goods from outside the

Customs Area within the Customs Area and/or utilizes Taxable Services from outside the Customs Area within the Customs Area, shall remain owe the tax at the residential place and/or place of business activity of such an individual or at the place of domicile and/or place of business activity of such an entity。

Article 13 ****)

(1) Any Taxable Entrepreneur is obliged to make a Tax Invoice for every: ***)

a. delivery of Taxable Goods as referred to in Article 4 paragraph (1) letter a or letter f and/or Article 16D;

b. delivery of Taxable Services as referred to in Article 4 paragraph (1) letter c;

c. export of Intangible Taxable Goods as referred to in Article 4 paragraph (1) letter g; and/or

d. export of Taxable Services as referred to in Article 4 paragraph (1) letter h.

(1a) The Tax Invoice as referred to in paragraph (1) must be made at: ***)

a. the time of delivery of the Taxable Goods and/or delivery of Taxable Services;

b. the time of receipt of payment in the event the receipt of payment occurs before the delivery of Taxable Goods and/or before the delivery of Taxable Services;

c. the time of receipt of the tranche payment in the event of partial delivery of the work phase; or

d. other times as regulated by or based on the Regulation of the Minister of Finance。

(2) For exclusion from the provisions as referred to in paragraph (1), the Taxable Entrepreneur may make 1 (one) Tax Invoice covering all deliveries made to the same buyer of Taxable Goods or recipient of Taxable Service during 1 (one) calendar month. ***)

(2a) The Tax Invoice as referred to in paragraph (2) must be made not later than the end of the delivery month. ***)

(3) Deleted. ***)

(4) Deleted. ***)

(5) The Tax Invoice must include information on the delivery of Taxable Goods and/or delivery of Taxable Services which at least contains: ****)

a. name, address, and Taxpayer Identification Number of the party who delivers the Taxable Goods or Taxable Services;

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

b. identity of the buyer of the Taxable Goods or the recipient of the Taxable Service including:

1. name, address, and Taxpayer Identification Number or personnel registration number (NIK) or passport number for non-resident individual tax subject; or

2. name and address, in the event the buyer of the Taxable Goods or the recipient of the Taxable Services is a non-resident corporate tax subject or is not a tax subject as referred to in Article 3 of the Law on Income Tax;

c. type of goods or services, amount of Selling Price or Reimbursement, and price discount;

d. Value Added Tax to be collected;

e. Sales Tax on Luxury Goods to be collected;

f. code, serial number, and preparation date of the Tax Invoice; and

g. name and signature of the authorized signatory of the Tax Invoice.

(5a) A Retailer Taxable Entrepreneur may make Tax Invoices without including information on the identity of the buyer as well as the name and signature of the seller in the event he/she delivers the Taxable Goods and/or Taxable Services to the buyer with the characteristics of final consumer as regulated further by the Regulation of the Minister of Finance. ****)

(6) The Director General of Taxes may determine certain documents whose position is the same as the Tax Invoice. ***)

(7) Deleted. ***)

(8) Further provisions on the procedures for making the Tax Invoices and the procedures for correcting or replacing the Tax Invoices shall be regulated by or based on the Regulation of the Minister of Finance. ***)

(9) Tax Invoices must meet the formal and material requirements. ***)

Elucidation of Article 13

Paragraph (1)

In the event of any delivery of Taxable Goods and/or delivery of Taxable Services, the Taxable Entrepreneur who delivers the Taxable Goods and/or delivers the Taxable Services is obliged to collect the Value Added Tax payable and provide a Tax Invoice as evidence of tax collection. A Tax Invoice shall not necessarily be made specifically or different from the sales invoice. A Tax Invoice can be in the form of sales invoice or certain documents designated as Tax Invoice by the Director General of Taxes.

Based on this provision, for every delivery of Taxable Goods in the form of assets which according to their original purpose are not for sale as referred to in Article 16D, a Tax Invoice shall be made.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Paragraph (1a)

In principle, a Tax Invoice must be made at the time of delivery or at the time of receipt of payment in the event the payment occurs before delivery. In certain cases, it is possible that the time of making the Tax Invoice is not the same as the times as mentioned, for example in the event of delivery of Taxable Goods and/or delivery of Taxable Services to the government agencies. Therefore, the Minister of Finance has the authority to set another time for making a Tax Invoice.

Paragraph (2)

For exception from the provisions as referred to in paragraph (1), in order to ease the administrative burden, the Taxable Entrepreneur is allowed to make 1 (one) Tax Invoice which includes all deliveries of Taxable Goods or deliveries of Taxable Services which occur during 1 (one) calendar month to the same buyer of the Taxable Goods or the same recipient of the Taxable Services, which is called as combined Tax Invoice.

Paragraph (2a)

In order to ease the administrative burden, the Taxable Entrepreneur is allowed to make a combined Tax Invoice at the latest at the end of month of delivery of Taxable Goods and/or delivery of Taxable Services even though in the month of delivery the payments have occurred either partial or in full.

Example 1:

In the event Taxable Entrepreneur A delivers the Taxable Goods to entrepreneur B on 1, 5, 10, 11, 12, 20, 25, 28, and 31 July 2021, but until 31 July 2021 there has been no payment at all for such a delivery, Taxable Entrepreneur A is allowed to make 1 (one) combined Tax Invoice which covers all of deliveries made in July 2021, namely not later than 31 July 2021.

Example 2:

Taxable Entrepreneur A delivers the Taxable Goods to entrepreneur B on 2, 7, 9, 10, 12, 20, 26, 28, 29, and 30 September 2021. On 28 September 2021 a payment is made by entrepreneur B for the delivery on 2 September 2021. In the event Taxable Entrepreneur A makes a combined Tax Invoice, the combined Tax Invoice shall be made on 30 September 2021 which covers all of the deliveries that occur in September 2021.

Example 3:

Taxable Entrepreneur A delivers the Taxable Goods to entrepreneur B on 2, 7, 8, 10, 12, 20, 26, 28, 29, and 30 September 2021. On 28 September 2021 a payment is made for the delivery on 2 September 2021 and an advance payment is made for the delivery to be made in

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

October 2021 by entrepreneur B. In the event Taxable Entrepreneur A makes a combined Tax Invoice, the combined Tax Invoice shall be made on 30 September 2021 which covers all of the deliveries and the advance payment made in September 2021.

Paragraph (3)

Deleted.

Paragraph (4)

Deleted.

Paragraph (5)

Tax Invoice is a proof of tax collection and can be used as a means to credit the Input Tax. The Tax Invoice must be filled out correctly, completely, and clearly and signed by a party appointed by the Taxable Entrepreneur to sign it. However, information on the Sales Tax on Luxury Goods shall only be filled out if on the delivery of Taxable Goods of a Sales Tax on Luxury Goods is payable. A Tax Invoice that is not filled-put in accordance with the provisions in this paragraph shall result in the Value Added Tax contained in it cannot be credited in accordance with the provisions in Article 9 paragraph (8) letter f.

Paragraph (5a)

Self-explanatory.

Paragraph (6)

For exception from the provisions as referred to in paragraph (5), the Director General of Taxes may determine documents commonly used in the business world that are equalized to a Tax Invoice.

This provision is necessary, among other things, because:

a. sales invoices used by entrepreneurs have been known well by the public, such as official receipts (*kuitansi*) of telephone bill payments and airline tickets;

b. for issuance of a proof of tax collection, there must be a Tax Invoice, whereas the party who should make the Tax Invoice, namely the party who delivers the Taxable Goods or Taxable Services, is outside the Customs Area, for example, in the case the utilization of Taxable Services from outside the Customs Area, a Tax Payment Slip (*Surat Setoran Pajak*) can be designated as a Tax Invoice; and

c. there are certain documents used in the import or export of Tangible Taxable Goods.

Paragraph (7)

Deleted.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Paragraph (8)

Tax Invoices that shall be corrected are, among others, Tax Invoices that contain errors in filling out or contain typing errors. Included in the definition of error in filling out or typing error are, among other things, existence of adjustment of the Selling Price due to a decrease in quantity or quality of the Taxable Goods which is reasonable to occur at the time of delivery.

Paragraph (9)

The Tax Invoice meets the formal requirements if it is filled out correctly, completely, and clearly in accordance with the requirements as referred to in paragraph (5) or the requirements as stipulated by the Regulation of the Director General of Taxes as referred to in paragraph (6).

The Tax Invoice or certain documents that are equalized to a Tax Invoice meets the material requirements if they contain real or actual information on the delivery of Taxable Goods and/or delivery of Taxable Services, export of Tangible Taxable Goods, export of Intangible Taxable Goods, export of Taxable Services, import of Taxable Goods, or utilization of Taxable Services and utilization of Intangible Taxable Goods from outside the Customs Area within the Customs Area.

Thus, even though the Tax Invoice or certain documents that are equalized to a Tax Invoice have met the formal provisions and the Value Added Tax has been paid, if the information contained in the Tax Invoices or certain documents that are equalized to a Tax Invoice do not conform with the actual facts on the delivery of Taxable Goods and/or delivery of Taxable Services, export of Tangible Taxable Goods, export of Intangible Taxable Goods, export of Taxable Services, import of Taxable Goods, or utilization of Taxable Services and utilization of Intangible Taxable Goods from outside the Customs Area within the Customs Area, such a Tax Invoice or certain documents that are equalized to a Tax Invoice does not meet the material requirements.

Article 14

(1) Individual or entity that is not confirmed to be a Taxable Entrepreneur is prohibited from making a Tax Invoice. *)

(2) In the event a Tax Invoice has been made, the individual or entity as referred to in paragraph (1) must deposit the amount of tax as specified in the Tax Invoice to the State Cash Account. *)

Elucidation of Article 14

Paragraph (1)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Tax Invoices may only be made by Taxable Entrepreneurs. The prohibition from making Tax Invoices for non-Taxable Entrepreneurs is intended to protect buyers from improper tax collection.

Paragraph (2)

Self-explanatory.

Article 15 *)

Deleted.

Elucidation of Article 15

The provisions in Article 15 which govern the obligation to report tax calculations by using the Periodic Tax Return (*Surat Pemberitahuan Masa*), are deleted and transferred to the Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation as amended by Law Number 9 of 1994.

Article 15A

(1) Deposits of Value Added Tax by the Taxable Entrepreneur as referred to in Article 9 paragraph (3) must be made not later than the end of the next month after the expiry of the Tax Period and prior to the submission of the Periodic Tax Return of Value Added Tax. ***)

(2) The Periodic Tax Return of Value Added Tax shall be submitted not later than the end of the next month after the expiry of the Tax Period. ***)

Elucidation of Article 15A

In order to provide a time allowance to the Taxable Entrepreneurs to deposit the tax underpayment and submit the Periodic Tax Return of Value Added Tax, this Article specifically regulates the deadline for payment and submission of the Periodic Tax Return of Value Added Tax which is different from that is specified in Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation and amendments thereto.

In the event there is a delay in payment of a tax payable based on the Periodic Tax Return of Value Added Tax and/or delay in submission of the Periodic Tax Return of Value Added Tax in accordance with the provisions as specified in this Article, the Taxable Entrepreneur shall still be subject to administrative sanctions as specified in Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation and amendments thereto.

Article 16 *)

Deleted.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Elucidation of Article 16

The provisions in Article 16 which govern the period of refund of underpaid tax, are deleted and transferred to the Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation as amended by Law Number 9 of 1994。

CHAPTER VA
SPECIAL PROVISIONS

Article 16A

(1) Any taxes payable on the delivery of Taxable Goods and or delivery of Taxable Services to the Value Added Tax Collector shall be collected, deposited and reported by the Value Added Tax Collector. **)

(2) The procedure for collecting, depositing, and reporting the taxes by the Value Added Tax Collector as referred to in paragraph (1) shall be regulated by the Decree of the Minister of Finance. **)

Elucidation of Article 16A

Paragraph (1)

In the event the Taxable Entrepreneur delivers the Taxable Goods or delivers the Taxable Services to the Value Added Tax Collector, the Value Added Tax Collector is obliged to withhold, deposit, and report the tax he/she collects. Nevertheless, the Taxable Entrepreneur who delivers the Taxable Goods or delivers the Taxable Services to the Value Added Tax Collector is still obliged to report the taxes collected by the Value Added Tax Collector.

Paragraph (2)

Self-explanatory.

Article 16B *****)

(1) Taxes payable not collected in part or all or exempted from the tax imposition, either temporarily or permanently, for:

a. activities in certain areas or certain places within the Customs Area;

b. delivery of certain Taxable Goods or delivery of certain Taxable Services;

c. import of certain Taxable Goods;

d. utilization of certain Intangible Taxable Goods from outside the Customs Area within the Customs Area; and

e. utilization of certain Taxable Services from outside the Customs Area within the Customs Area,

shall be regulated by the Government Regulation. ***)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

(1a) Taxes payable not collected in part or all or exempted from the tax imposition either temporarily or permanently as referred to in paragraph (1) shall be given limited to the following purposes:

a. to encourage exports and downstreaming of industries which are of national priority;

b. to accommodate the possibility of agreements with other countries in the trade and investment sector, international conventions that have been ratified, as well as other international customs;

c. to encourage the public health improvement through the procurement of vaccines within the framework of the national vaccination program;

d. to improve the nation's education and intelligence by assisting with the availability of general textbooks, holy books, and religious textbooks at relatively affordable prices to the public;

e. to encourage the construction of worship places;

f. to guarantee the implementation of government projects that are financed by grants and/or foreign loan funds;

g. to accommodate the international customs in importation of certain Taxable Goods that are exempted from the Import Duties;

h. to assist with the availability of Taxable Goods and/or Taxable Services that are necessary within the framework of dealing with natural disasters and non-natural disasters that are designated as national natural disasters and national non-natural disasters;

i. to ensure the availability of air public transportation to encourage the smooth movement of goods and people flows in certain regions where other adequate transportation means are not available, in which the ratio of the goods volume and people to be transported using the available transportation means is very high; and/or

j. to support the availability of certain strategic goods and services within the framework of the national development, including:

1. staple goods that are highly needed by the people;

2. certain medical health services and those within the national health insurance program system;

3. social services;

4. financial services;

5. insurance services;

6. educational services;

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

7. land and water public transportation services as well as domestic air transportation services that form integral part of the foreign transportation services; and

8. labor services.

(2) The Input Tax paid on the acquisition of Taxable Goods and/or Taxable Services, import of Taxable Goods, and utilization of Intangible Taxable Goods from outside the Customs Area within the Customs Area and/or utilization of Taxable Services from outside the Customs Area within the Customs Area on the delivery of which the Value Added Tax is not collected as referred to in paragraph (1) can be credited. *****)

(3) The Input Tax paid on the acquisition of Taxable Goods and/or Taxable Services, import of Taxable Goods, and utilization of Intangible Taxable Goods from outside the Customs Area within the Customs Area and/or utilization of Taxable Services from outside the Customs Area within the Customs Area on the delivery of which is exempted from the Value Added Tax imposition as referred to in paragraph (1) cannot be credited. *****)

Elucidation of Article 16B

Paragraph (1)

One of the principles that must be upheld in the Taxation Law is the enforcement and the application of equal treatment to all Taxpayers or to cases in the taxation sector which is essentially the same as upholding the provisions of the statutory regulations. Therefore, every convenience in the taxation sector, if really necessary, must refer to the aforesaid principle and must be maintained so that in its application not deviating from the purpose and objective for which such a convenience is given.

The purpose and objective for which a convenience is given is essentially to provide tax facilities that are really needed, particularly for the success of the high priority sectors of economic activity in the national scale, to encourage exports which are of national priority in certain regions or certain places, to encourage the development of the business world and to increase the competitiveness, to assist in dealing with the national natural disasters and national non-natural disasters as well as to facilitate the national development.

Paragraph (1a)

Letter a

One of the taxation facilities provided to encourage exports is in the form of convenience in supporting the activities of entrepreneurs who carry out exportation. "Exportation" means an activity of bringing any Tangible Taxable Goods from within the Customs Area to outside the Customs Area without undergoing a delivery to another party.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Letter b

Self-explanatory.

Letter c

Self-explanatory.

Letter d

Self-explanatory.

Letter e

Self-explanatory.

Letter f

Self-explanatory.

Letter g

Self-explanatory.

Letter h

Self-explanatory.

Letter i

Self-explanatory.

Letter j

Taxation facilities that are provided for the purpose of supporting the availability of certain strategic goods and services within the framework of the national development are provided very selectively and limitedly, and by taking into account the its impacts on the state revenue.

Certain Taxable Goods and/or certain Taxable Services that are exempted from the Value Added Tax imposition include:

1. staple goods that are highly needed by the people including:
   a) rice;
   b) unhulled rice (*grain*);
   c) corn;
   d) sago;
   e) soybean;
   f) salt, both iodized and non-iodized;
   g) meats, namely unprocessed fresh meats, but have undergone the slaughtering process, skinned, cut, cooled, frozen, packaged or unpackaged, salted, limed, pickled, preserved in other ways, and/or boiled;

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

h) eggs, namely unprocessed eggs, including cleaned, pickled or packaged eggs;

i) milks, namely dairy milks whether having undergone a cooling process or heated, not containing sugar additives or other ingredients, and/or packaged or unpackaged;

j) fruits, namely fresh fruits that have been harvested, whether having undergone the washing process, sorted, peeled, cut, sliced, graded, and/or packaged or unpackaged; and

k) vegetables, namely fresh vegetables that have been harvested, washed, drained, and/or stored at a low temperature, including chopped fresh vegetables.

2. medical health services including:

a) certain health services, such as:

1) services of general practitioners, specialists, and dentists;

2) veterinary services;

3) health professionals services, such as, acupuncturists, dentists, nutritionists, and physiotherapists;

4) midwifery services and traditional birth attendants;

5) paramedical and nursing services;

6) hospital services, maternity homes, health clinics, health laboratories, and sanatoriums;

7) psychologist and psychiatrist services; and

8) alternative healing services, including those performed by paranormals; and

b) health services covered by the national health insurance.

3. social services, including:

a) orphanage and nursing home services (*panti asuhan* and *panti jompo*);

b) firefighting services;

c) first aids services;

d) rehabilitation institution services;

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

e) funeral home services or funeral services, including crematoriums; and

f) services in sport sector,

that are nonprofit in nature.

4. financial services, including:

a) services of collecting funds from the public in the form of demand deposits, time deposits, certificates of deposit, savings, and/or other equivalent forms;

b) services of placing funds, borrowing funds, or lending funds to other parties by using letters, telecommunication facilities or by means of sight money orders, checques, or other means;

c) financing services, including the financing based on sharia principles, in the form of:

1) leasing with option rights;

2) leasing with option rights;

3) credit card business; and/or

4) consumer financing;

d) loan distribution services based on the pawn law, including sharia and fiduciary pawning; and

e) guarantee services.

5. "Insurance services" mean insurance services including loss insurance, life insurance, and reinsurance, which are conducted by insurance companies to the insurance policyholders, excluding insurance supporting services such as insurance agents, insurance loss assessors, and insurance consultants.

6. educational services, including:

a) school education services, such as general education, vocational education, special education, official education, religious education, academic education, and professional education services; and

b) out-of-school education services.

7. self-explanatory;

8. labor services, including:

a) manpower services,

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

b) manpower supply services provided that the manpower provider entrepreneur is not responsible for the work of the manpower; and

c) training services for manpower.

Paragraph (2)

The existence of special treatment in the form of Value Added Tax which is payable, but not collected, means that the Input Tax relating to the delivery of Taxable Goods and/or Taxable Services that receives the relevant special treatment can still be credited. Thus, Value Added Tax is still payable, but not collected.

Example:

Taxable Entrepreneur A produces Taxable Goods that receives a facility from the state, namely the Value Added Tax payable on the delivery of Taxable Goods is not collected forever (not only postponed).

To produce the Taxable Goods, Taxable Entrepreneur A uses other Taxable Goods and/or Taxable Services as raw materials, auxiliary materials, capital goods, or as another cost component.

When purchasing other Taxable Goods and/or Taxable Services, Taxable Entrepreneur A pays the Value Added Tax to the Taxable Entrepreneur who sells or delivers such a Taxable Goods or Taxable Services.

The Value Added Tax paid by Taxable Entrepreneur A to the supplier Taxable Entrepreneur is an Input Tax which can be credited with the Output Tax, Input Tax can still be credited with the Output Tax even though the Output Tax is nil due to enjoying the Value Added Tax facility that is not collected from the state based on provisions as referred to in paragraph (1).

If the Value Added Tax paid by Taxable Entrepreneur A to the supplier Taxable Entrepreneur is an Input Tax that can be credited with the Output Tax, the Input Tax can still be credited with the Output Tax even though the Output Tax is nil due to enjoying the Value Added Tax facility that is not collected from the state based on the provisions as referred to in paragraph (1).

Paragraph (3)

Different from the provisions in paragraph (2), the existence of special treatment in the form of exemption from the Value Added Tax imposition results in the absence of Output Tax so that the Input Tax relating to the delivery of Taxable Goods and/or Taxable Services that receives the exemption cannot be credited.

Example:

Taxable Entrepreneur B produces Taxable Goods that receives a facility from the state, namely the delivery of the Taxable Goods is exempted from the Value Added Tax imposition.

To produce such a Taxable Goods, Taxable Entrepreneur B uses other Taxable Goods and/or Taxable Services as raw materials, auxiliary materials, capital goods or as another cost component.

When purchasing other Taxable Goods and/or Taxable Services, Taxable Entrepreneur B pays a Value Added Tax to the Taxable Entrepreneur who sells or delivers such Taxable Goods or Taxable Services.

Although the Value Added Tax paid by Taxable Entrepreneur B to the supplier Taxable Entrepreneur is an Input Tax which can be credited, because of the absence of Output Tax due to the tax exemption given as referred to in paragraph (1), the Input Tax cannot be credited.

Article 16C **)

Value Added Tax is imposed on the self-building activities that are carried out not within the business activity or work by individuals or entities the outcomes of which are used by themselves or used by other parties the limitations and procedures of which shall be regulated by the Decree of the Minister of Finance.

Elucidation of Article 16C

Self-building activities that are not carried out within the business activity or work, are subject to the Value Added Tax on consideration to prevent the avoidance of Value Added Tax imposition.

To protect the low-income people from the Value Added Tax imposition on the self-building activities, then, the limitations on the self-building activities shall be regulated by the Decree of the Minister of Finance.

Article 16D***)

Value Added Tax is imposed on the delivery of Taxable Goods in the form of assets which according to their original purpose are not for sale by the Taxable Entrepreneur, except on the delivery of assets of which the Input Tax cannot be credited as referred to in Article 9 paragraph (8) letter b and letter c.

Elucidation of Article 16D

Delivery of Taxable Goods, such as, in the form of machineries, buildings, equipments, furniture, or other Taxable Goods which according to their original purpose are not for sale by the Taxable Entrepreneur, is subject to tax.

However, Value Added Tax is not imposed on the transfer of Taxable Goods that does not have a direct relationship with business activities and the transfer of assets which according to their original purpose are not for sale, namely motor vehicles in the form of sedans and station wagons, which according to the

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

provisions of Article 9 paragraph (8) letter b and letter c, the Input Tax on the acquisition of these assets cannot be credited.

Article 16E

(1) Value Added Tax and Sales Tax on Luxury Goods that have been paid on the purchase of Taxable Goods that are brought out of the Customs Area by an individual who holds a foreign passport, can be applied for refund. ***)

(2) Value Added Tax and Sales Tax on Luxury Goods that can be applied for refund as referred to in paragraph (1) must meet the following requirements: ***)

a. value of the Value Added Tax shall be at least Rp. 500.000,00 (five hundred thousand rupiah), and can be adjusted with the Government Regulation;

b. the purchase of the Taxable Goods shall be made within 1 (one) month prior to departure outside the Customs Area; and

c. The Tax Invoice shall comply with the provisions as referred to in Article 13 paragraph (5), except on the Taxpayer Identification Number column and the buyer's address shall be filled-in with the passport number and full address in the country issuing the passport, on the sale to an individual foreign passport holder who does not have a Taxpayer Identification Number.

(3) The Request for refund of Value Added Tax and Sales Tax on Luxury Goods as referred to in paragraph (1) shall be made when the individual foreign passport holder leaves Indonesia and shall be submitted to the Director General of Taxes through the Office of the Directorate General of Taxes at the airport as determined by the Minister of Finance. ***)

(4) Documents that must be shown when requesting for refund of Value Added Tax and Sales Tax on Luxury Goods are: ***)

a. passport;

b. boarding pass for departure of an individual person as referred to in paragraph (1) to outside the Customs Area; and

c. Tax Invoice as referred to in paragraph (2) letter c.

(5) The provisions on the procedure for submission and settlement of the request for refund of Value Added Tax and Sales Tax on Luxury Goods as referred to in paragraph (1) shall be regulated by or based on the Regulation of the Minister of Finance. ***)

Elucidation of Article 16E

Paragraph (1)

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

In order to attract individual foreign passport holders to visit Indonesia, such individuals are given with a tax incentive. The incentive is in the form of refund of Value Added Tax and Sales Tax on Luxury Goods that have been paid for the purchase of Taxable Goods in Indonesia which are then brought by the individual outside the Customs Area.

Paragraph (2)

Taxable Goods that are purchased within 1 (one) month before the individual foreign passport holder leaves Indonesia is deemed to be consumed outside the Customs Area. Therefore, Tax Invoices that can be used as a basis for requesting for refund of Value Added Tax and Sales Tax on Luxury Goods shall be only Tax Invoices that are issued within 1 (one) month before the individual foreign passport holder leaves Indonesia.

For individual foreign passport holders who do not have a Taxpayer Identification Number, Tax Invoices that can be used to request for refund of Value Added Tax and Sales Tax on Luxury Goods must specify the identity in the form of name, passport number, and complete address of the individual in the country that issues the passport.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory.

Article 16F

Buyers of Taxable Goods or recipients of Taxable Services are jointly and severally responsible for the tax payments, provided that they cannot show a proof that the Tax has been paid. ***)

Elucidation of Article 16F

In accordance with the principle, the tax payment burden for the Value Added Tax on Goods and Services and the Sales Tax on Luxury Goods is on the buyer or consumer of goods or the recipients of services. Therefore, it is proper if the buyer or consumer of goods and the recipients of services are jointly and severally responsible for the payment of the tax payable if it is evident that the tax payable is uncollectible on the seller or the service provider and the buyer or service recipient cannot show a proof of having made a tax payment to the seller or the service provider.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Article 16G *****)

Further provisions on:

a. other values as referred to in Article 8A paragraph (1);

b. the criteria of having not carried out a delivery of Taxable Goods and/or Taxable Services and/or export of Taxable Goods and/or Taxable Services as referred to in Article 9 paragraph (2a);

c. calculation and the procedures for refund of overpaid Input Tax as referred to in Article 9 paragraph (4c);

d. Low-risk Taxable Entrepreneurs who are given with the advance tax overpayment refund as referred to in Article 9 paragraph (4c);

e. Guidelines for Input Tax crediting as referred to in Article 9 paragraph (6);

f. determination of certain business sectors as referred to in Article 9 paragraph (6c);

g. Repayment of Input Tax as referred to in Article 9 paragraph (6e) letter a;

h. crediting of Input Tax as referred to in Article 9 paragraph (9a), paragraph (9b), and paragraph (9c); and

i. amount of certain turnover, certain types of business activities, certain types of Taxable Goods, certain types of Taxable Services, and amount of Value Added Tax collected and deposited as referred to in Article 9A paragraph (1),

shall be regulated in the Regulation of the Minister of Finance

Elucidation of Article 16G

Letter a

The Tax Imposition Base in the form of other values is applied to ensure the legal certainty in the event the Selling Price, the Replacement Value, the Import Value and the Export Value as Tax Imposition Base are difficult to determine.

Letter b

Self-explanatory.

Letter c

Self-explanatory.

Letter d

Self-explanatory.

Letter e

Self-explanatory.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Letter f

Self-explanatory.

Letter g

Self-explanatory.

Letter h

Self-explanatory.

Letter i

Self-explanatory.

CHAPTER VI
MISCELLANEOUS

Article 17 *)

Matters relating to the meaning and the procedure of collection in relation to the implementation of this Law, which have not been specifically regulated in this Law, shall be governed by the provisions in the Law on General Provisions and Procedures of Taxation and other statutory regulations.

Elucidation of Article 17

Self-explanatory.

CHAPTER VII
TRANSITIONAL PROVISIONS

Article 18

(1) Upon the coming into effect of this Law:

a. all Deliveries of Taxable Goods or Taxable Services and Imports of Taxable Goods that have been made before the coming into effect of this Law, shall remain subject to tax payable according to the Sales Tax Law 1951;

b. as long as the implementing regulation of this law has not been issued, the implementing regulations are not contradictory to this law which have not been revoked and replaced, are declared still valid.

(2) The implementing provisions as referred to in paragraph (1) shall be regulated further by the Minister of Finance.

Elucidation of Article 18

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Paragraph (1)

Letter a

Self-explanatory.

Letter b

All of the existing implementing regulations, which are issued to the effect of implementation of the Sales Tax Law 1951, which are not contradictory to the substances and purposes of this law, shall remain in effect as long as not revoked and replaced yet with the implementing regulations issued under this Law.

Paragraph (2)

The provisions of this paragraph (2) are intended to overcome the difficulties that may arise during the transitional period as a result of the enactment of Law on Value Added Tax on Goods and Services and Sales Tax On Luxury Goods and the cessation from enforcement of the Sales Tax Law 1951, to the same imposition object, such as:

- long-term contracts or contracts with validity period covering two terms of the laws as set-forth above;
- the remaining Sales Price or Replacement that is unpaid;
- inventory of goods on which the Input Tax is not existent yet.

In this case, the Minister of Finance shall have the authority to stipulate the implementing regulations other than those as referred to in paragraph (1), in order to reduce the injustice in tax imposition and to facilitate the implementation of this law.

CHAPTER VIII
CLOSING PROVISIONS

Article 19

Matters that have not been regulated in this Law shall be governed further by the Government Regulation.

Elucidation of Article 19

Self-explanatory.

Article 20

This law can be called as Value Added Tax Law 1984.

Elucidation of Article 20

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)

Self-explanatory.

Article 21

This law comes into effect as of 1 July 1984。

Elucidation of Article 21

Self-explanatory.

*) : First Amendment (Law Number 11 of 1994)
**) : Second Amendment (Law Number 18 of 2000)
***) : Third Amendment (Law Number 42 of 2009)
****) : Fourth Amendment (Law Number 11 of 2020)
*****) : Fifth Amendment (Law Number 7 of 2021)


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PRESIDENT

OF THE REPUBLIC OF INDONESIA

COMPILATION INTO SINGLE DOCUMENT OF LAW OF THE REPUBLIC OF INDONESIA NUMBER 12 OF 1994 REGARDING AMENDMENT TO LAW NUMBER 12 OF 1985 REGARDING THE LAND AND BUILDING TAX

CHAPTER I
GENERAL PROVISIONS

Article 1

In this Law, the following definitions apply:

1. Earth means the earth surface and the earth body beneath it;
2. Building means a technical construction that is permanently planted or attached to the land and/or the waters;
3. Tax Object Sales Value or *Nilai Jual Obyek Pajak* means the average price obtained from a sale and purchase transaction that occurs fairly, and if there is no sale and purchase transaction, the Tax Object Sales Value is determined through a price comparison with other similar objects, or a new acquisition value, or a Substitute Tax Object Sales Value;
4. Tax Object Notification Letter or *Surat Pemberitahuan Obyek Pajak* means a letter used by taxpayers to report their tax object data according to the provisions of this law;
5. Notification of Tax Due or *Surat Pemberitahuan Pajak Terhutang* means a letter used by the Directorate General of Taxes to notify the taxpayer of the amount of tax payable;

<u>Elucidation of Article 1</u>

Number 1

The earth surface includes lands and inland waters and seas within the territory of Indonesia.

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

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Number 2

Included in the definition of building are:

- environment roads located within a building complex such as hotel, factory, and its emplacements and others which form integral part of the building complex;
- TOLL road;
- swimming pools;
- luxury fence;
- sport venues;
- shipyards, docks;
- luxury gardens;
- oil, water and gas reservoir/refinery, oil pipelines;
- other facilities that provide benefits;

Number 3

The following definitions apply:

- Price comparison with other similar objects is an approach/method of determining the selling value of a tax object by comparing it with other similar tax objects in adjacent location and have the same function and its selling price has been known.
- New acquisition value is an approach/method of determining the selling value of a tax object by calculating all costs incurred to acquire sun an object at the time of valuation, subtracted by the depreciation based on the physical condition of the object.
- Substitute selling value, is an approach/method of determining the selling value of a tax object based on the production results of the tax object.

Number 4

Self-explanatory.

Number 5

Self-explanatory.

CHAPTER II
TAX OBJECT

Article 2

(1) The tax object is land and/or building.

(2) The tax object classification as referred to in paragraph (1) shall be regulated by the Minister of Finance.

Elucidation of Article 2

Paragraph (1)

Self-explanatory.

Paragraph (2)

"Land and building classification" means the grouping of lands and buildings according to their selling value and is used as a guideline as well as to facilitate the calculation of the tax payable.

In determining the earth/land classification, the following factors shall be taken into account:

1. location;
2. designation;
3. utilization;
4. environmental conditions and others.

In determining the building classification, the following factors shall be taken into account:

1. materials used;
2. engineering;
3. location;
4. environmental conditions and others.

Article 3

(1) Tax Objects that are not subject to the Land and Building Tax are tax objects that:

a. are used solely to serve the public interest in the worship, social, health, educational and national culture sectors, which are not intended for profit;

b. are used for graves, ancient relics, or the like;

c. constitute a protected forest, nature reserve forest, tourism forest, national park, grazing land controlled by the village, and state lands which have not been encumbered with a right;

d. are used by diplomatic representatives, consulates based on the reciprocal treatment principle;

e. are used by agencies or representatives of international organizations as determined by the Minister of Finance.

(2) Tax objects used by the state for government administration, their tax imposition determination shall be regulated further by the Government Regulation.

(3) The amount of the Non-Taxable Tax Object Sales Value is set at Rp.8.000.000,00 (eight million rupiah) for each Taxpayer. *)

(4) Adjustment of the amount of Non-Taxable Tax Object Sales Value as referred to in paragraph (2) shall be stipulated by the Minister of Finance. *)

Elucidation of Article 3

Paragraph (1)

Not intended for profit means that the tax object is endeavored to serve the public interest, and is really not intended to gain profit. This can be known, among other things, from the articles of association and the memorandum of association of a foundation/entity engaging in worship, social, health, educational, and national cultural sectors. This definition includes state-owned tourism forests in accordance with Article 2 of Law Number 5 of 1967 regarding Basic Provisions of Forestry.

Example:

- Islamic boarding schools (pesantren) or the like;
- madrasah;
- waqf land;
- general hospitals.

Paragraph (2)

Tax object in this paragraph means a tax object owned/controlled/used by the Central Government and Regional Governments in administering the government. Land and Building Tax is a state tax the most of revenues of which are regional revenues which are used, among other things, for provision of facilities which are also enjoyed by both the Central Government and the Regional Governments.

Therefore, it is reasonable for the Central Government to also participate in financing the provision of these facilities through payments of Land and

*) : First Amendment (Law Number 12 of 1994)

Building Tax. As to the lands and/or buildings owned by individuals and/or entities that are used by the state, their tax obligations depend on the agreement entered into.

Paragraph (3)

For each Taxpayer, the Non-Taxable Tax Object Sales Value is given amounting to Rp. 8.000.000,00 (eight million rupiah). If a Taxpayer has several Tax Objects, only one Tax Object with the largest value shall be given with a Non-Taxable Tax Object Sales Value, whereas other Tax Objects are still subject to tax fully without being deducted by the Non-Taxable Tax Object Sales Value.

Example:

1. A Taxpayer only has a Tax Object in the form of land with the following values:

   - Tax Object Sales Value of Land Rp 3.000.000,00
   - Non-Taxable Tax Object Sales Value Rp 8.000.000,00

   Since the Tax Object Sales Value is below the Non-Taxable Tax Object Sales Value, the Tax Object is not subject to the Land and Building Tax.

2. A Taxpayer has two Tax Objects in the form of land and building, respectively in Village A and Village B with the following values:

   a. Village A.

   - Tax Object Sales Value of Land = Rp 8.000.000,00
   - Tax Object Sales Value of Building = Rp 5.000.000,00

   The Tax Object Sales Value For Tax Calculation:

   - Tax Object Sales Value of Land Rp 8.000.000,00
   - Tax Object Sales Value of Building Rp 5.000.000,00 (+)
   - Tax Object Sales Value as the tax imposition base Rp 13.000.000,00
   - Non-Taxable Object Sales Value Rp 8.000.000,00 (-)
   - Tax Object Sales Value for Tax Calculation Rp 5.000.000,00

   b. Village B.

   - Tax Object Sales Value of Land = Rp5.000.000,00
   - Tax Object Sales Value of Building = Rp3.000.000,00

   Tax Object Sales Value For Tax Calculation:

- Tax Object Sales Value of Land Rp 5.000.000,00
- Tax Object Sales Value of Building Rp 3.000.000,00 (+)
- Tax Object Sales Value as the tax imposition base Rp 8.000.000,00
- Non-Taxable Object Sales Value Rp 0,00 (-)
- Tax Object Sales Value for Tax Calculation Rp 8.000.000,00

For the Tax Object in Village B, the Non-Taxable Tax Object Sales Value of Rp. 8.000.000,00 (eight million rupiah) is not given, because the Non-Taxable Tax Object Sales Value has been given to the Tax Objects located in Village A.

3. A Taxpayer has two tax objects in the form of land and building in a Village C with the following values:

a. Object I。

- Tax Object Sales Value of Land = Rp 4.000.000,00
- Tax Object Sales Value of Building = Rp 2.000.000,00

Tax Object Sales Value For Tax Calculation:

- Tax Object Sales Value of Land Rp 4.000.000,00
- Tax Object Sales Value of Building Rp 2.000.000,00 (+)
- Tax Object Sales Value as the tax imposition base Rp 6.000.000,00
- Non-Taxable Object Sales Value Rp 8.000.000,00

Since the Tax Object Sales Value is below the Non-Taxable Tax Object Sales Value, the tax object is not subject to the Land and Building Tax。

b. Object II.

- Tax Object Sales Value of Land = Rp 4.000.000,00
- Tax Object Sales Value of Building = Rp 1.000.000,00

Tax Object Sales Value For Tax Calculation:

- Tax Object Sales Value of Land Rp 4.000.000,00
- Tax Object Sales Value of Building Rp 1.000.000,00 (+)
- Tax Object Sales Value as the tax imposition base Rp 5.000.000,00
- Non-Taxable Object Sales Value Rp 0,00 (-)

- Tax Object Sales Value for Tax Calculation Rp 5.000.000,00

Paragraph (4)

Based on this provision, the Minister of Finance is authorized to amend the amount of the Non-Taxable Tax Object Sales Value as referred to in paragraph (3) by taking into account the economic and monetary development as well as the general price development of the tax object each year.

CHAPTER III
TAX SUBJECT

Article 4

(1) The tax subject is a person or entity who really has a right to the land, and/or obtains the benefit of the land, and/or owns, controls, and/or obtains the benefit of the building.

(2) Any tax subject as referred to in paragraph (1) who is subject to obligation to pay the tax become a taxpayer according to this Law.

(3) In the event the taxpayer for a tax object is not known clearly, the Director General of Taxes may determine the tax subject as referred to in paragraph (1) to be the taxpayer.

(4) The tax subject that is determined as referred to in paragraph (3) may give a written statement to the Director General of Taxes that he/she is not a taxpayer for the tax object in question.

(5) If the statement submitted by the taxpayer as referred to in paragraph (4) is approved, the Director General of Taxes shall cancel such a determination as taxpayer as referred to in paragraph (3) within one month as of the its receipt of such a statement letter.

(6) If the statement submitted is not approved, the Director General of Taxes shall issue a decision letter of rejection accompanied by the reasons thereof.

(7) If after the one month period as of the receipt date of the statement as referred to in paragraph (4), the Director General of Taxes does not issue any decision, then the statement submitted shall be deemed approved.

<u>Elucidation of Article 4</u>

Paragraph (1)

A proof of payment/ settlement of tax is not a proof of right ownership.

Paragraph (2)

Self-explanatory.

Paragraph (3)

This provision provides for the Director General of Taxes to determine the tax subject to be a taxpayer, if the tax for the tax object is not yet clear.

Example:

1. A tax subject named A who utilizes or uses the land and/or building belonging to another person named B not due to a right based on the laws or not due to an agreement, in such a case A who utilizes or uses the land and/or building is determined to be taxpayer.
2. A tax object that is still in dispute for ownership in the court, then, the person or entity that utilizes or uses such a tax object shall be determined to be a taxpayer.
3. A tax subject has been a long time staying outside the area where the tax object is located, whereas the caring for the tax object is authorized to a person or entity, then, the authorized person or entity can be appointed as a taxpayer.

   The appointment as a taxpayer by the Director General of Taxes is not a proof of right ownership.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory.

Paragraph (6)

Self-explanatory.

Paragraph (7)

Based on the provisions in this paragraph, if the Director General of Taxes does not give a decision within 1 (one) month as of the date of receipt of the statement from the taxpayer, then, the determination as taxpayer shall be automatically invalidated and shall be entitled to receive decision on revocation of determination as taxpayer.

CHAPTER IV
TAX RATE

Article 5

The tax rate imposed on the tax object is 0.5% (five tenths percent).

Elucidation of Article 5

Self-explanatory.

CHAPTER V
IMPOSITION BASE AND HOW TO CALCULATE THE TAX

Article 6

(1) The tax imposition base is the Tax Object Sales Value.

(2) The amount of the Tax Object Sales Value as referred to in paragraph (1) shall be stipulated on three years basis by the Minister of Finance, except for certain regions, it shall be stipulated on annual basis in accordance with the development of the region.

(3) The tax calculation basis is the Taxable Sales Value that is stipulated at a minimum of 20% (twenty percent) and a maximum of 100% (one hundred percent) of the tax object sales value.

(4) The amount of Taxable Sales Value percentage as referred to in paragraph (3) shall be stipulated by the Government Regulation by taking into account the national economic condition.

Elucidation of Article 6

Paragraph (1)

Self-explanatory.

Paragraph (2)

Basically, determination of the tax object sales value is once every 3 (three) years. However, for certain regions which due to the advance of the development have resulted in a significant increase in the tax object sales value, thus, the sales value is determined once a year.

In determining the sales value, the Minister of Finance shall hear the Governor's considerations and shall pay attention to the self-assessment principle.

Paragraph (3)

Taxable Sales Value (assessment value) means a sales value that is used as the basis for calculating the tax, namely a certain percentage of the actual sales value.

Example:

1. Sales value of a tax object is Rp. 1.000.000,00. Percentage of Taxable Sales Value is, for an example 20%, then, the amount of the taxable sales value is 20% x Rp. 1.000.000,00 = Rp. 200.000,00
2. Sales value of a tax object is Rp. 1.000.000,00. Percentage of Taxable Sales Value is, for an example 50%, then, the amount of the taxable sales value is 50% x Rp. 1.000.000,00 = Rp. 500.000,00.

Paragraph (4)

Self-explanatory.

Article 7

The amount of tax payable is calculated by multiplying the tax rate by the Taxable Sales Value.

Elucidation of Article 7

The sales value of the building before applying the tax rate is subtracted first by the non-taxable sales value limit of the building of Rp. 2.000.000,00 (two million rupiah).

Example:

Taxpayer A has tax objects in the form of:

- Land covering an area of 800 m2 with a selling price of Rp. 300.000/m2;
- Building covering an area of 400 m2 with a sales value of Rp. 350.000/m2;
- Luxury garden covering an area of 200 m2 with a sales value of Rp. 50.000/m2;
- Luxurious fence of 120 m long and the average height of the fence is 1.5 m with a sales value of Rp. 175.000/m2;

The percentage of the taxable sales value is, for example 20%.

Total tax payable is as follows:

1. Sales value of the land : 800 x Rp. 300.000,00= Rp 240.000.000.00

   Sales value of the building

a.	House and garage 400 x Rp 350.000,00	=	Rp 140.000.000,00
b.	Luxury Garden 200 x Rp. 50.000,00	=	Rp 10.000.000,00
c.	Luxury fence (120x1.5) x Rp. 175.000,00	=	Rp 31.500.000,00
		=	Rp 181.500.000,00

Non-taxable sales value limit of the building	=	Rp 2.000.000,00
Sales value of the building	=	Rp 179.500.000,00
Sales value of the land and building	=	Rp 419.500.000,00

2. The Amount of the Land and Building Tax payable:

a. On the land = 0.5% x 20% x Rp. 240.000.000,00

= Rp 240.000,00

b. On the building = 0.5% x 20% x Rp. 179.500.000,00

= Rp 179.500,00

c. Total tax payable = Rp 419.500,00

CHAPTER VI
FISCAL YEAR, TIME, AND PLACE THAT DETERMINES THE TAX PAYABLE

Article 8

(1) The fiscal year is a period of 1 (one) calendar year.

(2) Time that determines the tax payable is as per the condition of the tax object on 1 January.

(3) Place of the tax payable:

a. for the Jakarta area, is in the territory of the Special Capital City of Jakarta Province;

b. for other regions, is in the territory of the Regency of the Second Level Region or the Municipality of the Second Level Region; which covers the location of the tax object.

Elucidation of Article 8

Paragraph (1)

The period of 1 (one) calendar year is from 1 January up to 31 December.

Paragraph (2)

Since the fiscal year begins on 1 January, then, the condition of the tax object on that date is the time that determines the tax payable.

Example:

a. A tax object on 1 January 1986 is in the form of land and building. On 10 January 1986 the building caught fire, thus, the tax payable is remain based on the condition of the tax object as at 1 January 1986, namely the condition right before the building caught fire;

b. A tax object on 1 January 1986 is in the form of a plot of land without any building on it. On 10 August 19, data collection was carried out, found that a building had been built on that land, thus, the tax payable for 1986 was still subject to tax based on the circumstance as at 1 January 1986.

Whereas, the building would newly be subject to tax in 1987.

Paragraph (3)

Place of tax payable for Batam Municipality, is in the provincial areas of the relevant first level region.

CHAPTER VII
REGISTRATION, TAX OBJECT NOTIFICATION LETTER, NOTIFICATION OF TAX DUE, AND TAX ASSESSMENT LETTER

Article 9

(1) In term of data collection, the tax subjects are obliged to register their tax objects by filling out the Tax Object Notification Letter (*Surat Pemberitahuan Obyek Pajak*).

(2) The Tax Object Notification Letter as referred to in paragraph (1) must be filled out clearly, correctly and completely and signed and submitted to the Directorate General of Taxes whose working area covers the tax object location, not later than 30 (thirty) days as of the receipt date of the Tax Object Notification Letter by the tax subject.

(3) The implementation and procedures for the tax object registration as referred to in paragraphs (1) and (2) shall be further regulated by the Minister of Finance.

Elucidation of Article 9

Paragraph (1)

In term of data collection, the taxpayer will be given with a Tax Object Notification Letter to be filled out and returned to the Directorate General

of Taxes. Taxpayer who has ever been subject to IPEDA is not obliged to register his/her tax objects unless he/she receives an SPOP, in which case he/she is obliged to fill it out and return it to the Directorate General of Taxes.

Paragraph (2)

Clear, correct and complete means:

Clear is meant that the writing of the required data in the Tax Object Notification Letter (SPOP/ *Surat Pemberitahuan Obyek Pajak*) shall be made in such a way that it does not cause misinterpretation that may inflict a loss both to the state and the taxpayer him/herself.

Correct, means the data reported must conform to the real condition, such as the area extent of the land and/or the building, acquisition year and price and so on in accordance with the columns/questions in the Tax Object Notification Letter (SPOP).

Paragraph (3)

Self-explanatory.

Article 10

(1) Based on the Tax Object Notification Letter as referred to in Article 9 paragraph (1), the Director General of Taxes issues a Notification of Tax Due (*Surat Pemberitahuan Pajak Terutang*).

(2) The Director General of Taxes may issue a Tax Assessment Letter (*Surat Ketetapan Pajak*) in any of the following events:

a. if the Tax Object Notification Letter is not submitted as referred to in Article 9 paragraph (2) and after being reprimanded in writing, it is not submitted as specified in the Warning Letter;

b. if based on the audit result or other information it turns out that the amount payable is higher than the amount of tax calculated based on the Tax Object Notification Letter submitted by the taxpayer.

(3) The amount of tax payable in the Tax Assessment Letter (*Surat Ketetapan Pajak*) as referred to in paragraph (2) letter a, is the tax principal plus the administrative fine of 25% (twenty five percent) calculated from the tax principal.

(4) The amount of tax payable in the Tax Assessment Letter as referred to in paragraph (2) letter b is the difference between the tax payable based on the audit result or other information and the tax payable which is calculated based on the Tax Object Notification Letter plus the

administrative fine of 25% (twenty five percent) of the difference of the tax payable。

Elucidation of Article 10

Paragraph (1)

Notification of Tax Due (SPPT) is issued based on the Tax Object Notification Letter (SPOP), however, in order to assist the taxpayers, the Notification of Tax Due can be issued based on tax object data available in the Directorate General of Taxes.

Paragraph (2)

Provisions in this paragraph authorizes the Directorate General of Taxes to issue a Tax Assessment Letter (*Surat Ketetapan Pajak*/SKP) to the taxpayer who does not fulfill the tax obligations properly.

According to the provision in paragraph (2) letter a, a taxpayer who does not submit his/her Tax Object Notification Letter on time, even though has been reprimanded in writing, and still failing to submit it within the period as specified in the Warning Letter, the Director General of Taxes may issue a Tax Assessment Letter on in officio basis. On this stipulation, is subject to administrative sanction as specified in paragraph (3).

According to the provision in paragraph (2) letter b, if based on the audit result or other information available in the Directorate General of Taxes, found that the amount of tax payable is higher than the amount of tax in the Notification of Tax Due which is calculated based on the Tax Object Notification Letter submitted by the taxpayer, the Director General of Taxes issues a tax assessment letter on in officio basis. On this stipulation, is subject to administrative sanction as specified in paragraph (3)。

Paragraph (3)
This paragraph provides for administrative sanctions to be imposed on taxpayers who do not submit the Tax Object Notification Letter as referred to in paragraph (2) letter a, such sanctions are imposed in addition to the tax principal, namely at 25% (twenty five percent) of the tax principal.

This Tax Assessment Letter, based on data available in the Directorate General of Taxes, contains the determination of the tax object and the amount of tax payable along with the administrative fine imposed on the taxpayer.

Example:

Taxpayer A does not submit the SPOP。

Based on the available data, the Director General of Taxes issues an SKP which contains:

- tax object with the area extent and the sales value
- area extent of the tax object according to the SPOP.
- tax principal = Rp 1.000.000,00
- administrative sanction 25% x Rp 1.000.000,00 = Rp 250.000,00
- Amount of tax payable in the SKP = Rp 1.250.000,00

Paragraph (4)

This paragraph provides for the administrative sanctions imposed on the taxpayer who fills out the Tax Object Notification Letter not in conformity with the real condition as referred to in paragraph (2) letter b, namely at 25% (twenty five percent) of the difference between the tax payable based on the audit result or other information and the tax payable in the Notification of Tax Due which is calculated based on the Tax Object Notification Letter submitted by the taxpayer。

Based on the SPOP, SPPT issued	=	Rp	1.000.000,00
Based on the audit, that should be payable in the SKP	=	Rp	1.500.000,00
Difference	=	Rp	500.000,00
Administrative fine 25% x Rp. 500.000,00	=	Rp	125.000,00
Amount of tax payable in the SKP	=	Rp	625.000,00
As to the amount of tax payable is	=	Rp	1.000.000,00

The amount specified in the Notification of Tax Due, if not paid yet by the taxpayer, its collection shall be carried out based on the Notification of Tax Due.

CHAPTER VIII
PROCEDURES OF PAYMENT AND BILLING

Article 11

(1) Taxes payable based on the Notification of Tax Due as referred to in Article 10 paragraph (1) must be paid fully not later than 6 (six) months as of the taxpayer's receipt date of the Notification of Tax Due.

(2) Taxes payable based on the Tax Assessment Letter as referred to in Article 10 paragraph (3) and paragraph (4) must be paid fully not later than 1 (one) month as of the taxpayer's receipt date of the Tax Assessment Letter.

(3) Any Tax payable which, at the maturity of payment, is not paid or underpaid, shall be subject to an administrative fine of 2% (two percent) per month, which is calculated as from the maturity date until actual payment day for a maximum period of 24 (twenty-four) months.

(4) The administrative fine as referred to in paragraph (3) plus the unpaid or underpaid tax payable shall be billed with a Tax Collection Letter which must be paid fully not later than 1 (one) month as of the taxpayer's receipt date of the Tax Collection Letter.

(5) The Taxes payable shall be paid at Banks, Post and Giro Offices, and other places appointed by the Minister of Finance.

(6) The procedures for payment and collection as referred to in paragraph (1), paragraph (2), paragraph (3), paragraph (4), and paragraph (5) shall be regulated by the Minister of Finance.

Elucidation of Article 11

Paragraph (1)

Example:

If the SPPT is received by the taxpayer on 1 March 1986, then, its payment due date is 31 August 1986.

Paragraph (2)

Example:

If the SKP is received by the taxpayer on 1 March 1986 then, its payment due date is 31 March 1986.

Paragraph (3)

According to this provision, the tax payable that is unpaid or underpaid at the payment due date, shall be subject to an administrative fine of 2% (two percent) per month of the unpaid or underpaid amount for a maximum period of 24 (twenty four) months, and a fraction of a month shall be calculated as full 1 (one) month.

Example:

An SPPT of Fiscal year 1986 is received by the taxpayer on 1 March 1986 with the tax payable amounting to Rp. 100.000,00 (one hundred thousand rupiah).

By the taxpayer, it has just been paid on 1 September 1986. Then, such a taxpayer is subject to an administrative fine of 2% (two percent), namely:

2% x Rp. 100.000,00 = Rp 2.000,00.

The tax payable that must be paid on 1 September 1986 is:
Tax principal + administrative fine = Rp 100.000,00 + Rp. 2.000,00 = Rp 102.000,00

If such a taxpayer has just paid his/her tax debt on 10 October 1986, then the taxpayer is subject to a fine

2 x 2% of the tax principal, namely: 4% x Rp. 100.000,00 =Rp 4.000,00.

The tax payable that must be paid on 10 October 1986 is: Tax principal + administrative fine = Rp 100.000,00 +Rp 4.000,00 = Rp 104.000,00.

Paragraph (4)

According to this provision, the administrative fine and the tax principal as referred to in the explanatory example of paragraph (3) is billed using a Tax Collection Letter (STP) which must be paid fully within one month as of the receipt date of the STP.

Paragraph (5)

Self-explanatory.

Paragraph (6)

Self-explanatory.

Article 12

The Notification of Tax Due, the Tax Assessment Letter, and the Tax Collection Letter are the basis for tax collection。

Elucidation of Article 12

Self-explanatory.

Article 13

The amount of tax that is payable based on the Tax Collection Letter that is not paid on time can be billed with a Distress Warrant。

Elucidation of Article 13

In case the tax bill payable is paid after the determined maturity, its collection shall be carried out by using a distress warrant which is currently based on Law Number 19 of 1959 regarding State Tax Collection with Distress Warrant.

Article 14

The Minister of Finance may delegate the authority to collect taxes to the Governor the Head of the First Level Region and/or the Regent/Mayor Head of the Second Level Region.

Elucidation of Article 14

The delegation of collection authority to the Governor Head of the First Level Region and/or the Regent/Mayor Head of the Second Level Region, is not a delegation of collection affairs, but only as a tax collector, whereas the data collection of tax objects and the placement of taxes payable shall be remain the authority of the Minister of Finance. In the event the amount of tax payable as stated in the Notification of Tax Due does not match the tax object in the field, the tax collector is not allowed to change the amount of tax payable, but must report the same to the Minister of Finance, in this case the Director General of Taxes.

CHAPTER IX
OBJECTION AND APPEAL

Article 15

(1) Taxpayer may file objections to the Director General of Taxes on:

a. the Notification of Tax Due;

b. Tax Assessment Letter。

(2) Objections shall be submitted in writing in Bahasa Indonesia by stating the reasons clearly。

(3) Objections must be submitted within 3 (three) months as of the receipt date of the letter as referred to in paragraph (1) by the taxpayer, unless the taxpayer is able to show that such a period cannot be fulfilled due to circumstances beyond his/her control.

(4) The receipt of Objection letter given by an official of the Directorate General of Taxes appointed for that purpose and or the receipt of Objection Letter by registered post shall be a proof of receipt of the Objection Letter for the benefit of the taxpayer.

(5) If requested by the taxpayer for the purpose of submission of an objection, the Director General of Taxes is obliged to provide in writing the matters that become a tax imposition basis.

(6) Submission of an objection shall not postpone the obligation to pay taxes.

Elucidation of Article 15

Paragraph (1)

Any objection to the Notification of Tax Due and the Tax Assessment Letter must be submitted each in a separate objection letter for each fiscal year.

Paragraph (2)

Self-explanatory.

Paragraph (3)

This provision is intended to give a sufficient time for taxpayers to prepare the objection letter and the reasons thereof.

If evident that such a 3 (three) months time limit cannot be fulfilled by the taxpayer due to any circumstances beyond his/her control ("force major"), then, such a time period may still be considered for extension by the Director General of Taxes.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory.

Paragraph (6)

Self-explanatory.

Article 16

(1) The Director General of Taxes, within not later than 12 (twelve) months as of the receipt date of the Objection Letter, shall give a decision on the objection filed.

(2) Before issuance of the decision letter, the taxpayer may submit additional reasons or a written explanation.

(3) The decision of the Director General of Taxes on the objection can take the form of accepting in its entirety or in part, declining or increasing the amount of the tax payable.

(4) In the event the Taxpayer files an objection to the tax assessment letter as referred to in Article 10 paragraph (2) letter a, the relevant Taxpayer must be able to prove the incorrectness of such a tax assessment.

(5) If the period as referred to in paragraph (1) lapses and the Director General of Taxes does not give a decision, such an objection shall be deemed accepted.

Elucidation of Article 16

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

This provision requires the taxpayer to prove the incorrectness of the tax assessment, in the event the Taxpayer files an objection to the taxes that are assessed on in officio basis

If the Taxpayer is unable to prove the incorrectness of Tax Assessment Letter on in officio basis, his/her objection shall be declined.

Paragraph (5)

This provision is intended to provide legal certainty for the taxpayers, namely if within 12 (twelve) months as of the receipt date of the objection letter, the Director General of Taxes does not make a decision on the objection filed, it means the objection is accepted.

Article 17

Deleted. *)

Elucidation of Article 17

With the deletion of Article 17, the provisions on appeal of Land and Building Tax shall follow the provisions in Article 27 of Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation as amended by Law Number 9 of 1994 (State Gazette of 1994 Number 59, Supplement to the State Gazette Number 3566).

*) : First Amendment (Law Number 12 of 1994)

CHAPTER X
SHARING OF TAX REVENUES

Article 18

(1) Tax revenue outcome is the state revenues that are shared between the Central Government and the Regional Governments with the share of at least 90% (ninety percent) for the Second Level Regional Governments and the First Level Regional Governments as income of the relevant regions.

(2) Most of the share of Regional Government revenue as referred to in paragraph (1) is given to the Second Level Regional Governments.

(3) The sharing of the Tax revenue outcome as referred to in paragraph (1) and paragraph (2) shall be regulated by the Government Regulation.

Elucidation of Article 18

Paragraph (1)

Self-explanatory.

Paragraph (2)

Since this tax revenue is directed to the interests of the people in the relevant Second Level Regions, most of this tax revenue is given to the Second Level Regions.

Paragraph (3)

Self-explanatory.

CHAPTER XI
MISCELLANEOUS

Article 19

(1) The Minister of Finance may provide a reduction in the tax payable:

a. due to certain conditions of the tax object that are related to the tax subject and/or due to certain other reasons;

b. in the event that the tax object is affected by a natural disaster or other extraordinary causes.

(2) The provisions on the granting of tax deductions as referred to in paragraph (1) shall be regulated by the Minister of Finance.

Elucidation of Article 19

Paragraph (1)

Letter a

Certain conditions of the tax object that relate to the tax subject and other certain causes, in the form of very limited agricultural land, self-occupied buildings that are controlled or owned by certain groups of taxpayers, lands whose sales value increases as a result of environmental changes and positive impacts of the development and its utilization are not yet in conformity with the environmental designation.

Letter b

- Natural disasters mean earthquakes, floods, landslides.
- Other extraordinary reasons mean, such as:
  - fires;
  - droughts;
  - plant disease outbreaks;
  - plant pests.

Paragraph (2)

Self-explanatory.

Article 20

At the request of the taxpayer, the Director General of Taxes may deduct the administrative fines due to certain matters.

Elucidation of Article 20

This provision gives the taxpayers an opportunity to request for reduction of administrative fines as referred to in Article 10 paragraph (3), Article 11 paragraph (3), and paragraph (4), to the Director General of Taxes.

The Director General of Taxes may deduct part or all of the administrative fine.

Article 21

(1) Officials who in their position or in their job duty directly relate with the tax objects, are obliged to:

a. submit in writing a monthly report on all mutations and changes in the condition of the tax object to the Directorate General of Taxes whose working area covers the tax object location;

b. provide any necessary information at the request of the Directorate General of Taxes.

(2) The obligation to provide information as referred to in paragraph (1) letter b also applies to other officials who relate with the tax object.

(3) In the event the official as referred to in paragraphs (1) and (2) is bound by an obligation to keep the office secrets confidential, the such an obligation to keep confidential is waived as long as it concerns the implementation of this law.

(4) The procedure for submitting the reports and the requests for information as referred to in paragraphs (1) and (2) shall be regulated by the Minister of Finance.

Elucidation of Article 21

Paragraph (1)

- Officials whose job duty directly relates with the tax object are: the Sub-District Heads (Camat) as Land Deed Official, Notary & Land Deed Official, and Land Deed Officials.
- written reports on the mutation of tax object, includes, among other things, the sales and purchase, grants, inheritances, must be submitted to the Directorate General of Taxes whose working area covers the tax object location.

Paragraph (2)

Officials as referred to in paragraph (1) include, for examples, Village Office Head or Village Head, City Planning Service Official, Building Supervision Service Official, Agrarian Official, Property and Heritage Office (*Balai Harta Peninggalan*/BHP) Official.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Article 22

Officials who do not fulfill the obligations as referred to in Article 21 shall be subject to sanctions in accordance with the prevailing statutory regulations.

Elucidation of Article 22

The statutory regulations applicable to the officials in this article are, among others:

Government Regulation Number 30 of 1980 regarding Disciplinary Regulations for Civil Servants, Staatsblad 1860 Number 3 regarding Regulations of Notary Position。

Article 23

As to any matters that are not specifically regulated in this Law, the provisions in Law Number 6 of 1983 regarding the General Provisions and Procedures of Taxation shall apply as amended by Law Number 9 of 1994 (State Gazette of 1994 Number 59, Supplement to State Gazette Number 3566) and other statutory regulations. *)

Elucidation of Article 23

Other statutory regulations mean, among others, Law Number 19 of 1959 regarding State Tax Collection with Distress Warrant。

CHAPTER XII
CRIMINAL PROVISIONS

Article 24

Any person who, due to his/her negligence:

a. does not return/submit the Tax Object Notification Letter to the Directorate General of Taxes;

b. submit the Tax Object Notification Letter, but its contents are incorrect or incomplete, and/or attach information containing incorrect contents

so that results in a loss to the State, shall be sentenced with imprisonment for a maximum 1 (one) year and a fine in maximum 2 (two) times the tax payable.

Elucidation of Article 24

Negligence as referred to in this article means unintentional, negligent, and careless thus such an action results in a loss to the state.

*) : First Amendment (Law Number 12 of 1994)

The Tax Object Notification Letter must be returned/submitted to the Directorate General of Taxes not later than 30 days as of the receipt date of the Tax Object Notification Letter as referred to in Article 9 paragraph (2).

Article 25

(1) Any person who intentionally:

a. does not return/submit the Tax Object Notification Letter to the Directorate General of Taxes;

b. submits the Tax Object Notification Letter, but its contents are incorrect or incomplete, and/or attach information containing incorrect contents;

c. shows false or falsified documents or other documents that are false or falsified as if they are true;

d. does not show or does not lend letters or other documents;

e. does not show data or does not provide the required information; so that results in a loss to the State, shall be punished with imprisonment for a maximum of 2 (two) years or a fine of a maximum 5 (five) times the tax payable.

(2) As to the non-taxpayer who takes commits in any actions as referred to in paragraph (1) letter d and letter e, shall be sentenced with imprisonment for a maximum of 1 (one) year or a fine in maximum of Rp. 2.000.000,- (two million rupiah).

(3) The penal section threads as referred to in paragraph (1) is doubled if a person commits in another criminal offence in the taxation sector before the lapse of 1 (one) year as of completing in undergoing the entire or part of the imprisonment sentence awarded or as of the payment of the fine.

Elucidation of Article 25

Paragraph (1)

The deeds or actions as referred to in this paragraph that are carried out intentionally constitute criminal offenses, therefore threatened with more severe imprisonment.

Paragraph (2)

Non-taxpayer in this paragraph means an official whose job duty directly relates with or has a relationship with the tax objects or other parties.

Paragraph (3)

In order to prevent the repetition of criminal offence in taxation, those who commits in another criminal offence as referred to in paragraph (1) before the lapse of 1 (one) year as of completing in undergoing the entire or part of the imprisonment sentence awarded or as of the payment of the fine, shall be punished with more severe penal sanction, namely 2 (two) times the imprisonment threat as referred to in paragraph (1).

Article 26

Criminal offences as referred to in Article 24 and Article 25 cannot be prosecuted after the lapse of 10 (ten) years as of the expiry of the relevant fiscal year.

Elucidation of Article 26

Deviation from the provisions in Article 78 of the Criminal Code is intended to adjust to the obligation to keep the tax documents for a period of 10 (ten) years.

Article 27

Deleted. *)

Elucidation of Article 27

Self-explanatory.

Article 28

At to the Regional Development Contribution (*Iuran Pembangunan Daerah* /Ipeda), Wealth Tax (*Pajak Kekayaan* /PKk), Road Tax and Household Tax (*Pajak Rumah Tangga* /PRT) that are payable for the fiscal year 1985 and earlier, the old provisions of tax statutory regulations shall apply until 31 December 1990.

Elucidation of Article 28

Self-explanatory.

Article 29

Upon the coming into effect of this Law, the existing implementing regulations in the field of Regional Development Contribution (Ipeda) based on Law Number 11 Prp Year 1959 regarding Land Product Tax, shall remain in effect until 31

*) : First Amendment (Law Number 12 of 1994)

December 1990 as long as not contrary to and have not been regulated by new implementing regulations based on this Law.

Elucidation of Article 29

Self-explanatory.

Article 30

As to the tax objects in the oil and gas mining sector as well as in other mining sectors, in relation to Work Contracts and Production Sharing Contracts, which are still valid when this Law comes into effect, are still subject to the Regional Development Contribution (Ipeda) based on the provisions in the Work Contracts and the Production Sharing Contracts that are still valid.

Elucidation of Article 30

The provisions in this law shall only apply to the tax objects used within the framework of the Work Contracts and the Production Sharing Contracts in the oil and gas mining sector as well as in other mining sectors the agreements of which are signed since this Law comes into effect, namely 1 January 1986, whereas as to the Work Contracts and the Production Sharing Contracts that have been existent, the provisions as specified in the Work Contracts and the Production Sharing Contracts shall remain apply.

CHAPTER XIII
CLOSING PROVISION

Article 31

This law comes into effect as of 1 January 1986.

Elucidation of Article 31

Self-explanatory.

For public cognizance, orders the publication of this Law by placing it in the State Gazette of the Republic of Indonesia.

NOTES

Law Number 12 of 1994 regarding Amendment to Law Number 12 of 1985 regarding Land and Building Tax:

Article II

Upon the coming into effect of this Law, the existing implementing regulations in the Land and Building Tax sector based on Law Number 12 of 1985 regarding Land and Building Tax, shall remain valid as long as not contrary to and have not been regulated by new implementing regulations based on this Law.

Article III

This law can be called as "Law on Amendment to the Land and Building Tax Law"。

Article IV

This law comes into effect as of 1 January 1995。

djp

Direktorat Jenderal Pajak

LET'S PAY TAX FOR INDONESIA ADVANCED

STEPPING FORWARD



To finance all State Expenditures such as national development, law enforcement, state security, economic, defense and security infrastructures.

Paying taxes also helps in regulating many things such as inflation rate and the state's economic growth.

Taxes we pay contribute in providing protection for domestically produced goods and in stabilizing the Indonesia's economic situation.

Paying taxes can also be a useful tool to boost the export activity rate (export tax on goods) in Indonesia.

PRESIDENT
OF THE REPUBLIC OF INDONESIA

COMPILATION INTO SINGLE DOCUMENT OF LAW OF THE REPUBLIC OF INDONESIA NUMBER 10 OF 2020 REGARDING STAMP-DUTY

CHAPTER I
GENERAL PROVISIONS

Article 1

In this Law, the following definitions apply:

1. Stamp Duty is a tax on Documents.
2. Document is something written or a writing, in handwritten, printed, or electronic form, which can be used as evidence or certificate.
3. Signature is a sign as a symbol of name as usually used, including initial, imprint or seal of signature or initial seal or name seal, or other signs in lieu of signature, or electronic signature as referred to in the law in the field of information and electronic transaction.
4. Duty Stamp is a label or strip in affixed, electronic form or other forms that has characteristics and contains a security element that is issued by the Government of the Republic of Indonesia, used to pay taxes on Documents.
5. Indebted Party is a party who is subject to the Stamp Duty and is obliged to pay the Stamp Duty payable.
6. Postdated Duty Stamping is a duty-stamping that requires legalization from an official designated by the Minister.
7. Everyone is an individual person and/or entity, whether incorporated or unincorporated.
8. Minister is the minister who performs government affairs in the financial sector.

<u>Elucidation of Article 1</u>

*) : First Amendment (Law Number 9 of 1994)
**) : Second Amendment (Law Number 16 of 2000)
***) : Third Amendment (Law Number 28 of 2007)
****) : Fourth Amendment (Law Number 16 of 2009)
*****) : Fifth Amendment (Law Number 11 of 2020)
******) : Sixth Amendment (Law Number 7 of 2021)

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Self-explanatory.

Article 2

(1) Stamp Duty arrangements are carried out based on the following principles:

a. simplicity;

b. efficiency;

c. justice;

d. legal certainty; and

e. benefit.

(2) Stamp Duty arrangement is aimed to:

a. maximize the state revenues in order to finance the national developments independently towards a prosperous Indonesian society;

b. provide legal certainty in the Stamp Duty collection;

c. adapt to the needs of the community;

d. apply the Stamp Duty imposition on a fairer basis; and

e. harmonize the provisions on Stamp Duty with the provisions in other statutory regulations.

Elucidation of Article 2

Paragraph (1)

Letter a

"Simplicity principle" means the Stamp Duty arrangement must be able to provide service convenience to the public in fulfilling their rights and obligations.

Letter b

"Efficiency principle" means the Stamp Duty arrangement must be oriented to minimizing the use of resources to achieve the best work results.

Letter c

"Justice principle" means the Stamp Duty arrangement upholds the balance of rights and obligations of each of the parties involved.

Letter d

"Legal certainty principle" means the Stamp Duty arrangement must be able to realize the orderliness within the community through the guarantee of legal certainty.

Letter e

"Benefit principle" means the Stamp Duty arrangement is beneficial for the interests of the state, the nation, and the people, particularly in promoting the public welfare.

Paragraph (2)

Letter a

Self-explanatory.

Letter b

Self-explanatory.

Letter c

Self-explanatory.

Letter d

Self-explanatory.

Letter e

In relation to development in law, business, and technology, regulations on Stamp Duty need to be harmonized with the provisions of the relevant statutory regulations, including the statutory regulations in the field of information and electronic transaction.

CHAPTER II
OBJECT, RATE, AND TIME ON WHICH THE STAMP DUTY IS PAYABLE

Part One
Stamp Duty Object

Article 3

(1) Stamp Duty is imposed on:

a. Documents made as a tool to explain a civil incident; and

b. Documents used as evidences in the courts.

(2) Civil documents as referred to in paragraph (1) letter a, include:

a. agreements, certificates, statement letters, or other similar letters, along with copies there;

b. notarial deeds along with grosse, copies, and excepts thereof;

c. deeds of Land Deed Officials along with copies and excerpts thereof;

d. securities in any name and in any form;

e. Securities transaction documents, including futures contract transaction documents, in any name and in any form;

f. Auction documents in the form of excerpt of auction minutes, auction minutes, copies of auction minutes, and grosse of auction minutes;

g. Documents stating AN amount of money with the nominal value exceeding Rp. 5.000.000,00 (five million rupiah) which:

   1. mention a receipt of money; or

   2. contain acknowledgment that the debts have been fully or partially paid off or taken in to account; and

h. Other documents stipulated by a Government Regulation.

Elucidation of Article 3

Paragraph (1)

Letter a

"Civil event" means any event that falls within the scope of civil law regarding people, goods, engagements, evidences, and expiration.

Letter b

This paragraph is intended to impose Stamp Duty on Documents that are used as evidences in the courts, namely:

1. Documents on which Stamp Duty are payable that have not been paid in full, including Documents for which the Stamp Duty has not been paid in full, but have expired; and

2. Documents which were previously not subject to the Stamp Duty as they were not included in the definition of Stamp Duty object based on the provisions in this article.

The aforesaid documents must first be treated to be Postdated Duty Stamping when they will be used as evidences in the court. This provision confirms that the types of Documents can change to be types of Documents as evidence in the court due to be used for a purpose that is different from the purpose when the Document was created. A document that constitutes a Stamp Duty object for

which the Stamp Duty has been paid in accordance with the provisions in this Law, when used as an evidence Document in the court, is no longer obliged to be treated to be Postdated Duty Stamping.

Paragraph (2)

Letter a

"Other similar letters" mean letters that are similar to statement letters, such as, power of attorney, grant letter, and testaments.

"Copy" means a unit of number of Documents. For example, an agreement entered into by 2 (two) parties in 2 (two) copies, then each of the Document is subject to a Stamp Duty.

Letter b

In principle, Stamp Duty as a tax on Document is only imposed 1 (one) time for each Document. This means that a grosse, copies, and excerpts of notarial deeds are subject to the same Stamp Duty as the original.

"Grosse, copy and excerpt of deed" ha the meaning in conformity with the definition as referred to in the law on notary position.

Letter c

"Copy of deed" means a verbatim copy of the entire deed and on the bottom of the copy of deed is written a phrase "given as a true COPY" (*"diberikan sebagai SALINAN yang sama bunyinya"*).

"Excerpt of deed" means a verbatim quote of 1 (one) or several parts of a deed and on the bottom of the quote of deed is written a phrase "given as an EXCERPT" (*"diberikan sebagai KUTIPAN"*).

Letter d

"Securities" mean, among other things, shares, bonds, cheques, bilyet giro, acceptances, notes, sukuk, bills of exchange, warrants, options, deposits, and the like, including collective share certificates or a group of other securities. For example, issuance of 100 (one hundred) shares that is specified in 1 (one) share collective certificate, then, the Stamp Duty is only payable on the collective share certificate.

Letter e

"Securities transaction documents" include, among other things, evidences of securities transfer transactions that are carried out on the stock exchange in the form of trade confirmations or evidences of other securities transfer transactions in any name and in any form, including Documents in the form of notarial deeds, official receipts, or other documents, which are used as evidences of securities transfer transactions conducted outside the stock exchange.

"Futures contract transaction document" means, among other things, an evidence of commodity futures transfer contract and securities futures contract in any name and in any form, carried out whether on the stock exchange or the futures exchange.

Letter f

"Excerpt of auction minutes, auction minutes, copy of auction minutes, and grosse of auction minutes" has the meaning in conformity with the meaning as referred to in statutory regulations in auction sector.

Letter g

This amount of money or nominal value also means the amount of money or nominal value that is expressed in foreign currency. To determine its rupiah value, the amount of money or nominal value is multiplied by the exchange rate determined by the Minister, that is applicable when the Document is made so that it can be known whether the Document is subject to the Stamp Duty or not.

Letter h

Self-explanatory.

Article 4

Stamp Duty is imposed 1 (one) time for each Document as referred to in Article 3.

Elucidation of Article 4

Self-explanatory.

Part Two
Stamp Duty Tariff

Article 5

Documents as referred to in Article 3 are subject to the Stamp Duty at a fixed rate of Rp. 10.000,00 (ten thousand rupiah).

Elucidation of Article 5

Self-explanatory.

Article 6

(1) The amount of nominal value limit for a Document to be subject to the Stamp Duty as referred to in Article 3 paragraph (2) letter g can be reduced or increased in accordance with the national economic condition and the people's income level.

(2) The amount of the Stamp Duty tariff as referred to in Article 5 can be reduced or increased in accordance with the national economic condition and the people's income level。

(3) Documents as referred to in Article 3 can be subject to the Stamp Duty at different fixed rates to the effect of implementing the government programs and supporting the implementation of monetary and/or financial sector policies.

(4) The change in the nominal value limit for Documents to be subject to the Stamp Duty as referred to in paragraph (1), the amount of the Stamp Duty tariff as referred to in paragraph (2), or Documents and different fixed rates as referred to in paragraph (3), shall be stipulated by a Government Regulation after consultation with the House of Representatives of the Republic of Indonesia。

Elucidation of Article 6

Paragraph (1)

The national economic condition and the people's income can be shown, among other things, from the levels of economic growth, inflation, investment, state revenue, and/or people's purchasing power.

Paragraph (2)

The national economic condition and the people's income can be shown, among other things, from the levels of economic growth, inflation, investment, state revenue, and/or people's purchasing power.

Paragraph (3)

As an example, the imposition of different fixed rates, such as, on the Securities documents, can be subject to the Stamp Duty at a fixed rate that is different from the applicable rate based on the need for implementation of financial sector policies to the effect of financial inclusion or financial market deepening.

Paragraph (4)

"House of Representatives of the Republic of Indonesia" means a commission in charge of the finance and banking。

Article 7

Stamp Duty is not imposed on the Documents that take the form of:

a. documents related to the traffic of people and goods:
   1. goods storage letter;
   2. bill of lading;
   3. passenger and freight transportation documents;
   4. evidences for delivery and receipt of goods;
   5. delivery letters of goods for sale on account of the sender; and
   6. other letters that can be equated with the letters as referred to in number 1 up to number 5;

b. all forms of diplomas;

c. receipts of salary payment, waiting fees, pensions, allowances, and other payments related to employment relationship, as well as letters submitted to obtain the relevant payments;

d. proofs of state money receipt from the state cash account, regional government cash account, banks, and other institutions appointed by the state based on the provisions of statutory regulations;

e. official receipts for all kinds of taxes and for other equivalent receipts originating from the state cash account, regional government cash account, banks and other institutions appointed based on the provisions of statutory regulations;

f. receipts of money made for internal purposes of organizations;

g. Documents that mention money deposits or securities, payments of money deposits to depositors by banks, cooperatives, and other entities that organize money deposits, or issuance of securities by custodians to customers;

h. mortgage letters;

i. coupons of dividends, interests, or yields from securities, in any name and in any form; and

j. Documents issued or produced by Bank Indonesia to the effect of implementation of monetary policies.

Elucidation of Article 7

Letter a

In order to support the people and goods traffic activities, the documents related to the traffic of people and goods are not subject to the Stamp Duty.

Number 1

Self-explanatory.

Number 2

Bill of Lading is a ship bill of lading or a certificate (covering letter) of goods transported by ship.

Number 3

Self-explanatory.

Number 4

Self-explanatory.

Number 5

Self-explanatory.

Number 6

"Other letters" mean any letters that are referred to in numbers 1 up to 5. However, since its contents and use can be can equated with the relevant letters, such letters are not subject to the Stamp Duty. For example, letter of deposit of goods, warehouse *ceel*, and passenger manifest.

Letter b

Included in the definition of diploma are certificates of study completion, certificates of graduation, certificates participation in an education, training, course, upgrading, and the like.

Letter c

Self-explanatory.

Letter d

Self-explanatory.

Letter e

Self-explanatory.

Letter f

Self-explanatory.

Letter g

Documents that mention money deposits include Documents that contain money bookkeeping or money deposits in the customer savings in accounts with banks, cooperatives, and other entities that manage money deposits and/or contain notification of the balance of such deposits.

Documents that mention securities deposits include Documents that contain bookkeeping, storage, ownership, or notification of balance of customer's securities with the custodians.

"Custodian" means a custodian as referred to in the law in capital market sector.

Examples of money saving Documents with banks include savings and demand deposits. Example of Securities deposit documents with the custodians include statements of account.

Letter h

Self-explanatory.

Letter i

Self-explanatory.

Letter j

"Documents issued or produced by Bank Indonesia to the effect of application of monetary policies" mean, among other things, Documents on issuance of Bank Indonesia Certificates (SBI) and Bank Indonesia Discount Certificates (SDBI), repurchase agreements (Repo) and reverse repurchase agreements of securities, Swap Documents including hedging swaps, USD Repo transaction documents, Futures export note purchase documents, and futures placement documents.

Part Three
Time When Stamp Duty Payable

Article 8

(1) Stamp Duty is payable at the time:

a. The document is affixed with Signature, for:

1. agreements along with copies thereof as referred to in Article 3 paragraph (2) letter a;

2. notarial deed along with a grosse, copies, and excerpts thereof as referred to in Article 3 paragraph (2) letter b; and

3. deed of the Land Deed Official along with copies and excerpts thereof as referred to in Article 3 paragraph (2) letter c.

b. Documents are completely made, for:

1. securities any name and in any form as referred to in Article 3 paragraph (2) letter d; and

2. Securities transaction documents, including Futures contract transaction documents, any name and in any form as referred to in Article 3 paragraph (2) letter e.

c. Documents are submitted to the party for whom the Documents are made, for:

1. certificates, statement letters, or other similar letters, along with copies thereof as referred to in Article 3 paragraph (2) letter a;

2. tender documents as referred to in Article 3 paragraph (2) letter f; and

3. Documents that mentioning the amount of money as referred to in Article 3 paragraph (2) letter g.

d. Documents are submitted to the court, for Documents for use as evidence in the courts as referred to in Article 3 paragraph (1) letter b.

e. Documents are used in Indonesia, for Documents as referred to in Article 3 paragraph (2) that are made overseas.

(2) The Minister may determine another time when the Stamp Duty is payable.

(3) Further provisions on the determination of another time when the Stamp Duty is payable as referred to in paragraph (2) shall be regulated in the Ministerial Regulation.

Elucidation of Article 8

Paragraph (1)

Letter a

The time when the Stamp Duty is payable on a Document that is affixed with Signature in this provision is when the Document has been completely made, which is closed by affixing the signature of the relevant person. For example, a sale and purchase agreement, the Stamp Duty is payable at the time the agreement is signed.

Letter b

The time when the Stamp Duty is payable on a Document as referred to in this provision is when the Document is made by the Document issuer. Documents in this provision do not involve or require a Signature so that the time when a type of Document is payable in this provision occurs when the Document is completely made. Determination of the completion in making a Document is usually known from the Document date, but can also be known from other signs

that can indicate when the Document is completely made. As an example is a trade confirmation of purchase of share securities on the stock exchange in the form of electronic document, the Stamp Duty is payable when the trade confirmation is made by system by the company.

Letter c

The time when the Stamp Duty is payable on the Document as referred to in this provision is when the Document is submitted to the party for whom the Document is made, not at the time it is signed, for example official receipts, checks, and so on. The time when a Document is payable in this provision relates with the benefits of a Document that only occurs when it is submitted to the party for whom the Document is made。

Letter d

Self-explanatory.

Letter e

"When used in Indonesia" means when the relevant Document is used or functioned as a complement or accompaniment for an affair within Indonesian jurisdiction.

For example, an indenture agreement document that is made abroad is used in Indonesia when the document is made the basis for debt collection, basis for recording or bookkeeping, or an attachment to a report.

Paragraph (2)

If in the implementation in the field there are difficulties regarding the determination of the time when the Stamp Duty is payable, the Minister may determine a time other than that specified in this Law.

For example, in the event the preparation of a Document in the form of proof of transfer of securities cannot be known at the time of completion, then, it can be determined another time to determine when the Stamp Duty is payable, for example when the contract is signed or when it is recorded in the bookkeeping.

Paragraph (3)

Self-explanatory.

CHAPTER III
INDEBTED PARTY AND COLLECTOR OF THE STAMP DUTY

Part One
Indebted Party of the Stamp Duty

Article 9

(1) On a Document which is made unilaterally, the Stamp Duty is payable by the party who receives the Document.

(2) On a Document which is made by 2 (two) or more parties, the Stamp Duty is payable by each of the respective parties on the documents they receive.

(3) Excluded from the provisions as referred to in paragraph (1) and paragraph (2), on Documents in the form of securities as referred to in Article 3 paragraph (2) letter d, the Stamp Duty is payable by the securities issuer.

(4) On a Document which is used as an evidence in the court as referred to in Article 3 paragraph (1) letter b, the Stamp Duty is payable by the party who submits the Document.

(5) On the Documents as referred to in Article 3 which are made overseas and used in Indonesia, the Stamp Duty is payable by the beneficiary of the Document.

(6) Provisions on the Indebted Party as referred to in paragraph (1), paragraph (2), paragraph (3), paragraph (4), and paragraph (5) do not prevent any party or parties from agreeing or determining the party who shall pay the Stamp Duty.

Elucidation of Article 9

Self-explanatory.

Part Two
Stamp Duty Collector

Article 10

(1) Collection of Stamp Duties payable on the Documents as referred to in Article 3 paragraph (2) can be carried out by the Stamp Duty collectors.

(2) Further provisions on the determination of the Stamp Duty collector as referred to in paragraph (1) shall be regulated in the Ministerial Regulation.

Elucidation of Article 10

Self-explanatory.

Article 11

(1) The Stamp Duty Collector is obliged to:

a. collect the Stamp Duties payable on certain Documents from the Indebted Party;

b. deposit the Stamp Duty to the state cash account; and

c. report the collection and deposit of Stamp Duty to the office of Directorate General of Taxes。

(2) The Stamp Duty Collector who does not perform the collection obligations as referred to in paragraph (1) letter a and/or letter b, shall be is issued with a tax assessment letter in accordance with the provisions of the statutory regulations on the general provisions and procedures of taxation.

(3) The amount of underpaid Stamp Duty in the tax assessment letter as referred to in paragraph (2) is equal to the Stamp Duty that is not collected or under-collected and/or is not paid up or underpaid up, plus the administrative sanction of 100% (one hundred percent) of the Stamp Duty that is not collected or under-collected and/or is not paid up or underpaid up。

(4) Stamp Duty Collectors who:

a. is late in depositing the Stamp Duty as referred to in paragraph (1) letter b; and/or

b. does not report or late to report the collection and deposit of the Stamp Duty as referred to in paragraph (1) letter c,

a tax collection letter shall be issued in accordance with the provisions of the statutory regulations on the general provisions and procedures of taxation。

(5) The provisions on the procedures for collection, deposit, and reporting of Stamp Duty as referred to in paragraph (1) are regulated in the Ministerial Regulation。

Elucidation of Article 11

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Example of imposition of Stamp Duty administrative sanctions:

Based on the audit result of the Stamp Duty collection report, 15 (fifteen) Documents of Stamp Duty collection object are found with the following details:

a. 1 (one) document has been collected and deposited into the state cash account;

b. 2 (two) Documents are not collected and not deposited into the state cash account;

c. 7 (seven) documents have been collected, but not deposited into the state cash account; and

d. 5 (five) Documents are not collected, but deposited into the state cash account.

Based on the aforesaid data, the imposition of administrative sanction is 100% (one hundred percent) for:

a. 2 (two) documents that are not collected and not deposited into the state cash account; and

b. 7 (seven) documents that have been collected, but not deposited into the state cash account.

Whereas, for 1 (one) document that has been collected and deposited into the state cash account and 5 (five) documents that are not collected, but deposited into the state cash account, are not subject to administrative sanction.

Thus, calculation in the Underpaid Tax Assessment Letter (SKPKB) is as follows.

Stamp Duty payable			Rp150.000,00
Stamp Duty has been deposited			
1 x Rp10.000,00	=	Rp10.000,00	
5 x Rp10.000,00	=	Rp50.000,00	
			Rp 60.000,00
Stamp Duty underpaid			Rp 90.000,00
Sanction Article 11 paragraph (3) =			
100% x 9 x Rp10.000,00		=	Rp 90.000,00
Outstanding Stamp Duty			Rp 180.000,00

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory.

CHAPTER IV
PAYMENT OF STAMP DUTY PAYABLE

Article 12

(1) Payment of Stamp Duty payable on Documents shall be made by using:
   a. Stamp; or
   b. tax payment slip.

(2) The stamp as referred to in paragraph (1) letter a is in the form of:
   a. Patch stamp;
   b. Electronic stamp; or
   c. Stamp in other forms as stipulated by the Minister.

(3) Everyone is obliged to obtain a permit to make a Stamp in another form as referred to in paragraph (2) letter c.

(4) Further provisions on payment of the outstanding Stamp Duty as referred to in paragraph (1) shall be regulated in the Ministerial Regulation.

(5) Any procurement, management and sales of Stamp as referred to in paragraph (2) shall be regulated by or based on the Government Regulation.

Elucidation of Article 12

Paragraph (1)

Letter a

Self-explanatory.

Letter b

Payments of Stamp Duty can also be made by using a tax payment slip in the event the mechanism for payment of Stamp Duty using a Stamp is deemed inefficient or even impossible. For example, for Documents that will be used as evidence in the court in a large quantity, the payment for which is through Postdated Duty Stamping as regulated in this Law. The granting of alternatives in payment of Stamp Duty is intended to provide convenience in the Stamp Duty payment.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

Self-explanatory.

Paragraph (5)

Self-explanatory.

CHAPTER V
PATCH STAMP, ELECTRONIC STAMP, AND STAMPS IN OTHER FORMS

Article 13

(1) Patch stamp as referred to in Article 12 paragraph (2) letter a has general characteristics and special characteristics.

(2) The general characteristics as referred to in paragraph (1) at least contain:

a. image of the state emblem Garuda Pancasila;

b. a phrase "Meterai Tempel" ("*Patch Stamp*"); and

c. numbers indicating the nominal value.

(3) Each Patch stamp, in addition to having the general characteristics as referred to in paragraph (2), also has special characteristics as a security element that is incorporated in the design, materials, and printing technique.

(4) The special characteristics of the Patch stamp as referred to in paragraph (3) can be overt, semi-covert, and covert/forensic) in nature.

(5) Further provisions on the determination of the general characteristics and the special characteristics of the Patch stamp as referred to in paragraph (2), paragraph (3), and paragraph (4) as well as their enforcement shall be regulated in the Ministerial Regulation.

Elucidation of Article 13

Paragraph (1)

Self-explanatory.

Paragraph (2)

Self-explanatory.

Paragraph (3)

Self-explanatory.

Paragraph (4)

"Overt" means a characteristic of the Patch stamp that can be identified without using any tools.

"Semicovert" means a characteristic of the Patch stamp that can be identified by using a tool.

"Covert/forensic" means a characteristic of the Patch stamp that can be identified only through a forensic examination.

Paragraph (5)

Self-explanatory.

Article 14

(1) Electronic stamp as referred to in Article 12 paragraph (2) letter b has a unique code and specific information.

(2) Provisions on the unique code and certain information as referred to in paragraph (1) are regulated in the Ministerial Regulation.

Elucidation of Article 14

Self-explanatory.

Article 15

(1) Stamps in other forms stipulated by the Minister as referred to in Article 12 paragraph (2) letter c are Stamps made by using a digital Stamp imprint machine, computerized system, printing technology, and other systems or technologies.

(2) Further provisions on Stamps in other forms as referred to in paragraph (1) shall be regulated in the Ministerial Regulation.

Elucidation of Article 15

Self-explanatory.

Article 16

(1) The Government has the authority to determine the validity of Stamps as referred to in Article 12 paragraph (2).

(2) Provisions on the procedure for determining the validity of Stamps as referred to in paragraph (1) shall be regulated in the Ministerial Regulation.

Elucidation of Article 16

Self-explanatory.

CHAPTER VI
POSTDATED DUTY-STAMPING

Article 17

(1) Postdated Duty Stamping is carried out for:

a. Documents as referred to in Article 3 paragraph (2) for which the Stamp Duty is unpaid or underpaid; and/or

b. Documents that are used as evidence in the court as referred to in Article 3 paragraph (1) letter b.

(2) Party who is obliged to pay the Stamp Duty through the Postdated Duty Stamping as referred to in paragraph (1) is the Indebted Party as referred to in Article 9.

Elucidation of Article 17

Paragraph (1)

Self-explanatory.

Paragraph (2)

In principle, party who is obliged to pay the Stamp Duty through a Postdated Duty Stamping is the Indebted Party. However, in the implementation, payments of Stamp Duty through the Postdated Duty Stamping can be made by the Document holder either as an Indebted Party or non-Indebted Party.

Article 18

(1) Stamp Duties that are obliged to be paid through Postdated Duty Stamping as referred to in Article 17 are determined at the amount of:

a. Stamp Duty payable on the Documents as referred to in Article 17 paragraph (1) letter a plus the administrative sanction; and

b. Stamp Duty payable on the Documents as referred to in Article 17 paragraph (1) letter b.

(2) The administrative sanction as referred to in paragraph (1) letter a is 100% (one hundred percent) of the Stamp Duty payable.

Elucidation of Article 18

Self-explanatory.

Article 19

(1) To the Indebted Party who does not pay or underpay the Stamp Duty payable is issued with a tax assessment letter in accordance with the provisions of the statutory regulations on the general provisions and procedures of taxation.

(2) The amount of the underpaid Stamp Duty in the tax assessment letter as referred to in paragraph (1) is equal to the Stamp Duty that is unpaid or underpaid plus the administrative sanction as referred to in Article 18 paragraph (2).

Elucidation of Article 19

Self-explanatory.

Article 20

Provisions on the procedure for payment of Stamp Duty through the Postdated Duty Stamping shall be regulated in the Ministerial Regulation.

Elucidation of Article 20

Self-explanatory.

CHAPTER VII
PROHIBITIONS FOR THE AUTHORIZED OFFICIALS

Article 21

(1) The authorized officials are, in performing their duty or position, prohibited from:

a. receiving, considering, or keeping any of the Documents as referred to in Article 3 for which the Stamp Duty is unpaid or underpaid;

b. attaching any of the Documents as referred to in Article 3 for which the Stamp Duty is unpaid or underpaid to other related Documents;

c. making copies, carbon copies, counterparts, or excerpts of any of the Documents as referred to in Article 3 for which the Stamp Duty is unpaid or underpaid; and/or

d. giving a remark or note on any of the Documents as referred to in Article 3 for which the Stamp Duty is unpaid.

(2) Violation of the provisions as referred to in paragraph (1) is subject to administrative sanctions in accordance with the provisions of the statutory regulations.

Elucidation of Article 21

Paragraph (1)

This article is intended to the effect that each of the authorized officials, in performing their duty or position, contributes in ensuring that the Stamp Duty payable on the Document has been paid properly.

The authorized officials in this provision include judges, registrars, bailiffs, notaries, Land Deed Officials, state civil apparatus, members of the Indonesian National Armed Forces/State Police of the Republic of Indonesia, and state officials.

The statutory regulations in this provision are, for an example, the statutory regulations governing the discipline and obligations or prohibition for state civil apparatus, state officials, or other public officials.

Paragraph (2)

Self-explanatory.

CHAPTER VIII
FACILITY OF EXEMPTION FROM THE STAMP-DUTY IMPOSITION

Article 22

(1) Stamp Duty payable may be granted an exemption from the Stamp Duty imposition, either temporarily or permanently, for:

a. Documents as referred to in Article 3 that state a transfer of rights to the land and/or building to the effect of accelerating the process of handling and recovering the socio-economic conditions of a region resulting due to natural calamities that are designated as natural disasters;

b. Documents as referred to in Article 3 which state a transfer of right to the land and/or buildings that is used to carry out activities that are solely religious and/or social in nature that are not commercial in nature;

c. Documents as referred to in Article 3 to the effect of encouraging or implementing the government programs and/or policies of competent institutions in the monetary or the financial service sectors; and/or

d. Documents as referred to in Article 3 related to the implementation of international agreements that have been binding based on the provisions of statutory regulations on the international agreements or based on the reciprocal principle.

(2) Further provisions on the granting of exemption from the Stamp Duty imposition as referred to in paragraph (1) shall be regulated by or based on the Government Regulation.

Elucidation of Article 22

Paragraph (1)

Letter a

Self-explanatory.

Letter b

"Land and/or buildings that is used to carry out activities that are solely religious and/or social in nature that are not commercial in nature" means the entire or part of the land and/or building that is only used to carry out religious worship activities or social activities, such as, orphanages or nursing homes that are not commercial in nature or not for profit.

Letter c

"Policy of the competent institution in the of financial service sector" means, among other things, in terms of:

a. carrying out the deepening or development of the financial services sector;

b. carrying out restructuring and maintaining the sustainability of financial service institutions; and/or

c. encouraging the intermediation function of the financial service institutions.

Letter d

"International agreement" means an international agreement between Indonesia and 1 (one) or more countries, or and international institutions/organizations, that are subject to the international laws.

Paragraph (2)

Self-explanatory.

Article 23

Stamp Duty payable expires after a period of 5 (five) years as of the time it is payable。

Elucidation of Article 23

Viewed from the legal certainty aspect, the expiration of 5 (five) years which is calculated as from the time when the Stamp Duty is payable, applies to all Documents。

CHAPTER IX
CRIMINAL PROVISIONS

Article 24

Everyone who:

a. imitates or counterfeits any Stamp issued by the Government of the Republic of Indonesia with the intention of using or requesting another person to use the Stamp as an original, not counterfeited, or valid Stamp; or

b. with the same purpose as referred to in letter a, making a Stamp by using the original seal unlawfully, including making an electronic Stamp as referred to in Article 14 and Stamp in other forms as referred to in Article 15, unlawfully,

shall be punished with imprisonment of a maximum of 7 (seven) years and a fine in maximum of Rp. 500.000.000,00 (five hundred million rupiah).

Elucidation of Article 24

Self-explanatory.

Article 25

Everyone who uses, sells, offers, delivers, has inventory for sale, or imports into the territory of the Republic of Indonesia:

a. Any forged or illegally made stamp as if it is genuine, not counterfeited, and made in a lawful manner; or

b. goods that are affixed with a Stamp as referred to in letter a, as if they are original, not counterfeited, and made in a lawful manner,

shall be sentenced with imprisonment up to maximum of 7 (seven) years and a fine in maximum of Rp. 500.000.000,00 (five hundred million rupiah).

Elucidation of Article 25

Self-explanatory.

Article 26

Everyone who:

a. removes any mark that is used to indicate that a Stamp can no longer be used on any Stamp of the Government of the Republic of Indonesia that has been used with the intention to use it or to ask another person to use it as if such a Stamp had never been used;

b. with the same intension as referred to in letter a, removes the Signature, characteristic, or the mark when a Stamp of Government of the Republic of Indonesia has been used, provided that the prevailing provision of the statutory regulations must be affixed above or on such a Stamp; or

c. uses, sells, offers, delivers, has inventory for sale, or imports into the territory of the Republic of Indonesia any Stamp the mark, the Signature, the characteristic, or the usage date of which is removed, as if such a Stamp had never been used,

shall be sentenced with imprisonment up to 3 (three) years or a fine in maximum of Rp. 200.000.000,00 (two hundred million rupiah).

Elucidation of Article 26

Self-explanatory.

CHAPTER X
MISCELLANEOUS

Article 27

As to any matters which have not been specifically regulated in this Law, the provisions in the statutory regulations on the general provisions and procedures of taxation shall apply.

Elucidation of Article 27

Self-explanatory.

CHAPTER XI
TRANSITIONAL PROVISIONS

Article 28

Upon the coming into effect of this Law:

a. Any Documents for which the Stamp Duty is unpaid or underpaid, that were made prior to this Law comes into effect, their Stamp Duty is still payable and shall be paid based on Law Number 13 of 1985 regarding Stamp Duty。

b. Patch stamps that have been printed based on Law Number 13 of 1985 regarding Stamp Duty and the implementing regulations thereof, that are remaining, can still be used until 1 (one) year as of this Law comes into effect and cannot be exchanged for money or in any form。

c. Patch stamps that are used to make payments of Stamp Duty payable on the Documents as referred to in letter b, can be used with the total value of Stamp Duty affixed to a Document of at least Rp. 9.000,00 (nine thousand rupiah)。

Elucidation of Article 28

Self-explanatory.

Article 29

The procedure for payment of the Stamp Duty payable under this Law, which is paid using Patch stamp(s) that has been printed based on Law Number 13 of 1985 regarding Stamp Duty and the implementing regulations thereof as referred to in Article 28 letter b, shall be regulated in the Ministerial Regulation.

Elucidation of Article 29

"Implementing regulations thereof" mean the implementing regulations of Law Number 13 of 1985 regarding Stamp Duty which govern the shape, size, and color of the most current Patch stamp.

CHAPTER XII
CLOSING PROVISION

Article 30

Upon the coming into effect of this Law, all of the statutory regulations that are the implementation of Law Number 13 of 1985 regarding Stamp Duty (State Gazette of the Republic of Indonesia of 1985 Number 69, Supplement to State Gazette of the Republic of Indonesia Number 3313), are declared remain in effect as long as not contradictory to the provisions in this Law.

Elucidation of Article 30

Self-explanatory.

Article 31

Upon the coming into effect of this Law, Law Number 13 of 1985 regarding Stamp Duty (State Gazette of the Republic of Indonesia of 1985 Number 69, Supplement to State Gazette of the Republic of Indonesia Number 3313), is revoked and declared null and void.

Elucidation of Article 31

Self-explanatory.

Article 32

This law comes into effect as of 1 January 2021.

Elucidation of Article 32

Self-explanatory.

For public cognizance, orders the publication of this Law by placing it in the State Gazette of the Republic of Indonesia.

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